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Introduction to *People* Domain

This domain in the SHRM Learning System® for SHRM-CP/SHRM-SCP includes five Functional Areas: HR Strategy, Talent Acquisition, Employee Engagement & Retention, Learning & Development, and Total Rewards.

Throughout the module, brief scenarios, titled “Competency Connection,” describe how the Behavioral Competencies listed in the SHRM Body of Applied Skills and Knowledge™ apply to the Functional Area under discussion.

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Key Content

The content in the domain accounts for 18% of the SHRM-CP and SHRM-SCP exams.

HR Strategy

HR Strategy involves the activities necessary for developing, implementing, managing and evaluating the strategic direction required to achieve organizational success and to create value for stakeholders.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Develops and implements an individual action plan for executing HR's strategy and goals.
- Informs HR leadership of new or overlooked opportunities to align HR's strategy with the organization's.
- Informs business decisions with knowledge of the strategy and goals of HR and the organization.
- Provides HR leadership with timely and accurate information required for strategic decision-making.
- Uses benchmarks, industry metrics, and workforce trends to understand the organization's market position and competitive advantage.
- Uses the perspective of systems thinking to understand how the organization operates.

Proficiency indicators for **advanced HR professionals** include:

- Aligns strategic management and planning activities with organizational mission, vision and values.
- Develops and implements HR strategy, vision, and goals that align with and support the organization's strategy and goals.
- Engages business leaders in strategic analysis and planning.

- Ensures that HR strategy creates and sustains the organization’s competitive advantage.
- Evaluates HR’s critical activities in terms of value added, impact, and utility, using cost-benefit analysis, revenue, profit-and-loss estimates, and other leading or lagging indicators.
- Identifies the ways in which the HR function can support the organization’s strategy and goals.
- Provides HR-focused expertise to other business leaders when formulating the organization’s strategy and goals.

Key Concepts:

- Approaches to project management (examples include traditional, Lean Six Sigma, agile, critical chain, design thinking, Kaizen) and processes (examples include., initiating, planning and designing, launching, monitoring and controlling, closing).
- Project leadership, governance, and structures (examples include team roles, team management, work breakdown structures).
- Project planning, monitoring, and reporting methods and tools (examples include critical path analysis, Gantt charts, variance analysis, outcome monitoring).
- Strategic planning analysis frameworks (examples include PESTLE analysis, SWOT analysis, industry analysis, location-

specific analysis, scenario planning, growth-share matrix, real time, blue ocean).

- Strategic planning process (examples include formulation, goal-setting, implementation, evaluation).
- Systems thinking (examples include related parts, systems theory) and components of an organizational system (examples include interdependence, necessity of feedback, differentiation of units).

HR Strategy

Strategic plans are the backbone of most actions that organizations take. Without a proper strategic plan, it can be difficult for an organization to survive and grow. The strategic plan can include the organization's mission and vision, which help create a brand image and set the stage for how the organization will work to achieve its strategic goals.

Creating a strategic plan can require the use of multiple models and analysis. In order to navigate the strategy formulation process successfully, HR leaders and professionals must be well acquainted with the tools and processes used to develop a strategy. Some tasks, such as defining the organization's mission and vision, will be completed by organizational leaders and HR leaders working cooperatively; many other tasks associated with creating and implementing a strategy will fall solely to HR professionals.

Once a strategy is created, it must be implemented, which includes communicating and evaluating the strategy. The process of communicating and evaluating the organizational strategy is key to the success of the strategy. This ensures that the strategy is properly adopted and followed and can provide feedback if any adjustments must be made. It will also help ensure that the strategy

remains effective as the organization grows and as the environment in which the organization operates changes.

Strategic Planning and Management

Proficiency indicators related to this section include:

- Develops and implements an individual action plan for executing HR’s strategy and goals.
- Engages business leaders in strategic analysis and planning.

Key concepts related to this section include:

- Strategic planning process (examples include formulation, goal-setting, implementation, evaluation).

Strategic Planning and Management

All successful organizations—public and private entities, for-profit and not-for-profit—generate value for their stakeholders. They are effective at understanding their stakeholders' needs, their environments, and their resources and how these elements may change over time. Their leaders use strategic planning and management to set long-range goals and align organizational resources and actions to achieve those goals.

Competency Connection

The HR function in a multinational corporation applied its Business Acumen, Communication, and Global Mindset competencies to align the strategy of the HR organization with the corporation's new plans for global expansion.

The corporation, an aerospace manufacturer, unveiled its strategy in the Q4 results briefing. The company currently operates in 17 countries but plans to double its global presence over the next two years through acquisitions.

In response to this announcement, HR leadership took the following steps to proactively participate in and support the strategy:

- Hire an HR practitioner with at least ten years' merger/acquisition experience to add specific "bench strength" to the HR team in this new key area.
- Meet with business stakeholders involved with targeting companies to learn their profiles and employee demographics.
- Advise business leaders concerning relevant HR issues and considerations (such as benefits, compensation, culture, and retention bonuses) pre- and post-acquisition.
- Ensure HR participation at all acquisition meetings by reiterating the importance of employee considerations, cultural differences, and relevant employment and labor laws and by demonstrating value through appropriate questions and unsolicited subject matter expertise.
- Constantly communicate with and prepare affected HR colleagues so they are informed and ready to act.

HR's solution to this specific organizational strategy directive demonstrates understanding at the highest business level as well as a broad and aggressive HR strategy to formally participate in and facilitate the organization's global growth.

Strategy

A **strategy** is essentially a plan of action for accomplishing an organization's long-range goals to create value. The strategy details separate activities (tactics or initiatives) that must be coordinated over time. The strategy must look both inward, toward the strengths and vulnerabilities of the organization, and outward, toward possible external influences, opportunities, and obstacles. Growth is not a strategy but the result of a successfully designed and implemented strategy.

Levels of Strategy

There are three levels of strategy:

- Organizational strategy focuses on the future of the organization as a single unit—a general vision of the future it seeks and its long-term goals.
- Business unit strategies address questions of how and where the organization will focus to create value.
- Operational strategy reflects the way in which organizational and business unit strategies are translated into action at the functional level through functional strategies. Strategic planning and management processes are repeated at each level, and unit and functional leaders must assume the same strategic mindset that the organization's leaders have adopted.

Key Content

These levels of strategy must be aligned. This means that the HR strategy will be interwoven throughout the organizational and functional strategies. It must be consistent with the organizational strategy and must support other functional strategies. All policies, programs, and processes are selected and evaluated for their strategic impact. HR resources must be spent on strategic activities that add value at all points in the employment management cycle: workforce planning, talent acquisition, engagement and retention, rewards, and development of necessary skills and future leaders. The function must organize itself and acquire necessary strategic competencies, such as the abilities to manage risk and change, to use data to make better decisions, to manage a global and diverse enterprise, and, most importantly, to lead the HR function as part of a larger organization.

Strategy must be developed with awareness of an organization’s stakeholders and their unique perceptions of the value the organization delivers and of the

organization’s context—the marketplace forces that affect strategic choices.

Strategic Planning

Strategic planning is the process of setting goals and designing a path toward a competitive position. The strategic plan helps create alignment of efforts and provides a layer of control.

Strategic Management

Strategic management includes the actions that leaders take to move their organizations toward the goals set in strategic planning and to create value for all stakeholders. It makes incremental adjustments to the plan as needed and to the organization itself. These adjustments often represent the innovative capacity of the organization.

Strategic management provides an organization with:

- **Consistent, long-term goals.** Fewer resources will be wasted on activities that are unrelated to the goals or are ineffective in supporting attainment of the goals.

- **Consistent decision making by leaders.** Strategy provides guideposts throughout the organization, from top to bottom. Each action and each investment of resources must be assessed in light of the organization's long-term goals.

- **Better competitive and external vision.** The process of making decisions and managing risks requires gathering and monitoring information about the external environment. This can help in determining strategic choices and can influence organizational preparation for positive and negative outcomes. We should note here that all organizations, including nonprofits, must be aware of their competitive and external environments. Nonprofits must compete for resources from sources whose priorities and capacities may change. They may need to adjust their own operational priorities and focus in response to client needs.

- **Better internal vision.** Strategic management provides a better internal vision of what resources the organization can apply to its strategic goals and how they may need to be developed or supplemented.

Critical Success Factors for Strategic Planning and Management

Organizations that are successful at strategy have mastered certain skills. All of these critical success factors relate directly to the required competencies and responsibilities of HR.

- **Alignment of effort.** Strategic alignment is necessary to maintain organizational focus on a defined mission and goals. As the strategy is progressively elaborated at other levels within the organization—in business divisions and/or functional areas—each unit must examine its plan against the organization's. Will HR's activities help move the organization toward its goal? Are HR activities attentive to the logic behind the original plan and the value of the original goal?

- **Control of drift.** Strategic drift is a phenomenon in which an organization fails to recognize and respond to changes in its environment that necessitate strategic change. Like a ship bound for the rocks, the organization fails to make necessary course corrections. It beats on against the current of external forces that drive it further and further from its goals. Drift is often caused by an organizational culture that is too deeply rooted in the past, in the ways things have always been done. HR can help develop leaders with vision and courage, and HR leaders can embody these values as well.

- **Focus on core competencies.** Core competencies are usually unique advantages an organization possesses, abilities that are integral to creating customer value and difficult for competitors to imitate. For example, core competencies can be technical expertise or excellence in design, marketing, or operations. A core competency can also be vision—the ability to see when and how the organization can reinvent itself. Strategic organizations know what they are good at and focus their efforts on where those competencies will have the most effect. Necessary but not core competencies can be outsourced to reliable suppliers.

Mistakes to Avoid in Strategic Planning

There may be a number of reasons why organizations fail to reap the benefits of strategic planning and management:

- **Taking shortcuts.** Effective strategy requires extensive research, detailed analysis, and honest evaluation of the organization and its competitive situation. Poorly researched, vague, or overly ambitious strategies are usually not successful and make a poor argument for strategy.

- **Little follow-through.** Often, strategic planning is a *pro forma* exercise that produces a plan that is placed in a desk drawer.

This perception may be due to the early association of strategies with annual budgets, among other reasons. Strategic plans should lead to decisions. Because these decisions are risky, require complex execution, or are in conflict with the current organizational culture, leaders may be reluctant to translate intent into action. Strategy requires leadership and good decision makers.

- **Overreliance on the comfortable and familiar.** Strategy often requires change and risk taking. Risks must be taken methodically, with due diligence, and transparently, according to agreed standards and guidelines.

- **Insufficient commitment from management.** Sometimes the task of setting strategy is handed off to consultants; senior management and the board are not committed to the process or directly involved. It is difficult then to obtain their support for strategic initiatives.

- **Insufficient involvement of the rest of the organization.** If the strategy is developed by a small management group, it will be more difficult to convince the entire organization of the wisdom of the decisions and the value of changes, effort, and sacrifices.

- **Inadequate communication.** The strategic intent and decisions may not be shared with the entire organization. This negates one of the primary benefits of strategy—that it becomes a guidepost for decision making at all levels and in all parts of the organization.

Strategic Planning and Management Process

Strategy can be deliberate—carefully articulated as a plan for future actions. Alternatively, strategy can be emergent—a predictable pattern of decisions that management makes as it uses the organization's mission, vision, and values to respond to external conditions.

For our purposes—to understand the planning process more fully—we will focus on the more deliberate approach to strategic planning and management. This approach, as illustrated in Exhibit 1, has four tasks:

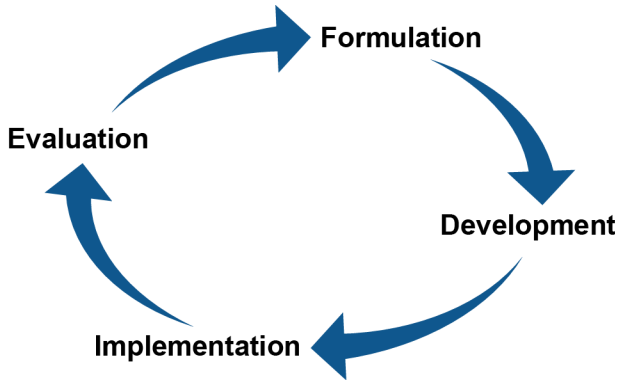
- **Formulation,** during which leaders gather and analyze internal and external information to determine the organization's current position and capabilities, opportunities, and constraints.

- **Development** of strategic goals and tactics that will optimize success given the environment, opportunities, and constraints—the strategic plan.

- **Implementation** of tactics—the process of strategic management. This requires clear communication of objectives to teams, coordination and support of their efforts, and control of resources.

- **Evaluation** of results, both continually, to make sure that activities maintain strategic focus and are effective, and at designated intervals, to determine the effectiveness of the strategy itself and the need for change or improvement.

Exhibit 1: Strategic Planning and Management Process



Strategic planning and management are distinguished by the way an organization's assets, structure, and policies are focused in an integrated manner to achieve certain goals. The organization's parts work in harmony rather than independently or in opposition. The organization is continually mindful of results and committed to continuous improvement.

Strategy Formulation

Proficiency indicators related to this section include:

- Develops and implements an individual action plan for executing HR's strategy and goals.
- Informs HR leadership of new or overlooked opportunities to align HR's strategy with the organization's.
- Informs business decisions with knowledge of the strategy and goals of HR and the organization.
- Provides HR leadership with timely and accurate information required for strategic decision-making.
- Uses benchmarks, industry metrics, and workforce trends to understand the organization's market position and competitive advantage.
- Uses the perspective of systems thinking to understand how the organization operates.
- Aligns strategic management and planning activities with organizational mission, vision and values.
- Develops and implements HR strategy, vision, and goals that align with and support the organization's strategy and goals.
- Evaluates HR's critical activities in terms of value added, impact, and utility, using cost-benefit analysis, revenue, profit-

and-loss estimates, and other leading or lagging indicators.

- Identifies the ways in which the HR function can support the organization’s strategy and goals.
- Provides HR-focused expertise to other business leaders when formulating the organization’s strategy and goals.

Key concepts related to this section include:

- Strategic planning analysis frameworks (examples include PESTLE analysis, SWOT analysis, industry analysis, location-specific analysis, scenario planning, growth-share matrix, real time, blue ocean).
- Systems thinking (examples include related parts, systems theory) and components of an organizational system (examples include interdependence, necessity of feedback, differentiation of units).

Strategy Formulation

The strategic planning process begins with information gathering and analysis, because this leads to greater self-awareness and a better understanding of the constraints and advantages that must be reflected in the organization's strategy. Without this level of awareness, an organization is likely to head down a road that will, at best, be much bumpier, take longer, and require detours and repairs that consume resources. At worst, a determined and blind strategic plan can drive the organization off a cliff. This section looks at tools that can be used to improve the organization's understanding of its internal and external environments and the opportunities and challenges they present. The quality and in-depth information these tools provide can be used to develop the organization's mission, vision, and values and set strategic goals.

Competency Connection

An HR director and the business partner for a corporate division with multiple sites used environmental awareness to develop a strategy for employee retention in a competitive market.

A competitor had built a new site near the existing port, creating 300 new jobs for the area. Since the new operation used the same equipment and technology, it would be competing directly with the

business partner’s organization. The organization faced a significant risk of losing current employees to this new employer. Current turnover was 8%; the organization feared the new competition might drive it to 30%.

Local site managers requested double-digit salary increases for all employees. The HR director and the local business partner conducted several discussions with the local management team to convince them that competing on salary was futile. The new facility had to start production, and it would fight aggressively for employees.

HR suggested a different approach that involved replacing the current onboarding process. The previous training system for new hires was personal on-the-job training for each new employee for four to five weeks. A more experienced colleague was assigned as a coach. When a new employee successfully passed the test at the end of the training period, the coach would receive a small bonus as a reward. The system was quite effective for the usual turnover level but would not accommodate the anticipated increased hiring rate. The new system would use three experienced retired former employees who were rehired as full-time trainers. The trainers would lead one-week training classes.

Turnover did increase to 20%, but it was much less than it might have been. Production levels were never disrupted. The site now has stable staffing.

Business Acumen helped these HR professionals analyze and correctly predict turnover increase. They used their Leadership & Navigation and Consultation skills to craft a new solution and their Relationship Management and Communication competencies to persuade local managers to adopt a change.

Systems Thinking

Systems thinking recognizes that organizations are composed of interacting and sometimes interdependent parts that together create a dynamic internal environment. Each part is differentiated by the role it plays in the system and its own particular challenges, values, and processes—referred to as the differentiation of units. The internal environment is created by the varying ways that all of these units interplay. The challenge in strategic planning and management is to coordinate these parts to achieve strategic goals.

Because the system is dynamic, changes in one part can affect the other parts. It’s easy to conceptualize how changes enacted by leadership can cause a cascade effect across divisions and to the lowest levels of an organization. It is also important to recognize that

changes made at lower levels of a division can reverberate through multiple divisions and upward through the organizational structure.

Due to the interconnectivity in the system, organizations must address the root cause of problems when actions are taken in response to identified issues. If an organization simply treats the symptoms of issues, other unintended issues may be created elsewhere in the system.

To make things more complex, the organization is surrounded by an external environment as well—an environment composed of separate systems that exert their own influences over the organization. For example, laws may affect work processes used by different parts; economic and social conditions may affect financing and workforce quality and quantity. Any change that affects one part of the organization must be carefully examined for possible repercussions on other parts.

Because of the interconnected nature of systems, the role of feedback is extremely important. In fact, it is essential for the efficient, continued functioning of the system. Gathering feedback from the system allows one to identify deviation from the intended goal, state, or outcome and make corrective adjustments. As feedback is gathered, additional adjustments might need to be made, as an adjustment in one area could have knock-on effects

elsewhere within the system. A lack of feedback or managers ignoring the feedback they are given are common causes of system failure.

Exhibit 2 illustrates this complex system.

Exhibit 2: Organization as System



An example of the complexity of these systems is illustrated by the “Beer Game” created by MIT. Players represent a brewery, a wholesaler, a distributor, and a retailer. There are four-week delays between:

- When the retailer orders beer from the distributor and when it is received.

- When the distributor orders beer from the wholesaler and when it is received.
- When the wholesaler orders beer from the brewery and when it is received.

The brewery takes two weeks to brew the beer.

A short-term demand spike is simulated, which triggers response actions from the players. As the short-term demand empties shelves at the retailer, the retailer typically submits repeated, larger orders to the distributor. This action triggers a similar response between the distributor and the wholesaler and between the wholesaler and the brewery. However, due to the lag in processing and delivery time throughout the chain, by the time the brewery has created and shipped the orders that it has received and those orders have made it through the chain to the retailer, demand has fallen back off, and everyone—brewery, wholesaler, distributor, and retailer—now has far more product on hand than they really need. Each player in the game has acted in a way that they considered logical given the information they had, yet, because they did not consider what their actions would do within the larger system, each ends up in a less-than-ideal situation.

Environmental Analysis Tools

Environmental scanning may be defined as a process of systematically surveying and gathering data, from both internal and external sources, that can be analyzed to identify opportunities and threats and to strengthen strategic plans and goals.

Specific skills discussed below are the PESTLE analysis, the SWOT analysis, the growth-share matrix, and scenario analysis.

PESTLE Analysis

The environmental scanning process is systematized by searching for environmental forces organized under specific categories. This process is commonly referred to as a **PESTLE analysis**—for political, economic, social, technological, legal, and environmental categories.

A PESTLE analysis can be conducted on different levels: for the entire enterprise, for individual units or functions, or for specific activities. Performing this type of analysis requires HR professionals to adopt a broader and more long-range perspective than they may ordinarily use. At the same time, analysts must restrict their horizons and the directions they scan, or the organization will drown in data whose analysis may absorb too much time or whose complexity may paralyze decision making.

The general process is similar to some of the steps used in the risk management process. PESTLE analysts:

- Assemble a list of possible events or trends that exist now or could materialize within a defined time frame. This could be done through brainstorming meetings, interviews or focus groups with experts in certain areas, or literature reviews.
- Identify the potential impacts on the organization. These should include positive and negative or immediate and long-range effects. Analysts should also look for possible ripple effects on apparently unconnected processes or parts of the organization.
- Research the impacts more thoroughly to understand possible causes, their dimensions, and connections with other events or trends. For example, trending information may be obtained from government agencies or industry associations.
- Assess the importance of the possible impacts based on the strength of the data.

Exhibit 3 traces the way in which events or trends that have been identified through PESTLE analysis might affect an enterprise and HR. Note that each of these categories can include unique ethical considerations. For example, political analysis may include examining levels of corruption.

Exhibit 3: PESTLE Analysis

Category	Possible Enterprise Impact	Possible HR Impact
Political (influences of government policies, laws, and regulations)		
• Regulatory environment and actions • Taxation policies • Treaties and tariff structures • Immigration policies • Governance legislation • Government stability • Levels of corruption	An organization's leaders are debating expanding the business into a country because corruption and bribery make it difficult to do business there.	The company decides to go ahead, and HR considers what guidance to provide to those who will be working in this country and those who will be assessing these employees' performance.
Economic		
• Business forecasts • Labor availability and cost • Price for services and materials (inflation/deflation rates) • Household income • Consumer confidence • Availability and cost of capital • Income disparities	Expansion plans could be curtailed by signs of increased costs of financing or difficulty in obtaining investment.	A business case analyzing the purchase of a new HR information system could emphasize the savings in interest by making the purchase now.
Social		

Category	Possible Enterprise Impact	Possible HR Impact
• Demographic shifts in age, ethnic background • Education and skills profiles • Housing patterns • Patterns of discrimination • Family structure • Values • Lifestyles and purchasing habits • Media use • Effect of globalization on local culture	The organization channels an increasingly large portion of its marketing budget into social media aimed at a growing youth demographic.	HR must assess its policies and implement monitoring to make sure that social media are used in an equitable manner for recruiting and that employees know what social media activity conforms to company policy.
Technological		
• New centers of technological training and expertise • Innovative technology and applications of technology • Unequal access to technology • New or changing technical standards • Technological vulnerability	The organization may have to invest more heavily in data security measures.	HR has to review its recruiting program to identify and attract new sources of highly skilled workers in this area.
Legal		

Category	Possible Enterprise Impact	Possible HR Impact
• Trends in patent law and intellectual property protection • Increased civil litigation in workplaces • Increased shareholder legal actions • Unequal access to legal representation • Trends in evidence requirements and penalties • Increased cost for defense • Trends in findings for corporate negligence	Senior management increases its budget for legal services and its risk contingency reserves earmarked for legal issues.	HR strengthens risk management against legal vulnerabilities (for example, compliance checklists and audits, use of alternative dispute resolution).
Environmental		
• Decreasing carbon consumption limits • Increased use of alternative-fuel vehicles • Need for innovative technology and practices to decrease use of resources or environmental impact • Unequal effect of environmental damage or policies • Vulnerability of reliable and potable water supplies • Increased interest in environmental impact	The organization may have a corporate social responsibility strategy that includes environmental goals.	HR can use the corporate social responsibility strategy in the organization's employment brand to attract workers.

SWOT Analysis

The **SWOT analysis** is a simple and effective process for assessing an organization's strategic capabilities in comparison to threats and opportunities identified during environmental scanning. Although we refer to SWOT as an organizational tool in this section, it can also be used to analyze the strengths and weaknesses of parts of an organization (for example, the HR function), products or services, and individual initiatives.

The SWOT analysis process involves answering four basic questions:

- S—What are the organization's internal strengths?
- W—What are the organization's internal weaknesses?
- O—What external opportunities might the organization be able to take advantage of?
- T—To succeed, what external threats must the organization accept or manage?

Key Content

Strengths and weaknesses refer to the internal environment, while opportunities and threats come from the external environment. The opportunities represent favorable or advantageous circumstances that could be used to produce a desired effect, while threats are an

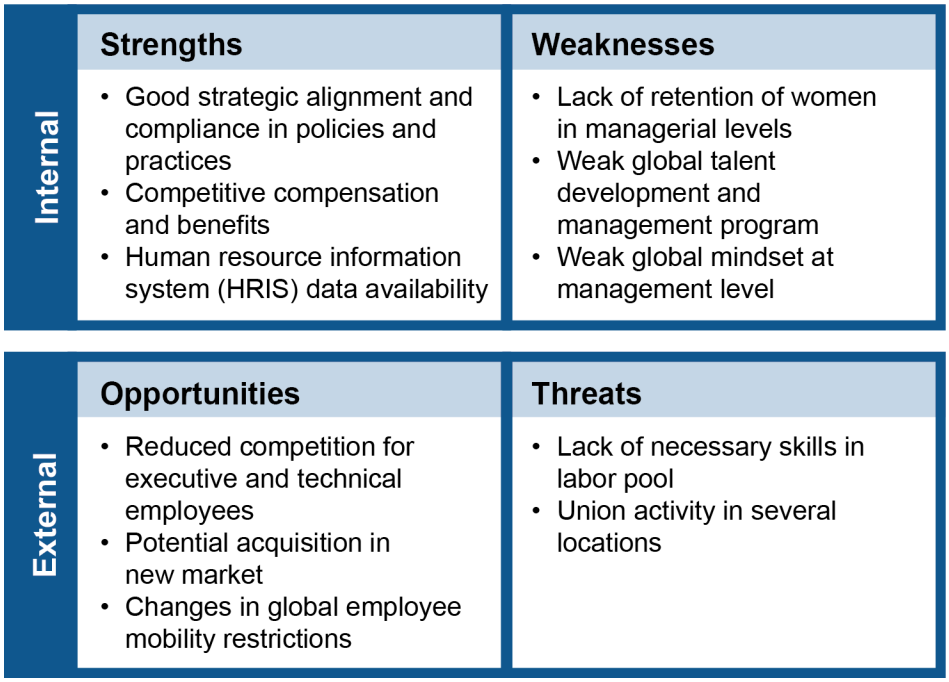
indication of possible danger, harm, or menace. Strengths and opportunities can be leveraged; weaknesses and threats are problems that must be solved and are often more difficult to control.

Information gathered from environmental scanning can be used to complete a SWOT analysis. Meetings can be used to generate items and sort them into the four categories that are commonly illustrated in a four-box matrix (as in Exhibit 4). Later analysis could focus on weighting strengths and weaknesses relative to specific environmental changes (threats or opportunities). These analyses usually take the form of a ranking sheet: Each scenario (for example, a strategic option) is scored against the four categories, and the scenarios are ranked by composite score.

A SWOT analysis can underscore the need for addressing cultural misalignment or skill gaps before committing to a strategy. It is often performed as companies consider entering new markets, expanding globally, or forming a strategic alliance. As with all aspects of strategic planning, a SWOT analysis of a global organization is more complicated. It must consider local variations in performance, competitive situations, exchange rates, labor supply, and various political, cultural, and legal influences in each locale.

Exhibit 4 shows a classic four-quadrant model of an HR function's SWOT analysis of its current strategic position.

Exhibit 4: HR Function SWOT Analysis



This HR function has ranked its items and identified key strengths and weaknesses. Considering its environmental scan and discussions with management, it has identified three opportunities and two threats that could affect its strategic capabilities. It is important to remember that sharing the information that is gathered is an important job function for HR professionals.

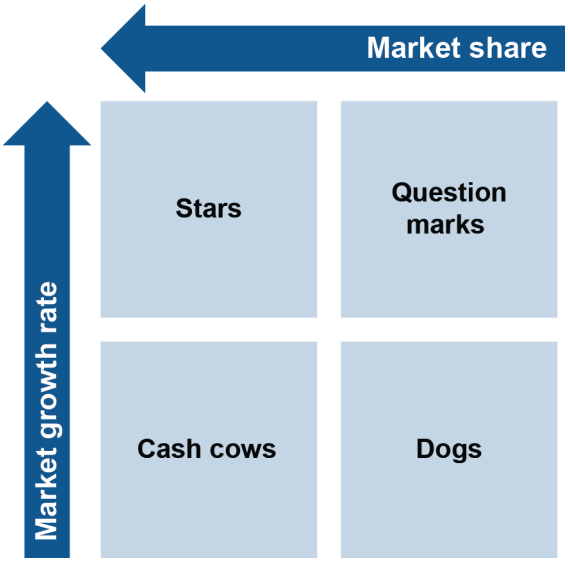
The same process could be applied to specific HR strategic activities, such as global talent management programs, self-service

online employee benefit centers, or programs in workplace harassment.

Growth-Share Matrix

Larger organizations use matrix tools, like the growth-share matrix, to find where the greatest value in their organizations lies. As shown in Exhibit 5, the vertical axis of the growth-share matrix indicates the rate of growth in this area, while the horizontal axis indicates the size of market share. The assumptions are that a growth trend (rather than stasis or decline) predicts greater value and a larger market share indicates a stronger competitive position. A business line that is growing and has a dominant share (a “star”) has high value. A static but dominant business line (a “cash cow”) creates value reliably but shows little opportunity for growth. “Dogs” are consuming resources without offering strong value or future growth. “Question marks” could be winners or losers; their future is unclear.

Exhibit 5: Growth-Share Matrix



Scenario Analysis

Scenario analysis helps an organization compare the impact of changes in the environment on the organization's outputs. This allows planners to identify those environmental factors that have the greatest potential for positive or negative impact and to apply the principles of risk management to strategy formulation.

For example, a large law firm might analyze the effect of changes in the pool of newly graduated lawyers on the firm's operations. What would be the effects if the firm received 25% to 50% fewer applications? How would this affect recruitment costs, salaries, or unfilled positions?

Defining Mission, Vision, and Values

Before a strategy can be mapped, a destination must be chosen. This destination is an image of how the organization defines its purpose (its mission), the future it hopes to see (its vision), and the principles it agrees will guide its behavior (its values).

In some organizations, the development of strategic statements about mission, vision, and values is deliberate and formal. The statements themselves are seen as an important communication of expectations to stakeholders. Other organizations develop these positions informally through a pattern of decisions and actions but do not articulate them publicly—perhaps because they believe that there is a competitive advantage to restricting this information. This can be effective if these decisions and positions are well communicated throughout the organization. Some organizations see this entire process as empty public relations and so miss an opportunity to be proactive in guiding actions and defining the organization's identity and character.

These strategic statements serve many purposes:

- In times of crisis they guide management's thinking and decisions. Individual initiatives can be held up against the mission statement to see if they are truly aligned with the

organization’s strategy. Employees will understand expectations and will be more likely to behave, on a daily basis, in accordance with the organization’s values.

- They reflect the type of organizational culture that will be required to attain the mission and vision and to support the values described. In some cases a shift in strategy may necessitate a change in culture. These statements can sketch the outlines of this new culture.
- They can contribute to the employer’s brand and make recruiting and onboarding (assimilating new employees into the organization) more focused and effective.
- Stakeholders can see how they are included and can challenge leaders to fulfill these pledges.

Mission and Vision

A **mission statement** specifies what activities the organization intends to pursue and what course management has charted for the future—a concise statement of the organization’s strategy. The mission statement could name one or more of the key stakeholders—employees, customers, vendors, shareholders and investors, the community—and it communicates a sense of purpose and describes

the value the organization intends to deliver to the stakeholders. The language of the statement often expresses a sense of priorities.

A **vision statement** is a vivid, guiding image of the organization's desired future—the future it hopes to attain through its strategy. The vision statement is the ultimate picture of what leadership envisions for the organization. The key to a solid vision is that it conjures up a similar picture for each member of the organization. The purpose of the vision statement is to inspire and motivate. It can be aspirational.

Often today these guiding statements can be found on organizations' websites. Sometimes they are brief videos rather than written statements. Exhibit 6 shows examples of mission statements that have been used by two complex organizations, the L'Oréal group and the nonprofit Habitat for Humanity International. Together they illustrate the key tasks of mission and vision statements.

Exhibit 6: Sample Mission and Vision Statements

Organization	Statements
L'Oréal	**Mission:** L'Oréal has set itself the mission of offering all women and men worldwide the best of cosmetics innovation in terms of quality, efficacy, and safety. It pursues this goal by meeting the infinite diversity of beauty needs and desires all over the world. **Vision:** Our ambition for the coming years is to win over another billion customers around the world by creating the cosmetic products that meet the infinite diversity of their beauty needs and desires.

Organization	Statements
Habitat for Humanity International	**Mission:** Seeking to put God's love into action, Habitat for Humanity brings people together to build homes, communities, and hope. **Vision:** A world where everyone has a decent place to live.

Sources: www.loreal.com and www.habitat.org

You can find several distinctive notes in the mission statement for L'Oréal group. It identifies its area as cosmetics and its scope as global. Its stakeholders include women and men, and it aims to meet their diverse needs with quality, effective, and safe products. One would not expect to see the group's strategy include ventures into services such as spas or hotels. Habitat for Humanity emphasizes its focus on housing as a way to support individuals and communities. It does not focus on the environment, health care, or political action. Its vision is global and highly aspirational.

Organizational Values

Organizational values (to be distinguished from the economic value an enterprise produces for its stakeholders) are beliefs that are important to an organization and often dictate employee behavior. Robert Grant, in *Contemporary Strategy Analysis,* defines values as principles to guide decisions and actions. Organizations sometimes allow their values to be defined by the employees.

Workshops are convened with employees recognized and respected throughout the organization as representative of what the organization believes in. Using group creativity and decision-making techniques, the employees reach consensus on core values. This method is effective when the organization's culture is well aligned to its aspirational values. If there is a gap between the organization's present values and those that will sustain its mission, then the organization will have to set itself to the challenge of changing its culture.

To return to the previous examples, we can note that L'Oréal has espoused six "founding values": passion, innovation, entrepreneurial spirit, open-mindedness, quest for excellence, and responsibility (a concern for customer safety and environmental impact). Habitat for Humanity International has noted its Christian principles but also its commitment to avoid proselytizing. It does not require entities or individuals with whom it works to adhere or convert to a different faith or to listen to a conversation intended to convert someone. Other values they have published include advocating for affordable housing, promoting dignity and hope, and supporting sustainable development built on lasting community changes, mutual trust and shared accomplishment, and responsible use of resources.

Communicating Mission, Vision, and Values

The process of developing mission, vision, and values statements is reiterated at the business unit and functional levels. Each unit considers its own work in light of the organization's strategic statements and expresses its own mission, vision, and values. At L'Oréal, for example, the HR team's mission has been described as to "attract, identify, select, develop, and reward the finest talents in all the group's business units and divisions." San Mateo County in California has echoed L'Oréal's commitment to effective management of the employee life cycle and adds a desire to create a diverse workforce and to "foster a healthy, safe, and productive work environment for employees, their families, departments, and the public." They have promoted the values of honesty, integrity, and trust; teamwork; communication; focus on customers; embracing change and innovation; and quality service.

Setting Strategic Goals

The mission statement may include general goals that suggest how the organization will focus its resources. These goals are influenced by the deeper understanding of the organization and its surroundings and start moving the organization and its people in the intended direction. They describe general, longer-term, desired outcomes of the strategy.

Strategic Alignment of HR Goals and Objectives

Like the development of strategic statements, the process of setting goals must be repeated on a unit or functional level, including the HR functional level. This supports alignment of the functional/unit goals with the organization's goals. In other words, it creates a line of sight from the organization's strategic goals to the goals and objectives of the organization's functions and units.

The organization's high-level strategic goals are used by functions to generate relevant unit- or function-level goals, as shown in Exhibit 7.

Exhibit 7: From Organization to Unit/Functional Goals

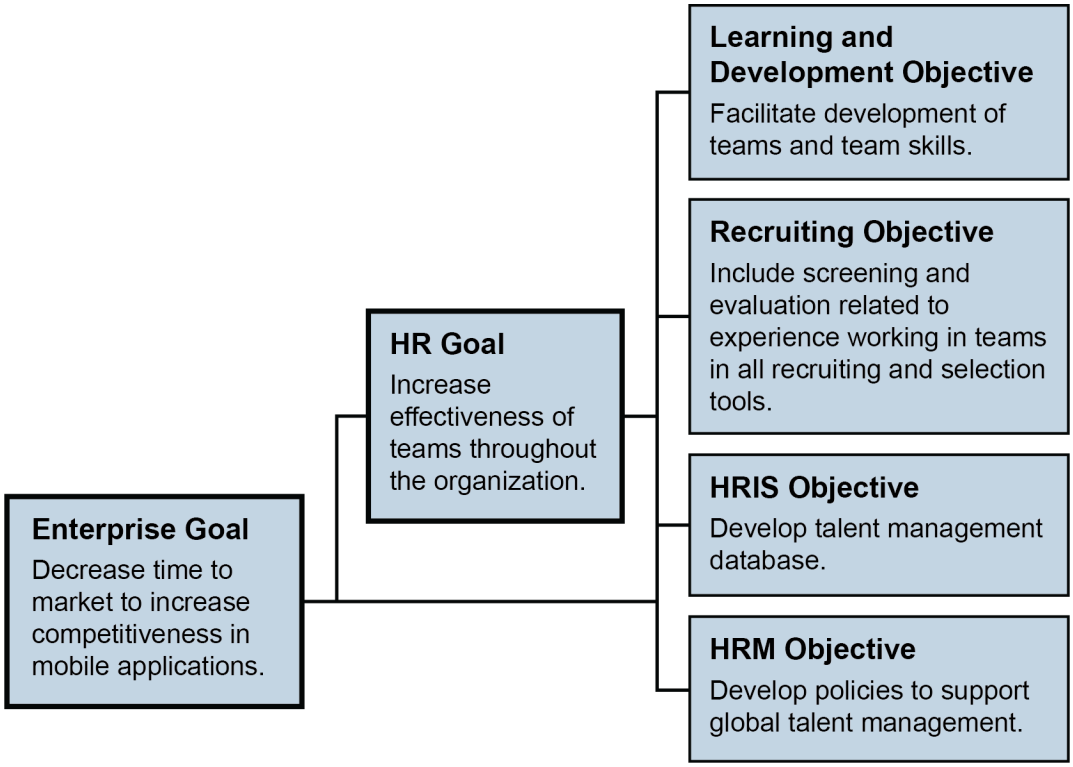
Organization Goal	Unit/Function	Unit/Function Goal
Increased productivity	Human resources	Improve quality and efficiency of talent supply chain.
Reduced cost of production	Production	Optimize global process for each production line.
New market penetration	Marketing	Implement market entry in country X.
Decreased cost of sales	Sales	Increase amount of individual sales.
Improved foreign exchange management	Finance and administration	Implement currency hedging strategy.
Improved return on investment	Research and development	Reduce time to patent.

Organization Goal	Unit/Function	Unit/Function Goal
Information integration across functions and global locations	Information technology	Make critical performance data visible to management in real time.

Function and unit goals generate programs and specific initiatives—“the ways we will achieve our goals.” For these more-specific activities, the function defines short-term objectives that are specific and time-based (i.e., have endpoints at which time the activity will be assessed).

Exhibit 8 shows the way in which a value driver tree helps ensure a line of sight from an organization’s strategic goals through functional goals and objectives.

Exhibit 8: Strategic Goals and Objectives



In this example, a global software company has decided that its strongest opportunity to create value lies in increasing sales of mobile applications, but it can do this only if it can develop the right products quickly. HR's challenge is to find a way to support this organizational goal. Based on a SWOT analysis and discussions with senior management, HR's leaders recognize that a key value driver here is effective and creative product teams. **Value drivers** are actions, processes, or results that are needed to deliver a desired value.

Weak competencies in project and team management as well as technology and policies that make it hard to identify and bring together the best people are preventing the company from creating effective teams. So HR sets a goal to increase the effectiveness of teams throughout the organization. To achieve this goal, HR leaders set the following objectives: to facilitate development of teams and team skills, to include screening and evaluation related to experience working in teams in all recruiting and selection tools, to develop a talent management database, and to develop policies to support global talent management.

Objectives can be assigned specific metrics that will support assessment. For example, the effectiveness of team development activities may be measured by a decrease in the time needed to reach project endpoints and the satisfaction of stakeholders. The objectives for the talent management database may be inclusion of specific features and capabilities and meeting budget and a “go live” date.

Using a Balanced Scorecard to Identify Key Performance Indicators

Some organizations use a **balanced scorecard** approach to identify their key performance indicators (KPIs) and to make sure that the

objectives used to measure performance are strategically aligned to the various sources of value to the organization and are balanced.

KPIs in the original balanced scorecard (developed by Robert Kaplan and David Norton) are identified under four key areas:

- **Finance.** Financial KPIs may vary, but for HR they could include budgeting for recruiting services or controlling overtime expenses. Achieving these goals is of interest to management, employees, and shareholders.
- **Customers.** This perspective captures the ability of the organization to provide quality goods and services and satisfy its customers. It might be measured by the number of managers using a self-service system to set up new employees, processing rates for changes in compensation or corrections in benefits, or employee satisfaction with dispute resolution services.
- **Internal business processes.** This perspective focuses on the internal business results that lead to financial success and satisfied customers. For HR, key internal processes may be managing talent acquisition and retention, employee development, and providing consultation to other functions.

- **Learning and growth.** This perspective looks at actions that will prepare the future organization for success—for example, by strengthening the employer brand to attract talent, making sure that employees have the most current skills, or implementing knowledge management systems.

Not all scorecards use only these four perspectives. For example, some organizations may want to emphasize sustainable aspects of their performance and may develop separate KPIs for such activities as environmental practices and social programs. Other possible categories include employee engagement and innovation.

The principle of balance holds, however. The definition of a successful strategy should not be based only on financial metrics.

Key Content

The purpose of a balanced scorecard is to achieve balance in three key areas:

- Between financial and nonfinancial indicators of success
- Between internal and external constituents in the organization

- Between lagging and leading indicators of performance

The most effective evaluation of strategy focuses on leading indicators of performance rather than lagging indicators. A **leading indicator** is predictive in that action in this area can change future performance and help achieve success. For example, employee satisfaction indicates future retention rates and associated costs of hiring. A **lagging indicator** describes effects that have already occurred and cannot be changed. For example, the turnover rate indicates the success or lack of success in employee engagement.

An organization in the midst of a strategic initiative to improve performance may find a disconcerting disconnect between strong leading and poor lagging indicators. If the organization continues to improve its leading indicators, however, it will eventually turn its lagging indicators around.

Setting HR Performance Objectives

To measure performance, targets must be set for each KPI. Metrics can indicate the desired level of performance; they are measurements against a defined scale or a ratio of one aspect to another. For example, a metric could be the number of employees using an employee assistance program or the amount of money spent on hiring a single employee.

A performance objective focuses an organization on achieving certain levels of performance. What makes a performance objective effective?

The acronym SMARTER is used to describe the seven qualities that characterize effective objectives. The letters have been assigned to different words over the years, but SMARTER is usually seen as describing objectives that are:

- **Specific.** Focused on a narrowly defined activity rather than a generalization.
- **Measurable.** Capable of objective measurement. (Note that even intangibles can be measured objectively once a measurement system is established.)
- **Achievable.** Requiring effort but within reach given effort and the right tools and support.

- **Relevant.** Producing an outcome that is in the line of sight with the goal.
- **Time-based.** Subject to evaluation within a reasonable and defined time frame.
- **Evaluated.** Assessed at the designated time or interval, often continuously in the form of progress or pulse checks.
- **Revised.** Changed to reflect what has been learned. The objective-setting process is repeated to make sure that the activities chosen are still the right activities and that the targets for results are achievable but also push performance to higher levels.

For example, an HR function may set multiple strategic performance objectives related to the organization's goal of increasing global mindset among managers. Each objective is assigned to an individual to create accountability and transparency. One objective might be to develop a learning and development project aimed at increasing employees' awareness of cultures in all the countries in which the organization does business. The SMARTER objective might be to:

> Develop a pilot module on country X for online delivery that will focus on cultural factors such as social and religious

customs, history and politics, social and environmental issues, and legal systems. The module will be accessible to all employees and can be completed in four hours. The pilot will be delivered in the third quarter of this year. The project will be assessed at milestones against its requirements, and pre- and post-surveys will be used to measure changes in attitudes of pilot participants. Revision and expansion of the module project will be considered after survey results have been analyzed.

Benchmarking as a Tool in Setting Objectives

How do organizations decide on a specific metric? Frequently they use benchmarking. **Benchmarking** compares performance levels and/or processes of one entity with those of another to identify performance gaps and set goals aimed at improving performance.

The benchmarking process includes the following steps:

- Defining KPIs
- Measuring current performance
- Identifying appropriate benchmarks and securing their performance data
- Identifying performance gaps between oneself and the benchmark organization
- Setting objectives and implementing any necessary support activities

Benchmarks may be internal or external. Internal benchmarks might be based on the organization's own historical performance or on the performance of specific divisions that are seen as star performers. External benchmarks might be drawn from professional or trade associations or government agencies and are considered standards or best practices; other organizations may also provide performance benchmarks because they are recognized sources of best practices. For example, an HR organization may be known for its ability to recruit and employ top candidates or for a cradle-to-grave employee development system.

The process of comparing one's own organization with another helps management identify challenging goals and obstacles that must be overcome to achieve those goals. Benchmarking helps ensure that organizations are not simply measuring performance but improving it. It also encourages growth by focusing the organization's attention outside itself and its current practices.

Benchmarking is a practical evaluation tool, but only if it employs realistic benchmarks that are not culturally biased. For example, in countries where health care is subsidized by the government, health-care cost per employee may be a meaningless benchmark. In some contexts, longer employee tenure is positive; in others, it can

mean the opposite. The global use of benchmarks, then, must be carefully weighed and analyzed and not accepted at face value.

The Society for Human Resource Management publishes benchmarking reports for different aspects of performance in human resource management and in different industries.

Strategy Development

Proficiency indicators related to this section include:

- Develops and implements an individual action plan for executing HR's strategy and goals.
- Informs HR leadership of new or overlooked opportunities to align HR's strategy with the organization's.
- Informs business decisions with knowledge of the strategy and goals of HR and the organization.
- Develops and implements HR strategy, vision, and goals that align with and support the organization's strategy and goals.
- Ensures that HR strategy creates and sustains the organization's competitive advantage.
- Identifies the ways in which the HR function can support the organization's strategy and goals.
- Provides HR-focused expertise to other business leaders when formulating the organization's strategy and goals.

Key concepts related to this section include:

- Strategic planning analysis frameworks (examples include PESTLE analysis, SWOT analysis, industry analysis, location-specific analysis, scenario planning, growth-share matrix, real time, blue ocean).

Strategy Development

Armed with a better knowledge of the organization's internal and external environments, organization leaders begin to focus on the general questions of how to compete—how to make the best use of the organization's resources to create competitive advantage—and where to compete—whether to grow, contract, or expand into new markets.

Competency Connection

HR is often able to improve the quality of its organization's strategies by identifying potential obstacles and suggesting better approaches.

For example, a small, eight-year-old Canadian winter clothing manufacturer gained international attention after supplying socially conscious sportswear to the Canadian national team at the Winter Olympics. They were approached by several international groups wanting them to set up manufacturing offices in their countries. Eager to capitalize on the post-Olympic business momentum, the manufacturer decided to expand operations into three foreign markets—Russia, China, and South Korea—within a 12- to 18-month period.

The organization’s employees had no business experience outside of Canada. Nevertheless, three senior employees from the head office were selected to relocate and become general managers for the greenfield operations.

The head of HR, who had previously worked as a global mobility specialist, had serious concerns about a strategy relying on employees with no international experience. Calling on her previous experience, she suggested to the senior management team some options that other organizations had successfully employed in similar circumstances, including joint ventures and strategic partnerships.

The head of HR was able to provide timely and important information to the decision makers by applying various competencies, including Business Acumen (knowledge of the challenges and advantages of different business models), Global Mindset (foreseeing the magnitude of challenges), Consultation (delivering value to the organization), and Leadership & Navigation (being willing to communicate hard truths to the organization’s leadership).

Strategic Fit

During the second phase of the strategic planning process, the organization considers where it wants to go (vision) and what it knows about itself and its environment (results of environmental scanning). Then it develops options for how to get there. The options themselves must be analyzed to determine their potential for delivering the desired performance, the associated risks, and their requirements. The outcome of this phase is a strategy or set of strategies that have “fit.”

Key Content

In *Contemporary Strategy Analysis,* Robert Grant defines **strategic fit** as the consonance or compatibility of an organization’s strategy with its external and internal environments, especially with regard to the goals and values it chooses and the resources and capabilities that can be deployed toward strategic goals.

Michael Porter would add that when strategic fit exists, an organization’s activities are consistent with the strategy, they interact with and reinforce each other, and they are “optimized” to reach the strategic goal. “Optimized” means that the organization will do whatever it needs to get there.

Strategies vary greatly but are similar in one aspect. Each organization's strategy must describe:

- How an organization can create what Michael Porter calls a strategic position, a position in which it enjoys a competitive edge over its rivals—its business strategy.
- Where an organization will compete in terms of markets and industries—its corporate strategy. This defines the scope of the organization.

Based on these strategic choices, functional leaders, including HR, will plan their own strategies, generating ideas for activities that will support the organization's strategic intent and selecting those with the right cost-benefit and risk profiles.

Business Strategy

Business strategy addresses the way in which the enterprise will relate to its industry and marketplace—how it will define its particular value to its customers.

There are two ways an organization can create competitive advantage, and both involve change. The first involves change in the external environment: in customer demand, prices, or

technology. The second involves change inside the organization itself. If there is only stasis—in the industry or market or in the organization—there is no opportunity. Generally, these industries become commodity markets.

External changes can create competitive advantage for organizations that can react swiftly to the changes as they arise by employing real-time strategic planning. For example, car manufacturers who responded quickly to the rising costs of gasoline and government fuel-economy requirements with models that were more efficient or used alternative sources of energy had the advantage of controlling that part of the car market, at least until others had time to create their own responses to changing customer demands. Some companies did not have the resources and faced declining market share or were acquired by larger companies with more resources. Some were not positioned in this particular market and knew little about appealing to less affluent, more environmentally minded consumers. Conducting industry analysis would help such a company identify new customer preferences and ways to meet these preferences. In other industries, speed might mean the ability to alter a product’s design or manufacturing process quickly, to detect emerging consumer interests and tastes or to see the potential for a new technology.

Internal changes refer to an organization’s ability to create change, to innovate. The innovation may be technological, but it may also be the discovery of an unmet customer need, an entirely new way to appeal to customers, or the creation of new processes or business models—for example, a model that relies heavily on integration of the supply chain parts. The innovation may also be identified by examining particulars of specific locations within the organization and adjusting based on the outcomes of that analysis. Changes of these sorts are often capable of resurrecting an industry or enterprise in the decline phase of industry or organizational evolution.

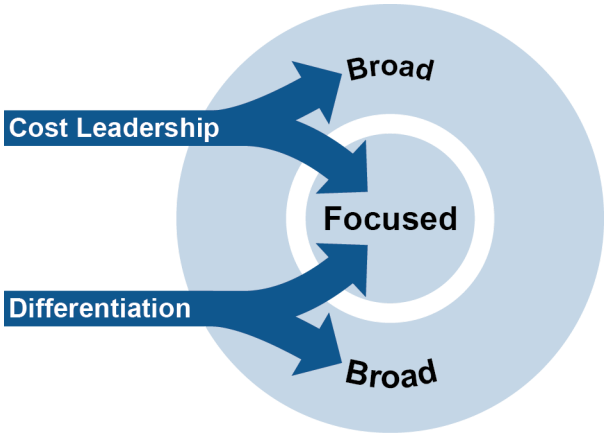
“Blue ocean” strategies are an extreme example of creating competitive advantage through innovation. In conventional “red ocean” strategies, businesses compete in an existing marketplace. They win by taking share from their competitors, usually through differentiation or lower cost. In contrast, enterprises pursuing a blue ocean strategy create a completely new arena, often within an existing industry. The originators of the term, W. Chan Kim and Renée Mauborgne, describe blue oceans as “the unknown market space, untainted by competition.” Businesses have competitive advantage because there are no other competitors—at least, for a while. Kim and Mauborgne offer as examples the introduction of the

minivan by Chrysler and the user-friendly Apple computer that helped create the home computing market.

Porter's Competitive Strategies

One of the early models of strategies built on competitive advantage was proposed by Michael Porter in 1985. As shown in Exhibit 9, there are two basic types of competitive advantage strategies, cost leadership and differentiation. Each can be applied with a broad focus—to the entire marketplace—or the organization can decide to focus on a particular industry or market segment. In other words, organizations can have a broad cost leadership or differentiation strategy or a focused cost leadership or differentiation strategy.

Exhibit 9: Porter's Competitive Advantage Strategies



Cost Leadership

Firms that pursue a strategy of cost leadership aim at capturing market share within their industry by virtue of lowest price. There are many paths to cost leadership. Charles Schwab built a “no frills” investment firm by using technology—computerized order processing. IKEA accomplishes it through careful product design, transferring some activities to customers, and working closely with its suppliers.

Firms commit to:

- Creating economies of scale, by which cost decreases with every increase in output.
- Sharing knowledge and information so that workers acquire necessary skills and critical tasks are completed more quickly.
- Redesigning processes to root out actions that do not produce value, that create delays and expense, or that are duplicative.
- Designing products and services that can be replicated easily.
- Lowering operating costs (such as investing in energy efficiencies, using cheaper labor, or locating near markets to lower transportation costs).
- Adjusting capacity to demand quickly (for example, being able to shift work to different production centers or idle production lines).
- Creating a supportive workforce—effective managers and motivated workers.

As Walmart and Amazon have shown, it is possible to create and sustain competitive advantage by committing to low cost.

Differentiation

Firms that pursue a strategy of differentiation aim for being able to charge a higher price by offering something different or by offering the same thing in a different way from competitors in their industry or market—or by creating the perception that a product is different through superior marketing. For example, it is possible to buy prescription lenses in expensive frames from many online retailers, but Warby Parker distinguishes itself from those competitors by, for every pair sold, donating a pair of glasses to someone in need. Mercedes-Benz differentiates itself from other luxury car manufacturers by using marketing expertise to access customers, target messages to changing interests and needs, and flex its product line to meet different price points.

Porter noted that to fulfill differentiation strategies, firms need to be good at product design and performance, product and customer support, marketing, merchandising, integration, and quality.

Focus

Focus strategies apply cost leadership or differentiation within narrow industry segments or niches. For example, a financial

services company may choose to focus on only high-net-worth individuals. Ryanair applies an aggressive low-cost strategy to the leisure travel segment of the airline industry. Some larger corporations may use focus strategies for their separate business units. HSBC (the Hong Kong and Shanghai Banking Corporation) has a unit that specializes in cross-border banking for expatriates and transnationals.

Impact of Business Strategy Choices on HR

Since functional strategies must be aligned with the organization's strategy, an enterprise's decision to pursue cost leadership or differentiation will have a clear effect on HR strategy. The goal of HR's functional strategy is to execute the business strategy. HR can influence one of the organization's primary levers for successful implementation of strategy—employees. Consider the effects of the following three organizational business strategies.

> **Case 1:** A multinational mining company finds that it is increasingly limited in its ability to control its revenue production. A global recession has had lingering effects on markets for its products. The company decides that it will use its global business structure to make sure that its products are always the first or second choice in terms of price in all its markets. After a strategy workshop, HR

management identifies various ways in which it can help support this cost leadership strategy:

- Develop a global talent management program to create the level of global mindset and business integration that this plan requires.
- Use improved data analytics ability at all sites to match trending economic data with workforce size.
- Implement a reward system to motivate the workforce while avoiding negative effects on safety and budget guidelines.

Case 2: A chain of sporting goods stores finds that it is in decline, unable to compete with low-cost Internet rivals and rapid shifts in consumer interests. Leadership decides to reinvent the organization by providing experiences that competitors cannot. Participating in these management discussions, the vice president of HR mentions some actions HR can take to support this strategy:

- Analyze and revise management recruitment profiles to attract candidates with more experience in innovative marketing.
- Support skills needed for cross-functional tactical teams to increase collaboration and innovation.
- Shift the organizational culture to encourage more employee involvement in innovation.
- Support ways to make employees more adept at accepting and making rapid change.

Case 3: A municipal transportation authority is struggling with the perception of the experience it provides users, which in turn affects its ridership levels and funding. Leaders decide to implement a quality strategy, differentiating itself from its former image but also from the experience of commuting by car. Managers are directed to automate services and improve the appearance of facilities. HR notes that the primary interface with the authority will always be the employees, and leaders must focus on creating a culture that will support quality. HR will:

- Communicate to employees the rationale for this strategy and the changes it will require.
- Establish and communicate performance metrics related to quality service and align these metrics with the current performance system and workforce contracts.
- Develop a way to audit quality performance and provide corrective coaching.
- Review the entire employee life cycle to find ways to refocus employees on the primary goal of providing service.

Corporate Strategy

According to Robert Grant, corporate strategy “defines the scope of the firm in terms of the industries and markets in which it competes.” The decisions here often center on growth and integration, although

sometimes the strategy will involve shrinking and shedding parts to refocus on a core business.

There are different ways to answer the question of where an organization will compete. One enterprise may find that the best way to compete is to expand horizontally in its own industry. This may be done by acquiring competitors or similar businesses in new regions. It may involve global expansion and becoming a global enterprise. Another company may redefine its scope through vertical integration—by acquiring enterprises related to its present core activities. Some corporations will diversify into entirely different industries.

Growth Strategy Options

The choice of a growth strategy will be made after thorough analysis of the comparative returns on investment, the risks involved, and the ability to satisfy strategic goals. (Note that growth is not a strategy but a strategic goal. When we use the term “growth strategy” here, we mean the way in which an organization intends to grow.) Exhibit 10 describes some of the ways in which organizations may grow.

Exhibit 10: Growth Strategies

Growth Strategy	Description

Growth Strategy	Description
Strategic alliance	Companies agree to share assets, such as technology or sales capabilities, to accomplish a goal. The relationship may have varying degrees of tightness and formality. Some alliances involve customers, partners, or competitors.
Joint venture	Two or more companies invest together in forming a new company that is jointly owned.
Equity partnership	One firm acquires partial ownership through purchase of shares. The relationship may be general (sharing proportionally in control, profits, and liabilities) or limited (no managerial authority, liability limited to investment). Partnership agreements define such issues as leadership and division of profits and losses.
Merger/acquisition	A firm purchases the assets of a local firm outright, resulting in expanding the acquiring company's employee base and facilities. Integration of acquired companies often involves significant cultural, systems, and management challenges. Data privacy can be a big issue.
Franchising	A trademark, product, or service is licensed for an initial fee and ongoing royalties. Often used in the fast-food industry. Similar to licensing as a low-risk entry strategy, although control over franchisee behavior is greater.
Licensing	A local firm is granted the rights to produce or sell a product. A low-risk entry strategy; avoids tariffs and quotas imposed on exports. However, there is little control of the licensee's activities and results.
Contract manufacturing	A firm arranges for a local manufacturer to produce components or products as a means of lowering labor costs.
Management contract	Another company is brought in to manage and run the daily operations of the local business. Decisions about financing and ownership reside with the host-country owners.
Turnkey operation	An existing facility and its operations are acquired and run by the purchaser without major changes.
Greenfield operation	A company builds a new location from the ground up. This represents a major task and a commitment to completely staff and equip the new location.

Growth Strategy	Description
Brownfield operation	A company repurposes, through expansion or redevelopment, an abandoned, closed, or underutilized industrial or commercial property.

Each strategy requires different levels of investment and offers different levels of control and return. Building an operation from the ground up (a greenfield operation) will require more time and probably more resources than finding and contracting with a local manufacturer. Similarly, acquiring a firm outright will give an organization more control over strategy and sole benefit of profits, but a strategic alliance will deliver more resources than the organization can invest alone and improve chances for success.

HR Involvement in Growth Strategies

A greenfield operation will involve risk analysis, staffing, working with local authorities, and implementing HR policies and procedures in the new operations. If the strategy involves the integration of two potentially different entities, leaders must be identified within the organization who possess the requisite skills, knowledge, and abilities. If the new operation is in a different country, the policies and procedures may have to be adjusted to meet local laws, business practices, and local culture. Even in strategies that require little integration with the organization, such as franchising or contract

manufacturing, HR may be involved in the organization's ethical obligations to audit workplace practices.

Consider the impact of the corporate growth strategy on the HR functional strategy in the following cases.

> **Case 1:** A traditional computer hardware company feels it can no longer succeed through cost leadership or differentiation through innovation. It decides to compete in a new technology area, the Internet of things, which focuses on connecting intelligent devices in the home. This will require new technical skills and leaders who are skilled in developing and managing strategic partnerships with equipment manufacturers.
>
> HR's strategic goals will focus on identifying gaps between what exists and what is envisioned and making the necessary changes in HR focus, policies, and practices to support the company's strategy. This might include:
>
> - Changing the culture and structure from a formalized hierarchy to a more innovative, team-driven enterprise.
> - Identifying new job skills and making necessary changes in recruiting methods.
> - Recruiting leaders with necessary skill sets for building a business that must work closely with other businesses.
>
> **Case 2:** A car manufacturer plans to grow by establishing a presence in a new country. It plans to compete with local

lines by exploiting awareness of its brand. It will begin by exporting cars to the new market but will immediately begin planning for local manufacturing capacity.

HR's strategy will include several initiatives in response to this organizational decision:

- Developing a global assignee system
- Aligning home-country policies and practices with local practices, law, and culture
- Developing a global mindset among its leaders
- Participating in scenario analysis for building new operations

HR Involvement in Divestiture Strategies

Growth strategies are often fueled by divestiture—the selective "pruning" of parts of the organization that are underperforming or that are no longer in line with the organization's strategy. Divestiture offers a number of benefits to the parent company:

- The perceived value of a subsidiary or its opportunities may be increased. Sometimes the parent company may not have the necessary talent to take the "child company" to its next level of growth.
- Investment may be recouped through the sale of a high-value subsidiary and the cash used to increase the parent's value in other ways.

- The enterprise’s activities may be refocused on new priorities, perhaps as the result of competitive threats and/or opportunities.
- Risk that might derive from financial positions (such as poor cash flows or high debt load) or strategic outlooks (such as declining market growth or the possibility of a hostile takeover) can be managed.

One of the major challenges in divestiture is making sure that the organization retains key talent during and after the process. HR supports employee retention by developing and implementing communication plans for different groups of employees, both those retained and those going to the buyer. The best time to communicate with employees identified for separation is usually as soon as those employees are identified. The objective then is to retain and engage these employees to preserve the value of the deal. Respondents in an Ernst & Young survey indicated that the most effective retention tactics were:

- Providing enhanced severance protection if employees are laid off soon after the close of the deal.
- Making managers accountable for employee retention.
- Benchmarking compensation and benefits.

The general steps for divestiture include:

- **Identify the candidate for divestiture.** The candidate might be a valuable but strategically unaligned business, or it might be a subsidiary competing in a market with low growth potential or competing ineffectively in the market. HR plays a role in this stage by performing due diligence as a seller: identifying potential risks connected with divesting particular candidates—for example, loss of talent, impact on employee career development opportunities or on labor contracts. HR can also participate in a SWOT analysis of the candidate.

- **Identify a target buyer.** The strongest candidate will be an enterprise that needs the strengths and opportunities the divested subsidiary can provide and that can address potential weaknesses in the workforce. Some parent companies want to be sure that employees will thrive in the new company. HR can provide accurate information about the value of the workforce and can work on behalf of the employees to obtain favorable compensation and development opportunities.

- **Restructure.** Even before an actual sale or spin-off, the parent company should prepare the subsidiary for its new identity by defining new leadership, board composition, and organizational structure. This will increase the value and potential of the carved-out or spun-off subsidiary. Again, HR plays an important

role here. It may help identify and prepare strong leaders for the subsidiary (without harming the talent of the parent company). Leaders may be drawn from other parts of a global organization. HR will also be involved in designing incentive offers for the subsidiary's new leaders.

- **Execute the deal.** Transition service agreements are often established to support the new entity. Agreements might cover financial (treasury and tax), legal, IT, business processes, and HR—including such capabilities as HRIS, payroll, and benefits. HR can assemble a balanced transition team, composed of parent and subsidiary employees, to empower departing employees without ceding control over sensitive decisions.

Throughout this process, HR can help capture what the organization has learned from its decisions and actions, analyze the experiences, and communicate useful lessons for future divestiture activities.

Strategy Implementation and Evaluation

Proficiency indicators related to this section include:

- Develops and implements an individual action plan for executing HR's strategy and goals.
- Informs business decisions with knowledge of the strategy and goals of HR and the organization.
- Evaluates HR's critical activities in terms of value added, impact, and utility, using cost-benefit analysis, revenue, profit-and-loss estimates, and other leading or lagging indicators.

Key concepts related to this section include:

- Approaches to project management (examples include traditional, Lean Six Sigma, agile, critical chain, design thinking, Kaizen) and processes (examples include., initiating, planning and designing, launching, monitoring and controlling, closing).
- Project leadership, governance, and structures (examples include team roles, team management, work breakdown structures).
- Project planning, monitoring, and reporting methods and tools (examples include critical path analysis, Gantt charts, variance analysis, outcome monitoring).

Strategy Implementation and Evaluation

During the implementation phase of strategy, strategic intent is translated into specific plans of action, usually at the functional and cross-functional levels. The success of the organizational and functional strategies rests on communicating the value of the strategies to all members and on effectively managing the implementation of plans. During the evaluation phase, results must be measured against agreed metrics and communicated to the organization.

Competency Connection

An organization’s senior leadership team and their direct reports return from a meeting where they developed their annual organizational strategy. With lagging sales, reduced backlog, and minimal cash on hand compared to prior years, the strategy is designed to turn around the forthcoming year’s earnings and Wall Street predictions. The strategy requires immediate dissemination to front-line leaders and innovative solutions from core departments.

The senior vice president (SVP) of HR attended the off-site meeting and was asked by the CEO what HR initiatives could be developed

and implemented to support the pending strategy. After brainstorming with direct reports, the SVP summarizes five key projects:

- Ensure that two common goals and objectives that support the organizational strategy are included on every employee's performance document.
- Conduct a first quarter review of the bonus rules, including participant levels and maximum target bonus percentages.
- Evaluate the service award and gift card programs.
- Evaluate the scope and budget for employee gatherings (such as an annual picnic, holiday event, company gift).
- Research a benefits marketplace exchange.

These five key projects demonstrate that the SVP of HR understands the organizational strategy, critical analysis, and leadership. They also demonstrate the value of HR and the broad balance of relevant and current total rewards and HR's partnership with senior leadership. Collectively, the five projects reflect HR's overall commitment to and responsibility for the organization's human capital.

Aligning Budgets with Strategies

The HR budget has two parts: an operational budget that funds ongoing activities and a strategic budget that funds projects that are aligned with the organization's strategic goals.

The operational side of the HR budget includes resources that are directly related to staffing and expenses required to provide HR services to internal customers. This budget ordinarily includes resources related to:

- Talent acquisition.
- Training and development.
- Compensation and benefits.
- Employee and labor relations.
- Health, safety, and security.
- Information technology.
- Planning.
- Philanthropy.

Many of these expenses are variable and will be affected by the organization’s and HR’s strategies. For example, growth and retraction strategies will affect employee head count and may involve additional expenses for recruiting or outplacement services. A strategy that requires a change in organizational structure or culture will probably require funding for consultants and development activities.

Therefore, the first thing HR leaders must do in the process of allocating resources to strategic activities is to compare previous/current activities and budget allocations with what will be needed to support the proposed organizational strategy. Having several years of HR data to establish estimating rules of thumb and

trends in expenses will be helpful in defining a new budget. Remember that the resource allocation process should also be taking place throughout all of the functions of the organization, not only within HR.

Resources to support one-time strategic initiatives are requested separately, through project budgets.

Communication Strategy

A global survey of over a thousand organizations of different types identified five elements needed for effective implementation of strategy, all linking directly to communication:

- **Communication outward to the entire team.** Leaders must communicate a clear sense of the actions individuals must take and the decisions they are empowered to make. A strategy may require reorganization to support this.
- **Communication inward to leaders.** Communication works best as a loop. Leaders need to know what's working and what isn't, but they also need rapid sharing of competitive information from the field. Changes in the external environment may require adjustments to strategy.
- **Leadership support of decisions made by subordinates** rather than second guessing.

- **Free flow of information across organizational boundaries,** which can support collaboration.
- **Enough information to allow team members to connect their work to the strategy.** Field managers and employees must be able to connect strategic goals with daily decisions and effort. Knowing the strategic relevance of work is empowering and motivating.

Strategy can be communicated in different ways and at different levels—through formal communication to the entire function, department or team meetings, and individual performance management meetings. As stated above, the communication plan should include ongoing opportunities for feedback.

Managing Strategic Initiatives

The HR action plan will be implemented through normal operations and through specific initiatives managed as time-limited projects. Be aware that a similar process should be used in other functional areas throughout the organization.

Project management can vary in complexity. Many smaller projects can be manually budgeted and scheduled. Projects that involve large teams (sometimes sub-teams working in different functions or cross-functional teams) may have multiple phases and deliverables and very

large budgets and may require a professional project manager. Some organizations can provide project managers as a resource to project leaders.

Project Stages

In traditional project management, most initiatives have three stages: planning, executing, and closing. If projects have phases, the stages repeat for each phase.

Planning

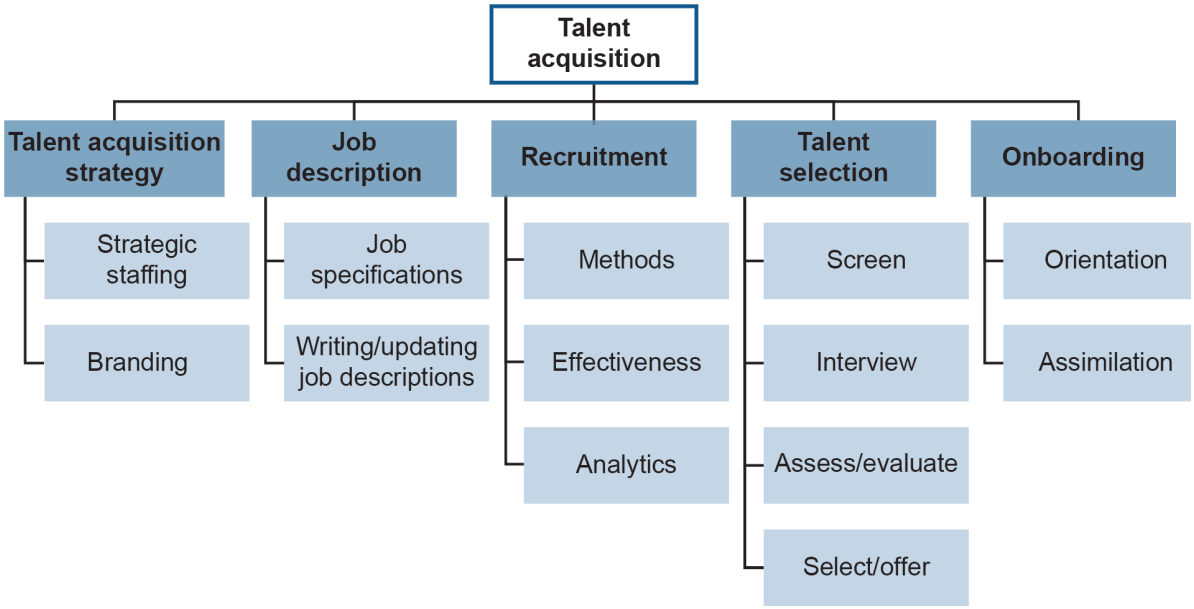
During the planning stage, the project manager:

- **Works with stakeholders to define strategically aligned project objectives.** These objectives are used to create metrics that will be used to evaluate the project's results. This activity is critical. It is possible for a project to meet its objectives but not have strategic merit. The project's purpose should be clearly related to the organization's strategy.
- **Creates the project charter.** The project objectives are contained in the project charter, an essential document (or collection of documents) for all projects. In addition to the objectives, a charter contains information related to the reason for the project, a general overview, its expected outcomes, stakeholder information, a communications plan, and a risk management plan. The project

charter should be approved by stakeholders and/or leadership before the project begins.

- **Defines the project's deliverables.** These deliverables may be broken down further into units that represent the essential work to be done to accomplish the deliverables—the work breakdown structure. The work breakdown structure, such as the example in Exhibit 11, will provide input into determining the required resources (such as time, number of team members, special skills and tools, additional expenses such as travel or training). These will in turn be used to create the project budget.

Exhibit 11: Work Breakdown Structure

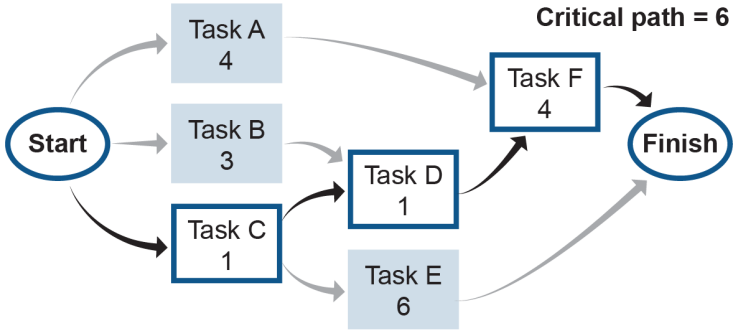


- **Creates a project schedule.** The project schedule often represents the best balance of competing and interdependent

interests: time, resources, and quality. If time and quality are critical, then resources must be added. If quality and resources are limited, then more time will be required. Various tools have been developed to assist in project scheduling:

- **Critical path analysis** uses information about start or mandatory end dates, the logical relationship of tasks (for example, whether task C must be completed before task F can begin), and the length of each task to find the earliest completion date (or latest start date). An example of critical path analysis can be seen in Exhibit 12.

Exhibit 12: Critical Path Analysis



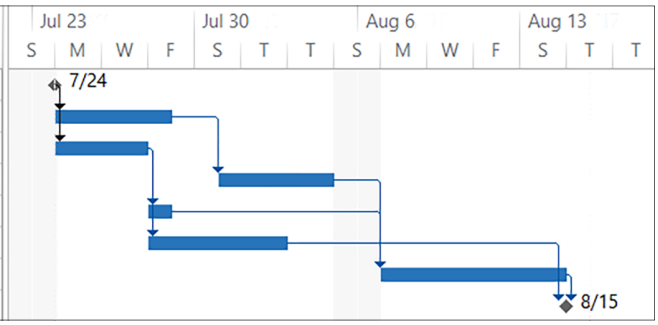
The numbers under the tasks represent duration in hours.

- **Gantt charts** represent the scheduling of tasks visually, showing the length and timing of specific activities. They can help identify problematic conflicts in activities or gaps that can be exploited to condense the schedule. They are also a primary way to communicate expectations to the team and

coordinate activities. See Exhibit 13 for an example of a Gantt chart.

Exhibit 13: Gantt Chart

Task Name	Duration	Start	Finish	Predecessors
Start	0 days	Jul 24	Jul 24	
Task A	5 days	Jul 24	Jul 28	1
Task B	4 days	Jul 24	Jul 27	1
Task C	5 days	Jul 31	Aug 4	2
Task D	1 day	Jul 28	Jul 28	3
Task E	4 days	Jul 28	Aug 2	3
Task F	6 days	Aug 7	Aug 14	4,5
Finish	0 days	Aug 15	Aug 15	6,7



- **Assembles a team** with the requisite skills and communicates to them the project's connection with the organization's strategy, its specific objectives, and their specific roles and responsibilities. A matrix chart showing the responsibilities of each team member for each task (for example, responsible, contributing, consulting) can be used to clarify roles and minimize misunderstandings.

Executing the Project Plan

The responsibility of the project leader is to make sure that the project meets its objectives in terms of schedule, budget, and quality. This requires establishing processes that support work and monitoring progress and use of resources. The project manager:

- **Establishes and maintains channels of communication** within the team and between the project team and the project's stakeholders.

- **Provides leadership** by communicating the value of contributions, keeping the group focused on goals, and modeling organizational values.
- **Clears away obstacles to progress.** This requires quickly identifying performance issues (such as conflicts, performance gaps, inadequate supervision, inadequate resources, morale problems) and taking steps to correct them and navigate the team back onto the right course and into smoother waters.
- **Manages internal and external stakeholders.** This involves making sure that expectations are understood, realistic, and agreed upon and checking in periodically to make sure that stakeholders are satisfied or if their needs have changed. Project managers may have to guard against incremental increases or changes in the project's scope.
- **Monitors and controls progress.** Measurement cannot wait until the end of the initiative. Milestones can be set to judge progress toward goals. Use of resources is measured regularly and projected to detect problematic trends. Variance analysis is used to compare actual against planned use of resources (such as staff hours, expenses) and time line. Data can be projected forward to detect problematic trends.

Closing the Project

Projects should be assessed at their completion to evaluate whether the project investment yielded the desired results. Has the project achieved the desired outcome as defined in its objectives? Was the project managed efficiently in terms of use of time and resources? Project close should also include team debriefing sessions to document what worked and what didn't and what unexpected problems arose. The team can work to identify ways in which the process could have been improved. An orderly closing process is part of an organization's continuous learning. It should be implemented even when projects have been canceled before reaching their objectives.

Specialized Project Management Approaches

Alternative project management approaches have evolved from the needs and conditions of different industries. HR professionals should be aware of these approaches and the extent to which they are used in their organizations. There is overlap in these methods, but distinctive characteristics of each include the following:

- **Lean project management** focuses on eliminating waste by:
  - Maintaining a tight focus on the intended value of the project.
  - Empowering the team to make decisions.
  - Analyzing and solving problems rather than working around them.
  - Emphasizing continuous learning.

- **Six Sigma project management** derives from quality principles. “Six Sigma” refers to a level of quality so high that very few errors occur. It emphasizes focusing on projects with a quantifiable return of value, encouraging team commitment to quality and involvement in problem solving, measuring results in a manner that allows empirical analysis, and fact-based decision making.

- **Agile project management** is used when the assumptions on which a project is based are unclear or may evolve as project work proceeds. The project focuses on iterations of the deliverables—completing one iteration and then using customer input to plan the next iteration.

- **Critical chain project management** is used when resources cannot be increased to meet deadlines. For example, an HR department may be able to allocate no more than 10 hours per week of staff time to do project work. Project activities are scheduled accordingly. Buffers are built into the schedule both to account for dependencies (i.e., having to wait for another task to be completed) and to allow some room for variance for the estimated task requirement. Once the buffers are set, however, they are strictly enforced.

- **Kaizen** is a systematic approach for business improvement, requiring that all people and processes in an organization work to continuously improve. It is based on five principles:

    - **Know your customer.** Without knowing the desires of the recipient of a product or service, it is difficult to create value.
    - **Let it flow.** Continuously attempt to reduce waste to zero, which helps create value.
    - **Go to Gemba.** Understand what is happening at all levels at an organization, and focus on the places that actions are actually taken that produce value.
    - **Empower people.** Teams and people must have attainable goals and the systems and tools necessary to achieve those goals.
    - **Be transparent.** Track goals using tangible data to show progress over time.
- **Design thinking** places the customer at the center of the project by understanding the in-depth requirements of the project's intended end user or beneficiary. It focuses on empathy in order to ensure that the intended stakeholder receives value from the project. The first step in the iterative process involves understanding the needs, followed by gaining an understanding of the problem that is being addressed. Solutions are then designed and tested. Refinements are made based on the results of the testing process, and this is followed by eventual launch of the

solution. More feedback is gathered and the solution is adjusted, a process that may include returning to step one to better understand the customer and using that improved understanding to continue to refine the solution.

Measuring Strategic Performance

Key Content

A critical part of strategic management—and an increasingly important part of the job of HR leaders—is measuring performance. Measuring performance helps organizations determine whether strategic initiatives have been implemented as planned, whether the initiative is having the intended effect, and whether the investment in the initiative is returning benefits to the organization. Performance objectives therefore combine activity measurement (what is being done) and results measurement (what are the effects of the activity).

Performance data is gathered and compared to performance objectives. These objectives should measure:

- **Effectiveness.** Is the initiative accomplishing the objective? For example, has a new recruiting program resulted in an increase in candidates?

- **Efficiency.** Is the initiative producing results that exceed the investment in it? This requires finding the most time- and cost-effective processes to achieve the objectives. To continue the previous example, the new recruitment program must return sufficient economic benefits (through improved retention and productivity) to recoup the investment.

- **Impact.** Is the initiative helping to move the organization toward its strategic goals? Is it making a difference? An initiative can be effective (meet its objectives) without producing an impact. A recruiting program should increase the number of candidates, but it should also increase the ratio of candidates who meet all criteria, who accept positions, and who receive positive first-year evaluations.

Key performance indicators (KPIs) help organizations make the right measurements. KPIs are quantifiable measures of performance used to gauge progress toward strategic objectives or agreed standards of performance. For example, KPIs could be the number of manufacturing defects in each completed product or the number of supervisors trained in a quality improvement process.

The process of measuring performance can be time-consuming and must itself be effective, efficient, and impactful. In *Keeping Score,* Mark Graham Brown discusses the critical role of performance measurement in strategic management. He lists some guidelines (shown in Exhibit 14) to help managers decide what they should and should not measure.

Exhibit 14: Effective Performance Measurement

Recommendations for Measuring Performance	
Don't measure everything. Focus instead on performance that supports strategic goals. There are better ways to spend your resources than measuring activities that have little direct relevance to the organization's and the function's strategic goals. Strategically focused objectives help create a "clear line of sight" from unit and individual efforts to the organization's success. **Blend awareness of past, present, and future performance in creating objectives.** Effective measurement systems look at what the organization has accomplished in the period being assessed but must also look at how the organization is currently doing and what it is doing to affect future performance. Objectives that allow more timely review (perhaps through dashboards) offer the opportunity for correction and recovery, and objectives related to building future performance help grow the organization.	**Be mindful of all stakeholders.** It is understandable to focus on activities that affect the organization's financial performance and thereby satisfy the organization's economic stakeholders, such as investors, banks, or senior management. However, the organization has other stakeholders with different concerns, such as employees, unions, communities, local institutions, and governments. Some objectives should reflect the interests of these stakeholders. **Reexamine what you're measuring regularly.** Performance objectives should change as strategy is revised and as internal and external conditions require.

Evaluating Strategic Results

Evaluation of strategic results is essential for several reasons:

- Measuring the outcomes of activities is sound strategic management, since an organization’s limited resources must be directed to those activities that deliver the most strategic impact.
- Measurement is also a matter of good governance, of demonstrating to stakeholders that managers are doing a good job in using resources.
- Analyzing results allows organizations to improve their strategies and continually increase their institutional knowledge and skills.

Although evaluation always appears as the final phase of strategic management, it is, as we have seen, a factor in the preceding stages.

During strategy formulation, goals and strategically aligned objectives are set, specific key performance indicators are identified, and appropriate metrics are selected.

During strategy implementation, data is gathered and then analyzed.

- Tools and processes are created to collect data related to the key performance objectives. Measurement tools may include performance scorecards, score sheets for quantifiable metrics, spreadsheets comparing planned to actual outcomes, observation guides, and narratives. HR team members must be coached to

perform their data-gathering responsibilities faithfully and accurately. They should understand not only how to use the measurement tools and processes but also why they are being used—the benefits that evaluation creates.

- Data is analyzed in an ongoing manner. The immediate purpose is to make sure that data is being collected as planned and is usable. The more strategic purpose of these interim analyses is to determine whether the strategy is being implemented, whether it is being implemented correctly, and whether it is having the anticipated results. Positive results motivate the HR team and engage continued management support. Discrepancies between what was planned and what is unfolding during implementation can trigger analysis of the assumptions behind the strategy, identification of possible causes for the strategy's poor performance, and corrections or abandonment of the strategy.

At agreed intervals, the overall strategic results will be evaluated. Ad hoc interim evaluations should occur as well.

Communicating Strategic Results

The key challenge, as with any communication, is to use information efficiently and effectively to make a point. Data analysis is too often presented as a series of bulleted slides or through pages of

spreadsheets. This is a challenge since the sheer quantity of data may overwhelm most audiences, especially senior managers. A better strategy is to approach the task of communicating the results of analyzing data as a narrative that will be supported by data. The data does not drive the report.

Let’s say an HR manager wants to deliver an interim progress report on one of HR’s strategic objectives, to increase diversity among managers in the organization’s 12 branch locations. HR has amassed considerable historical data for the organization and individual branches, conducted surveys, examined the effects of different tools, implemented a program, and performed a preliminary evaluation. Exhibit 15 outlines how the manager might use this data to create a clear narrative for decision makers.

Exhibit 15: Communicating Strategic Results

Logical Step	Use of Data
State of diversity among our branch management one year ago	A summary bar chart shows the size of combined targeted diversity groups relative to the management population in each branch. Separate histograms or bar charts showing the representation of a particular group within the branch population are included in takeaway materials for the audience.
Goals set one year ago	A combination bar chart shows actual and planned levels within three years for each branch.

Logical Step	Use of Data
Results of analyzing previous recruitment efforts	A Pareto chart shows where most of the budget for previous efforts was focused. A scattergram shows the overall effect of specific recruitment techniques in terms of employees with retention rates of more than two years.
The HR manager notes at this point that it was clear that finding a better recruitment strategy was imperative.	
Results of survey with employees in these groups	Employee suggestions for new recruitment strategies are shown according to magnitude of support.
Other possible causes for low performance in this area (These were considered but did not prove compelling.)	Scattergrams comparing success in hiring with various branch characteristics, including ethnic identity of branch managers, are shown.
The HR manager then describes the new recruitment strategy and how it was implemented.	
Preliminary results (These are promising, with the exception of two branches.)	The original bar chart is repeated, adding new employment data. Two of the columns, showing little improvement, are circled.
Possible causes are presented.	A tree diagram is used. The relative size of the “causes” reflects their probability.
The HR manager describes next steps in these branches and asks for questions.	

Talent Acquisition

Talent Acquisition encompasses the activities involved in identifying, attracting and building a workforce that meets the needs of the organization.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Advises and coaches hiring mangers on best practices related to job descriptions, interviews, onboarding and candidate experience.
- Complies with local and country-specific laws and regulations governing talent acquisition (examples include avoiding illegal interview questions).
- Conducts appropriate pre-employment screening.
- Designs job descriptions to meet the organization’s resource needs.
- Implements effective onboarding and orientation programs for new employees.
- Promotes and uses the EVP and employment brand for sourcing and recruiting applicants.
- Understands the talent needs of the organization or business unit.
- Uses a wide variety of talent sources and recruiting methods to attract a qualified and diverse pool of applicants.
- Uses technology to support effective and efficient approaches to sourcing and recruiting employees.
- Uses the most appropriate hiring methods and assessments to evaluate a candidate’s technical skills, organizational fit and

alignment with the organization’s competency needs based on job requirements.

Proficiency indicators for **advanced HR professionals** include:

- Analyzes staffing levels and projections to forecast workforce needs.
- Designs and oversees effective strategies for sourcing, recruiting, and evaluating qualified job candidates.
- Designs and oversees employee onboarding processes.
- Designs and oversees valid and systematic programs for assessing the effectiveness of talent acquisition activities that meet the organization’s needs.
- Develops strategies for sourcing and acquiring a workforce that meets the organization’s needs.
- Establishes an EVP and employment brand that supports recruitment of high-quality job applicants.

Key Concepts:

- Approaches to employee onboarding (examples include orientation, buddy system, personalization).
- Employment categories (examples include full-time, part-time, contract, temporary workers, interns).

- Job analysis and identification of job requirements (examples include bona fide occupational qualification [BFOQ], task inventory analysis, critical incident technique, position analysis questionnaire).
- Job offer contingencies (examples include background investigations, credit checks, physical or psychological evaluations).
- Job offer negotiations (examples include salary, relocation assistance, telecommuting, variable job share).
- Methods for creating and maintaining a positive employee value proposition (EVP) and employment brand (examples include culture, opportunity for growth, purpose, varied work assignments).
- Methods for external and internal sourcing and recruiting (examples include job ads, career fairs, social media, college/university relationships, talent pipelines, internal job postings, employee referrals).
- Methods for selection assessment (examples include ability, job knowledge, personality tests, assessment centers, individual or panel interviews).
- Methods for supporting a positive candidate experience (examples include streamlined application process, limited rounds of interviews, fair consideration of applicant’s time, frequent communication).

- Talent acquisition metrics (examples include cost per hire, time to fill, applicant to interview to offer ratio, candidate yield from proactive sourcing).
- Talent acquisition technologies (examples include applicant tracking system [ATS], chatbots, artificial intelligence [AI] resume screening, social media to identify passive talent).

Talent Acquisition

No matter how strong an organization's strategy is, the organization is unlikely to succeed without the proper talent executing that strategy. Talent acquisition is one of the most visible services HR delivers to the organization, and HR's effectiveness and efficiency in this area can contribute significantly to the perception of the value of the HR function.

Once the strategy is set, HR professionals begin recruiting and sourcing candidates with the goal of creating a large enough pool to find the best candidates—not just merely adequate alternatives. Following a selection process will create consistency and legal compliance. It can support workforce management plans and diversity strategies. Once candidates are selected, they must be onboarded and assimilated into the organizational culture. Properly completing the onboarding and assimilation process will help make sure that the selected candidates are set up for long-term success and prevent retention and turnover challenges.

Talent Acquisition Strategy

Proficiency indicators related to this section include:

- Promotes and uses the EVP and employment brand for sourcing and recruiting applicants.
- Understands the talent needs of the organization or business unit.
- Establishes an EVP and employment brand that supports recruitment of high-quality job applicants.

Key concepts related to this section include:

- Employment categories (examples include full-time, part-time, contract, temporary workers, interns).
- Methods for creating and maintaining a positive employee value proposition (EVP) and employment brand (examples include culture, opportunity for growth, purpose, varied work assignments).

Talent Acquisition Strategy

Taking a strategic approach to talent acquisition helps the HR team align its activities with the organization's long-range business goals and strategies. It allows HR to extend its focus beyond immediate staffing needs to the task of acquiring the workforce the organization will need in the future. In the same way that organization leaders consider environmental factors in setting business strategies, HR leaders must understand how internal and external factors can shape their talent acquisition strategy.

Competency Connection

A new HR director at a small software development firm was told by management that it was doubling its workforce in the next year. The director faced three challenges related to talent acquisition. By engaging senior and team managers in a solution, and with the support of an HR consultant, the new director was able to get up to speed in this new position and industry and demonstrate the value of HR professionals to any type of organization.

Challenge 1: There was no selection process and no defined recruitment channels or position descriptions.

Response: The HR director developed all new job advertisements for the positions that were to be posted. Existing team members in that role reviewed the ads for accuracy and were asked for feedback about what job boards they themselves had used when looking for their current jobs.

Challenge 2: There were no processes for onboarding people beyond administrative tasks (for example, benefits enrollment) and orientation.

Response: It was taking three to four months to get a new hire up to speed on the organization's modules and contributing to day-to-day operations. The HR director met with teams within their departments and laid the groundwork for onboarding plans. They have reduced the learning time required to about six weeks.

Challenge 3: There were no processes in place to measure the effectiveness of talent acquisition or to identify ways to improve it.

Response: The HR director started meeting with new team members at the end of their first week; at 30, 60, and 90 days; at six months; and then at one year. The purpose of those meetings was to review how things were going in their onboarding plans and to solicit feedback on what worked, what didn't work, and what needed

to be adjusted. The onboarding plans have been evolving but have proved to be working.

The HR director makes a point of communicating regularly with all employees and with his boss. He collaborates with development teams on the best hiring plans to take the company to the next level. His competencies in Communication, Relationship Management, and Leadership & Navigation have been put to excellent use.

Strategic Staffing

Organizations typically face a complex, interrelated set of challenges in their quest to secure the talent they need to succeed. Many factors may drive a particular organization's specific processes.

Primary concerns of human resource management in talent acquisition include:

- Assimilating workforce planning and employment strategies.
- Addressing both short- and long-term needs of the organization so that staffing requirements can be anticipated in a timely manner.
- Hiring for cultural fit.

HR's responsibility is to know the organization's strategies and goals and implement talent acquisition programs that enable the business

leaders to carry out those strategies and goals.

Workforce planning identifies the workforce that can implement the organization's strategies and goals, both now and in the future. It projects workforce needs, evaluates internal and external talent supply, defines and prioritizes gaps between demand and supply, and results in an action plan to close the gaps. Robust workforce planning helps to protect the organization against unforeseen difficulties. The right workforce mix is, of course, unique to the organization.

Staffing is the HR function that acts on the organizational human capital needs identified through workforce planning and attempts to provide an adequate supply of qualified individuals to complete the body of work necessary for the organization's financial success. The HR professional has the responsibility of anticipating the staffing needs of the organization and balancing those needs with actual talent supplies, taking into consideration the input from workforce planning activities. Through the talent acquisition process, HR then attracts and hires qualified talent to complete the body of work required.

Hiring new employees is a significant investment in terms of time, resources, and money. Whether large or small, organizations cannot afford to retain a "wrong hire." Changing labor market conditions and

the competition for highly skilled workers call for HR business strategies that improve sourcing and recruiting techniques and the quality of hires. Talent acquisition strategies that are no longer confined by borders as well as employer branding help HR to identify and recruit the human resources needed to support all business activities, both currently and in the future.

Strategic Staffing Considerations

Talent acquisition is directly impacted by how an organization decides to expand, either within or across national borders.

Talent acquisition is directly impacted by how an organization decides to expand, either within or across national borders. In some cases, the form of expansion adds to the overall talent pool; in other cases, it does not. In all situations, however, the overall complexion of the organization’s talent pool changes with new acquisitions or locations.

For example, following a merger or an acquisition (M&A), new talent resources become part of the organization, and retention of key/top talent becomes a major issue. It is critical to have HR practitioners play a major role in M&A due diligence to ensure that all potential costs are identified beforehand.

If an organization is in the process of establishing a greenfield operation, then HR will be involved in hiring all new staff. Depending on the location of the project, HR must conduct due diligence to understand any local laws and employment regulations that might apply. Greenfield operations can be a huge effort, especially when the local labor market is underdeveloped.

Global Talent Acquisition

Because all organizations today operate in a global context, with global competitors, customers, and suppliers, they should also consider how they will attract and acquire global talent. If an organization's operations cross borders, HR will encounter many new challenges that are not inherent in its familiar, domestic environment. For example:

- Risk is greater, because it is more difficult to control widely dispersed locations and the costs of correcting problems can be very high.
- Contractual and legal policies that impact employment are especially difficult to monitor in many countries in various parts of the world. And monitoring is not the only legal problem.
- Culture also has a tremendous impact on global talent acquisition strategies and practices. So does an organization's openness and its inclusive approach to talent. It is important for

any review of culture to involve what is usual, reasonable, and customary in the other country; it is also critical to internally audit the attitude and openness of the organization's culture.

Employment Branding

For many years, a UN-type international humanitarian organization never experiences difficulties recruiting skilled talent. Why does this nongovernmental organization enjoy such recruiting success? In all likelihood, people are attracted to work for the organization because of its employment brand. Candidates and employees recognize the importance of the organization's mission for the world and for their own families.

An employment brand is the identity an organization presents to current or prospective employees; it is the value an organization promises about the total employment experience. Whether talent supply is abundant or tight, a distinctive employment brand is a key part of an organization's recruiting efforts. Stated another way: It is essential to lure the best talent. Where many traditional recruitment strategies are short-term, reactive actions to fill vacant positions, building a strong employment brand is longer-term and can provide a steady flow of applicants. An employment brand creates an image that makes people want to work for the organization.

A solid and functional employment brand also offers numerous advantages to organizations, such as differentiating themselves from the competition and truly connecting with the values of their employees and target candidates. As organizations compete for valuable talent, the impact of a good employment branding strategy becomes crucial.

Employment branding is the process of positioning an organization as an “employer of choice” in the labor market. An employment branding strategy should:

- Create a positive, compelling image of the organization (for example, social responsibility, purpose, conduct, ethics, reputation).
- Provide a clear and consistent message about what it is like to work at the organization (for example, commitment to diversity, equity, and inclusion; innovation; teamwork; work/life balance; varied work assignments; total rewards; opportunities for growth).
- Encourage the best potential candidates to apply for jobs.
- Reinforce the public’s image of the organization.

Consider the following example of an employment brand statement:

> **Organization:** International Rescue Committee (IRC)
>
> **Brand slogan:** From harm to home

Employment brand: Restoring safety, dignity and hope to millions who are uprooted and struggling to endure

Employee Value Proposition

An organization's **employee value proposition (EVP)** is the foundation of employment branding. Just as organizations select people whom they want to hire, talented people pick the organizations for which they want to work. An EVP answers the two-part question: "Why would a talented person want to start working for an organization and why would they want to continue to work for the organization?" An EVP creates a magnet to the organization's employment brand.

Key Content

The EVP must be aligned with the organizational strategic plan, vision, mission, and values and create an image that attracts people. Further, it must provide an accurate picture of employment for employees and candidates. Any inconsistencies in the work environment can erode the credibility of a branding strategy. An EVP must also be congruent with the organization's external brand.

Why does an EVP matter? People work for a variety of reasons. Certainly, remuneration is an important factor, but it is not the sole consideration when assessing why people work. Organizations are searching for ways to cope with numerous challenges in attracting talent. PricewaterhouseCoopers (PwC) research supports that having a strong employee value proposition and employer brand—that are consistent across all operations but can be adapted to different locations—is significant.

Positive recruitment outcomes result from a strong employment brand, such as:

- Being known as an employer of choice with well-defined values.
- Generating a greater number of qualified candidates.
- Promoting diversity as a value proposition.
- Seeing an increase in the number of employee referrals of qualified candidates.
- Facilitating the creation of critical talent pipelines in the employment market.

Other positive recruitment outcomes are increased candidate acceptance rates and more rapidly filled positions.

An EVP should promote the tangible and intangible benefits that people derive from working for the organization. Many people are attracted to work for international nongovernmental organizations or

other nonprofits because they want to make a difference. This can also be true for organizations with strong environmental records. Other EVPs offer more tangible rewards, such as compensation and other benefits as part of a total rewards package. Providing employees with opportunities for growth—professionally, personally, and intellectually—is another important aspect that an EVP should promote. Additional employment value propositions appeal to people's desires for creativity or innovation, such as the opportunity to research and design new products, or the promise of varied work assignments.

Building an Employer's Brand

An organization has an employment brand and an EVP even if they are not formally articulated. The "informal" brand and EVP are shaped by the positive or negative perceptions that others have of the organization and what it is like to work there.

Building a formal brand is about spreading a message. Employment branding uses many of the same marketing, communications, and performance technology tools used to market products and services to create an image of what it is like to work at the organization.

Organizations typically use the following techniques, collectively or in a selective manner:

- The organization’s website
- Media ads (print, television, radio, Internet)
- Social media
- Collateral materials (for example, brochures)
- Marketing campaigns
- Representation of the organization at traditional recruiting events (job fairs, educational institutions)
- Presence at community events, sponsorships, etc.
- Formal or informal word-of-mouth communication from employees, former employees, and retirees
- Dialogue—making it easy to talk with current employees about what it’s like to work for the organization, in person or through virtual chats on the website or publicizing testimonials and results from external employee (pulse) surveys

In some countries and cultures, organizations need to build a brand with parents as well as potential candidates. Parents may have a strong influence on their children with regard to career choices; they may be involved with their children’s decision of which job offer to take. This confirms that an employer’s branding communication approach needs to be holistic and address all potential audiences.

Unfortunately, there is no best practice model for crafting a superior employment brand and EVP. And it is not the sole responsibility of

HR. But in pursuit of talent, the need to present an appealing culture and inspiring values and pay what it takes to attract the right type of employees cannot be underestimated. Exhibit 16 provides general suggestions.

Exhibit 16: Guidelines for Building an Employment Brand

Building an Employment Brand

Building an Employment Brand	
• **Determine existing perceptions of organization in country or local area.** Ask current and potential employees what they know about the organization and its products and services. Conduct focus groups, administer surveys or questionnaires, benchmark successful companies, involve branding experts; do whatever it takes to gather the information. • **Identify main competition for high-quality employees.** Conduct labor market research—formal, informal, or both—to determine where the organization fits as an employer of choice and why. • **Assess organizational strengths and weaknesses.** Develop an objective list to help determine what distinguishes the organization. • **Develop employment brand (or modify/tailor existing materials).** What are the basic value tenets to communicate? What are perceived benefits of working for the organization for potential employees? What is the importance of these values and performance standards in building the loyalty of existing employees?	• **Ensure that brand is consistent.** Link the messages for potential and current employees to consumer messages for the community at large. • **Test brand and make modifications.** Identify anything that is confusing or incomplete and revise accordingly. • **Execute brand.** Communicate the brand by creating awareness through a number of activities. • **Reassess and revitalize brand.** Over time, re-measure where the organization is as an employer of choice. Ask employees why they stay or leave. Fine-tune or expand the brand. Repeat this process periodically to ensure that the brand remains on track. • **Reinforce brand.** Look for ways to remind employees why the organization is a great place to work. Promote what you know is valued—diversity, flexible work arrangements, compensation and benefits, opportunities for recognition and advancement, sense of community and community outreach, corporate social responsibility, strong ethics, etc.

Using Social Media to Support Employer Branding

HR is confronting many of the same challenges it has faced for years in recruiting talent. What has changed is the way HR practitioners are tackling the timeworn challenges of finding and

attracting talent, building relationships, and communicating the organization's culture and brand. While organizations continue to employ traditional recruiting methods (referrals, job boards, advertising, agencies), they are increasingly supplementing them with social media techniques. The decision is no longer whether or not to be present on social media platforms; it's about how you will best leverage them.

The EVP that the employment branding image passes on through social media platforms helps increase an organization's attractiveness toward its target candidates. The most important aspect is to have one coherent message—regardless of what platform you use. The next step is adapting the message depending on the platform choice. The key to a successful message is to ensure that the EVP message reflects the values the organization, as an employer, strives to present.

Organizations should also consider the return on investment for employer branding via social media. They should define their strategy, set goals, and define metrics to ensure that they are meeting their objectives. Organizations need to assess:

- What users say about the organization across the web.
- Where the organization's audience is and how they use social media.

Job Descriptions

Proficiency indicators related to this section include:

- Advises and coaches hiring mangers on best practices related to job descriptions, interviews, onboarding and candidate experience.
- Designs job descriptions to meet the organization's resource needs.
- Analyzes staffing levels and projections to forecast workforce needs.
- Develops strategies for sourcing and acquiring a workforce that meets the organization's needs.

Key concepts related to this section include:

- Job analysis and identification of job requirements (examples include bona fide occupational qualification [BFOQ], task inventory analysis, critical incident technique, position analysis questionnaire).

Job Descriptions

Properly researched, written, and maintained job descriptions support HR professionals in their search for the right talent. The process has strategic implications: It describes value-producing work and the requirements for performing that work. It also has legal implications: The fairness of hiring practices may rest on the validity of the process of creating the job description.

Competency Connection

Using her Business Acumen and Analytical Aptitude competencies, an HR business partner has been able to raise the satisfaction of the organization's line managers with the quality of the job candidates HR delivers.

She did this by learning exactly what qualified candidates need in terms of skill and ability as well as the behaviors necessary for proper cultural fit. The HR business partner spent three days working with and shadowing various employees to fully understand what knowledge and skills are required to be successful in those roles. As a result, HR has been able to present hiring managers with multiple qualified candidates to interview.

HR has been able to share its business understanding with various support units and external recruiting vendors to save them time and help focus their results.

Elements of a Job Description

A **job description** is a written description of a job and its essential functions and requirements, including tasks, knowledge, skills, abilities, responsibilities, and reporting structure. Typically, a job description is relatively brief; it may be a print or online document.

Organizations in different countries may use different names for a job description, such as “role profile,” “role description,” or “position description.” Regardless of the terminology, a job description describes the most important features of a job and communicates that information in a standard format. This ensures that employees throughout the organization have a consistent understanding of the job.

Most job descriptions include the elements shown in Exhibit 17.

Exhibit 17: Common Elements of Job Descriptions

Job Element	Description

Job Element	Description
Job identification	• Job title • Department or location • Date the job description was completed • Reporting
Position summary	Brief overview (four or five sentences) that summarizes the: • Purpose and objectives of the job • Expected results • Degree of freedom (for example, works independently or works under direct supervision)
Minimum qualifications	Minimum knowledge, skills, and abilities required to perform the job satisfactorily
Duties and responsibilities	Primary duties and responsibilities of the job
Success factors	Personal characteristics (behaviors or proficiencies) that contribute to an individual's ability to perform well in the job; often referred to as job competencies (Job competencies are described below.)
Physical demands	The physical aspects of the job that are minimally required; typically specifies the frequency of performing these physical demands
Working conditions	The environment in which the job is performed, especially any unpleasant (or dangerous) conditions
Performance standards	Specify how the incumbent performing this job will be evaluated against goals, objectives, and organizational performance factors (for example, quality, safety, attendance, customer service, productivity)

Job Competencies and Specifications

Job Competencies

Competencies are clusters of highly interrelated attributes, including knowledge, skills, and abilities (KSAs), that give rise to the behaviors needed to perform a given job effectively. A set of competencies defining the requirements for effective performance in a specific job, profession, or organization is collectively referred to as a competency model.

Job competencies are usually developed over time and represent the compilation of multiple abilities and traits and knowledge required for success. Competencies are personal to the employee and are something the employee can take from project to project, from one position to another, and even from employer to employer.

Specific competencies vary from organization to organization. A growing number of organizations use some facets of a competency approach to job analysis, aligning competencies with key organizational objectives and/or values that can contribute to the organization’s success.

Several methods may be used to identify competencies. Behavioral interviews are a common approach as well as referring to generic lists of competencies that may exist for specific organizational roles. SHRM and other professional organizations often publish generic lists.

Example:

The following are examples of possible job competencies for a manufacturing plant manager.

- Client orientation and customer focus
- People management and team empowerment
- Communication
- Program and project management
- Financial management
- Quality management
- Problem solving and analysis
- Honesty and integrity

Job Specifications

Job specifications describe the minimum qualifications necessary to perform a job. A job specification should reflect what is necessary for satisfactory performance, not what the ideal candidate should have. Specifications must be written to ensure compliance with all local laws (including nondiscrimination policies).

Job specifications are a logical outgrowth of job descriptions, and they are frequently included in a separate section of the same document.

Examples of job specifications include experience, education, training, licenses and certification (if required), mental abilities and

physical skills, and level or organizational responsibilities.

The role that job specifications play in the legal and regulatory environment in one country may be different from the role they play in other countries. Before exporting job specifications from one country to another, the specifications should be examined for local relevancy and legality.

Example:

The following are examples of possible job specifications for a manufacturing plant manager.

- University degree in a related field or five years of plant/general management experience in a manufacturing environment
- Exposure to managing a union environment
- Working knowledge of budgets and financial statements
- Background with manufacturing methods and process improvement programs and procedures

Variations in Job Descriptions

Keep in mind that all of the elements described above may not appear in every job description. And, in some countries, there may be additional elements, such as the following:

- **Essential functions.** The **essential functions** are the primary job duties that a qualified individual must be able to perform, either with or without reasonable accommodation. A function may be considered essential because it is required in a job or because it is highly specialized. The International Labor Organization describes **reasonable accommodation** as necessary, appropriate modifications or adjustments that do not impose a disproportionate or undue burden on the employer. Reasonable accommodation aims to ensure that persons with disabilities can participate in the workplace equally with others. Adaptations or other forms of support may be tailor-made for an individual, according to the individual's specific impairments and the job requirements. Reasonable accommodation might also go beyond physical adaptations and include modifying the job application process, assigning a job coach, or modifying work schedules or the circumstances under which the job is performed to enable a qualified individual with a disability to be considered for the job and perform its essential functions.

- **Nonessential functions.** Nonessential functions are desirable, but not necessary, aspects of the job.

- **Sign-off.** A job description may include a general sign-off, including a statement such as "The employee is expected to

adhere to all company policies while employed” and “I have read and understand the contents of this job description” along with a signature and a date.

- **Disclaimers.** Disclaimers are statements such as “Responsibilities and tasks outlined in this document are not exhaustive and may change as determined by the needs of the company.”

An additional challenge in creating job descriptions is articulated in *Beyond HR: The New Science of Human Capital* by John Boudreau and Peter Ramstad, who maintain that there are “uncharted opportunities” beyond traditional job description formats. Boudreau and Ramstad do not minimize the importance of stable, broad job descriptions. However, they note that job descriptions usually reflect the current state—how the typical job incumbent spends his or her time and what elements of the job are deemed important. They identify problems with this traditional approach as the lack of pivotal and emerging role challenges and aligned actions and interactions. Stated another way: Traditional job descriptions reflect grouped tasks that logically describe what individuals do, but they often miss essential actions across jobs. Boudreau and Ramstad maintain that these “pivotal talent pools” can lead to improved organizational decisions and performance.

Job Descriptions in a Global Environment

In a global environment, job descriptions have additional purposes that are particularly significant.

- **Intracountry and cross-border transfers.** Intracountry and cross-border transfers help match the employee with the right skill set to the right job to avoid inappropriate and expensive transfers.

- **Career management and succession planning.** A job description enables systematic career management and succession planning. Global career paths can be mapped through jobs with known characteristics to ensure that the right knowledge and skills are acquired in the proper sequence.

- **Compensation studies.** Job descriptions enhance the ability to compare salaries across countries. Salary and payroll cost comparisons are valid when they are based on jobs with the same job descriptions. Job descriptions that are commonly understood across borders help reduce ambiguity about compensation policy and management expectations.

- **Statistics for job types across the organization.** Management of information about numbers of various job types across the entire organization, as well as current and projected

needs to fill those positions, is not possible without consistent job descriptions.

- **Comparison and alignment of business processes across countries.** For multinational enterprises, creating globally consistent business processes is easier when the jobs involved in those processes have the same title and job descriptions. Handoffs from one process to another are also enhanced with consistent job descriptions.

Clearly defined, consistent job descriptions in a global environment are significant because they provide a common language within an organization to communicate about and make decisions on jobs. But the global environment presents special challenges to creating consistent job descriptions, including the following:

- **Lack of a global competency model.** A competency model provides part of the basic vocabulary in staffing. If a competency model is not in place, it is harder to define jobs and communicate information about them across the organization.

- **Varied interpretations of job functions.** The same words used to describe a job may have different meanings across the globe. Or entirely different words may be used to describe tasks, activities, or entitlements.

- **Varied expectations for similar jobs.** Similar job titles can be interpreted very differently from country to country. While this is an important reason for creating global job descriptions, managers and employees in local settings may find it difficult to change the traditional interpretation of a given job title.

- **Varied approaches to on-the-job development.** In some countries, a job may be viewed as a pathway for professional development, and reasonable risk taking is encouraged. In other countries, employees with the same job title may be expected primarily to implement a superior's directives. Consider such differences when analyzing and describing jobs.

- **Different work environments imposing different requirements for the same job.** Working conditions, labor laws, union requirements, bargaining agreements, works councils, or other local factors may result in different prerequisite qualifications for the same job titles.

- **Varied compliance requirements that necessitate thorough due diligence.** Employment and labor laws differ greatly from country to country and even within a country.

  Examples:

When employing workers in Germany, an employer needs to comply with the laws of the European Union, German federal law, and the laws of any one of the 16 German states where the operation is located.

Australia has federal labor law as well as law in each of its six states and two territories. Many cities have their own labor regulations.

The United Arab Emirates (UAE) and Canada both have employment laws at the federal and emirate/provincial level. However, in the UAE, federal law supersedes emirate law, while the vast majority of employment-related issues in Canada are decided under provincial law.

Compliance is further complicated by cultural issues, which can vary greatly depending upon the country, region, religion, and ethnicity as well as an organization’s code of conduct, rules, and procedures that attempt to protect its workers. HR, in conjunction with legal counsel, must develop a strategy to ensure that all applicable local labor and employment laws are identified. The challenge is not just to know what the law says but also to understand how it is interpreted. Professionals need to pay attention to their own country laws and engage in ethical behavior as it relates to “doing the right thing” and “doing things right.”

- **Obtaining permission to work.** A person generally cannot enter a foreign country looking for a job. The job must already be in place, and the employee's work authorization is usually contingent on the employer's ability to demonstrate that comparable skills do not exist in the local workforce. In very general terms, when organizations want to hire foreigners, they often have to certify to the government that they were unable to find locals with the required skill sets.

Job Analysis

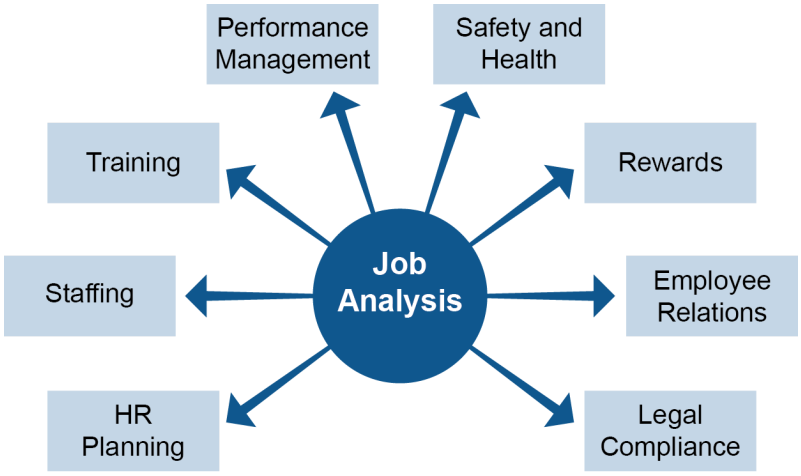
All the jobs in an organization must interrelate to accomplish the organization's mission, goals, and objectives. Both employees and employers must have a clear concept of the job scope as well as a clear understanding of job requirements and essential job duties.

Job analysis is a systematic study of jobs to determine what activities (tasks) and responsibilities they include, the personal qualifications necessary for performance of the jobs, and the conditions under which the work is performed. It results in the generation of job competencies, requirements, and specifications.

An analysis is conducted of the job, not a person doing the job (even though some job analysis data may be collected from incumbents).

Job analysis is the foundation of many HR functions and activities, as shown in Exhibit 18.

Exhibit 18: Roles of Job Analysis in HR



A job analysis generally gathers information about the following:

- Job context—the purpose of the job, its work environment, its place in the organizational structure
- Job content—the duties and responsibilities of people who hold the job
- Job specifications/qualifications—KSAs required for a person to have a reasonable chance of successfully performing the job
- Performance criteria—desired behaviors/results that will constitute performance in the job

How often should job analysis data be gathered? A job analysis for current positions should be completed on a regular and ongoing

basis. At a minimum, a job analysis is needed when there is a vacancy or every two years. It is crucial that a complete analysis of the job description is completed prior to engaging in a recruitment process for any open positions. A follow-up assessment for new positions should be completed within six months to one year after the job is filled to validate that the criteria and the description as well as the compensation are accurate for the position based on actual work (not just a managerial forecast).

Job Analysis Methods

A common approach to analyzing and describing jobs across an organization is important. It builds a universal understanding of the jobs that are a part of the successful operation of the business, how they relate to each other, and the skills and experience necessary for individuals engaged in those jobs.

Most organizations use more than one method for collecting primary source data about the jobs that are part of their framework.

Exhibit 19 compares common job analysis methods.

Exhibit 19: Job Analysis Methods

Method	Description	Benefits

Method	Description	Benefits
Observation	Direct observation of employees performing the tasks of a job, recording observations, and translating them into the necessary knowledge, skills, and abilities.	Provides a realistic view of the daily tasks and activities performed in a job. Works best for short-cycle jobs in production.
Interview	Face-to-face interview in which the interviewer obtains the necessary information from the employee, peers, supervisors, and team/unit members about knowledge, skills, and abilities needed to perform the job.	Interviewer uses pre-determined questions, with new ones added based on the response of the employee being interviewed. Good for professional jobs.
Work diary or log	Diary or anecdotal record maintained by the employee. Job information, including the frequency and timing of tasks, is recorded in the diary. Logs are usually kept over an extended period of time. They are analyzed, and patterns are identified and translated into duties and responsibilities.	Provides an enormous amount of data. Method can be applicable to task- or process-oriented jobs (for example, administration, call center operators, shipping and receiving, warehouse).
Task inventory	List of all tasks associated with a job, often grouped by duties. Tasks are rated by frequency, importance, and difficulty and are often generated by expert panels, people in a given position currently, and managers.	Generates a complete picture of everything that a person in the position must do and breaks them down by difficulty and importance, allowing for prioritization of requirements and specifications.

Method	Description	Benefits
Critical incident technique	Real-life situations are gathered that illustrated exceptionally good or bad performance. They are then checked for duplications and examined to generate job descriptions and situational examples.	Helps identify KSAs that may not be apparent from a theoretical examination of the tasks associated with the job by examining actual situations that have occurred and what KSAs resulted in success or failure. Can be used for health and safety incidents and worker training as well.
Position analysis questionnaire (PAQ)	Questionnaire structured to measure a range of job elements and relate them to human characteristics: information input, mental processes, work output, relationship with other people, job context, and job-related variables.	Helps in conducting a quantified analysis of an identified job or role to determine its appropriate duties and responsibilities. PAQs are inexpensive and relatively quick to conduct. They can also be used widely and are not industry-specific.

It is not easy to determine what employees actually do on the job. However, taking the following actions can help to obtain the best results:

- Obtain information directly from the job incumbent when feasible, although additional input may come from managers, coworkers, and other sources.
- Collect data from multiple job holders and supervisors.
- Select a technique that allows information to be obtained, summarized, and processed with minimal effort. For example,

concise data coded into categories and quantified is easier to process than narrative, descriptive information.

- Select a technique that is easy to update without having to repeat the entire process from the beginning.

Employment Categories and Writing and Updating Job Descriptions

Employment Categories

A job description generally includes an indication of the employee classification related to the position. Such classification is particularly critical to the proper administration of compensation and benefits programs. Categories may include full-time, part-time, contract, temporary, and intern, among others. Below are some examples of how different categories are codified in a couple of jurisdictions.

Examples:

The United States Employee Retirement Income Security Act (ERISA) makes the classification as to full-time, part-time, temporary, and seasonal employment important for benefits purposes. Statutes mandating benefits usually have a threshold number of hours worked to define an

employee as full- or part-time under the statute and therefore eligible or ineligible for benefits.

The Russian labor code includes a category of remote (or distant) employees who work outside of the employer's place of operation. A special remote-employment agreement may be executed, amended, and terminated through electronic document exchange. Remote employees may set their own work and rest schedules, but the labor code governs the terms for granting vacations.

Worldwide, appropriate classifications of employees are important to ensure that payment of compensation is in accordance with laws and that all legal requirements are maintained so that there is no discrimination in terms of benefit plan eligibility.

Writing and Updating Job Descriptions

Job descriptions and job specifications must be based on the specific duties and responsibilities that are performed within the organization. Some basic guidelines for writing job descriptions and specifications are listed in Exhibit 20.

Exhibit 20: Guidelines for Writing Job Descriptions and Specifications

Guidelines for Writing Job Descriptions and Specifications

Guidelines for Writing Job Descriptions and Specifications	
• Give jobs realistic and descriptive titles. • Keep the summary short (no more than four or five sentences). • List only the most important duties, tasks, or responsibilities.	• Identify the essential job duties and responsibilities. • Review the KSAs to be sure they are job-related. • Secure approvals and dates. • Include any appropriate disclaimers.

Job descriptions typically are written by HR. In some organizations, writing the job description is the task of the department that is hiring a new employee. In these cases, the human resources department can provide guidance in the form of training and consultation on the elements of the job description and on how to include organization- and department-specific messages.

Several resources are available for HR professionals to help develop job descriptions, including many standard job description packages (both paper- and computer-based). These packages can provide the HR professional with a starting point for establishing consistency in job descriptions and specifications.

Job descriptions contain key information describing the work to be performed for various positions. They also support the organization’s efforts to attract and retain the ideal talent to perform that work.

Jobs change over time, and job descriptions need to keep pace. Most organizations have a process in place to review job descriptions regularly. The specific time frame for reviewing a job description is usually influenced by the availability of resources to review the jobs as well as the frequency of changes affecting the jobs.

Typically, the HR professional’s role is to structure a review process and ensure that it is followed. Since position supervisors and the employees performing the jobs have firsthand knowledge of any changes affecting specific jobs, they should be involved in the update process.

A common approach to keep job descriptions updated is to incorporate a review of each job description during a performance appraisal. This is an ideal time, during the feedback discussion between the supervisor and the employee or when goals and objectives for the employee are established. Another opportunity to update job descriptions is when a position is filled. Prior to the start of the recruitment process, the job description should be reviewed for current and accurate relevancy.

Regardless of how the process is handled, HR should review all changes for appropriateness. Once changes are vetted and

approved, HR needs to manage the actual updating of the job description document.

Sourcing and Recruiting

Proficiency indicators related to this section include:

- Uses a wide variety of talent sources and recruiting methods to attract a qualified and diverse pool of applicants.
- Uses technology to support effective and efficient approaches to sourcing and recruiting employees.
- Designs and oversees effective strategies for sourcing, recruiting, and evaluating qualified job candidates.
- Designs and oversees valid and systematic programs for assessing the effectiveness of talent acquisition activities that meet the organization’s needs.

Key concepts related to this section include:

- Methods for external and internal sourcing and recruiting (examples include job ads, career fairs, social media, college/university relationships, talent pipelines, internal job postings, employee referrals).
- Talent acquisition metrics (examples include cost per hire, time to fill, applicant to interview to offer ratio, candidate yield from proactive sourcing).
- Talent acquisition technologies (examples include applicant tracking system [ATS], chatbots, artificial intelligence [AI]

resume screening, social media to identify passive talent).

Sourcing and Recruiting

Talented people are a competitive advantage. The first challenge here is to find these people, connect with them, and convince them of the value of joining your organization. The second challenge is to assess and refresh the sourcing and recruiting strategies continuously. This way HR can have access to a diverse group of candidates with the most current and relevant skills.

Competency Connection

The head of HR has determined that the local managers at every regional location across the country are using temporary employment resources and paying a range of prices for the services. Some of the service is excellent; some barely meets the needs of the location. Could the organization achieve both better service and greater savings by centralizing and controlling this outsourcing?

First, HR issues an RFP reflecting the organization’s talent needs in each location. Information is collected from both local providers and national companies. Including current providers in the bidding process is an important step in maintaining good relations with location managers, who are inclined to prefer their local options.

The savings rates are tracked and communicated to the local managers. The savings and their satisfaction with their new providers' service helps local managers accept and support the change in process.

Based on the data from the first round of contracts, HR decides to focus on contracting with a smaller group of specific providers to see if further savings can be achieved. HR issues further RFPs, evaluates the responses, and implements new practices. During the next 12 months, HR continues to track utilization, costs, and satisfaction.

The head of HR has showed leadership in identifying a potential strategic opportunity for the organization and developing a plan to achieve it and has also demonstrated competency in Business Acumen (knowledge of national recruiting resources), Relationship Management and Consultation (working with local managers to select providers), and Analytical Aptitude (using data to support decisions).

Defining Sourcing and Recruiting

Sourcing is the precursor to actual recruitment. It generates a pool of qualified and diverse applicants, identifying individuals (both

active and passive job seekers) who may be potential employment suspects or referral points for other suspects.

The sourcing process involves internal and external advertising. Organizations typically use a variety of techniques for sourcing, such as internal postings, employee referrals, the organization's website, social media, online or offline communities (interest groups), professional associations, and more. Sourcing incorporates branding, especially when trying to attract the already employed passive talent.

Recruitment is the process of encouraging candidates to apply for job openings. Attracting the appropriate *quantity* of applicants is necessary but not sufficient. The *quality* of applicants is the critical factor in recruitment.

Key Content

Organizations may recruit applicants through many methods and channels. The most productive sources of qualified applicants vary across environments and may change rapidly due to a number of factors (for example, organizational or country culture, advancements in technology, local business and economic conditions, and

government programs that promote training and employment programs).

Lessons learned have proven that any attempt to sustain a one-size-fits-all recruiting approach is doomed.

Recruiting Methods

The objective of recruiting is to attract appropriate, qualified applicants to meet the organization's goals. Once an organization establishes whom they are trying to recruit, the next step is to select appropriate sources to identify prospective candidates. The organization can choose to look internally within the organization from an identified talent pool or pipeline and/or to seek candidates externally from the general labor pool. Most organizations use a combination of the two—promoting from within and hiring from outside.

Internal and external recruiting sources have both advantages and disadvantages, as shown in Exhibit 21.

Exhibit 21: Advantages and Disadvantages of Internal vs. External Recruiting Sources

Advantages	Disadvantages

Advantages	Disadvantages
Internal Recruiting Sources	
• Rewards good work of current employees • Capitalizes on “familiarity”—candidates are already familiar with the organization’s goals and culture and the organization is familiar with the candidates’ KSAs and competencies • Potential to be more cost-effective than recruiting externally • Improves morale • Promotes career paths and adds to the employee value proposition	• Can produce organizational inbreeding; candidates may have a limited perspective and/or no outside perspective • Places heavy burden on learning and development • May create a negative work environment as people compete for promotions
External Recruiting Sources	
• Brings new ideas/talent into the organization • Helps the organization gain needed competencies • Provides cross-industry insights • May reduce training costs (experienced hires) • Helps the organization promote a diverse and inclusive environment	• May result in misplacements • May increase recruitment costs • May cause morale problems for internal candidates • Requires longer onboarding and orientation

General considerations in selecting a recruitment strategy include factors such as cultural norms, location, labor market conditions, level of the position to be filled, pay and benefits, promotion policies, time and budget constraints, technology capability, and diversity and inclusion/applicable legal requirements (for example, affirmative

action obligations). Ultimately, the appropriateness of the approach (internal or external) depends on the organization's needs, culture, and philosophy. Regardless of the practice chosen, it must be done consistently for all positions to avoid any perception of inequities.

Recruiting Sources

Potential candidates for open positions can be found from inside and outside the organization, and each type of candidate can be found through a variety of sources.

True to its name, with internal recruiting an organization identifies potential candidates from within domestic or global operations. Most typically, it is accomplished through internal job postings and the use of succession planning data. Other methods are used to varying degrees.

An organization's recruitment and management software, human resource information system (HRIS), or human capital management system (HCMS) may provide competency profiles to help identify potential candidates. Employees also seek out open positions, motivated by building new skills and by leadership development.

With external recruiting, an organization identifies potential candidates from outside of the organization. Typically, it is

accomplished through external job postings and candidates supplied by agencies and career/job fairs.

A list of commonly used recruitment methods is shown (in alphabetical order) in Exhibit 22.

Exhibit 22: Common Recruiting Sources

Recruiting Sources	General Description
Referrals (internal)	Candidate referrals from recent hires, current employees, former employees, retirees, and association colleagues.
Job posting (internal and external)	Provides a brief description of the job and allows potential candidates to respond through, for example: • Employer websites (which can include online application processes). • Online job boards (LinkedIn, Monster, etc.). • Trade and professional organization websites and publications.
Talent pipeline (internal)	A pool of candidates who are ready to fill a job opening. They can help with long-term talent planning and strategy. Could include potential hires who are currently employed on a temporary or freelance basis or are nominated or recommended by existing employees and management or those who have completed an internship. Pre-screened and qualified candidates can also be found through relationships with talent, contract, and temporary agencies.
Succession planning (internal)	Potential talent that is identified in an organization and for which developmental plans are established to help prepare them for other roles.

Recruiting Sources	General Description
Educational institutions (external)	Postings on college, university, and trade school website job boards, on-site job fairs, and on-site interviews.
Career fairs (external)	Opportunities for employers and prospective employees to discover and meet each other and establish professional networks.
Online social networks and blogs (external)	Online sites (such as LinkedIn, Monster, Indeed, Facebook, and Twitter) used to expand an organization's talent database, extend the employment brand, and acquire top talent.

While internal recruiting is a traditional practice in many Western organizations (especially American companies), the reality of talent shortages and other changes outside these countries has forced organizations to cast as wide a net as possible and find talent worldwide.

Leveraging Technology in Recruiting

Finding the right talent can make the difference between an organization's success and mediocrity or worse. At the same time organizations compete for talent, candidate expectations are rising regarding the frequency, pace, and transparency of communication in the hiring process. As organizations attempt to navigate the changes caused by shifting age demographics, new technology tools, and the move toward a consumer-styled job-seeker experience, they must:

- Deliver the speed, transparency, and frequency of communication that candidates expect.
- Promote communication and outreach efforts that attract social and mobile workers.
- Incorporate active and passive strategies into the talent acquisition process.
- Ensure that the employment brand reflects the organization's culture.

The previous discussions of recruiting methods briefly introduced the use of the Internet (job boards, websites, and social media). The intent here is to take an expanded look at Internet recruiting (e-recruiting) and social media—two techniques that have immense potential to enhance sourcing and recruiting efforts.

Internet Recruiting

From the employer's perspective, the Internet offers avenues for recruiting many types of employees, ranging from entry-level and hourly employees to professional, managerial, and even executive positions. A key characteristic of Internet recruiting is the significantly increased exposure of position offerings. HR staff is integral to directing and managing online recruitment tools.

The use of the Internet as a recruitment tool is characterized by features such as:

- A voluminous number of service providers.
- Professional recruiters allowing clients to search data with more effective skills matching.
- Electronic screening of applications.
- The technology to conduct interviews over the Internet, incorporating video.
- Chat forums with organizations answering candidate questions, sometimes with the use of chatbots.
- The ability of candidates to make presentations via the Internet.
- The use of artificial intelligence to monitor social media and generate alerts when a potential high-quality candidate may be available.

However, Internet recruiting is not effective or culturally appropriate in all countries. For example, it can pose significant issues related to data privacy, and it may be less effective in cultures that value face-to-face communication over technology. In some cultures, it is inappropriate to post a résumé on a website.

Exhibit 23 describes some additional advantages and disadvantages of using the Internet to support recruitment activities.

Exhibit 23: Advantages and Disadvantages of e-Recruitment

Advantages	Disadvantages

Advantages	Disadvantages
Widens recruitment sourcing to include active and passive candidates. Provides almost immediate response to job advertisements. Increases the applicant pool. Facilitates better candidate matching. Allows more realistic previewing of the potential job and location. Can target specialized skills. Can target particular lifestyle or culture-fit groups.	High volume of responses, many of which may be from unqualified candidates. May require labor-intensive and costly filtering process to avoid responding to inappropriate or inadequate applications. Data privacy regulations may restrict activities. May exclude qualified candidates who would rather send a résumé. May exclude populations in which technology is not readily available.

A simple recommendation to avoid legal issues in e-recruiting is to keep in mind the protocols that apply to the hiring process in general—those actions that are intended to avoid discrimination. For example, unless there is a business necessity, any posted job opening should not include language that would discourage any groups of individuals protected by local or national laws from applying.

Using Social Media in Recruiting

When used in recruiting, social media have tremendous potential to engage candidates in the employment process and exponentially increase the number of high-quality prospects.

Social media sites offer several advantages to employers when sourcing and recruiting qualified applicants, such as low-cost publicity for the organization, posting vacancy announcements, branding, targeting geographically diverse talent, and employment screening. Using social networking for recruiting can help to reduce recruiting costs and time to fill. Another benefit is the ability to engage passive job candidates (those individuals who are not active job seekers but who are using social networking websites).

Using social media in recruiting also has distinct cautions. For example, the information an organization learns about prospective candidates through social media may not be accurate. Profiles may contain mistakes or exaggerations. Some social networking content may be maliciously planted.

Another downside of social media use in recruiting is that an employer may inadvertently learn more than they want to know about prospective candidates. Improper use or management of information gained from social media sites may have serious legal risks and result in claims of discrimination and invasion of privacy and violations of freedom of speech.

Measures of Recruiting Effectiveness

A basic tenet in talent acquisition is that what works for one organization may not apply to another and what is effective in one country may be ineffective in other areas of the world. Consider the general suggestions in Exhibit 24 and how they may work for your organization in boosting recruitment effectiveness.

Exhibit 24: Guidelines for Recruiting Effectiveness

Recruiting Effectiveness	
• **Be proactive.** Have a defined talent acquisition strategy. • **Brand.** Energize the best potential candidates to apply and the high performers to stay. • **Use realistic profiles.** Job specifications and preferred candidate profiles should reflect the collective input of managers, supervisors, incumbents, and others, as warranted. • **Automate.** Keep a database of qualified candidates. Have systems in place and a talent pool process to identify qualified candidates and share information across operations. • **Innovate.** Look for opportunities to market openings in new and creative ways that may not have been tried before. • **Interact.** Show genuine interest in job seekers. Treat them like valued prospective employees; forget about auto-responders or generic canned follow-ups.	• **Promote.** Build an alumni base of former employees and keep them informed with news of the organization and prospective jobs. • **Adapt.** As necessary, adapt strategies to the nuances of recruiting in different locations and/or cultures. • **Champion diversity.** As appropriate, seek out candidates who value everyone as an individual and/or have a multicultural orientation. • **Be judicious.** Choose recruiting sources carefully to ensure that you get the right kind of talent, at the right time, suited to your current and future needs. • **Be vigilant.** Recruit continuously rather than to fill only specific/existing openings.

The economic impact of talent acquisition for an organization is huge. No matter what the nature of the organization's operations—for-profit or not-for-profit, government or nongovernmental, domestic or global—talent is a prime driver in moving the organization forward and helping achieve strategic success.

But what happens when a position becomes open due to the unplanned separation or turnover of an employee or when a new position remains open for a prolonged period of time? There are potentially significant costs in both situations, such as:

- Costs directly attributable to the loss of the employee.
- Costs associated with acquiring, onboarding, and retaining a new employee.
- Lost opportunity costs (such as organizational income or revenue that is forgone or sacrificed while a position remains open).

There is a time-tested principle worth mentioning here: "If you can't measure it, you can't manage it." It is HR's responsibility to collect relevant metrics about organizational talent. Organizational leaders are always interested in relevant metrics and how HR's talent management impacts the top and bottom lines.

Key Content

> Workforce metrics and tools should do more than just "measure" talent acquisition costs. "Relevant" is the operative word. Metrics must fully demonstrate results against strategic objectives. Unfortunately, all too often, HR practitioners merely "analyze and report activities." Certainly HR practitioners should capture metrics data. But it is equally (or more) important that HR practitioners use the data to provide insights that can improve talent management decisions that in turn improve organizational effectiveness. It's about analyzing the data and reporting what the activities accomplish.

When metrics are used in this manner, they are valuable in developing workforce planning strategies that put the right people in the right place at the right time.

HR can use many metrics to demonstrate contributions to the organization. The ones HR selects should be aligned with the organization's culture and reflect what is important to the success of the organization. These metrics should enable HR to provide meaningful data that supports the organization's strategy and decision-making process.

Workforce reporting, cost of hire/cost per hire, recruitment cost and yield ratios, time to fill, and attrition are covered here.

Workforce Reporting

Whether an organization employs 50 or 5,000 people and is located in one country or 15 countries, understanding core attributes and characteristics of the workforce is critical for delivering effectively targeted strategies. There is a variety of information that can be tracked through workforce reporting. In particular, head count, representation of groups and subgroups, and demographics provide the basis for decisions regarding employee deployment in key talent areas as well as predicting and anticipating future staffing needs.

Head Count

Head count is the number of people on the organization's payroll at a particular time. It is a snapshot of a moment in time, for example, on 01 June (June 1), head count was 35,000. It is synonymous with the term "full-time equivalency" (FTE). Calculating an average head count over a year yields a representation of the average number of employees required to run organizational operations over the course of a year.

Head count rises and falls as employees leave and are replaced, but these changes are usually narrow. Large swings in head count are

not the result of employee turnover. Significant changes result when there are operational changes driving the demand for talent (for example, those resulting from acquisitions, greenfield operations, and divestitures). Retention and productivity improvements can also influence head count.

Head count is a foundational metric. It is used to build out other HR metrics because HR practitioners responsible for employees must have more detail about the workforce.

Groups and Subgroups

An employee group subdivides employees into various categories (for example, executives, managers, staff, trainees, contractors). Employee subgroups further differentiate the employee group (for example, active employees are differentiated according to their status, such as hourly wage or salaried). Reporting on the spread of the workforce across various categories helps in planning for diversity and different operational requirements.

Demographics

Demographics are basic statistics and characteristics of certain employee groups. They include age, occupation, income, and so forth.

For HR practitioners, demographic trends such as how many people are retiring and how many new employees are entering the market are important metrics with respect to HR planning and forecasting. For example, if the average age of the current supervisory staff is 60, it is likely that staff will begin retiring. Retirement of skilled, knowledgeable employees presents a challenge and necessitates decisions and actions to help lessen the impact of this demographic. It could be a trigger to initiate learning and development opportunities to enable younger staff to successfully compete for supervisory positions, or it could be impetus to recruit from outside the organization.

Cost of Hire/Cost per Hire

Cost of Hire

Cost of hire has been the traditional measure of recruiting costs, determined by taking the total costs of all hires and dividing that figure by the number of new hires.

$$\text{Cost of hire} = \frac{\text{Total costs}}{\text{Number of new hires}}$$

“Total costs” appears deceptively simple. The category includes all costs associated with recruiting—advertising costs, recruiter and agency costs, referral incentives, relocation bonuses, referral

bonuses, screening costs, travel costs, and the costs associated with the salary and overhead of internal recruiting staff.

Cost of hire lumps together the costs of hiring for all types of employees. Mixing types of employees can skew the true costs of hiring for a specific position. If, for example, the cost-of-hire calculation for a greenfield operation includes all categories of employees, it could misrepresent the specific hiring costs for employees brought in from other locations; it could also skew costs of senior-level employees, supervisors, and low-level employees.

Calculating cost of hire by employee type somewhat addresses this limitation. For the greenfield operation, separate measures for types of employees hired (for example, employee position levels or categories) would provide much more meaningful measures.

The cost-of-hire metric has been in use for decades. To address problems with variability in this metric, SHRM has established a standard way of measuring what it takes to staff open positions—cost per hire.

Cost per Hire

With extensive input from a large task force of HR professionals, SHRM has developed a standard for measuring cost per hire. According to the SHRM standard, cost per hire (CPH) is a measure

of the effort exerted (defined in financial terms) to staff an open position in an organization.

The CPH standard provides an approach for accurately calculating the cost of locating, recruiting, and hiring talent that all types of organizations (domestic and global, public and private, government entities, and so forth) can apply.

Cost per hire is a ratio of the total dollars an organization spends (in both external and internal costs) to the total number of hires in a specified time period. The basic formula appears below. (For "Σ," read "sum of.")

$$\text{CPH} = \left[\frac{\sum(\text{External costs}) + \sum(\text{Internal costs})}{\text{Total number of hires in a time period}}\right]$$

External costs, internal costs, and total number of hires are described in Exhibit 25.

Exhibit 25: CPH Terms

CPH Term	Description
External costs	External costs are all sources of spending outside the organization on recruiting efforts during the time period in question. Examples include third-party agency fees, advertising costs, job fair costs, and travel costs in the course of the recruiting effort.

CPH Term	Description
Internal costs	The internal costs variable comprises all sources of internal resources and costs used for staffing efforts during the time period in question. Examples include the salary and benefits of the recruiting team and fixed costs such as physical infrastructure (for example, talent acquisition system costs).
Total number of hires	This variable encompasses the total number of hires made in the time period being evaluated.

The CPH standard provides tools for calculating a cost-per-hire metric while recognizing that organizations operate differently. For example, one organization may incur a type of cost that another organization may not. The standard allows for variance within organizations while still providing a robust methodology for creating a standard CPH metric.

The standard differentiates between internal and comparable CPH metrics:

- **Cost per hire, internal (CPHI).** CPHI defines a formula and methodology for creating the CPH measure for a single organization; it is not designed for comparison with other organizations' CPH data.
- **Cost per hire, comparable (CPHC).** CPHC defines a formula and methodology for creating the CPH measure for comparison across organizations. This metric uses a similar methodology to

CPHI, but it incorporates a subset of data that is more likely to be used across organizations. CPHC is helpful in building comparisons of costs between organizations.

The CPH standard builds on several years of work conducted by SHRM and the Employment Management Association (EMA) as well as the efforts of other industry experts. As more organizations adopt this approach and collect data, it will be possible to compare the effectiveness of different staffing metrics across organizations and business sectors.

Recruitment Cost and Yield Ratios

Recruitment effectiveness and efficiency may also be expressed as a ratio. Ratios may answer certain questions about recruitment strategies, from cost to diversity of applicants to acceptance of job offers.

Exhibit 26 outlines a recruitment cost ratio (RCR) included in the SHRM standard on cost per hiring and several examples of yield ratios.

Exhibit 26: Recruitment Ratios

Recruitment Cost Ratio (RCR)	
Formula	**Example**

Recruitment Cost Ratio (RCR)	
$\frac{\text{External costs + Internal costs}}{\text{Total first-year compensation of hires in a time period}} \times 100$	$\frac{\$200{,}000}{\$2{,}000{,}000} \times 100 = 10\%$

Yield Ratios			
Formula	**Example**	**Formula**	**Example**
$\frac{\text{Qualified applicants}}{\text{Total applicants}}$	$\frac{100}{300} =$ 33% yield ratio	$\frac{\text{Interview offers}}{\text{Qualified applicants}}$	$\frac{5}{15} =$ 33% yield ratio
$\frac{\text{Minority applicants}}{\text{Total applicants}}$	$\frac{80}{300} =$ 27% yield ratio	$\frac{\text{Interview offers}}{\text{Final interviews}}$	$\frac{5}{10} =$ 50% yield ratio
$\frac{\text{Female applicants}}{\text{Total applicants}}$	$\frac{185}{300} =$ 62% yield ratio	$\frac{\text{Offers accepted}}{\text{Interview offers}}$	$\frac{3}{5} =$ 60% yield ratio

In this example of the RCR, you can see that for every dollar of first-year compensation, the organization spent 10 cents on activities related to acquiring talent.

Yield ratios can be calculated at various stages in the recruitment process as well as at the end. They can determine which

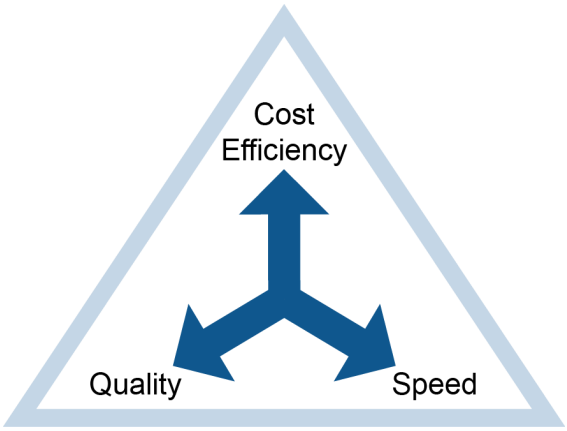
recruitment source or method or type of recruiter produces the greatest yield and identify areas that may need improvement.

Time to Fill

Time to fill (also known as days to fill) represents the amount of time (or number of days) from when a job requisition is opened until the offer is accepted by the candidate. This information helps HR professionals determine a realistic amount of time for hiring new employees, and it helps managers plan how to best redistribute work to existing employees while the position is open. The metric is also useful in resource and budget planning.

A consideration with the time-to-fill metric is that an emphasis on speed may increase recruitment costs and decrease quality. Likewise, overpromotion of cost efficiency may impact the quality of the hire and lengthen the process. A singular focus on quality may cause a longer cycle time and may increase costs. Exhibit 27 portrays this relationship, as described by Lance J. Richards.

Exhibit 27: Factors Influencing Recruitment



Usually, the longer a position is open, the more aggressive and potentially expensive the recruiting strategies may be. In turn, this can increase cost efficiency and the cost-per-hire measure. Given the relationship between the time-to-fill and cost-per-hire measurements, the two should be viewed holistically to improve recruiting efforts and justify future recruitment budgets. It is advisable to use some assessment of new-hire quality in conjunction with the time-to-fill and cost-per-hire metrics.

Many other factors can dramatically influence the time-to-fill metric. Consider some of the most common examples:

- Type of employee (full-time, part-time, temporary)
- Level of employee (executive, supervisor, lower-level)
- Role of employee (Specialized roles typically will take longer to fill.)
- Legal compliance requirements

- Labor market conditions
- Total rewards offerings

Attrition

Employee attrition generally refers to the loss of employees due to reasons other than firing and other employer-initiated events. This implies that an employer has no direct control over how many employees are lost to attrition.

There are a wide variety of attrition measures, such as:

- Overall attrition (voluntary and involuntary).
- Attrition of key (critical) talent.
- New-hire attrition.

Employee attrition is an important metric that is often central to an organization's workforce planning and strategy. The reasons why employees leave their current positions—not just the fact that they leave—have crucial implications for future retention rates among current staff, job satisfaction and employee engagement, and an organization's ability to attract talented people for job vacancies.

Consider new-hire attrition as an example. New-hire attrition, as the name implies, specifically pertains to the departure (turnover) of new employees. An organization invests significant time and expense in

hiring a new employee. When a new hire leaves, there are direct and indirect costs:

- The direct costs are monetary; they are all the money spent on sourcing, recruiting, selecting, hiring, orientation, and onboarding that are lost.
- The indirect costs (sometimes referred to as “invisible costs”) can be hard to quantify in financial terms but have the potential to be quite damaging in terms of goodwill and reputation as well as expensive.

There are several other negative impacts when a new employee leaves an organization, including lost productivity during the time the position is vacant and the loss of organizational knowledge resulting in errors and, in some cases, penalties. In filling a vacant position, the subsequent expenses of hiring are once again incurred.

Key Content

Measures of recruitment effectiveness must always be understood in context. Recall how time to fill may reflect achievement of short-term recruitment objectives but also a decrease in quality of hire due to a quick process without due diligence or governance. Likewise, in the global environment, specific metrics may need to be

interpreted differently from one country to another. For example, time to fill in a culture in which the decision to change jobs is a relatively rare occurrence may be much longer than in a culture where people change jobs frequently.

Different countries have variable practices in how the metrics are calculated. A challenge multinational enterprises often face is to establish common formulas for these calculations so that the figures across locations are comparable.

Workforce Analytics

Generally, more HR professionals are monitoring staffing metrics and analyzing data in greater depth. However, many are still mired in collecting voluminous data or suffer from “analysis paralysis,” preventing them from breaking out of that mold and determining the value of HR practices in supporting organizational priorities. As Wayne Cascio and John Boudreau write in *Investing in People: Financial Impact of Human Resource Initiatives,* “HR measurement is valuable to the extent that it improves vital decisions about talent and how it is organized.” The fact is, senior executives have become

more demanding regarding relevant and accurate workforce data. HR should meet with executives to establish that planned metrics will be on target with their expectations and organizational needs.

Most traditional human resource information systems are designed to create transactional reports. To make smart decisions around talent acquisition, organizations need to sift through data quickly. Workforce analytics refers to software products or tools that help an organization draw conclusions from its HR data quickly and efficiently. By converting metrics already present in most HR departments to valuable analytics, HR can improve decision making regarding numerous workforce challenges. These products and tools are considered particularly vital for the most strategic talent management tasks associated with talent acquisition. The potential lies in capturing meaningful data on talent acquisition, transforming that data into actionable information, and providing the insights needed to make smart decisions. Predictive analytics, a subset of workforce analytics, is one technique that can be used in talent acquisition.

There are aspects of the recruiting process that will always need the human touch, but organizations are increasingly discovering that incorporating “big data” and analytics in talent acquisition initiatives can provide significant benefits. In the realm of hiring, predictive

analytics and data are forward-looking and help organizations to create economic value from their talent data.

Leveraged efficiently, predictive analytics can help staffing teams with a wide range of capabilities, such as:

- Identifying the traits that make for successful performance in a particular job.
- Finding a broader range of candidates than provided by traditional methods.
- Reducing search time.
- Improving analysis of the quality of candidates.
- Reducing time to fill.

Predictive hiring not only improves candidate selection; it can also help organizations to become more competitive and, ultimately, more successful. Organizations are able to hire employees better able to meet their performance requirements and fit into their corporate culture.

Predictive hiring success stories abound. Prominent global search firms incorporate predictive analytics into their recruiting activities to optimize their talent pipelines. Many global corporations use predictive hiring models to improve the hiring process and their talent management processes.

Example:

An American multinational technology company that specializes in Internet-related services and products receives more than two million résumés in a year. Introducing more data, analytics, and science into the hiring process has helped the organization to expand the candidate pipeline, bring more talented people into that pipeline, improve decision making, identify the best candidates, revamp the interviewing process, improve the candidate experience, and make the hiring process fast and efficient. Acknowledging that sometimes strong candidates who would be a great fit do not get hired, the organization’s people analytics team has even created an approach to reviewing rejected candidates and has established metrics for scoring their résumés for call-backs. This data mining application alone has resulted in thousands of return visits for rejected candidates who had potential and were turned away for reasons such as a single bad interview or a position that was already filled. It has also allowed the organization to assess if candidates might be a better fit in different roles.

There will always be a place in talent acquisition for meeting candidates and talking with them. While not intended as a panacea or a replacement for the human touch, predictive hiring analytics offers HR a potent tool. When leveraged properly, predictive

analytics help organizations have a better planned executable talent acquisition strategy.

Talent Selection

Proficiency indicators related to this section include:

- Advises and coaches hiring mangers on best practices related to job descriptions, interviews, onboarding and candidate experience.
- Complies with local and country-specific laws and regulations governing talent acquisition (examples include avoiding illegal interview questions).
- Conducts appropriate pre-employment screening.
- Uses the most appropriate hiring methods and assessments to evaluate a candidate’s technical skills, organizational fit and alignment with the organization’s competency needs based on job requirements.
- Designs and oversees effective strategies for sourcing, recruiting, and evaluating qualified job candidates.

Key concepts related to this section include:

- Job offer contingencies (examples include background investigations, credit checks, physical or psychological evaluations).
- Job offer negotiations (examples include salary, relocation assistance, telecommuting, variable job share).

- Methods for selection assessment (examples include ability, job knowledge, personality tests, assessment centers, individual or panel interviews).
- Methods for supporting a positive candidate experience (examples include streamlined application process, limited rounds of interviews, fair consideration of applicant’s time, frequent communication).
- Talent acquisition technologies (examples include applicant tracking system [ATS], chatbots, artificial intelligence [AI] resume screening, social media to identify passive talent).

Talent Selection

The talent selection process is critical to obtaining new employees in the most efficient manner—minimizing hiring time and costs—and to hiring employees who will succeed in the job and thrive in the organization. Longer retention and low turnover are key indicators of effective selection. In addition, in many countries, there are legal implication to the selection process. HR must be able to demonstrate fairness in the process.

Competency Connection

The desire to create a workplace that respects diversity can come into conflict with local legal and cultural norms. In these conflicts, the best course is to use the Ethical Practice competency to align HR practices with the organization's values and policies. Consider the following example.

An international retail clothing company is interviewing for a new regional marketing manager. The company uses a structured first interview process with an emphasis on job-specific behavioral competencies.

Early in a first interview, one candidate asks about the organization's position on same-sex relationships. In fact, the company has a

publicly stated policy of nondiscrimination, including on the basis of sexual orientation. However, the jurisdiction in which the interview takes place does not recognize same-sex relationships.

The recruiter initially defers answering, stating that she will be happy to answer any and all of the interviewee's questions after they finish addressing all of her prepared questions. At the end of the prepared questions, the interviewee once again asks about the company's position on same-sex relationships. The recruiter states the company's policy. Unsatisfied, the candidate then asks, "Doesn't that contradict the laws of this state?" The recruiter restates the company's policy, adding that they have offices around the world and do their very best to offer employees world-class working conditions that respect the local laws and cultures in which the business is operating.

The candidate's body language suggests that he is not satisfied with the answer, but he moves on, asking other work-related questions.

By maintaining the steps in the structured interview process, the recruiter reinforces to the candidate that no personal screening criteria will be given any more or less attention than others. By stating and then restating the company's policy, the recruiter also shows the candidate that she personally will not be pulled into a legal discussion inappropriate to the context of a job interview. By

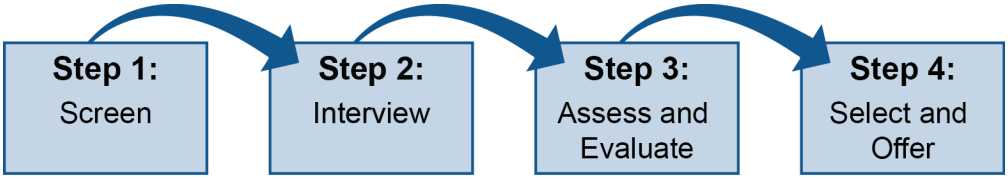
focusing on the actual needs of the particular job and using a structured interview focusing on the competencies required for success in the job, the recruiter is communicating to all potential candidates that the organization's priority is hiring candidates based upon their ability, not their personal situations.

Talent Selection Process

Having the right people in the right places at the right time is critical to an organization's success. Sourcing and recruitment search for candidates and stimulate them to apply for jobs in the organization. **Selection** is the process of evaluating the most suitable candidates for a position. It is based on the position criteria set during job analysis and job documentation.

As shown in Exhibit 28, selection involves a series of steps. Each step is designed to narrow the field of applicants down to the most-qualified people. More information is gathered about prospective candidates during each step. With this information, employers can match the prospective employees' qualifications to the organization's requirements.

Exhibit 28: Steps in the Selection Process



The collective steps shown in Exhibit 28 are an example of a selection process that many organizations use. However, your organization may not always conduct all of the steps in the order shown for each open position. Or your organization may have other variations of these steps.

There are many factors to consider during the selection process. In addition to education and other qualifications, employers must also assess how well a candidate will assimilate into the organization's culture.

The importance of "hiring right" cannot be overstated. In *The Leader/Manager Mastery Kit for Humnipotent Management Techniques* [SM], Nina E. Woodard discusses the impact of hiring decisions on an organization's bottom line. Sourcing costs, the time and salary of staff involved or the money paid to third-party recruiters, miscellaneous costs associated with reference checking and testing, and time and expenses associated with onboarding and orientation all contribute to the cost of hiring. Woodard recounts a recent study conducted by a prominent jobs website that indicates

that the cost of a bad hire is between 1 and 1.5 times the individual's salary. Woodard further describes how a bad hire can negatively impact the attitude and morale of other employees, which, in turn, often translates to reduced productivity and increased costs. As Woodard notes, hiring decisions are tied to an organization's financial success, and they should not be made in haste.

Hiring the right employee for every job is of critical importance for every organization, but hiring new employees should occur only after careful consideration. Other options available to fill a position should not be ignored, because the best fit to deliver the required work may not be a new hire. It may, for example, be more appropriate for an organization to consider outsourcing, contingent labor, a shared human resource from another department in the organization, or other alternatives.

Step 1 of Talent Selection Process: Screen

The first step of the selection process is to screen the pool of candidates. **Selection screening** involves analyzing the candidates' application forms, curricula vitae, and résumés to locate the most-qualified candidates for an open job. The outcomes of selection screening are to:

- Identify applicants who fit the minimum selection criteria.
- Provide a source of questions for subsequent interviews.
- Provide information for reference checks.
- Help to ensure that line management or other internal stakeholders spend time interviewing only qualified candidates.

Tracking Applicants

Traditionally, organizations either manually reviewed the candidate documents or outsourced the task to an external agency where recruiting professionals served as a liaison between candidates and an organization's personnel involved in the recruiting and hiring process. Some organizations continue these conventional practices.

Given economic realities (for example, slow economies with high unemployment) and the advent of social media platforms, it is not uncommon for hundreds of individuals to apply for scarce employment positions. Many organizations now employ **applicant tracking systems (ATS)**. Sometimes called "automated tracking systems" or "electronic pre-employment screening," such systems provide an automated way for organizations to manage the entire recruiting process, from receiving applications to hiring employees. An ATS can be implemented on an enterprise or small business level, depending on the needs of the organization.

ATS can perform résumé screening by scanning candidate documents for keywords, aligning candidate qualifications with job requirements. This can save time and improve efficiency. One caution for organizations using ATS is that applicants are becoming more sophisticated about software screening and are padding their curricula vitae and résumés with keywords (even when they are not truly qualified for the open position). Another is that qualified candidates may accidentally be screened out, which may hinder both hiring and diversity, equity, and inclusion efforts.

The obvious benefit of ATS is that it greatly reduces the time HR or other hiring managers spend reviewing documents. The software programs also track where candidates found a job posting (for example, on a job board, directly from the organization's website, through a referral, or from another source). ATS can help build a database of potential candidates for use with future vacancies. In some situations, applicant tracking may be mandatory for regulatory compliance.

Application Forms

Application form formats may vary (for example, by position type, length, or legal requirements). Regardless of format, an application form and all the fields of information required should be complete, easy to read, and easy to review.

Exhibit 29 identifies the elements usually found in an application form.

Exhibit 29: Application Form Elements

Application Information	
• Basic personal data (name, address, phone number) • Education, training, and special skills • Work history (including dates of employment) • Previous application or work experience with employer • References (which can be checked at a later stage of the selection process)	• Authorization to verify all information provided • Authorization to check references and perform background checks • Statement regarding truthfulness and completeness of information provided • Candidate signature

If an organization has an online application process on its website, the process should be user-friendly so it does not deter suitable applicants from applying.

CVs and Résumés

A curriculum vitae and a résumé both provide an overview of a person's experience and other qualifications. While the documents are conceptually similar in intent, they have some important distinctions.

- **Curriculum vitae (CV).** A CV is a fairly detailed overview of a candidate's accomplishments, especially those relevant to the realm of academia. As such, CVs are often used in the pursuit of a job in academia or research. Because academic researchers are often working on many projects and fulfilling teaching responsibilities simultaneously, a CV typically needs to be updated frequently. For someone in the beginning stages of his or her career, a CV might be only two or three pages in length; the number of CV pages for a more seasoned individual may run into the double digits.

- **Résumé.** A typical résumé (also spelled resumé or resume) is a more concise and general introduction to a candidate's experiences and skills. A résumé is often modified for each position a candidate applies for to emphasize those skills and experiences most relevant to the work for which they are applying. Résumés are usually one (maybe two) pages. They are often accompanied by a cover letter that provides a permanent written record of the résumé transmittal (to whom it is being sent, for what position, and who sent it). Cover letters are called "letters of interest" and "motivation letters" in some countries.

Exhibit 30 compares the typical information found in CVs and résumés. There may be other variations beyond the elements listed here.

Exhibit 30: CV and Résumé Elements

Curriculum Vitae	Résumé
• Name and contact information • Areas of academic interest • Education (for example, degrees earned or in progress, institutions, years of graduation, title of dissertation or thesis) • Grants, honors, and awards • Publications and presentations • Employment and experience • Scholarly or professional memberships • References	• Name and contact information • Education • Work experience

The application instructions for a particular position may specify whether a CV or résumé is expected.

It is also important to keep in mind that CVs and résumés are country- and culture-specific.

Example:

In some countries (for example, Latin America), it is standard procedure to attach a photo or have a photo printed on a CV or résumé. Documents may also include

personal information such as weight and age. In other countries (for example, the United States and Canada), where it is illegal to consider factors like age, race, gender, religion, national origin, or disability status in hiring decisions, organizations prefer not to have this personal information. A photo reveals some of these details. If the employer later does not hire the individual, it opens the possibility of a discrimination claim. Some organizations will even flat out reject a CV or a résumé with photos just to avoid that potential accusation.

In the United States, organizations may ask for either CVs or résumés, and they may have very different documents and distinctions in mind. In other countries, CVs and résumés are interchangeable and have the same meaning.

Many HR professionals believe that candidates should submit an application form in addition to a CV or résumé for the following reasons:

- The CV and résumé provide information the candidate wants you to know; the application provides information you want to know.
- The application form may indicate if the candidate has exaggerated accomplishments on the CV or résumé.
- The candidate’s signature on the application form serves as legal verification that the information is correct and truthful.

Furthermore, if the organization uses applicant tracking software, the completed application is often the tool from which candidates are entered into the ATS.

Step 2 of Talent Selection Process: Interview

Selection interviews are designed to probe areas of interest to the interviewer in order to determine how well the candidate meets the needs of the organization. A representative from the organization, usually a manager, asks the candidate a series of questions to determine if the candidate meets the needs of the vacancy or job opening. Organizations tend to rely on interviews for qualifying candidates more than any other procedure in the selection process. Therefore, it is important that interviewers are properly trained in interviewing techniques and skills. Attention to this area could undoubtedly improve the validity of the selection process.

Types of Interviews

Some organizations conduct a series of interviews ranging from short, pre-screening interviews (20 minutes or less) to long, in-depth interviews (one hour or more). Exhibit 31 identifies the differences between pre-screening and in-depth interviews.

Exhibit 31: Differences between Pre-Screening and In-Depth Interviews

Pre-Screening Interviews	In-Depth Interviews
• Usually 20 minutes or less • Usually conducted by HR • Useful when an organization has a high volume of applicants for a job and face-to-face interviews are needed to judge pre-qualification factors	• Usually one hour or more • Usually conducted by line management • May be divided into several in-depth interviews by both line managers and potential colleagues

There are many styles of in-depth interviews. Common types are discussed next.

Structured Interview

Exhibit 32 identifies characteristics of structured interviews.

Exhibit 32: Structured Interview

Description	Comments
• The interviewer asks every candidate the same questions. Follow-up questions may be different. • The interviewer stays in control of the interview.	• Ensures that similar information is gathered from all candidates. • Gives each candidate the same opportunity to create a good impression. • Makes it possible to compare qualifications and reduce equity concerns.

Different types of questions can be used in the structured interview. The key is that the interviewer asks every candidate the same group

of questions. Structured interviews are also called “repetitive interviews.”

Unstructured Interview

In contrast to a structured interview, an unstructured interview tends to be more informal, open-ended, flexible, and free-flowing. Characteristics of unstructured interviews are shown in Exhibit 33.

Exhibit 33: Unstructured Interview

Description	Comments
• The interviewer talks with the candidate in a manner that is more like an everyday conversation. Questions are not pre-set, but the interviewer may have certain pre-determined topics. • The interviewer asks questions based on a candidate’s responses and proceeds in a friendly, non-threatening manner.	• Relies on social interaction between the interviewer and the candidate. • Gives each candidate the opportunity to develop answers. • Gives the interviewer the opportunity to pursue a topic, to explore with follow-up questions.

Because each candidate is asked a different series of questions, an unstructured interview may go in many different directions. This can make comparison between data from different interviews problematic. Unstructured interviews are also called “non-directive interviews.”

Behavioral Interview

Exhibit 34 describes behavioral interviews.

Exhibit 34: Behavioral Interview

Description	Comments
• The interviewer focuses on how the candidate previously handled situations (real experiences, not hypothetical ones). • The interviewer asks very pointed questions to determine if the individual possesses the minimum qualifications necessary for the job.	• Provides insight into how the candidate handled past job-related situations. • Allows the interviewer to probe more than with traditional interview questions.

Key Content

The premise of the behavioral interview is that past performance is the best predictor of future performance.

For example, an interviewer may ask a candidate for a management position to describe a situation in which the candidate coached a difficult employee. The candidate gives an example that illustrates past performance, while the interviewer looks for three key pieces of information:

- A description of the situation or task
- The action taken

- The result or outcome

Examples of questions used in behavioral interviews include:

- “Give me an example of an important goal that you set in the past and how you achieved it.”
- “Describe a situation when you had limited instruction on how to complete a task.”
- “Tell me how you handled a situation in which a team member was not contributing to a project.”

Competency-Based Interview

Competencies are the knowledge, skills, abilities, and other characteristics that are needed for effective job performance. Exhibit 35 describes the competency-based interview.

Exhibit 35: Competency-Based Interview

Description	Comments
• The interviewer asks questions that are based on real situations related to the competencies for the position. • The interviewer asks the candidate to provide an example of a time he or she demonstrated the competency.	• Provides insight into the candidate’s proficiency in a particular competency. • Gathers information that is predictive of what the candidate’s behavior and performance are likely to be in the position.

Source: Hoevemeyer and Falcone, *High-Impact Interview Questions*

For example, questions that focus on a competency in change management (Hoevemeyer and Falcone) might include:

- “Tell me about the most difficult change you have had to make in your professional career. How did you manage the change?”
- “Give me an example of a time when you missed the early signs of employee resistance to an organizational change.”
- “Describe a time when you felt that a planned change was inappropriate. What did you do? What were the results?”

Group Interview

Several types of interviews can be categorized as group interviews.

One type is where multiple job candidates are interviewed by one or more interviewers at the same time. This is usually done only where the job duties are clearly defined and where numerous candidates can be informed and/or asked about job requirements.

Another type of group interview is the fishbowl interview. Typically, these are interactive. One form of the fishbowl interview brings together multiple job candidates to work with each other in a true-to-life work setting. Another form pairs an applicant with a group of staff members to work on a true-to-life work issue. Either form helps an employer learn how an individual interacts with others to solve business-related issues as well as the individual’s depth of analytical skills and natural abilities as a leader and/or a team player.

The most common type of group interview is where there are multiple people in an organization that serve as interviewers for a single job candidate. Each interviewer serves a different purpose and screens the candidate for specific qualities (technical ability, culture fit, leadership skills, the ability to manage, the ability to take direction). The number of interviewers can vary but is usually no more than four or five. An HR representative may participate in a group interview. For most group interviews, candidates meet with all interviewers at the same time.

These interviews can be further described as team interviews and panel interviews.

- A team interview is used in situations where the position relies heavily on team cooperation. It is akin to a 360-degree process. Supervisors, subordinates, and peers are usually part of a team interview process.

- In a panel interview, structured questions are spread across the group. The individual who is most competent in the relevant area usually asks the question (for example, HR or a manager would ask behavioral questions to assess the ability to take direction; a peer might ask about knowledge specific to a project). In some panel interviews, interviewers may play off each other and ask questions in a “tag-team” style.

Group interviews save time for employers and the candidates. But they can be threatening situations for candidates. To reduce this threat and to help candidates loosen up and communicate, consider the role of each participant and the seating arrangements. The roles of the participants must be planned to ensure adequate coverage of job requirements. Decide before the interview what each interviewer will do and how the group will function. Where the participant sits determines whether the candidate will feel outnumbered or one of the group. Arranging chairs in a circle, in a curved pattern, with interviewers' chairs in front of but not surrounding the candidate's chair, or in living-room style can keep the interview more conversational and free-flowing.

Organizations often provide interview training to participants involved in group interviewing to ensure that they understand the job profile. Participants should also be briefed on inappropriate or illegal interview questions and how to avoid revealing proprietary organizational information. The legality of certain topics, concepts, and questions may be determined based on local or country-specific laws.

Stress Interview

A stress interview comes in many forms, from mildly provocative to aggressive interview tactics that put a candidate on the defensive.

The objective is to see how the candidate reacts under pressure. The logic behind a stress interview is that candidates who perform well under pressure in the interview will handle work stress in a similar fashion.

In a stress interview, the interviewer might show an aggressive attitude or other unusual behavior. Or the interviewer may ask puzzle-type questions. Some stress interviews present a case situation (for example, an open-ended business situation or a dilemma with a set of hard choices), requiring the candidate to describe a solution. Case interviews often test the candidate's knowledge of relevant business issues, quantitative and analytical skills, ability to prioritize and anticipate problems, and communication skills. An air traffic controller position is an example where a stress interview may be used in an attempt to replicate the working conditions.

Guidelines for Interviews

Conducting successful selection interviews requires a range of skills and abilities.

The following fundamental recommendations can help to prepare for an interview with a candidate:

- Become familiar with the duties and requirements of the open position.
- Be prepared to answer general questions about the organization.
- Formulate your questions.
- Organize the questions in the order you will be asking them.
- Review the candidate’s application, CV, and/or résumé.

The actions described in Exhibit 36 will increase the likelihood of an effective interview.

Exhibit 36: Guidelines for an Effective Interview

Action	Description
Establish rapport.	Tell the candidate what to expect during the interview. Establish an environment that encourages the candidate to relax and to provide information.
Listen carefully.	Frequently summarize or paraphrase what you hear to make sure you understand what the candidate is saying. You should observe and listen more than you talk.
Make smooth transitions from one topic to another.	An organized, logical interview works best for both you and the candidate. Cover a topic area thoroughly and then move on to the next area.
Observe nonverbal behavior.	Be aware of facial expressions, gestures, and body positions. This applies to both you and the candidate.

Action	Description
Take notes.	Taking notes will help you remember your impressions and significant pieces of information from the interview. However, stay engaged with the candidate, and don’t make notes directly on the application form, CV, or résumé.
Conclude the interview.	Ask for any questions or queries the candidate may have and tell the candidate what the next step in the process will be.

Interview Questions

Interview questions should assess an applicant’s qualifications, level of skills, and overall competence to perform the specific job. Woodard offers the following points about how an HR practitioner or hiring manager can employ effective questioning techniques:

- Turn each desired skill set or characteristic of the job (and what it takes to achieve success in the position) into a series of open-ended questions.
- Facilitate the candidates’ sharing their experience and expertise through their responses.
- Ask questions that lead a candidate to describe, in detail, his or her technical expertise, discuss core competencies, and demonstrate problem-solving behavior, learning and communication style, and other necessary attributes.

Woodard notes that certain things about a candidate are evident on the application, CV, or résumé (for example, education and years of experience). She points out how many other items may not be evident but are important to know about the candidate (for example, strong business acumen, strong communication skills, the ability to be adaptive and innovative, or the ability to lead). That is where the type of interview questions used can help to identify the right candidate for the open position.

Examples:

If you want to know about…	***Then you ask…***
How adaptive the candidate is to new ideas or concepts	"Tell me about a recent experience at work when there was a significant change and how you reacted."
An outstanding achievement	"What do you consider your most outstanding professional achievement and why?"
Negotiation skills	"Tell me about a situation in which you used your negotiation skills and the result."

Specific responses provide insights into how the candidate thinks, senses, and/or feels about certain skills and abilities.

The HR practitioner or hiring manager should identify key words and phrases he or she wants to hear that will demonstrate that a

candidate not only has the skills and experience needed but also appreciates the organization's values and shares the work ethic required for success. Based on the candidate's answers, follow-up questions may be necessary. Any follow-up questions should be open-ended questions that require thought and discussion (not close-ended questions that need only a "yes" or "no" response).

Exhibit 37 provides additional sample interview questions.

Exhibit 37: Interview Questions

Question Type	Sample Questions
Adaptive	We are small but successful. Our positions require that we all wear many hats. Please share an example of a time that you were required to be a "jack of all trades," what you did, and the outcome. Please share an experience when you think you were not as adaptive as you could have been and why.
Analytical	Explain how you used your analytical skills in your most recent position. Share an instance in which your analytical skills saved the day. Oftentimes hindsight is 20:20. Thinking back, please share a circumstance in which you didn't analyze enough and how the results would have changed if you had.
Communication	Tell me about your most successful experience with written communication—why you wrote, what you wrote, and the outcome. In most leadership roles, communication is extremely important. Please share with me a particular instance in which your communication skills saved the day. Describe an experience at work in which your communication efforts were not successful. What did you learn?

Question Type	Sample Questions
Interpersonal skills	Tell me about an experience in which your interpersonal skills helped you make a sale. Share with me at least two strengths and one weakness in your interpersonal skills and provide examples of each. Share an experience that will give me a solid understanding of the strength of your interpersonal skills.
Work ethic	Explain your understanding of the term “good work ethic,” and tell me how important you think it is to success on the job. Describe a circumstance in which you coached or counseled a team member about their work ethic. What was the trigger of the discussion, and what was the outcome?
Customer focus	Share an experience in which your customer focus changed the outcome of a negative situation. Describe an experience in which your ability to understand the customer led you to make a change in a process or a product that made it better. If you were rating a coworker on customer focus, what would you be looking at to determine their ability?

Step 3 of Talent Selection Process: Assess and Evaluate

Organizations use several methods to determine if a candidate has the potential to be successful in a job. Some organizations choose to conduct nondiscriminatory formal assessments to ensure that applicants are qualified and have the “right stuff.” Organizations with global operations may incorporate cross-cultural assessment tools. Some organizations opt to train their top talent to conduct interviews.

The thought behind involving top talent is that those individuals will have a good perspective of potential attributes that can lead to long-term success in the organization. Employers may also verify background data and use reference checks as a means of obtaining information about a candidate from sources other than the candidate.

Throughout interviewing and selection, HR professionals involved in hiring must strive for transparent decisions based on fact. Hiring the wrong person for the job is a costly mistake. Selection errors can negatively affect the organization's talent management plans as well as organizational morale, management time, training budgets, productivity, and profitability. Plus, there is the risk of litigation if selection decisions prove to be discriminatory or violate regulations.

The hiring process must be valid and must avoid biases such as the "similar-to-me" error, which leads the interviewer into emphasizing similarities with the candidate over actual qualifications. The hiring process and the tools HR uses must be reliable and valid.

Assessment Methods

Screening eliminates the obviously unqualified and reduces the applicant pool to viable candidates. Assessment methods are then used throughout the selection process to identify applicant

knowledge and skills that cannot be determined through interviews. These methods help organizations build high-quality workforces by identifying individuals who have real potential to perform effectively, achieve results, and make important contributions on the job.

There are a variety of assessments an organization may use. Applicants can be rated on aptitude, personality, abilities, honesty, motivation, cultural fit, and more. Simply using an assessment, however, does not guarantee the desired outcome of identifying the right KSAs. It is critically important that the appropriate assessment be used for the level of candidate and the position type.

Assessments may be categorized in different ways (for example, basic skills, multidimensional, and so forth). For the purposes of this discussion, the different assessment methods discussed are categorized as substantive, discretionary, and contingent. We'll also look at cross-cultural assessment tools.

Substantive Assessment Methods

Substantive assessment methods (also called pre-employment tests) help to reduce the candidate pool to finalists for the job. Substantive assessments generally facilitate more precise decisions about applicants—those who meet minimum qualifications for the job and are the most likely to be high performers if hired.

Properly designed and administered, substantive assessments help the organization make more effective employment decisions about candidates. Exhibit 38 identifies common substantive assessments.

Exhibit 38: Substantive (Pre-Employment) Assessments

Type	General Description
Cognitive ability tests	Assess skills the candidate has already learned. Measure a variety of mental abilities, such as verbal and mathematical skills, logic, reasoning, and reading comprehension. Typically consist of multiple-choice items that are administered via a paper-and-pencil instrument or computer. **Examples:** Performance tests or work sample tests that require candidates to complete an actual work task in a controlled situation may be administered.
Personality tests	Attempt to measure a person's social interaction skills and patterns of behavior. Report what might be described as traits, temperaments, or dispositions. Typically administered in a paper-and-pencil or computer format. **Examples:** Inventories consisting of several multiple-choice or true/false items measure personality factors such as conscientiousness, extroversion, agreeableness, openness to experience, and emotional stability.
Aptitude tests	Measure the general ability or capacity to learn or acquire a new skill. Look at a person's innate capacity to function. Predict learning and training success. **Example:** A test measures the natural aptitude for computers and problem solving for computer professions (for example, systems analyst, programmer, network manager).

Type	General Description
Psychomotor tests	Require a candidate to demonstrate a minimum degree of strength, physical dexterity, and coordination in a specialized skill area. Based on key job duties and responsibilities; they are appropriate only if the primary duties and responsibilities of the job require such abilities. **Example:** A manual dexterity test is administered to a candidate for a factory assembly job.
Assessment centers	Not necessarily a place but rather a method of assessing higher-level managerial and supervisory competencies. Require candidates to complete a series of exercises that simulate actual situations, problems, and tasks they would face on the job for which they are being considered. Usually last at least a day and up to several days. Trained assessors observe the performance of candidates during the assessment process and evaluate them on a standardized rating. **Example:** Candidates go through a battery of standardized tests and exercises such as pencil-and-paper tests, comprehensive interviews, individual and/or group role-play exercises, in-basket exercises, and work-related performance tests.

Seemingly straightforward, assessing skill sets with substantive assessment tools has unique challenges in a global environment. Interpreting skill sets across different cultures can be difficult. In the IT arena, for example, three years of programming experience in Israel is quite different from the same number of years in the United States, India, or Singapore.

Discretionary Assessment Methods

Discretionary assessment methods are used in some circumstances to separate those who receive job offers from the list of finalists (assuming that each finalist is considered fully qualified for position). Sometimes discretionary methods are not used because all finalists may receive job offers.

Herbert Heneman, Timothy Judge, and John Kammeyer-Mueller discuss discretionary assessments in *Staffing Organizations.* According to the authors:

- Applicant characteristics that are assessed are typically very subjective and rely heavily on the intuition of the decision maker.
- Organizations intent on maintaining strong cultures may consider assessing the person/organization match.

  Examples:

  Finalists must fulfill all of the job requirements, and they are also expected to fulfill some roles outside the requirements of the job, called organizational citizenship behaviors (for example, helping others at work, covering for an ill coworker, and being courteous). A discretionary assessment assesses a candidate on the likelihood of such behaviors.

  A discretionary assessment assesses a candidate against the organization's staffing philosophy regarding employment equity (for example, the organizational

commitment to enhance the representation of minorities and women in the workforce). The demographic characteristics of the finalists may be given weight in the decision about to whom the job offer will be extended.

Largely because of their subjective nature, discretionary assessments should not be used solo; substantive methods should precede them.

Contingent Assessment Methods

The use of contingent assessments depends on the nature of the job and legal mandates. They are not always needed.

Virtually any selection method can be used as a contingent method (Heneman, Judge, and Kammeyer-Mueller). And, depending on organizational preference or policies and procedures, contingent assessments may be done at different points in the selection process. For example, a hospital may verify that an applicant for a nursing position possesses a valid nursing license before an in-depth interview or after a tentative offer has been made.

While some assessments may be used during initial screening or as substantive or contingent assessments, there are some selection tests that should only be used as contingent assessments for legal compliance. Drug tests and medical tests are two examples.

Furthermore, the ability to use these kinds of tests is dictated by local laws and influenced by culture norms.

Exhibit 39 describes characteristics of contingent drug testing and medical exams.

Exhibit 39: Contingent Assessments

Type	General Description
Drug tests	A procedure used by organizations to assess those who abuse alcohol and drugs. May eliminate candidates with negative work behaviors that could jeopardize the safety of others or expose the organization to potential liabilities and other risks. Testing usually takes place at an independent laboratory away from the business premises; care must be taken to ensure that the lab is reputable and reliable and that all samples are authentic and not contaminated. Requires proper procedures to maintain an applicant's right to privacy. Also called "substance abuse tests." **Examples:** Urine and blood tests to screen for alcohol and controlled substances.

Type	General Description
Medical exams	Often used to identify potential health or fitness risks in job candidates. Care must be taken to ensure that medical exams are (1) used only when a compelling reason for them exists (for example, they must be job-related and individuals with disabilities unrelated to job performance must not be screened out) and (2) performed at the correct time during the hiring process as prescribed by law. Reasons for rejecting an applicant on the basis of the exam must be job-related. **Examples:** A medical test administered by a health-care professional (or someone trained by such a professional) to identify potential health conditions that prohibit adequate functioning in a specific job or performing clusters of tasks (such as hypertension that impacts an airline pilot's in-flight abilities).

Cross-Cultural Assessment Tools

Professional cultural assessment tools can also be valuable, especially in organizations with global operations. These instruments have often gone through a rigorous development and quality control process to help ensure their validity, reliability, and currency.

Exhibit 40 presents a partial list of instruments to serve as an illustrative example of available resources. HR professionals are encouraged to do their own research so that they can select the instruments that are most current and consistent with their purposes. Also, keep in mind that a selection decision should not be based solely on the results of any one individual assessment instrument;

assessment results should be used in conjunction with other selection methods.

Exhibit 40: Examples of Cultural Assessment Tools

Assessment Instrument	Focus
Cross-Cultural Adaptability Inventory (CCAI)	A self-scoring assessment instrument that can help individuals or groups identify their current strengths and weaknesses within four critical skill areas important for effective cross-cultural communication and interaction: adapting to new situations, interacting with people different from oneself, tolerating ambiguity, and maintaining a sense of self in new or different surroundings.
Cultural Orientations Indicator®(COI®)	Web-based cross-cultural assessment tool that allows individuals to assess their work style and cultural preferences. Provides respondents with recommendations and suggests relevant resources for building effective skills and cultural agility.
Intercultural Development Inventory (IDI)	Statistically reliable, valid measure of intercultural competence; 50-item inventory based on Development Model of Intercultural Sensitivity (DMIS) to assess the extent of an individual's intercultural development along a continuum.
SAGE (Self-Assessment for Global Endeavors)	Assessment tool organizations can use to assist in decision making for employees contemplating a global assignment. Can also be used by candidates to evaluate three areas (self, career, and family) before making the decision to accept a global assignment. Includes a version for spouses/partners to identify strengths and areas of challenge that may confront them on an international assignment.

Considerations in Using Assessments

Key Content

It is important to establish equity and cost-effectiveness in assessment. The organization and the prospective candidates are all conducting their own evaluations of the other party, and the experience a candidate has can impact the organization's ability to recruit future applicants.

Consideration must be given to the costs for assessments as well as the overall costs of the selection program. Some assessment methods cost significantly more to develop and administer than others. For an organization to be profitable, it must be able to attract and retain good employees. In the final analysis, a selection program must be measured by the extent to which it fulfills the long-term needs of the organization. Therefore, an important measurement of selection lies in such factors as percentage successfully completing onboarding and orientation, performance on the job, reduction of employee turnover, and retention of employees.

Background Investigations and Reference Checks

Organizations typically wait to verify a candidate's background information and check references until it has been decided that the applicant is a good candidate for the job. It is important to recognize that the legality of certain types of background checks, such as criminal background checks or credit checks, will vary by locale.

Most organizations include a statement on the application form asking the candidate's permission to seek information from former employers. If there is no such statement on the application, the employer should obtain a signed release from the candidate indicating that it is understood that the employer may seek confidential information from former employers or other sources.

Background investigations should be the same for all candidates applying for the same job. Investigations should be job-related, and there should be a clear connection with the requirements of the job.

Reference checks are used to verify previous employment and learn about the applicant's aptitude and character. Employers perform these checks by contacting the applicant's former employers, learning institutions, and personal references. Feedback from reference checks should include not just factual corroboration; previous bosses or employers should be interviewed as well (if privacy laws permit).

Verifying background data and checking references seems deceptively simple. Circumstances across the globe, however, can make it challenging to accurately assess the credentials of candidates.

A small sample follows to make the point.

Examples:

International background checks. In the United States, federal and state legislation require a permissible use for the information commonly used in background checks, and there are strict guidelines regarding information handling and ensuring accuracy and reliability. In the European Union, the ability to access information in various countries is dependent on compliance with global information exchange rules for ensuring data security across international borders. Internationally, however, there are some countries with few standards for employment screening processes.

Employment, education, and reference checks. Data such as employment and education information and references is generally requested directly from the relevant employers or educational institutions. In addition to electronic correspondence, this usually requires multiple long distance phone calls and faxes and, in some cases, local language proficiency. In the United

States, such verifications must be complete and accurate.

In some countries, background and reference checks can be difficult. For example, it may be virtually impossible to locate an organization or individual without precise contact information, particularly if language differences exist.

Step 4 of Talent Selection Process: Select and Offer

The last step in the selection process is to bring everything together to complete candidate evaluations and make hiring recommendations. It is important to document results and be systematic in the recommendation process. This step is made easier if interviews were carefully structured and valid and reliable instruments were used to gather data.

Ideally, the selection process should be aimed at selecting a pool of candidates, not just a single person. The organization has more options and flexibility with several individuals as opposed to just one candidate.

Decision Process

The decision process may vary across organizations and countries, but it should be consistent when applied to a group of candidates applying for the same position. Typically, the process consists of the following steps:

- Organize and summarize information in terms of selection criteria.
- Identify and rank acceptable candidates.
- Collect additional information as necessary.
- Make an offer to the top candidate.

Additional details on each of these steps follow. The information presented includes relevant global considerations.

Step 1: Organize/Summarize Information in Terms of Selection Criteria.

All information collected by people involved in the search process should be stored in a single file or database (for example, an automated tracking system). This data should be reviewed to ensure that all critical information has been collected and that the same level of detail is available for each viable candidate.

Exhibit 41 includes good practices as well as some special considerations related to global operations and diverse and inclusive workplaces.

Exhibit 41: Considerations for Selection Data

Organizing and Summarizing Selection Data	
• Do not automatically discredit someone with incomplete data until it is determined that the omission was not related to environmental conditions, such as difficulty of obtaining records. • If information from interviews is sparse or sheds little light on the candidate's capabilities, consider that language or cultural difficulties may have gotten in the way, particularly for phone interviews.	• Be careful not to confuse lack of language ability with lack of intelligence. It is easy for highly verbal second-language candidates to appear relatively stronger than those with lesser language skills. • If language skills are, in fact, necessary for the job and were included in the original selection criteria, then they should be given the appropriate weight. If not, they should be discounted.

Step 2: Identify and Rank Acceptable Candidates.

An initial review of the data should focus on removing candidates who should not be considered because of clear deficiencies or insufficient data. This initial review should be as systematic and as carefully documented as other steps in the decision process to enable evaluation for possible bias and to conform to legal requirements. In addition, information about candidates who may be acceptable for other positions should be kept on file unless prevented by legal requirements.

Following the initial review, each candidate should be rated in terms of the previously identified selection criteria, with explanations provided.

Special considerations that should be taken when prioritizing candidates are summarized in Exhibit 42.

Exhibit 42: Considerations for Prioritizing Candidates

Prioritizing Candidates	
• Consider each data source when evaluating a candidate on a given criterion to ensure a broad understanding of the candidate. • Use a variety of reviewers for each candidate. In global contexts, include someone who understands the candidate's native language and culture and someone who has had actual experience in the local job environment. • If the candidate has submitted written data in a language different from those of the reviewers, the material should be translated.	• Take into account cultural differences when reviewing interview data; some countries expect humility, while others put a higher value on self-confidence and expression. • When considering numerical ratings given on each selection criterion, do not rely completely on a mathematical formula for ranking candidates; it may exaggerate personal and cultural differences.

Step 3: Collect Additional Information as Necessary.

An initial prioritization of the candidates will reveal areas where additional information is needed for clarification or to make more precise determinations among candidates. This often involves more formal and time-consuming methods, including additional interviews with the candidates or job simulations, to address ambiguities and fill in information gaps.

General guidelines for collecting additional information are shown in Exhibit 43.

Exhibit 43: Considerations for Gathering Additional Data

Gathering Additional Data	
• Consider using alternative information-gathering approaches when information gaps are found for specific individuals or criteria. • Be alert to the possibility that data gaps or ambiguities are due to cultural or language differences.	• If information is needed other than that originally requested, be sure that all candidates are given the opportunity to provide the same additional information. • Explain the reason why additional information is required to enable the candidates to fulfill the request effectively.

Step 4: Make an Offer to the Top Candidate.

It is important to understand the differences between a contingent job offer, an employment offer, and a contract. The three concepts are described below.

- **Contingent job offer.** Organizations may make a job offer that is contingent on the candidate passing certain tests or meeting certain requirements. The tests or requirements specified in a contingent job offer may include a medical examination, a physical fitness test, and/or a psychological test.

- **Employment offer.** An employment offer is an oral or written communication that formally offers the applicant the job. An

employment offer should quickly follow the selection of the most-qualified candidate. Mishandling this part of the process can result in losing the candidate to another organization or can give the employment relationship a negative start even if the candidate accepts the position.

An employment offer is formally communicated through an offer letter. Employment offers must be worded carefully:

- Use a standard letter that has been approved by the organization’s legal counsel.
- Clearly state the terms of the offer and any contingencies.
- Establish a reasonable acceptance deadline.
- Clearly state the acceptance details (for example, requiring a signature returned on a duplicate copy of the offer letter).

In some countries, the offer letter is followed by little or no negotiation. Both the candidate and the organization have a mutual understanding about what the offer letter will include before the formal offer is made. In other countries, the offer letter may be the starting point of a long negotiation. Negotiations may take place with regard to many different topics, including salary, relocation assistance, paid time off, telecommuting, and variable job share (when two people share the same role but split the necessary work hours).

After the negotiations are complete, the offer and contract of employment may be finalized.

- **Employment contract.** An employment contract is a written agreement between the organization and an employee that explains the employment relationship. The contract helps clarify employment terms. Whether a contract is used and its specific terms will vary based on the organization, the job, and applicable local laws. The following list provides examples of items commonly covered in an employment contract:
    - Terms and conditions of employment
    - General duties and job expectations of the employee
    - Confidentiality and nondisclosure terms
    - Compensation and benefits
    - Terms for resignation or termination
    - Relocation
    - Severance provisions
    - Notice periods (which can be legally binding on the employee and the organization)
    - Appropriate signatures and date

A contingent job offer (if made) precedes an offer or a contract. Typically, the employment offer precedes a contract.

What is the difference between an offer and a contract? The legal distinction may vary from country to country. In general, an offer is not legally binding and can be retracted at any time. A contract confers specific legal obligations on both the organization and the new employee. In some countries, the contract can be very difficult to break without significant costs.

Legal counsel should be involved in developing any offer letter or contract.

Handling Nonselected Candidates

Candidates who are not selected for the open position should be notified promptly. A personal phone call or letter is the preferred method for such notifications. However, standardized rejection letters may be necessary when there are numerous applicants. If possible, add a paragraph to the letter showing that the organization has given careful thought to the candidate and to the selection. For example, the letter can indicate that the selection was a difficult decision and that the deciding factor was the need for a specific skill or competency in the candidate. The candidate is more likely to feel respected and to retain a positive impression of the organization.

Organizational and country culture influence the choice of how to handle nonselected candidates.

Providing a Positive Candidate Experience

The candidate experience is an important aspect of the process of selecting—and hiring—the right candidate.

The candidate experience is an important aspect of the process of selecting—and hiring—the right candidate. Just as the organization is building opinions and making decisions based on the candidate's qualities and presentation, candidates are building opinions of an organization based on a variety of factors. Long before they even participate in an interview, they are forming opinions about the company. The candidate experience may be considered as a combination of three criteria:

- Process speed
- Process transparency
- Appreciation for the candidate

If a candidate forms a negative opinion through the process, they may reject a job offer or require a stronger compensation package to accept an offer. They may also influence other candidates or personal and professional acquaintances to apply—or not. Specific hiring process factors that candidates may use to generate their opinion of the company include the ease of application, the number

of interviews they must go through, how their time is respected, and how communication is handled. These are described in Exhibit 44.

Exhibit 44: Methods to Provide a Positive Candidate Experience

Method	Examples
Streamlined application process	May include a mobile-friendly process, accepting quick applications from sites such as LinkedIn or job boards, accepting PDF resumes without requiring candidates to manually enter information into an online form, or allowing alternative application methods such as paper or e-mail applications.
Limited rounds of interviews	May include conducting interviews with multiple stakeholders on the same day or using panel or team interview techniques to avoid the necessity for separate interviews with every member of the interview decision group.
Fair consideration of time	May include taking candidates' availability for interviews into account (as opposed to unilaterally dictating a date and time), limiting interview length to minimum requirements, and sticking to time lines provided to candidates during the interview and decision process.
Frequent communication	May include regular updates throughout the interview process, from confirmation of application receipt all the way through the extension of an offer or communication of rejection, continued communication between offer acceptance and the start date, and a specific point of contact for questions during the process.

Onboarding and Assimilation

Proficiency indicators related to this section include:

- Advises and coaches hiring mangers on best practices related to job descriptions, interviews, onboarding and candidate experience.
- Implements effective onboarding and orientation programs for new employees.
- Designs and oversees employee onboarding processes.

Key concepts related to this section include:

- Approaches to employee onboarding (examples include orientation, buddy system, personalization).

Onboarding and Assimilation

HR professionals need to focus on more than just orienting new hires to specific job tasks and tools and departmental processes. Retention and performance are improved when new employees begin to feel part of the organization. This requires more than a day or week; it may take months for the new hire to form social attachments and understand the organization's culture.

Competency Connection

When a newly hired operator failed to perform a maintenance activity that created safety risks for himself, colleagues, and the general population, the CEO of a large company asked HR to examine the effectiveness of the company's onboarding process.

The HR manager assigned to the task discovered quickly that the position in question required various skills that would necessitate training and coaching by several people rather than just one. The HR manager decided to modify the onboarding procedure for newly hired operators. First, a group of senior employees was designated to act as tutors for new operators. These tutors had to have ten years of experience and demonstrate commitment to the company's practices and values.

The engagement of the tutors was critical to this initiative. At first, the tutors saw the task as additional workload and resisted the change in process. The HR manager successfully communicated the purpose of the new approach and its importance to the organization and its goals. The tutors were teaching job skills, but, equally important, they were responsible for imparting and modeling the right mindset for the job and for the organization. HR supported the tutors' task with new training designed specifically to make them effective trainers.

By using the Consultation competency, the HR manager helped introduce a critical change in practices into the organization.

Onboarding and Assimilation Process

The period during and immediately following hiring clearly provides a critical opportunity to create engaged workers. However, information from the most recent "State of the American Workplace" report from Gallup shows that only 12% of workers agree that their organization does a great job of onboarding employees. Previous iterations of the report have shown that workers are more engaged in their first six months on a job than they are at any other stage of their employment with a company. Still, at that point, only about 52% of employees are engaged.

Key Content

Engagement opportunities begin before an employee is even hired. Recruiting and selecting the right candidate based on alignment with the organizational goals and strategic plan sets the stage for engagement. Effective orientation sets expectations, connects the employee with managers and coworkers, and puts the employee on an engaged trajectory. Regular feedback, learning opportunities, and competency-based compensation plans can solidify engagement and organizational commitment.

A number of surveys have been conducted to examine the key moments that define the employee experience—for example, Brilliant Ink (2013), Gallup (2018), and Hi Bob (2020)—and correlated them to the most commonly accepted measures of employee engagement: satisfaction, advocacy, retention, and company pride. Here are some steps, supported by data from the surveys, that HR professionals can take to influence organizations to transform their employees' experiences and facilitate engagement throughout talent acquisition.

1. **Make the job hunt simple, seamless, and informative.** Prospective employees are forming opinions about the organization before interacting with it, which affects not only recruiting efforts but also long-term engagement. According to the Brilliant Ink survey," up to 82% of job prospects rely on company websites as a primary means for learning about a company. However, almost 40% of those prospects feel that the information isn't valuable. Ensure that the company's careers page and all public-facing job listings are current, informative, and meaningful.

2. **Create accurate first impressions.** A simple job interview can have an impact on long-term engagement. Up to a quarter of the Brilliant Ink study's respondents felt misled by the interview process and were less likely to be engaged as a result. Make sure that the position you're "selling" during the hiring process mirrors the role that the candidate will actually fill.

3. **Make the first day count.** Almost half of respondents described the first day on the job as disorganized, dull, or confusing, which ultimately led to lower levels of long-term engagement. Create a meaningful first day with an orientation experience that provides new employees with information

specific to their job functions and connects them to the company's mission and values.

4. **Give employees a structured onboarding experience.** Employee excitement dips dramatically over the first three months of employment, and maybe that's to be expected. But we also know that most employees report not having any kind of structured onboarding approach during their first 90 days on the job. Those who did not have structured onboarding were more likely to report lower engagement scores, too.

5. **Provide a "buddy."** Use of a buddy system may accelerate the productivity of new hires and enhance job satisfaction so that the new employees stay with the company. The buddy can make the new employee feel welcome, answer questions, and help the new person navigate through the organization's culture. A friendly, seasoned employee who has high personal performance standards and a positive attitude, who communicates well, and who understands organizational practices, culture, processes, and systems is a good buddy candidate. However, the buddy's role is not to be the new employee's supervisor. Training and communicating performance standards and providing evaluations builds a

foundation for the supervisor to guide the employee in the future and should not be delegated to the buddy.

6. **Show employees a path to success.** Employees want to know where their careers are headed, and having conversations about future options is important to retaining the most valuable people. Most employees aren't having those conversations during the hiring process; 40% aren't even having them during annual performance reviews. While many companies have established career development programs, it's also the job of an HR leader to promote these programs and monitor them for effectiveness.

New hires need to hit the ground running, and, as noted above, orientation and onboarding are important initiatives to help accomplish this.

Orientation and Onboarding Tactics

Through **orientation ,** an employee becomes familiar with the organization as well as his or her department, coworkers, and the job. Orientation generally lasts one to two days and helps the employee develop a realistic image of the organization and/or the job (which benefits both the organization and the employee).

Onboarding encompasses orientation as well as the first months of an employee's tenure in a position. Onboarding programs help employees develop positive working relationships with their supervisor, coworkers, and others with whom they will need to interact while performing their work.

Onboarding programs may be informal or formal.

Through informal onboarding, an employee learns about his or her job without a structured plan. Much of the acclimation process in informal onboarding is left up to the employee to figure out.

True to their name, formal onboarding programs are much more structured. Formal onboarding may start during the recruitment and selection process and extend through several months on the job. With formal onboarding, orientation rolls into additional structured activities. Some formal onboarding programs last through the employee's first year—or longer—in a new position.

The remaining content here focuses on formal onboarding.

Formal onboarding initiatives are typically coordinated efforts involving HR, supervisors, and colleagues of the new employee. Depending on the level of the position (for example, executives or management), senior leadership may also be involved.

Onboarding is usually tailored to the type of position. For example, many of the onboarding activities for an entry-level position would differ from those planned for a mid-level manager. The duration of onboarding activities may also vary. But the overarching goals are the same regardless of position level, with the intent to:

- Teach the new employee about his or her role in terms of tasks and socialization.
- Integrate the new employee into the organizational culture and norms that are established.
- Build relationships and create a sense of acceptance for the new employee.

Onboarding may also be personalized to the individual. This process focuses on recognizing the unique skills, abilities, and perspectives that a new employee will bring to the organization. It can be tailored to account for individual comfort levels with new tasks, individuals, and cultures, allowing individuals to onboard at their own pace. It may involve small touches such as welcome screens and pre-installed name plates and scheduled and planned items such as welcome meetings and tours with managers and coworkers.

The value of an onboarding process is that it provides a strategy for an employee to succeed. Onboarding programs help to improve

employee productivity and performance. Well executed, onboarding helps to boost employee engagement and retention.

Specific benefits derived from onboarding will vary across organizations and even within an organization. Generally, by implementing onboarding programs most organizations see a reduction in employee turnover rates. New employees typically experience less job stress and develop a stronger commitment to the organization faster. Many of the components of an onboarding process enhance the work experience for established employees who are tapped to participate in the acclimation of new employees.

Together, orientation and onboarding help employees feel comfortable in a position sooner, which has the potential to result in contributing to the organization's success sooner. These practices integrate new employees into the organization and prepare new hires to succeed at their jobs and to become engaged, productive members of the organization.

Exhibit 45 summarizes some practices that can increase employee engagement from the time a candidate applies for a job through the onboarding experience.

Exhibit 45: Practices to Increase Employee Engagement During Hiring

To Increase Engagement	To Increase Commitment
Recruiting	
Target qualified applicants likely to find the work interesting and challenging. Ensure that recruitment messages: • Communicate attractive job features to enhance person-job fit. • Encourage those who are not suited to the work to self-select out.	Highlight the employee side of the exchange relationship—pay and benefits, advancement opportunities, flexible work hours. Recognize and address commitment congruence (for example, work/life balance).
Employee Selection	
Select the right individual for the right job. Choose candidates most likely to: • Perform job duties well. • Contribute voluntary behaviors. • Fit the organization's culture.	Present selection hurdles that are relevant to the job in question. Create a positive first impression of your company's competence.
Employee Onboarding	
Describe expectations clearly. Encourage social connections at work: • Introduce new employees to employees with whom they have something in common. • Include them in teams that have a common goal. • Implement a "buddy program" (typically for the first six to eight months). • Do not discourage a reasonable amount of socializing.	Have a highly engaged corps of leaders and managers. Provide tools needed to do the job. Give a workplace tour.

Employee Engagement & Retention

Employee Engagement & Retention refers to activities aimed at retaining talent, solidifying and improving the relationship between employees and the organization, creating a thriving and energized workforce, and developing effective strategies to address appropriate performance expectations from employees at all levels.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Administers and supports HR and organizational programs designed to improve the employee experience, including engagement and culture (examples include social events, telecommuting policies, recognition, job design, workplace flexibility).
- Coaches supervisors on creating positive working relationships with their employees.
- Designs, administers, analyzes and interprets surveys on employee engagement, job satisfaction and culture using best practices.
- Helps stakeholders understand the elements of satisfactory employee performance and performance management.
- Identifies program opportunities to create more engaging or motivating jobs (examples include job enrichment/enlargement).
- Implements and monitors processes that measure effectiveness of performance management systems.
- Monitors changes in turnover and retention metrics, and ensures that leadership is aware of such changes.
- Trains stakeholders on use of organization’s performance management systems.

Proficiency indicators for **advanced HR professionals** include:

- Collaborates with business leaders to define an organizational strategy to create a positive employee experience and an engaged workforce.
- Communicates the results of surveys of employee attitudes and culture.
- Designs and oversees HR and organizational programs designed to improve employee engagement and satisfaction (examples include social events, telecommuting policies, recognition, job design, workplace flexibility).
- Designs and oversees best practice-based employee performance management systems that meet the organization's talent management needs.
- Designs and oversees processes to measure the effectiveness of performance management systems.
- Designs, oversees and communicates an action plan to address the findings of surveys on employee engagement, job satisfaction and culture.
- Holistically monitors the organization's metrics on employee attitudes, turnover and retention, and other information about employee engagement and retention.
- Implements best practices for employee retention in HR programs, practices, and policies (examples include realistic job

previews [RJP], career development programs, employee socialization).

Key Concepts:

- Approaches to developing and maintaining a positive organizational culture (examples include learning strategies, communication strategies, building values, personalized employee experience).
- Approaches to recognition (examples include performance or service awards, spot awards, point-based system, peer-to-peer recognition, personalized rewards).
- Approaches to supporting employee wellness (examples include mental health programs, financial wellness programs, stress management programs, work/life integration).
- Employee lifecycle phases (examples include recruitment, integration, development, departure).
- Employee retention concepts and best practices (examples include realistic job previews [RJP], suggestion mechanisms, identifying causes of turnover, predictive attrition analysis, personalized onboarding).
- Influence of culture on organizational outcomes (examples include organizational performance, organizational learning, innovation, risk taking).

- Job attitude theories and basic principles (examples include engagement, satisfaction, commitment, involvement).
- Job design principles and techniques (examples include job enrichment, job enlargement, job rotation, work simplification).
- Key components of, and best practices associated with, performance management systems (examples include dashboard, calibration, user training, goal recording).
- Methods for assessing employee engagement and satisfaction (examples include focus groups, stay interviews, surveys).
- Principles of effective performance appraisal (examples include goal setting, frequent feedback).
- Retention and turnover metrics (examples include quality of hire, voluntary turnover rate, turnover at a specific location or level, vacancy rate).
- Types of organizational cultures (examples include authoritarian, mechanistic, participative, learning, high performance).
- Workplace flexibility programs (examples include telecommuting, alternative work schedules, job sharing).

Employee Engagement & Retention

Retaining talent and ensuring that employees remain dedicated to the organization's mission can be a difficult task. Because individual employees are motivated (and demotivated) in different ways, it is crucial that HR professionals understand the types, benefits, and challenges of employee engagement. This will equip HR professionals with the necessary tools and strategies to successfully keep employees engaged.

Understanding the basics of employee engagement can provide insight, but, in order to affect employee engagement, the organization needs to know current employee engagement levels. Conducting surveys and stay interviews are two methods by which an organization may strive to understand the engagement levels of its employees. Those processes should be conducted regularly to keep up to date on changes within the workforce.

Organizations can help to ensure consistent levels of employee engagement by developing employee engagement and retention programs. These programs focus on creating engagement at every step in the employee life cycle, from recruiting and hiring to exit from the organization. A key component of employee engagement—and the organization's own competency development and retention—is its performance management system.

As is the case with most organizational processes, the employee engagement and retention strategy must be evaluated regularly. Paying close attention to engagement and retention metrics can help uncover issues in time to keep employees from becoming disengaged and leaving the company.

Understanding Employee Engagement and Retention

Proficiency indicators related to this section include:

- Coaches supervisors on creating positive working relationships with their employees.
- Collaborates with business leaders to define an organizational strategy to create a positive employee experience and an engaged workforce.

Key concepts related to this section include:

- Approaches to developing and maintaining a positive organizational culture (examples include learning strategies, communication strategies, building values, personalized employee experience).
- Influence of culture on organizational outcomes (examples include organizational performance, organizational learning, innovation, risk taking).
- Job attitude theories and basic principles (examples include engagement, satisfaction, commitment, involvement).
- Types of organizational cultures (examples include authoritarian, mechanistic, participative, learning, high performance).

Understanding Employee Engagement and Retention

Employee engagement may be described as a way of leveraging employees' full talents by creating a mutually beneficial relationship in which employees perceive that they are heard and valued by the employer.

Competency Connection

An HR business partner in an organization focusing on highly technical engineering and testing was faced with a significant engagement and retention problem among highly skilled workers. Risks and job stress were high in this position, and the opportunity to leave for better pay and work conditions was available and growing.

The situation was well known within the organization but had not been satisfactorily addressed. Years of policies and politics had led to salaries that were not aligned with market levels. Internal partners did not understand the significant impact these roles had on project success and the bottom line.

The tipping point came after numerous employee surveys, documented attrition, and a communication from employees about

their concerns and their feeling that the company did not appreciate their value, as evidenced in lower salaries and stressful work schedules. The HR business partner was assigned to create a response to these issues.

The business partner decided to take a different approach from previous efforts to address the problem. He would focus not only on the employees' needs but also on the impact that poor engagement was having on the business.

Working with the business leaders, the HR business partner helped them to craft a proposal to the company leadership to identify the concerns and issues of the employees and also articulate the bottom-line impacts if significant improvements were not made in compensation and work schedules. The cross-functional team focused on two immediate actions (salary adjustment and schedule framework) that would have an immediate impact. The resulting proposal included the cost impacts of both implementing and failing to implement the changes.

As a result, the company leadership unanimously supported a significant compensation adjustment and implemented a completely different approach to coordinating work rules. The actions were implemented within four weeks of the original employee communication, and the implementation of both activities changed

several employees' minds about looking for opportunities elsewhere. Losing those employees might have led to missing commitments to key customers and damaging current and future revenue and the company reputation.

The HR business partner demonstrated mastery of Business Acumen in understanding the implications of the labor market and in helping to craft a proposal that combined company and employee goals. Communication skills were essential in helping leaders to understand the impact of poor levels of engagement. The Leadership & Navigation competency was also needed to influence leaders both within HR and within senior management.

Types and Benefits of Engagement

Employee engagement is a broader concept than employee satisfaction, commitment, and morale. It is an outcome-driven concept—certain employee and employer/workforce characteristics can lead to employee behaviors that positively influence individual- and business-level performance.

The majority of HR professionals and management consultants define employee engagement in terms of organizational commitment (a desire to stay with the organization in the future) and employees' willingness to "go the extra mile," which includes extra-role behavior

and discretionary effort that promotes the effective functioning of the entire organization.

Wilmar Schaufeli and Arnold Bakker view employee engagement as the antithesis of “employee burnout,” characterized by:

- **Vigor.** Employees show high levels of energy and invest effort into their work.
- **Dedication.** Employees are involved in their work and have a sense of pride and enthusiasm about it.
- **Absorption.** Employees are fully concentrated on and completely engrossed in their work.

William H. Macey and Benjamin Schneider have written extensively about employee engagement, and their definition includes psychological, emotional, and behavioral dimensions. They describe three facets that relate directly to the work of HR professionals.

- **Trait engagement** describes the inherent personality-based elements that make an individual predisposed to being engaged—a natural curiosity, a desire to be involved, an interest in problem solving. These traits may figure into recruiting and hiring efforts.

- **State engagement** is influenced by workplace conditions or practices (for example, task variety, opportunities to participate in work decisions) that can be improved through organizational interventions directly under management's control.

- **Behavioral engagement** is evident in the effort employees put into their jobs, which leads to greater value, creating higher performance than from their less-engaged counterparts. It can occur when both trait and state engagement are present.

Academic literature review also suggests that employers need to beware of engendering an undesirable form of engagement—transactional engagement—where employees appear engaged, for example, by working longer hours and even responding as such in engagement surveys, but are not actually engaged. An individual may act in an engaged way because that is the organizational expectation and they will be rewarded for doing so (and potentially punished for not doing so) but not in reality feel motivated by or committed to their role or their employer organization. If this "façade" of engagement is mistaken for "real" engagement, it may present risks to the sustainability of employees' engagement and performance and employees' well-being. Transactional engagement is associated with negative well-being outcomes. By contrast, when

employees not only behave in an engaged way but also think and feel engaged, this is associated with positive well-being outcomes.

It should be noted that employee engagement is distinct from employee involvement. Employee involvement refers to bringing employees into the decision-making process and involving them in continuous improvement and relevant change initiatives. Encouraging involvement can boost engagement and motivation, as it can give employees a sense of ownership in and connection to organizational problem solving and overall success.

Benefits of Employee Engagement

In 2020, the Gallup organization, based in Washington, D.C., conducted its tenth meta-analysis on the Q12 Engagement Survey, using 456 research studies across 276 organizations in 54 industries and 96 countries. Within each study, Gallup researchers statistically calculated the business/work unit relationship between employee engagement and 11 performance outcomes that the organization supplied. Over 112,000 business and work units were studied, and over 2.7 million employees were surveyed. This tenth iteration of the meta-analysis further confirmed the well-established connection between employee engagement and nine performance outcomes.

Median differences between those units that scored in the top quartile of engagement and those that scored at the bottom quartile were:

- 10% in customer loyalty/engagement.
- 23% in profitability.
- 18% in sales productivity.
- 14% in production records productivity.
- 18% in turnover in high-turnover organizations, 43% in low-turnover organizations.
- 64% in employee safety incidents. (Health-care employers also reported a 58% difference in numbers of safety accidents involving patients.)
- 28% in shrinkage (thefts).
- 81% in absenteeism.
- 41% in quality (defects).
- 66% in well-being (thriving employees).
- 13% in organizational citizenship behaviors.

Key Content

An organization’s strategic plan is advanced by creating an environment that promotes positive relations between employees and management, that seeks to balance the

needs of employees with those of the organization, and that is marked by greater employee engagement.

Drivers of Employee Engagement

Four drivers of engagement appear to be consistent among employees around the world:

- The work itself, including opportunities for development
- Confidence and trust in leadership
- Recognition and rewards
- Organizational communication that is delivered in a timely and orderly way

However, each of these drivers may be presented differently based on things such as cultural differences. Because of these differences, multinational organizations must be careful not to approach employee engagement in an ethnocentric or headquarters-defined manner. They should also be careful in interpreting data from employee surveys, avoiding taking action based on data from just one or two countries and considering how a broad cross section of employees in various countries have responded.

In looking to engage employees globally, employers should:

- View global HR decisions in the context of national culture.
- Use valid research—not stereotypes—to align HR practices for a local population with actual employee attitudes and perceptions.
- Remember that the norm for engagement varies widely from country to country, making it critical to have data on national norms to interpret employee surveys correctly.

Other interpretations of global engagement drivers exist. As part of its proprietary engagement model, Aon Hewitt (formerly Hewitt, bought by Aon Corporation in 2010) identifies “work experience factors” that impact engagement. Aon notes that these engagement drivers (shown in Exhibit 46) are within the organization’s control.

Exhibit 46: Engagement Drivers

Work Experience Engagement Drivers	
Engaging leadership	Senior leadership The manager
Talent focus	Brand Career and development Performance management Rewards and recognition Talent and staffing

Work Experience Engagement Drivers	
The work	Empowerment/autonomy Work tasks Work/life balance Job satisfaction
The basics	Job security Safety Risk Survey follow-up
Agility	Collaboration Customer focus Decision making Diversity, equity, and inclusion Enabling infrastructure

Source: “2018 Trends in Global Employee Engagement,” Aon Hewitt

The Aon Hewitt engagement model categorizes engagement outcomes as “say,” “stay,” and “strive.” According to Aon Hewitt, engaged employees:

- Say—Speak positively about the organization to coworkers, potential employees, and customers.
- Stay—Have an intense sense of belonging and a desire to be a part of the organization.
- Strive—Are motivated and exert effort toward success in their job and for the company.

Research data compiled in Aon Hewitt's "2018 Trends in Global Employee Engagement" report cited here come from its five-year rolling employee research database and represent the views of over 8 million employees across more than 1,000 large and small companies located around the world in more than 60 industries. Findings in the 2018 report note that organizations with strong engagement drivers and higher employee engagement levels also have better talent, operational, customer, and financial business outcomes.

Employee Engagement and Employee Well-Being

There is evidence to suggest that engagement is more likely to be sustainable when employee well-being is also high. Towers Watson defines **well-being** as encompassing three different aspects of employee health:

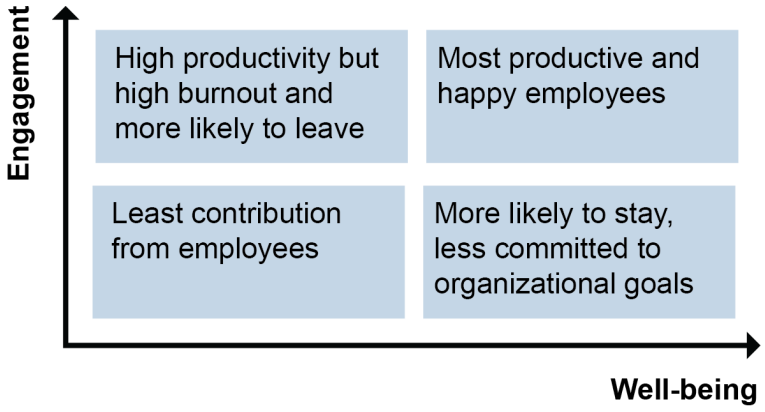
- Physical—overall health, stamina, energy
- Psychological—levels of stress, optimism, confidence, control
- Social—work relationships, work/life balance, equity, respect, connectedness

As illustrated in Exhibit 47, research by Towers Watson provides some initial evidence that employee engagement and well-being

interact with one another in predicting outcomes:

- Highly engaged individuals with high levels of well-being were the most productive and happiest employees.
- Highly engaged employees with low levels of well-being were more likely to leave their organizations; in addition, although they tended toward high levels of productivity, they were also more likely to experience high levels of burnout.
- Employees with low levels of engagement but high levels of well-being posed a problem for organizations. They were more likely to stay with the organization but were less committed to the organization's goals.
- Employees who were both disengaged and had low levels of well-being contributed the least to the organization.

Exhibit 47: Interaction Between Employee Engagement and Well-Being



Robertson and Birch also found preliminary evidence of the importance of well-being for sustaining employee engagement. Their study found that well-being enhanced the relationship between employee engagement and productivity. They suggested that initiatives that target commitment and discretionary effort without nurturing employee well-being will be limited in the impact they can achieve.

Although research exploring the beneficial impact well-being can have on employee engagement is limited, both factors have been shown to be of benefit to organizational outcomes. Robertson and Cooper therefore suggest that it is feasible that the combined impact of engagement and well-being may be greater than each one alone.

The question remains, “What is employee well-being?”

Factors contributing to a sense of well-being vary among organizations, among the various units of a single organization, and among countries. It is important for employers and HR professionals to accept these potential differences and identify and manage the unique drivers of engagement within their own organizations in order to achieve maximum return on investment for their HR spending.

As an HR professional, you need to be aware that well-being may be impacted by other forces that are not fully within the control of the

organization. Examples include economic challenges, new technologies disrupting operations, or significant environmental events. While the organization and HR cannot control all circumstances, they can account for them and adapt their engagement practices accordingly.

Employee Engagement and Organizational Culture

Employee engagement is affected by factors that are manifestations of organizational culture, such as autonomy and collaboration. To affect employee engagement, HR professionals must first understand an organization’s culture.

Briefly, an organization’s culture may be seen in words and actions that reflect consistent values and perceptions. An organization is most effective when its culture and its strategy are aligned. This can be achieved in different ways—through the examples of leadership, the selection of organizational heroes and important stories (the organization’s myths, such as how it started or how it overcame obstacles), the investment of organizational resources, and specific practices, particularly HR practices related to engagement and employee experience, to name just a few.

Culture affects everything in an organization, ranging from the public's perception of the organizational brand to employee job satisfaction and engagement and bottom-line profitability. Some of the many conventions for defining the characteristics that categorize a culture are shown in Exhibit 48.

Exhibit 48: Types of Organizational Cultures

Type of Culture	Characteristics
Authoritarian	Power resides with top-level management. Employees have no involvement in the decision-making or goal-setting processes.
Mechanistic	Tasks and responsibilities are defined clearly to the employees and shaped by formal rules and standard operating procedures. Communication processes follow the direction given by the organization. Accountability is a key factor.
Participative	Collaborative decision making and group problem solving are embraced. Employees actively participate in the decision-making or goal-setting processes.
Learning	Organizational conventions, values, practices, and processes encourage individuals—and the organization as a whole—to increase knowledge, competence, and performance. Shared and continuous learning are embraced; employees have space to experiment and take certain risks.

Type of Culture	Characteristics
High-performance	Talent is championed. Innovation, elevated performance, customer-centric strategies, relationships, communication, personalized employee experiences, and other characteristics are driven from the bottom up.

Several of the questions that HR needs to answer when it is gathering information about employee engagement are about organizational culture:

- What organizational culture have we created?
- Does this culture support achievement of our strategic goals? Is it the culture we need and want?
- How can the organization’s culture be expressed in a way that increases employee engagement?

Impact of Managers on Engagement

Research confirms that manager behavior is pivotal to both employee engagement and employee well-being. This means that an important way to ensure that real emotional engagement is created and sustained is by focusing on the manager-employee relationship. Managers who encourage employees to demonstrate engagement externally by their actions also drive commitment, which is a vital mechanism for creating a workforce that is

sustainably engaged and well (and productive). For instance, by being open and consistent, supporting employees' career progression, and getting to know what motivates their team, managers can help ensure that employees are intrinsically committed to and motivated by their work.

Although practitioner literature has long pointed to the relationship between effective management and employee engagement, academic literature has been slower to provide evidence. Nevertheless, a number of recent academic studies have suggested that there is a link between employee engagement and various forms of leadership that are more inclined to support rather than dictate employee performance.

Key Content

Managers are one of the most important components of employee engagement. Employees want to feel that managers care about them as professionals and as people. Managers facilitate engagement when they show gratitude, amplify accomplishments, and communicate well and often, with an emphasis on positive feedback. HR professionals play an active role in supporting managers' efforts to engage employees.

This allows the organization, the manager, and the individual to achieve success.

Specific manager characteristics associated with employee engagement are illustrated in research from the Corporate Leadership Council, which identified top “levers” of engagement, shown in Exhibit 49. Each lever was categorized according to organizational culture and performance traits or day-to-day work or manager characteristics. Note the dominance by managers.

Exhibit 49: Top “Levers” of Engagement

Most Effective Levers of Engagement	
Organizational Culture and Performance Traits	**Day-to-Day Work Characteristics**
• Internal communication Reputation of integrity Innovation	• Connection between work and organizational strategy • Importance of job to organizational success • Understanding of how to complete work projects
Manager Characteristics	

Most Effective Levers of Engagement	
• Demonstrates strong commitment to diversity • Demonstrates honesty and integrity • Adapts to changing circumstances • Clearly articulates organizational goals • Possesses job skills • Sets realistic performance expectations • Puts the right people in the right roles at the right time • Helps find solutions to problems • Breaks down projects into manageable components	• Accepts responsibility for successes and failures • Encourages and manages innovation • Accurately evaluates employee potential • Respects employees as individuals • Demonstrates passion to succeed • Cares about employees • Has a good reputation within the organization • Is open to new ideas • Defends direct reports • Analytical thinking

Source: Corporate Leadership Council

Attracting and retaining the talent needed for business performance will be challenging enough. Making engagement happen is the ultimate objective.

Psychologists Richard M. Ryan and Edward L. Deci found that there is a strong link between engagement, wellness, and the provision of three psychological needs: competence, autonomy, and relatedness. The authors found that when these three needs are met, people are more likely to be engaged and motivated. In a business setting, this would translate to greater employee engagement. A small study

conducted by Rachel Lewis and colleagues generated similar findings and suggested specific managerial actions that can promote employee engagement. Forty-eight call center employees from a large energy provider were interviewed about their line managers' behavior. The interviews were transcribed and then evaluated using content analysis. Both positive and negative behaviors were identified, and, in the data analysis, 11 competencies, grouped into three themes, emerged. These competencies are listed in Exhibit 50.

Exhibit 50: Management Competencies for Enhancing Employee Engagement

Theme	Management Competency	Description
Supporting employee growth	Autonomy and empowerment	Has trust in employee capabilities, involving them in problem solving and decision making
	Development	Helps employees in their career development and progression
	Feedback, praise, and recognition	Gives positive and constructive feedback, offers praise, and rewards good work
Interpersonal style and integrity	Individual interest	Shows genuine care and concern for employees
	Availability	Holds regular one-to-one meetings with employees and is available when needed
	Personal manner	Demonstrates a positive approach to work, leading by example

Theme	Management Competency	Description
	Ethics	Respects confidentiality and treats employees fairly
Monitoring direction	Reviewing and guiding	Offers help and advice to employees, responding effectively to employee requests for guidance
	Clarifying expectations	Sets clear goals and objectives, giving clear explanations of what is expected
	Managing time and resources	Is aware of the team's workload, arranges for extra resources or redistributes workload when necessary
	Following processes and procedures	Effectively understands, explains, and follows work processes and procedures

Source: "Management Competencies for Enhancing Employee Engagement," Rachel Lewis, Emma Donaldson-Feilder, and Taslim Tharani

Challenges to Employee Engagement

There are many external challenges to sustaining employee engagement. In the last decade, global competition, harsh economic conditions, continuous innovation, and new technology have resulted in organizational restructuring, downsizing, and changes in the nature and structure of work. This has affected employees, with

many having to cope with high job demands, fewer resources, and different responsibilities.

Example:

The new corporate mantra of “digitization” is a clear example of a trend impacting employee engagement. As technology races ahead, many manual processes are automated and/or have migrated online. Traditional middle management roles are often outsourced to customers, vendors, or programs or to apps via the “cloud.” For all the benefits of becoming more adaptive—acting and reacting in real time—digitization can also result in employees finding it difficult to keep up or simply being left behind.

In addition, the boundaries between work and non-work life are increasingly blurred. The Internet and mobile technology allow employees to work around the clock and from any location. It seems likely that these recent changes both enable and impel employees to work harder and longer.

The Towers Watson “2012 Global Workforce Study” showed that the workforce was feeling the impact of these pressures. Although there were local differences, overall the study showed that employees were more anxious and more worried about their futures than in previous years. The suggestion was that this was already leading, or would lead, to lower productivity, greater absenteeism, and a

potential increase in turnover intentions within organizations. Of 32,000 workers surveyed worldwide, only one-third were engaged, with two-thirds feeling unsupported, detached, or disengaged. Despite this, employees were found to be working longer hours, taking less time off to recover, and experiencing higher levels of stress.

There is a clear implication that, during these challenging times, employee engagement is fragile and employee well-being may be negatively impacted.

HR may face internal challenges to addressing employee engagement. Because of the external stresses mentioned here, some leaders believe that their organizations have neither the time nor the resources to focus on the issue of engagement. It will fall to HR then to create the business case for why employers should invest in employee engagement.

Business Case for Employee Engagement

As part of its strategic management, HR creates strategies to achieve goals aligned with the organization’s strategy. These strategies can include, among others, total rewards; talent

acquisition; corporate social responsibility; diversity, equity, and inclusion; and employee engagement.

Consider the engagement challenges that digitization poses. To mitigate the challenges, HR needs to:

- Develop a clear understanding of the organization's legacy workforce.
- Identify where new skills are needed.
- Use simulation and scenario planning to predict future workforce needs.
- Create and sustain a strong employee value proposition that balances training, access to new skills, and long-term employment.
- Champion systems thinking and collaboration.

Overall, an engagement strategy should specify how engagement efforts will be sustained over time. Research and best practices suggest the following:

- **Commit long-term.** Efforts to increase engagement need sustained effort over time; an effective engagement strategy includes far more than just a plan to survey employees.

- **Measure consistently.** Measurement of engagement, its outcomes, and progress toward goals should occur on a

consistent and predictable basis. For example, an engagement strategy could specify that engagement is measured biannually in March and September and is tied to organizational outcomes (such as productivity) from the first and third quarters.

- **Connect engagement to business results.** Communication of how engagement influences tangible organizational outcomes helps build and sustain the business case for an engagement strategy. Additionally, employers should communicate to employees that engagement efforts are sincerely geared toward improving the quality of the organizational environment.

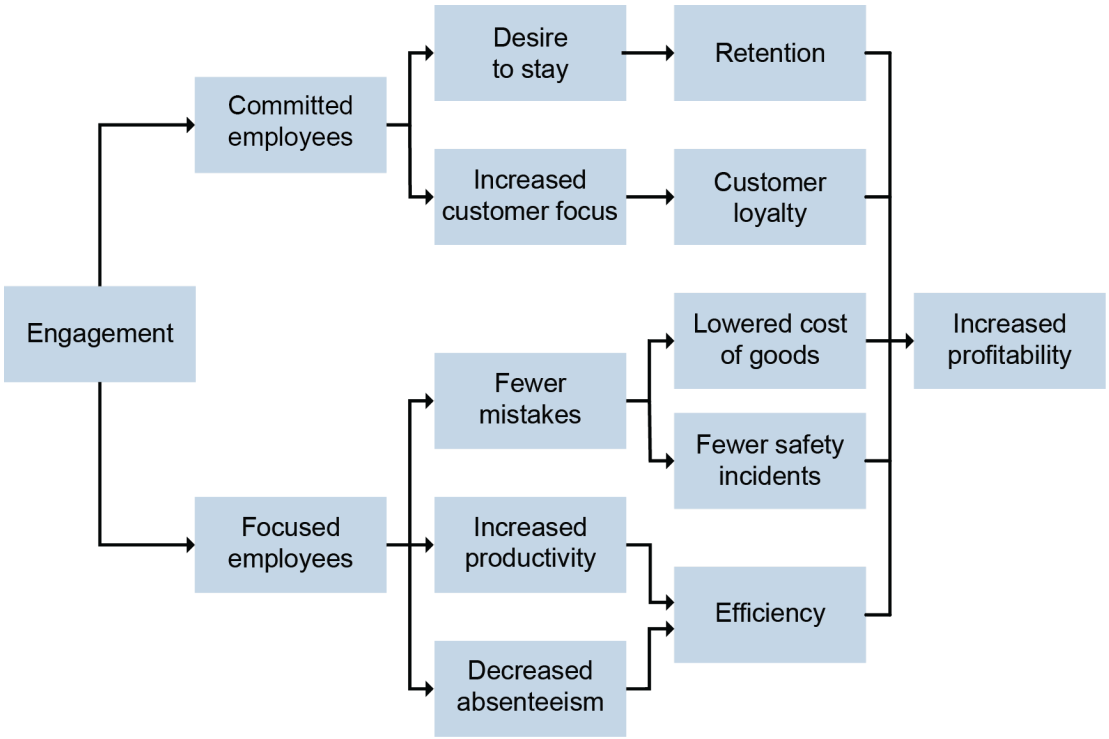
- **Seek employee input.** A sustained engagement strategy will work best when employees have an opportunity to provide input. Forums (for example, a “town hall”) could be held quarterly where employees are provided with information about progress toward engagement-related goals and have the option to provide feedback about the goals.

- **Gain leadership support.** Engagement efforts need support from leadership, and integration of engagement goals into organizational policies and decisions should be encouraged, with the ultimate goal of making employee engagement a core organizational value.

Implementing employee engagement plans will require leadership commitment and investment. HR can prepare a business case to demonstrate the potential value of an action based on probable effects on the organization's profitability. While the impact of employee engagement is largely indirect, organizations are able to keep their bottom line healthy through improving retention, customer loyalty, productivity, and safety. Engagement strengthens all of these factors.

Exhibit 51 illustrates this relationship.

Exhibit 51: Employee Engagement Impact on Profitability



Many major studies have quantified the impact of employee engagement on business success. The Great Place to Work®Institute is a survey company that drives the Fortune “Top 100 Companies to Work For®” list along with similar “best place to work” lists across 45 countries. Based on their database of “over 10 million employee voices,” the Institute reports the following:

- Committed and engaged employees who trust their management perform 20% better than other employees.
- Companies with committed and engaged employees have half the voluntary turnover rates of their competitors.
- The publicly traded companies on the “100 Best Company” list consistently outperform the major stock indices by 300%.

Hewitt studied engagement results for 1,500 companies and reported the following:

- Where 60% to 70% of employees were engaged, average total shareholder return (TSR) was 24.2%.
- In companies with only 49% to 60% of employees engaged, TSR fell to 9.1%.
- Companies with 25% or fewer engaged employees reported a negative TSR.

The data from these huge worldwide surveys, covering millions of employees, provides a strong case for attention to and investment in

improving employee engagement.

HR professionals can use these averages with their own organizations' measures of values to project returns on investment.

Key Content

Make the business case for employee engagement strategies by demonstrating measurable outcomes related to organizational goals.

Retention

Successful human capital management requires an efficient selection process. It also requires effective retention strategies and practices.

Key Content

Retention is the ability to keep talented employees in the organization. Organizations aspire to keep high performers and to exit the low performers.

Why Retention Matters

Organizations spend time and effort identifying and recruiting high-caliber applicants. Without effective retention strategies and practices, they may risk losing talented individuals.

Employee turnover occurs when employees leave an organization. Employees leave organizations for a variety of reasons, generally classified as:

- Voluntary—for example, to take another job that offers better alternatives, to follow a transferred spouse or partner, to return to school full-time, dissatisfaction, and so forth.
- Involuntary—for example, a dismissal due to poor performance or elimination of a job due to a merger or an organizational restructuring.

Turnover has a variety of consequences for the organization, such as:

- It negates the time, effort, and monetary investment it takes to fill an open position.
- It results in lost training time and lost knowledge and skills.
- It negatively impacts employee morale and productivity.
- It can compromise an organization’s ability to sustain a diverse workforce.
- It results in additional time required to rehire and retrain.

- It may create lost opportunity costs.

Managing for employee retention involves an organization's strategic actions to keep high performers motivated and focused so they elect to stay with the organization. A comprehensive employee retention program can play an important role in both attracting and retaining key employees as well as in reducing turnover and its related costs.

As important as it is to understand the reasons that drive employees to leave an organization, it is just as important to understand why valuable employees stay. Several studies suggest that high performers are more likely to stay with an organization when:

- They believe they are doing meaningful work.
- They are recognized for going above and beyond.
- The organization provides the tools and resources they need to succeed in their jobs.
- Performance management systems are fair, consistent, and transparent.
- The organization offers appealing incentives and perks—financial incentives based on tenure or unique incentives and perks that may not be common elsewhere.

Employees often become embedded in their jobs and their communities. Leaving a job would require severing or rearranging these social and value networks. Thus, the more embedded

employees are in an organization, the more likely they are to stay. “Friend at work” is a concept many large multinationals encourage to build engagement and commitment. The imperative for an organization is to sustain and increase an employee’s engagement.

Retention strategies start with the organization’s branding and recruitment efforts and continue on through the employment experience. Organizations that have a good reputation in the community and industry and with past and current employees and customers have a better chance of attracting and retaining top talent.

Recruiting high-performing employees starts with a clear definition of the knowledge, skills, and abilities required. Assessing qualified applicants for cultural fit during the selection process contributes to retaining more-satisfied employees.

Offering competitive compensation and benefits also helps in recruiting and retaining top talent. Organizations lagging behind the market in compensation and benefits are often challenged with retention.

Realistic job previews are often included in the selection process to provide applicants with complete information about a job. They not

only help to ensure an appropriate match between an applicant and an open position; they also help to reduce voluntary turnover.

Other Retention Practices

Other factors discussed throughout this *Learning System* affect retention, such as the performance management system, the quality of the employer-employee relationship, and opportunities for development and advancement.

Simply stated: Practices that contribute to retention arise in all areas of HR. This makes it critically important for professionals specializing in various HR disciplines within organizations to work together under HR leadership to develop and implement multifaceted retention strategies.

Exhibit 52 lists some ideas for improving employee retention.

Exhibit 52: Strategies and Practices for Improving Employee Retention

Improving Employee Retention

Improving Employee Retention	
Treat retention of key employees as a strategic part of talent management. Know what motivates each segment of the workforce. Conduct ongoing research to monitor motivation and workforce trends. Develop a deep understanding of the reasons employees want to stay and why they want to leave the organization.	Link the ability to retain and develop high-value talent to managers' performance evaluations and reward them appropriately. Find ways to keep employees informed of the organization's direction and future plans. Monitor retention and turnover rates. Continually try to align organizational systems, departments, processes, and procedures to improve retention.

Assessing Employee Engagement

Proficiency indicators related to this section include:

- Identifies program opportunities to create more engaging or motivating jobs (examples include job enrichment/enlargement).
- Communicates the results of surveys of employee attitudes and culture.
- Designs, oversees and communicates an action plan to address the findings of surveys on employee engagement, job satisfaction and culture.

Key concepts related to this section include:

- Job design principles and techniques (examples include job enrichment, job enlargement, job rotation, work simplification).
- Methods for assessing employee engagement and satisfaction (examples include focus groups, stay interviews, surveys).

Assessing Employee Engagement

Two of the most established tools for identifying what matters to employees are employee engagement surveys and stay interviews. These tools are complementary. Surveys provide a large quantity of relevant and analyzable data. Stay interviews provide one-on-one opportunities to discuss engagement factors in greater depth. The interview itself may create engagement by establishing two-way communication and demonstrating the organization's perception of the employee's value.

Competency Connection

Without having been asked, an OED (organizational effectiveness and development) director with an auto parts manufacturer has been collecting and assimilating workforce data into a cohesive dashboard of indicators. After a few months of plotting the data, she notices disconcerting trends coming out of the engineering division, which is seen as central to the company's growth into new components. Specifically, she notices:

- Higher levels of turnover in the 25- to 34-year-old demographic, which is considered essential to the talent pipeline.
- Low employee engagement scores from a recent employee survey.

- Aggregate management 360-degree feedback scores pointing to a limited ability of managers to give effective performance feedback and create meaningful professional growth.
- Higher levels of employee relations grievances.
- Higher levels of absenteeism.
- Exit interview data trends pointing to a lack of meaningful direction from and relationship with management.

The OED director needs to convince senior management that employees are voluntarily leaving the company for reasons other than money alone. Using the collected data, the OED director builds a business case detailing underlying causes of poor employee retention and its implications for executing against current operating plans, being able to attract talented applicants, and building a robust talent pipeline of future leaders and technical expertise.

Knowing that the VP of engineering can easily explain away any collected data point, the OED director formats the reporting to build a solid “wall of data.” Any one piece of data can still be dismissed but not the whole collectively. She collects and prepares external data that demonstrates the business return on investment of strong performance management practices; she also prepares information on performance management best practices and what it would take

to implement and develop the skill in managers as an essential management practice.

The OED director demonstrates:

- The Business Acumen and Analytical Aptitude competencies by gathering and analyzing organizational data with a keen sense for what is useful.
- The Leadership & Navigation competency by sponsoring initiatives with confidence based on analysis of available information to drive business success.
- The Communication competency in making a strategically impactful proposal.

Employee Engagement Areas

Understanding employees' perceptions of well-being is fundamental to creating engagement. Employers must gain awareness of employee expectations that might shape employee engagement practices and of employee assessments of current conditions and practices.

When examining employee engagement, HR should focus on how employees assess the organization in general and their jobs in particular. The four key areas are shown in Exhibit 53.

Exhibit 53: Key Areas of Employee Engagement

Area	Characteristics
Leadership characteristics	• Cares deeply about employees • Clearly communicates corporate goals • Is trustworthy
Team practices	• Understands customers • Excels at strategy • Rewards employees for adding value
Organizational values	• Values employees • Is customer-focused • Gives back to employees and society
Work itself	• Is connected to organization's strategy • Is challenging and meaningful

More specifically, SHRM has put together a list of categories and activities HR professionals can use in measuring and analyzing employee engagement.

- **Career development.** Career development programs provide employees with opportunities to learn new ideas and skills, thus preparing them for future positions and challenges. Examples of career development activities linked to employee engagement are:
  - Career advancement opportunities within the organization through changes to job design. These can include job enlargement (doing different tasks within the same job), job

enrichment (increasing the depth of a job by adding responsibilities), job rotation (movement between different jobs), and work simplification (decreasing the complexity and improving the efficiency of a job).

Examples:

Through job enlargement, a customer service representative who has five primary activities is given two additional activities. The added tasks are at the same level of skill and responsibility, but this horizontal expansion offers the individual more variety, increases the interest of the job, and makes maximum use of the employee’s skills.

Through job enrichment, a customer service representative is not only given more duties and responsibilities but also greater participation in decision making and control. This vertical expansion offers the individual increased satisfaction in respect to the current position and the potential for personal growth.

Through job rotation, a customer service representative is given the opportunity to work in a number of roles in order to gain skills, knowledge, and a broader understanding of an organization's operations and structure. This can provide opportunities for personal development, career

advancement, orienting new employees, and preventing employee burnout or boredom.

Through work simplification, a customer service representative might find their bureaucratic responsibilities reduced (for example, through more streamlined communications or decision-making channels). This change would allow the employee to maximize the amount of time actually doing the work rather than navigating time-consuming and less-productive or unnecessary tasks and responsibilities.

Other examples of internal career advancement opportunities are dual career ladders (which provide meaningful career paths for professional and technical people outside traditional management roles) and fast-track programs (which rapidly increase the development of potential future leaders).

- Career development opportunities for learning and professional growth (for example, mentorships, cross-training).
- Opportunities to use skills and abilities in work (for example, committee/team participation).
- Paid training and tuition reimbursement programs (for example, college/university courses and continuing education).

    - Internal mobility (for example, promotions, demotions, relocations, transfers).

- **Relationship with management.** Some key activities identified by SHRM as being particularly important include:
    - Communication between employees and senior management.
    - Autonomy and independence to make decisions.
    - Management's recognition of employee job performance (feedback, incentives, rewards).

- **Compensation and benefits.** Some key considerations related to employee engagement and compensation and benefits are:
    - Compensation/pay overall.
    - Being paid competitively with the local market.
    - Flexibility to balance life and work issues (alternative work arrangements, including job sharing, flexible schedules, telecommuting).
    - Medical benefits for employees and their families.

- **Work environment.** Examples include:
    - Meaningfulness of the job (understanding how the job contributes to organizational values or society as a whole).
    - Overall corporate culture (organization's reputation, work ethics, values, working conditions).

    - Relationships with coworkers.
    - Contribution of work to the organization’s business goals.
    - The work itself (it is interesting, challenging, exciting).

Other topics that may be addressed when assessing employee engagement include:

- Organizational business strategy and direction, creativity, and innovation.
- Customer focus.
- Perceptions of HR effectiveness.
- Employee retention and attrition issues.

Employee surveys and stay interviews are commonly used to gather information from employees to assess engagement.

Employee Surveys

An **employee survey** is an instrument used to collect and assess information on employee engagement, satisfaction, and perceptions surrounding the work environment. Employee surveys provide formal documentation on important organizational issues. Many organizations use workforce surveys to gauge the intensity of employee engagement and assess the relationships between engagement and important business results. Findings from such surveys can also shed light on which investments in engagement

initiatives are paying off, which are not, and how the organization might change its engagement-related HR practices and investment decisions.

Employee surveys are sometimes broken into two categories:

- **Employee opinion surveys** tend to measure important data on specific issues. These surveys may seek to gain opinions on specific processes an employee performs, safety procedures, or some other issue the employer may be evaluating or considering.

- **Employee engagement surveys** focus on employees' level of job satisfaction, commitment, and morale; they can also be used to determine employees' perceptions of company culture. Survey questions or statements should explicitly link to business objectives.

Employee surveys may be internally designed or purchased. Surveys created internally allow you to focus solely on your organization; surveys created by third parties save time and may allow you to compare your organization to other similar organizations. (Opinion surveys, by their nature, are almost always internal initiatives.)

Consultants who regularly work with employee surveys advise that the real value is in measuring improvements over regular time periods.

Benefits of Surveys

Properly designed and skillfully conducted, employee surveys have many benefits. Specifically, they can:

- Provide a direct means of assessing employee engagement and satisfaction that would otherwise be unreported.
- Improve employee relations by signaling to employees that their views are considered important.
- Increase levels of employee trust—if results are acted upon.
- Improve the satisfaction levels of customers—happy employees can translate to happy customers.
- Detect early warning signs of workforce problems and/or sources of conflict.

Surveys are a critical part of the communication process between employers and employees. The simple act of implementing surveys regularly may itself be a factor in creating engagement by improving communication and helping to create what is called the “voice of the employee,” or the two-way sharing of information. To achieve this level of efficacy in communication, however, it is important that leaders and managers demonstrate interest in gathering feedback

and commitment to responding to it. This may include publishing survey data and commenting on actions planned in response to employee feedback.

Employee Engagement Areas to Explore in Surveys

The most effective surveys ask questions that can lead to specific corrective actions and that demonstrate a long-term commitment to providing a rewarding work experience.

In its Q12 Engagement Survey, Gallup examines a dozen questions that measure worker engagement and are linked to business outcomes such as retention, productivity, profitability, customer engagement, and safety:

- Do you know what is expected of you at work?
- Do you have the materials and equipment you need to do your work properly?
- Do you have the opportunity to do what you do best every day?
- In the past seven days, have you received recognition or praise for doing good work?
- Does your supervisor, or someone at work, seem to care about you as a person?
- Is there someone at work who encourages your development?
- Do your opinions seem to count?

- Does the mission/purpose of your company make you feel that your job is important?
- Are your fellow employees committed to doing quality work?
- Do you have a best friend at work?
- In the past six months, has someone at work talked to you about your progress?
- In the past year, have you had opportunities at work to learn and grow?

Of course, employee engagement can be influenced by a number of factors, and engagement survey questions will need to be tailored to the individual corporation and more specifically to the company's current strategic plan and goals. For example, start-up companies will have different issues than those companies that have a long-established history. Large multinational corporations will have different issues than small local companies.

Developing and Administering Surveys

Development and administration are critical steps in an engagement survey. Survey time lines are also important in order to secure the right responses from participants. There should be a plan and a general time line in place for the entire process, from start to finish, before launching an employee survey. The plan and the time line should cover all phases of the project. The plan and milestones help

to ensure that the necessary resources are in place to not only develop and administer the survey but also to review results, debrief stakeholders, and act on the results.

For surveys to deliver their promised benefits, employees should be:

- Aware of the purpose of the survey—whether it measures opinion or engagement.
- Surveyed about significant areas. (Generic surveys may miss key areas that are crucial to a specific workforce or emphasize areas that are less relevant while minimizing attention on critical areas.)
- Guaranteed confidentiality and anonymity.
- Given feedback on the results.

HR professionals should understand that the following issues in administering surveys may arise and should be prepared to respond to them.

- Employees will generally be brutally honest in their evaluation of the organization’s effectiveness and their satisfaction with the job. If management cannot accept the criticisms or might be defensive, HR and leaders should consider whether to conduct an employee survey.

- There are some concerns and issues on which employees will almost always be critical, and they may not put these issues in proper perspective. As a result, the organization may want to avoid querying employees about these issues unless they are prepared to address the problems. For example, employees are seldom satisfied with their individual pay, the cafeteria food, or the performance evaluation process and will usually rate these areas low.

- Seldom does the human resource department escape being scrutinized or criticized. Employees tend to have high expectations of the human resource department and typically perceive that it should be more employee-oriented.

- Translation may be required for the survey instrument and open-ended responses. Assuring the accuracy of the translation —by vetting a translation vendor’s credentials and experience or by using multiple translators—is essential.

- Cultural differences exist in acceptance of employee surveys. For example, in some hierarchical Asian cultures employees may not be familiar with the concept of management broadly soliciting opinions from their employees. Therefore, Asian employers and employees may be uncomfortable with the idea of an employee survey.

Guidelines for Employee Engagement Surveys

When developing employee engagement surveys, organizations should consider the following guidelines:

- Include questions that could be asked every year. This will provide a baseline for management of employee engagement.
- Keep language neutral or positive. For example, ask “Is our line-to-staff ratio correct for a company of our size?” instead of “Are there too many staff members for a company of our size?” Avoid negatively worded items.
- Focus on behaviors. Good questions probe supervisors’ and employees’ everyday behaviors and relate those behaviors to customer service whenever possible.
- Beware of loaded and uninformative questions. Questions such as “Do you look forward to going to work on Mondays?” elicit a “no” easily, even from engaged workers.
- Keep the survey length reasonable. Overly long surveys reduce participation rates and may result in skewed responses because participants check answers just to finish the survey as quickly as possible.

- If you work with a vendor that comes to you with a “standard” list of questions, consider tailoring the questions to reflect particular organizational needs.
- Consider what you’re saying about the organization’s values in issuing the survey. Question selection is critical, because it tells employees what the organization cares about.
- Ask for a few written comments. Some organizations include open-ended questions where employees can write comments at the end of the survey to identify themes that might not have been covered and might be addressed in the future.
- Consider doing more than one type of survey, each with different questions, frequencies, and audiences. For example, “pulse” surveys are briefer, more frequent surveys that address specific issues or are given to specific segments of the workforce, and they can take place between annual surveys. Or conduct different surveys for company leaders and for employees or in different business units or specific countries.

Communicating Survey Results

After an employee engagement survey has been administered, survey data should be reviewed in aggregate and should also be broken down for each business unit to allow individual managers to

make changes that will truly affect engagement levels. Some experts also advocate having line managers communicate survey results to their own employees and create action plans to respond to survey recommendations. In addition, the organization may require that all employees have engagement objectives in their performance reviews so that engagement goals are developed both from the top down and from the bottom up.

The different communication avenues now available to companies should be maximized. One avenue often overlooked by companies is social media. HR professionals should consider their own organizations' cultural and legal environments before engaging in social media, but these tools do offer the potential for follow-up communications and can be used for quick, regular updates that reinforce actions and keep momentum going.

Determining Actions from Survey Results

Key Content

Once survey results have been analyzed, the organization must take action based on the information received—and must do so in such a way that employees recognize that action is being taken.

> Employee engagement surveys can actually be harmful to employee engagement levels if they are not properly handled. Employees who feel that an organization is just going through the motions and disregarding the feedback collected can become even less engaged. These employees may refuse to participate in future surveys, potentially causing increasingly large issues to be missed during future survey processes.

Not every issue identified in a survey can be addressed, but if the organization prioritizes the issues and communicates to the employees what, why, and how things are being addressed, employees will buy into the survey process. By addressing concerns brought forth, important issues can be solved, leading to increased engagement levels overall and increased participation in future survey efforts.

In other words, survey results should be used to strategically determine where to focus resources for maximum impact. The outcome of gathering information should be a clear sense of the drivers of employee engagement—that is, the aspects of the work environment that are most critical in determining employees' level of

engagement. This will then allow a fact-based approach to planning the engagement strategy.

There are numerous ways to identify drivers of engagement, including sophisticated statistical modeling of engagement data, holding focus groups to ask employees what is most important, or including survey items to this effect on engagement surveys. Regardless of the approach used, keep these points in mind:

- Identify drivers of engagement each time an engagement survey is conducted. Drivers of engagement may vary from survey to survey as an organization evolves, especially if action areas from previous surveys have been effectively addressed. In addition, drivers of engagement may vary across groups of employees within an organization.

- Identify engagement drivers that can be realistically addressed given available resources. It is easy to get lost in the data and overwhelmed with information. To avoid this pitfall, an engagement plan should clearly identify which parts of the engagement survey are most interesting to leadership and will inform business strategy, what resources are available to implement actionable recommendations, and what subgroups of employees, if any, will be examined. An engagement plan must also have buy-in from employees; they need to know how it

benefits them and the level of senior leaders' commitment to the plan.

- Make action plans realistic and measurable.
- Track and communicate efforts and results.

Online Employee Survey Methods

Many companies use online survey administration rather than relying on traditional paper-and-pencil, mail, and telephone formats. Again, HR may choose to develop and administer an online survey internally, or there are many vendors that offer online survey design, development, and administration services.

Some of the more prominent advantages and disadvantages of online surveys are listed in Exhibit 54.

Exhibit 54: Advantages and Disadvantages of Employee Surveys Online

Online Advantages	Online Disadvantages

Online Advantages	Online Disadvantages
• Higher response rates due to employee access convenience (for example, online access 24 hours a day via Internet or intranet connections). • No surveys being “lost in the mail.” • Increased and/or improved responses to open-ended questions. • Quicker results. • Current viewing of up-to-the-minute results (via password-protected access). • Elimination of interviewer biases. • Ease and flexibility in analyzing data.	• All employees must have access to a computer and a basic level of computer literacy. • Accurate, up-to-date e-mail addresses are required. • Pilot testing is critical to ensure reliability of the format and delivery across all operating platforms. • Respondents may run out of space to answer open-ended questions. • Virus-checking software must be kept current. • The server must be secure to ensure the integrity of the results (for example, one survey per person, only authorized people take the survey) and to prevent unauthorized people from reading the results.

Another potential concern with an online survey is that the response information may be confidential but not anonymous. Online surveys are commonly linked to a unique alphanumeric identifier that directly corresponds to an employee’s return e-mail address, ID, or name. Employers tie these identifiers to surveys because they need to authenticate and then validate the responses. While this is understandable, it also means that survey responses can be traced to individual employees. Assurances of confidentiality and anonymity are important to secure honest responses and

constructive feedback. Using an independent third-party online survey firm to administer a survey, where only group responses are reported back to the organization, can provide both confidentiality and anonymity.

Managing Effective Survey Programs

In summary, consider the following lessons Bob Kelleher learned after conducting many engagement surveys for companies large and small, as described in his article “It’s Not About Employee Satisfaction.”

1. Do not conduct a survey unless you are convinced that your leadership team is committed to listening to and acting on feedback. Not acting on survey results fosters cynicism and skepticism in employees. An organization that is not prepared to respond to survey results can destroy employee engagement.

2. Partner with a consulting firm. This will allow you to benchmark your results with those of other companies in your industry and can ensure confidentiality for survey respondents.

3. Set the stage. Establish a vibrant and effective communication plan promoting the survey. If there have been past surveys, promote specific actions, successes, and progress since the last one.

4. Invite your survey consultant to deliver the survey summary to your top leadership team. The consultant can provide the proper context to minimize leadership anxiety about the results. After the meeting with leadership, work with the communication team to outline when and how to communicate the results to the employees.

5. Establish a cross-sectional committee to review overall company results and to make recommendations to management. This committee should include an equal mix of leaders and members representing the employee base. The committee will evaluate the survey results and make priority recommendations to the leadership team.

6. At a micro level, establish a local cross-sectional subcommittee to review local results (departmental, business unit, functional, etc.) and appoint local senior champions.

7. Have local committees adopt a common action plan template, and consider posting all plans on your intranet to encourage the sharing of best practices, collaboration, and consistency.

8. Keep it simple and execute flawlessly. The tendency after a survey is to over-promise and under-deliver. This may create a skeptical work culture. Make sure to implement a rigorous

priority review process that includes a specific budget to adequately fund what the company is committing to. A well-thought-out engagement action plan will require organizational investment. Organizational follow-up and follow-through is key to how employees will judge the success of the survey.

9. Plan your follow-up feedback mechanism. How can you solicit ongoing feedback from the employees? Your employee engagement survey task team working with HR will be invaluable to monitor feedback and ensure an effective action plan.

10. Do not commit to another survey until you have analyzed and planned a response to feedback. Research done by a company that specializes in employee surveys indicates greater improvement in employee engagement index scores when surveys are conducted annually rather than every two years.

11. Invest less in your technology vendor and more in post-survey results. Concentrate on the interpretation, action planning, follow-up/follow-through, and communication and branding.

Stay Interviews

Understanding why employees want to stay with an organization and what might cause them to leave can improve engagement and retention. Stay interviews facilitate that endeavor.

During **stay interviews**, employees discuss why they like (or do not like) their current job. Stay interviews also help to assess the degree of employee satisfaction and engagement that exists in a department and/or organization.

An additional benefit is that the dialogue provides the opportunity to build trust with employees.

Ideally, a stay interview should be conducted by the employee's manager. HR might help with difficult interviews, but the manager is in the best position to impact the employee's work conditions. HR should train managers on how to conduct the interview, how to establish rapport, the questions to ask, and how to actively listen.

In an effective stay interview, managers ask standard, structured questions in a casual and conversational manner that should encourage open communication. Most stay interviews take less than half an hour.

There are several benefits for HR and managers to debrief the results of stay interviews. Results can be analyzed for organizational patterns, insights can be shared, and so forth. Debriefing also helps

to evaluate what changes need to happen in individual departments or what issues should be addressed at an organizational level.

A stay interview is preferable to an exit interview because current employees are asked why they continue to work for the organization. At the exit interview, it’s typically too late to effect change and prevent an employee from leaving.

Developing Employee Engagement and Retention Programs

Proficiency indicators related to this section include:

- Administers and supports HR and organizational programs designed to improve the employee experience, including engagement and culture (examples include social events, telecommuting policies, recognition, job design, workplace flexibility).
- Designs, administers, analyzes and interprets surveys on employee engagement, job satisfaction and culture using best practices.
- Designs and oversees HR and organizational programs designed to improve employee engagement and satisfaction (examples include social events, telecommuting policies, recognition, job design, workplace flexibility).
- Holistically monitors the organization’s metrics on employee attitudes, turnover and retention, and other information about employee engagement and retention.
- Implements best practices for employee retention in HR programs, practices, and policies (examples include realistic job

previews [RJP], career development programs, employee socialization).

Key concepts related to this section include:

- Approaches to recognition (examples include performance or service awards, spot awards, point-based system, peer-to-peer recognition, personalized rewards).
- Approaches to supporting employee wellness (examples include mental health programs, financial wellness programs, stress management programs, work/life integration).
- Employee lifecycle phases (examples include recruitment, integration, development, departure).
- Employee retention concepts and best practices (examples include realistic job previews [RJP], suggestion mechanisms, identifying causes of turnover, predictive attrition analysis, personalized onboarding).
- Workplace flexibility programs (examples include telecommuting, alternative work schedules, job sharing).

Developing Employee Engagement and Retention Programs

The employee engagement and retention process should cover the entire employee life cycle—strengthening the connection between employer and employee from hiring (for example, more realistic job previews during the hiring process, better onboarding programs) through employment (for example, better work/life balance), to organizational exit (for example, using exit interviews to create “boomerang” employees who are willing to bring their skills back to the organization in the future).

Competency Connection

The HR director in an IT/consulting organization found that an employee retention strategy was a priority, as competitors were successfully recruiting and winning away the organization’s employees. The need and importance of employee engagement/job satisfaction, career management, and a competitive total reward package became a priority.

Using Analytical Aptitude skills, the HR director began by evaluating benefit trends in the workforce market and then proposed to

management a program aimed at improving employee engagement. It included:

- Benchmarking the organization’s compensation system against market leaders’ positions and target positions for salary increases.
- Implementing work/life integration policies.
- Prioritizing employee appreciation activities.
- Adding perquisites and incentives, such as support in repaying education loans and continuing education reimbursement.
- Training managers to deliver ongoing feedback, which appeals to the generation of workers in the organization.

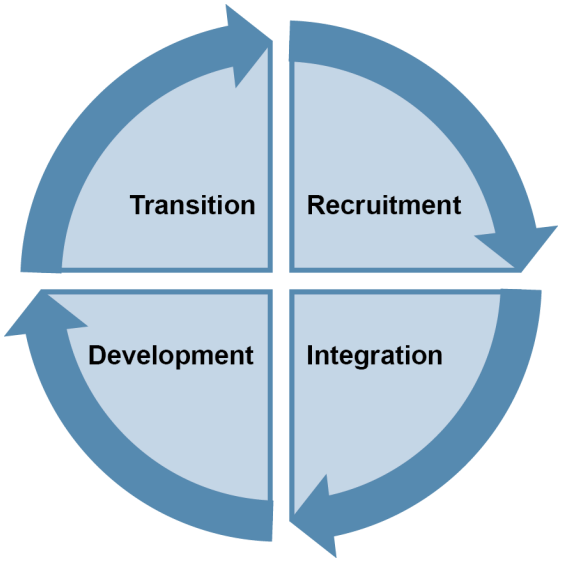
The HR director used her Leadership & Navigation skills to influence critical decision makers and Business Acumen to present a convincing business case to initiate organizational change, improve the workplace culture, and initiate an ongoing program to assess and improve employee engagement.

Engaging Employees Throughout the Employee Life Cycle

The path to understanding and assessing employee engagement starts with understanding employee experiences—specifically, the critical touchpoints in the **employee life cycle (ELC)**, which

describes all the activities associated with an employee's tenure in an organization. Specific ELC models vary, but common phases include those shown in Exhibit 55.

Exhibit 55: Employee Life-Cycle Phases



Recruitment starts the employee's life-cycle journey; it encompasses all the HR processes leading up to and including hiring. The departure phase signifies the end of the life cycle as the employee moves on to another internal position or exits the organization.

For HR practitioners, employee life-cycle phases influence the inputs and types of developmental activities the employee needs to support his or her optimum performance and engagement. Consider a few simple (not inclusive) examples of how ELC phases apply through talent acquisition, engagement, and retention.

- **Recruitment.** The employer-employee relationship is initiated.
- **Integration.** During this phase, the employee gains access to information and tools required for the job and settles into the position. The employee also becomes familiar with the organizational culture, coworkers, and management.
- **Development.** To promote engagement and retention, the organization invests time and resources in the employee's development. As necessary, the employee participates in internal training and external professional training programs funded by the organization. HR and management typically work collaboratively with the employee to develop performance objectives and goals in conjunction with performance evaluation frameworks or systems.
- **Transition.** Specific activities during this phase are dependent upon the type of transition (resignation, firing, transfer, promotion, demotion, or retirement). For example, exit interviews are recommended in the case of resignations.

HR professionals have a role in increasing overall employee satisfaction and engagement and can do so by turning the key moments in the employee life cycle into a meaningful journey. They can influence employee engagement throughout the employee life

cycle: during the hiring and onboarding process, throughout the employee's career with the organization, and during the separation process.

Exhibit 56 lists some ways to sustain and increase employee engagement during the course of employment.

Exhibit 56: Practices to Increase Engagement during Employment

To Increase Engagement	To Increase Commitment
Job Enrichment	
Incorporate meaning, variety, autonomy, and coworker respect into jobs.	Connect employee jobs with the organization's strategy. Recruit internally for job openings.
Learning and Development	
Offer skill development training to increase job performance, satisfaction, and self-efficacy.	Signal commitment reciprocity by: • Company investment in training. • Modes of training delivery that accommodate employees' other commitments.
Strategic Compensation	

To Increase Engagement	To Increase Commitment
Equitable compensation: Aligns compensation with external market value and internal strategic value; ensures equity internally (with employees performing the same job). **Pay for performance:** Focuses employees' attention on incentivized behaviors; depending on how performance is defined, can have unintended consequences. **Competency-based pay:** Fosters acquisition of knowledge and skills and enhances employees' performance, satisfaction, and self-efficacy.	**Competitive pay:** Attracts qualified job candidates. **Equitable exchange:** Signals commitment reciprocity. **Flexible benefits and perquisites:** Facilitate commitment congruence (for example, work/family balance matched to stage of life). **Retirement and seniority-graded pay plans:** Foster long-term commitment and identification with the company.
Performance and Career Management	
Provide: • Challenging goals that align with the company's strategic objectives. • Positive feedback and recognition for accomplishments. • Appraisal methods free of bias. • Recognition and appreciation for extra voluntary contributions.	Manage performance to: • Enable employees to experience success over the long term. • Facilitate work/life balance. • Value the expertise of experienced employees.

Source: "Employee Engagement and Commitment," Robert J. Vance, SHRM Foundation

Employee Engagement Practices to Improve Retention

HR professionals can use analytical processes used for other purposes to identify potential causes of retention issues—such as predictive attrition analysis, used for staffing supply analysis. Once identified, these issues may be addressed through a variety of practices, including career development plans, redesigning jobs, up-skilling and re-skilling, realistic job previews, personalized onboarding, suggestion mechanisms, work/life balance, and rewards and recognition. Using these practices can help organizations avoid or mitigate the tangible and intangible costs associated with the loss of experienced employees. Some of these practices are discussed next.

Realistic Job Previews

Key Content

A **realistic job preview (RJP)** is any part of the selection process that provides an applicant with honest and complete information about a job and the work environment—a clear picture of what a job will be like if

the applicant is hired. The RJP has three primary objectives:

- To give candidates as much information as possible so that they can make an informed decision about their suitability for the job
- To allow the organization the opportunity to portray the job objectively—including both favorable and unfavorable aspects
- To increase the potential of a good match between the candidate and the organization

Many things may be included in an RJP. The nature of the job and the organizational culture are two important factors that shape the information that is shared and how it is presented.

Exhibit 57 lists the general types of information organizations may share in an RJP.

Exhibit 57: Realistic Job Preview Information

Types of Realistic Job Preview Information

Types of Realistic Job Preview Information	
• Description of a typical day on the job • Organization’s vision, mission, values • Succinct description of the organization’s products and/or services • Written job description • Aspects of the job that have been difficult for other employees • Aspects of the job that have been rewarding for other employees	• Opportunities for professional development and advancement • Compensation and benefit realities • Unique aspects of the job (for example, dealing with customer complaints, overtime) • Pending organizational layoffs, reorganizations, mergers, acquisitions, etc. • Steps in the selection process

Organizations can do realistic job previewing in a variety of ways. A few examples are:

- Videos about the organization and its brand.
- Tours of the workplace (virtual or walk-throughs).
- Interviews with future coworkers.
- Job-related videos.
- Simulations that replicate working conditions.

A simple but wise saying applies to realistic job previewing: *It pays to tell the truth.*

An effective RJP:

- Dispels unrealistic expectations and accurately represents organizational realities.

- Promotes a healthy exchange between the applicant and the organization.
- Encourages self-selection.
- Helps increase job satisfaction.
- Helps prevent disappointments.
- Reduces post-entry stress.
- Reduces employee turnover.

Personalized Onboarding

All new employees need onboarding, regardless of their level or status. Onboarding is the process by which a new hire is introduced to the organization's culture, structure, and practices. It is, according to Amy Hirsh Robinson of the LA-based consulting firm The Interchange Group, "a magic moment, when new employees decide to stay engaged or become disengaged." Onboarding offers, Robinson continues, "an imprinting window when you can make an impression that stays with new employees for the duration of their careers." Therefore, by adapting the onboarding process to a new employee's specific needs, a company can shorten the time to performance and integration and also increase employee engagement and retention.

When provided with resources and information and connected to the right people, a new hire can begin to gain an understanding of the

organization’s culture and values. Components of a personalized onboarding experience may include team-building workshops, mentors, and others, depending on the level and status of the new hire. The ultimate goal is to bring the new employee up to speed and integrated into the organization appropriately and as soon as possible without rushing the process.

Collecting data during the onboarding process is also important, as it can inform future onboarding and help to refine and improve the process.

Suggestion Mechanisms

Information about employee experiences is a useful tool for any HR department. In addition to using employee surveys and collecting information during the onboarding process, organizations may implement a dedicated suggestion mechanism for collecting employee feedback. By providing a mechanism through which employees at all levels can offer suggestions, organizations can gather valuable feedback that could help throughout the employee life cycle.

The classic version of this is the suggestion box, in which employees can drop notes or suggestions addressing any facet of their work and life with the organization. As technology becomes

ever-more integrated into organizational functions, this could take the form of a dedicated e-mail address for suggestions, channels on social media platforms like Slack, or other internal communications platforms.

It should be noted that just as actions and efforts are needed for employees to participate, organizations must discuss what suggestions are being considered and offered. Similarly, they must explain which ones are not being discussed and why. Finally, it should be made clear what the expected time line is for when changes are to be complete.

Work/Life Balance

Information gathered about employee needs and interests may lead to specific types of engagement initiatives. Policies about encouraging employee development can be implemented through tuition reimbursement programs, and concern for employee well-being can be manifested in programs aimed at achieving better work/life balance (WLB). Let’s examine work/life balance programs as an example.

Work/life balance has become a concern in many workplaces due to technological and social changes, such as mobile technology, families with two working parents, and long and difficult travel to

work. There is a wide array of work/life programs an organization may offer, such as those listed in Exhibit 58.

Exhibit 58: Examples of Work/Life Programs

Work/Life Program	Description/Examples	
Convenience/ concierge services	Banking service Dinners-to-go program Dry cleaning and laundry service Grocery service	Referral services for household needs (for example, plumbing, electrical) Subsidized cafeteria service
Employee assistance/ development programs	Career development and coaching Employee development courses Financial planning Legal assistance Mentoring Resources and referrals for counseling	Resources and referrals for education Retirement planning Time management training Tuition assistance program
Family assistance programs	Adoption assistance Backup (emergency) child-care program Child-care assistance	Elder-care assistance Long-term care for extended family members Parenting resources/seminars

Work/Life Program	Description/Examples	
Flexible work arrangements	Flexible work hours (flextime)—Employees choose starting and ending hours but typically must be present in the office during core periods, such as 10 a.m. to 3 p.m. Job sharing—Two employees share or divide the workload of a single job. Part-time employment—Employees are offered a reduced work schedule (for example, for child-care reasons).	Telecommuting—With the aid of technology, employees can work remotely. Variable workweek (flexible week)—Sometimes called a compressed workweek, this allows employees to work longer hours over fewer days (for example, work longer hours for four days rather than shorter hours for five days).
Leave of absence	Maternity and paternity leave program	Self-funded leave
Miscellaneous	Commuting programs Employee affinity groups Employer-sponsored discounts	Ergonomics program New mothers' rooms Public transportation assistance
Total working hours	Daily/weekly working hours Limits on mandatory overtime	Sick days Vacation days
Wellness programs	Disease management programs Fitness benefits/workplace fitness programs	Smoking cessation program Weight management program

Implementation of work/life programs can be affected by:

- Laws—whether WLB benefits are required by law.
- Labor relations—whether labor contracts specify WLB provisions for workers.

- Organizational culture—whether the organization is family-friendly or there is the expectation of long hours of work for career progression; what behaviors managers model and what employee behaviors are rewarded.
- National cultures—the way in which cultural attitudes toward issues such as gender, community, or recognition can shape expectations and needs.
- Maturity of the organization—whether the firm is in a start-up or entrepreneurial phase or established with the capabilities to support WLB initiatives.
- Market practice—what work/life benefits are necessary to be competitive (locally and globally).
- Expectations and needs of employees—what are the demographics and demands employees have in terms of family support, child care, and other personal items.
- Level of formalized human resource management—whether there are integrated strategies, supported by training and the like, to facilitate offerings.

Exhibit 59 lists some of the potential benefits of work/life balance programs for both employers and employees.

Exhibit 59: Benefits of Work/Life Balance Programs

Benefits to Employers	Benefits to Employees

Benefits to Employers	Benefits to Employees
• Provides a flexible work environment • Strengthens the employer brand • Decreases absenteeism • Reduces turnover • Reduces workplace stress • Reduces health-care costs • Improves employee engagement, morale, and productivity • Improves customer satisfaction/client retention • Helps attract qualified talent • Enhances employee commitment and retention	• Improves job satisfaction • Alleviates on-the-job stress • Increases commitment to the employer • Improves overall life satisfaction • Assists with the management of work and family responsibilities • Allows employees to be more involved in their family's lives • Facilitates elder-care issues • Improves self-esteem

Key Content

To effectively implement flexible staffing, HR professionals should:

- Select employees who can function well in these roles given their work styles and skill levels.
- Deliver clear communication regarding expectations, reporting, and performance outcomes.
- Contact the information technology department to obtain technical resources for telecommuting and

virtual communication.

- Establish performance management systems that cover flexible arrangements.
- Evaluate the arrangements on an ongoing basis to determine job satisfaction and employee contribution to the organization.
- Evaluate the cost-effectiveness and other effects of flexible work programs based on the strategic goals of the organization.

Rewards and Recognition

Employee recognition and rewards programs acknowledge the value of employees' contributions to an organization in some outward manner. Having recognition and rewards programs enhances employees' identification with an organization, builds trust, and motivates further effort because such programs acknowledge employees' (or teams') unique capabilities and convey respect. A good recognition and rewards program promotes desired organizational achievement and highlights valued behaviors.

Rewards programs can take many forms. Some may be based on contributions over a period of time, for example, a year-end bonus,

or they may be based on accumulated contributions measured through a points-based system. Alternatively, rewards can be given based on a single idea or contribution that benefits the organization in a notable way (a spot award). Not all rewards are top-down, however. Many employees gain great satisfaction from peer recognition, which can enhance a sense of team spirit and increase employee engagement. Peer recognition can also have the benefit of highlighting the work of team members who perhaps aren't as easily recognized by higher-ups or others outside of the team.

The concept of using rewards to reinforce desired behavior derives from the behaviorism theory of B. F. Skinner. To strengthen a behavior (ensure its recurrence), an employer could provide:

- Positive reinforcement or adding something valued—for example, an employee receives time off for a significant work contribution.
- Negative reinforcement or removing something disliked—for example, a team that has worked especially hard is given a "casual dress" day.

Recognition addresses employees' psychological needs—the desire for approval and distinction, for growth and advancement. Reward may be seen as more transactional—the various financial and nonfinancial benefits for which superior performance can be

exchanged. The two aspects are deeply intertwined in these programs, but one must remember that both aspects are needed in an effective program.

Rewards can be financial (in addition to wages or promotions) and nonfinancial. The rewards can demonstrate appreciation, but they also help build the employee's competencies. They can be personalized to an individual employee's personality, interests, or needs. By personalizing its rewards system, an organization can further boost employee engagement and retention. It is therefore a good practice to discuss preferred reward options with employees.

HR might choose from a variety of nonfinancial recognitions to facilitate engagement, including:

- Public praise or private feedback.
- Greater involvement in workplace activity and decisions.
- Privileged access to training or career development tools, for example, access to a "high-performer" development program.
- Assignment to project teams or task forces that provide opportunities for greater visibility within the company, exposure to other parts of the company, and skill development.
- Allowing employees more autonomy and self-direction in their work assignments.
- Opportunities to supervise other employees or try different jobs.

- Enhanced job tools or resources (for example, subscriptions to professional journals).
- Awards (for example, letters, plaques, ceremonies).
- Offering a more flexible work schedule or letting a worker work from home.

The SHRM Foundation provided a grant to investigate the link between performance management and employee engagement in multinational enterprises operating across developed and developing economies. This research included organizations with operations in the United Kingdom, India, China, the Netherlands, and the Asia-Pacific region. Some key findings from this multinational performance management and engagement study include the following:

- Having a broad range of performance appraisal outcomes (such as promotion, training, pay increases, etc.) is positively linked to employee engagement.
- High levels of job and organization resources in general are key elements linked to all of the types of engagement studied.
- Employee involvement in target setting is also linked positively to how the employee feels about the job and the organization, although the importance of this varies in different parts of the world.

Organizational justice was also raised by interviewees as being important in both the process of performance management and enhancing employee engagement. Consistency and transparency in HR practices were highlighted as being critical, particularly in the Chinese context where people are very willing to talk to each other about their level of pay. If people feel they are being treated fairly, they are more likely to talk about their work and their organization with passion and pride.

Twice a year, Globoforce commissions a survey with the Society for Human Resource Management. The goal is to elicit trends among HR leaders and practitioners about what challenges they are facing and what strategies help them conquer those challenges. The spring 2016 survey uncovered the following findings related to recognition:

- **Recognition programs tied to organizational values do better than other programs.** HR professionals surveyed indicated that when recognition programs were tied to organizational values, they were perceived as performing better across every measured metric than those programs that were not tied to organizational values. The survey indicated that these programs were nine times more likely to be rated as excellent and were 32% more likely to deliver a strong return on investment, 31% more likely to instill and reinforce corporate

values, and 31% more likely to maintain a strong employer brand. The fact that these programs consistently reinforce company goals and give real-world modeling of desired behaviors may explain their higher impact on things like engagement and satisfaction.

- **Organizations that spend more than 1% of payroll on employee recognition experience better results.** HR managers have always questioned how much to allocate to reward and recognition programs. Comparing companies that allocated less than 1% of payroll to recognition with those that spent 1% or more, differences emerged. Companies that allocate 1% or more see improved recruiting performance, better retention, and better financial results. They also have employees with stronger ties to company values.

Exhibit 60 lists roles HR professionals can play in developing and implementing recognition programs that support employee engagement.

Exhibit 60: The Role of HR in Employee Recognition

Role of HR in Employee Recognition	
Promote a strategic recognition program.	Employees must be put in a position to succeed. Have people in the right roles and provide them with both the resources and the support to get things done.

Role of HR in Employee Recognition	
Tie recognition programs to corporate values.	Link each recognition moment directly back to the organization's core values and strategic objectives. Give those moments more meaning by reinforcing the company's core values in the minds of the employees.
Encourage corporate spending on employee recognition.	Organizations that invest in employee recognition experience better results: • Higher engagement levels • Better retention • Better financial results • Employees who have stronger ties to company values

Key Content

Two criteria should be applied when designing recognition systems:

- Recognition should be tied to performance that helps the organization meet its strategic goals and to the organization's values.
- The form of the recognition should have significance for the recipient.

Employee Engagement Practices During Separation

Employers and HR professionals can recognize that efforts at engagement do not necessarily stop when the need for separation of employment becomes clear. Examining policies and procedures for separation from the perspective of employee engagement can have a positive effect on the organization and its present and future talent pool.

For example:

- In the case of reductions in force or layoffs, HR can support a fair, humane, and compliant process for temporary and permanent separation. This is ethically correct, but it also signals to those employees who remain the way in which the employer views and values its employees.
- In the case of voluntary individual separation, exit interviews provide a valuable opportunity to identify obstacles to and opportunities for employee engagement. These could include identifying managers and supervisors whose behaviors conflict with practices aimed at increasing engagement or employee needs that contribute to well-being that are currently not being met.

Well-handled, objective, and positive separations help define the employer brand. They may help complete the engagement cycle by attracting employees capable of engagement.

As job hopping has become more the rule than the exception, organizations of all sizes have gotten more savvy and more creative about staying connected with former employees. Creating an alumni network means that departing employees are gone but not forgotten, and the experience can be mutually beneficial to the employee and the organization.

The concept of an employee alumni network changes the old compact between employer and employee—there isn't lifelong devotion, but there's no ill will upon departure, either. It's not unlike the philosophy behind school-based alumni networks. Organizations offer ex-employees entry to formal alumni networks with tangible perks such as access to special events, referral incentives, and social networks or e-newsletters. In turn, the benefits of creating a corporate alumni network for the organization include:

- **Branding.** Treating workers well during employment is a must, and helping them transition to other employment will encourage them to spread positive feedback as "brand ambassadors."

- **New business.** An employee may leave an organization but come back as a client.
- **Industry intelligence.** Former staffers can provide industry insight if they maintain friendly relationships with former employers.
- **“Boomerangs.”** Former employees may return to a company at some point with more diverse experience as well as insider knowledge that allows them to hit the ground running. The level of engagement the employee feels at separation will influence the chances of a valued employee’s eventual return.
- **Employee referrals.** Who better to recommend a candidate for an open position than someone who has worked at the company and knows the terrain?

Performance Management

Proficiency indicators related to this section include:

- Helps stakeholders understand the elements of satisfactory employee performance and performance management.
- Implements and monitors processes that measure effectiveness of performance management systems.
- Trains stakeholders on use of organization’s performance management systems.
- Designs and oversees best practice-based employee performance management systems that meet the organization’s talent management needs.
- Designs and oversees processes to measure the effectiveness of performance management systems.

Key concepts related to this section include:

- Key components of, and best practices associated with, performance management systems (examples include dashboard, calibration, user training, goal recording).
- Principles of effective performance appraisal (examples include goal setting, frequent feedback).

Performance Management

Performance management systems include standards, measurements, and processes to use in discussing past performance and improving future performance. This benefits the organization as a whole, as the body of skills, knowledge, and abilities of employees increases. It also benefits the individual employee, who can improve performance as a result of assessment and feedback and plan future growth.

Competency Connection

The Ethical Practice competency can arise in almost any aspect of an HR professional's work. Often, as in the performance management case described below, the ethical aspects of a policy decision or practice can be overlooked. HR practitioners must be proactive in identifying actions that can be framed as "practical" or "kind" but are actually not fair to the organization and its employees.

A manager for a retail clothing chain regularly gives "meets expectations" ratings on all employees' performance evaluations, regardless of actual performance. This way the manager makes sure that all employees receive a raise in pay.

An HR practitioner notices this pattern and looks into the case more closely. The practitioner explains to the manager that it would be very unusual if none of the store's employees was a high achiever or an underperformer. While the manager's ratings might be understandable—rating everyone the same is probably faster and may help the manager avoid difficult situations with the store's employees—the situation is basically unfair to the business and to the employees.

By not recognizing and taking action to correct specific performance shortcomings, the manager is not acting in the company's interest—not correcting performance that could be detracting from potential revenue or rewarding and retaining productive employees. One could also say that this is unfair to lower-performing employees since it deprives them of opportunities to improve.

This description of the situation leads to a more open discussion that makes good use of the practitioner's Communication competency. It turns out that the manager is reluctant to cause dissent in the store through more accurate performance ratings. The HR practitioner and the manager plan some development interventions to improve the manager's confidence in communicating and working with employees and the performance management system.

Performance Management Systems

An important process that contributes to engagement during an employee's career is an organization's performance management system. **Performance management** is the process of maintaining or improving employee job performance. When skill gaps are identified by an employee's manager, that information is provided to HR, who can conduct a gap analysis and advise on appropriate intervention strategies—for example, learning and development tools such as training and coaching, continuous feedback, and improved communication between the individual employee and the performance manager.

Performance management is sometimes viewed negatively by organizations, who may find the whole process to be too time-consuming. However, research has shown that the achievement of goals is motivational. If performance management is done correctly, it drives employee engagement. In turn, engagement results in improved individual performance and productivity that drive business results and accomplish the goals of the organization. In addition, performance management provides the organization more information about its strengths and weaknesses.

Technological tools such as dashboards can help reduce the amount of time it takes to gather, analyze, and share important or relevant

performance data. Dashboards offer a visual representation of key performance metrics and display information that enables users to measure, monitor, and manage activities and processes.

For HR professionals, a dashboard offers a one-stop location for all of their systems and metrics. Dashboards can be customized to suit the needs and goals of the organization and can be used to track relevant HR data such as progress on staffing a new division or department, information related to employee diversity (age, gender, race, etc.), employee absenteeism data, overtime hours, and more.

By working with management and stakeholders, a dashboard can be properly calibrated to include the relevant performance metrics and avoid data or information that, while interesting, might not be relevant to the organization's goals. By analyzing and tracking the information, it is possible to ascertain if and how progress is being made toward meeting the goals. When dashboards show negative results, individual or team goals can be evaluated or revised in a more timely fashion instead of waiting until the end of a goal cycle.

Variations of the dashboard, or specific metrics they track, can be shared with employees, allowing them to track their own progress. When the data is carefully selected, sharing it with employees can help enhance motivation by showing them real information about performance—for example, areas that might need more attention or

areas that are performing well or above expectations. This data may be valuable to employees at all levels, including leadership across the organization and managers of specific projects. As with all technological tools, it is important to offer proper user training to any employees who will be using the dashboard.

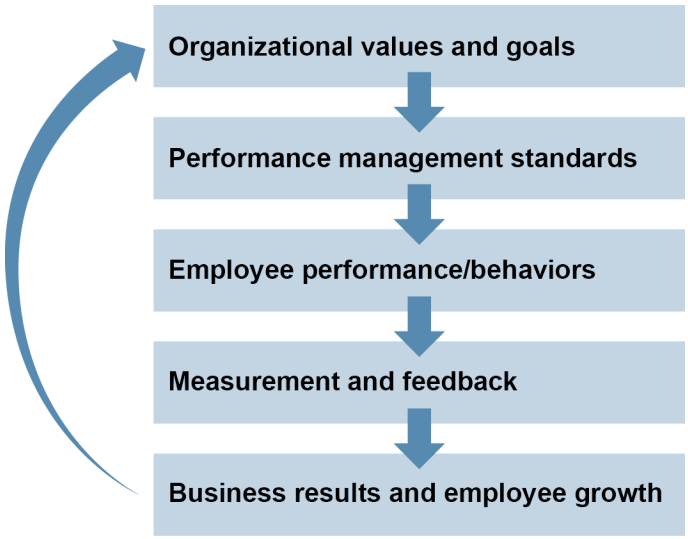
Key Content

Performance management systems can be fully effective only if:

- They have the support of senior leaders.
- The managers who must implement the system accept the system's value to the organization and thoroughly understand how to implement it.
- Employees are educated about the system—how to get the most value from it and how to ensure their rights to provide responses and feedback.
- The implementation of the system is regularly evaluated and improved and its alignment with strategy and culture is adjusted as needed.

Exhibit 61 illustrates a performance management system and the relationship between organizational strategy, individual contributions, and business results, which ultimately impact the organizational goals.

Exhibit 61: Performance Management System



The following takes a closer look at the first three of these factors.

Aligning Performance to Organizational Values and Goals

Performance goals should reflect the values that the organization has defined and communicated to employees. Specific values may be called out in employee performance goals, such as acting in a way that shows commitment to customer service. Individual performance goals are also an opportunity to show employees how

their individual efforts contribute to the success of the organization's strategy.

Alignment of performance management to organizational values and goals works best when these values and goals are evident in the actions of the organization's leaders.

Performance Standards

Performance standards are the expectations of management translated into two key elements that employees can deliver:

- **Behaviors.** What the organization wants the employees to do.
- **Results.** What the organization wants the employees to produce or deliver.

Performance standards tell employees both what they have to do and how well they have to do it.

Key Content

Performance management standards should be objective, measurable, realistic, and stated clearly in writing (or otherwise recorded). The standards should be written in terms of specific measures that will be used to

appraise performance. Measures of employee performance include:

- **Quality.** How well the work is performed and/or how accurate or how effective the final product is.
- **Quantity.** How much work is produced.
- **Timeliness.** How quickly, when, or by what date the work is produced.
- **Cost-effectiveness.** Dollar savings to the organization or working within a budget.

With executive-level support, these performance standards should be communicated throughout the organization. Employees should be told what management expects relative to performance. This can be accomplished in a number of ways, including orientation, employee handbooks, organization or department meetings, newsletters, etc.

Employee Performance and Behaviors

Because individual contribution drives organizational results, managers need to help translate the organization's business goals, objectives, and performance standards to individual employee goals. There should be a direct relationship between the employee's job

description, the job competencies required, and performance plan goals and objectives.

Additional factors that affect employee performance include interaction and feedback from managers, whether employees feel personally connected to the work, and the culture of the organization.

Key Content

Organizations can foster a high-performance workplace by:

- Demonstrating executive-level support for performance management.
- Providing a positive and challenging work environment.
- Attending to employee engagement activities.
- Training managers in performance management, including legal issues.
- Holding managers accountable for their role in performance management.
- Providing continual feedback from managers, peers, customers, and others—not just at performance appraisal meetings.

- Providing the proper resources and tools.
- Maintaining consistent management practices.

Evaluating Performance Management Programs

In a SHRM Foundation report, Elaine Pulakos recommends the following actions to evaluate performance management systems:

- Track completion of training among the system users.
- Track completion of performance management activities.
- Secure periodic manager review of performance standards used in ratings to ensure continued validity.
- Secure senior management review of alignment of the system with the organization’s strategic goals.
- Periodically align performance appraisal results with promotions and pay increases to confirm that there is a positive relationship.
- Solicit feedback from users.

Many of these activities will be easier if the performance management system and required training are integrated into the HR information system.

Performance Appraisal

The typical method of measuring employees' adherence to performance standards and providing feedback is the **performance appraisal.** This process measures the degree to which an employee accomplishes work requirements.

Performance appraisals accomplish three purposes:

- Provide feedback and counseling
- Help in allocating rewards and opportunities
- Help in determining employees' aspirations and planning developmental needs

Administered on an individual or group basis, effective performance appraisals can:

- Improve productivity through constructive feedback.
- Identify training and developmental needs.
- Communicate expectations.
- Foster commitment and mutual understanding.

While performance appraisals are a formal method of evaluating and giving feedback, managers can also give feedback informally on the results of more casual observation. Good performance should be rewarded, but rewards are not limited to salary increases or bonuses. Well-phrased praise is often an effective reward for good performance.

To ensure effectiveness, evaluations of performance—whether individual or group—should be communicated continuously, not just conducted as an annual appraisal. Some organizations are opting to do away with annual appraisals entirely in favor of a system based entirely on continuous appraisal.

Ensuring that appraisals are performed continuously, whether paired with annual appraisals or not, allows managers to regularly monitor their employees' progress and coach employees in areas for improvement. Ideally, information that employees receive during performance appraisals should never be a surprise to the employee.

Appraisal Methods

A common approach to performance appraisal involves the employee and the direct supervisor. In some organizational cultures and environments, peers and subordinates may be asked to provide input on an individual's performance. This may be done with a 360-degree approach to performance appraisal.

There are several methods available for conducting an appraisal:

- **Category rating methods.** The least complex means of appraising performance, in category rating methods the appraiser marks an employee's level of performance on a designated form. Examples include:

    - **Graphic scale.** The appraiser checks the appropriate place on the scale for each task listed. A typical example is a five-point rating scale where 1 is significantly below standard, 3 is standard, and 5 is significantly above standard.
    - **Checklist.** The appraiser is given a list of statements or words and checks the items on the list that describe the characteristics and performance of the employee.
    - **Forced choice.** This is a variation on the checklist method. The appraiser is required to check two of four statements: one that the employee is most like and one that the employee is least like.
- **Comparative methods.** The appraiser directly compares the performance of each employee with that of the others. Examples include:
    - **Ranking.** The appraiser lists all employees from highest to lowest. If there are 20 employees, the appraiser ranks them in order from 1 to 20—best to poorest in performance.
    - **Paired-comparison.** Each of the employees is paired with every other employee and compared, one at a time, using the same scale for performance. This method provides more information about individual employees than ranking.

    - **Forced distribution.** Employees are rated and placed at different percentage points along a bell-shaped curve.

- **Narrative methods.** The appraiser submits written narrative performance appraisals. Examples include:

    - **Essay.** The appraiser writes a short essay describing the performance of each employee during the rating period. Ordinarily, the appraiser is given several topic areas for comment.

    - **Critical incidents.** A record of employee actions is kept in addition to actual ratings. Both positive and negative actions are recorded for the entire rating period.

    - **Field review.** The supervisor or manager and a human resource professional cooperate in this method. HR interviews the supervisor about the performance of each employee. After the interview, HR compiles comparison ratings for each employee and then submits the ratings to the supervisor for approval or changes.

There are two special appraisal methods that can be used to overcome some of the difficulties associated with appraisal.

- In **management by objectives (MBO),** the employees help set objectives for themselves, defining what they intend to achieve within a specified time period. The objectives are based on overall goals and objectives for the organization.

  When the employee has set goals and objectives, there is a dialogue between the employee and the manager, so mutual agreement may be used to finalize the goals and objectives. In this way, the goals and objectives are not imposed upon the employee but still reflect the goals of the organization.

  Assumptions that form the foundation for MBO include the following:
  - A strategic plan is in place.
  - A higher level of commitment and performance results from employees who plan and set their own goals.
  - The employee will better accomplish objectives that are clearly defined.
  - Performance objectives are measurable and specify desired results.

- Another special appraisal method is the **behaviorally anchored rating scale (BARS).** The BARS method was designed to overcome the problems of category rating by describing examples of desirable and undesirable behavior.

Examples are then measured against a scale of performance levels.

Clearly indicating the behavior associated with each level of performance helps reduce some of the limitations inherent in other appraisal methods.

Exhibit 62 is an example of BARS for a receptionist position.

Exhibit 62: BARS Example for Receptionist Position

Receptionist Position		
Outstanding	5	Positive and cheerful with visitors; shows them to the refreshment area. Lets visitors know when there is a delay. Keeps desk area as well as entire reception area neat and organized. Very responsive to callers. Is able to handle some requests directly. Efficiently prioritizes and completes project work independently. Seeks additional project work in less busy times.
	4	Cheerfully greets visitors, points out refreshment area. Desk area is neat and organized. Responsive to callers and takes extra steps if the matter seems urgent. Completes most project work efficiently and independently.
Satisfactory	3	Greets the public in a pleasant manner, keeps desk organized and neat, answers and transfers telephone calls correctly. Needs direction to complete some project work.
	2	Proficient with the telephone system, but some mistakes in transferring calls correctly. Desk area is usually neat. Attempts project work but needs much direction.

Receptionist Position		
Unsatisfactory	1	Uncomfortable with telephone system features and makes frequent mistakes when transferring calls. Desk area is disorganized and cluttered. Trouble focusing on and completing work projects in less busy times, even with direction. Often fails to greet visitors positively.

The BARS method offers several advantages, including:

- More accurate gauge of performance.
- Clearer standards of performance.
- Feedback.
- Independent dimensions.

The BARS method works best in situations where many employees are performing the same tasks. This method requires extensive time and energy to develop and maintain. Additionally, different BARS must be developed to measure employee performance for different jobs. For example, in a restaurant business, managers, cooks, wait staff, and cleaners would each need their own BARS.

Developing BARS typically requires an organization to:

- Generate critical incidents.
- Develop performance dimensions.
- Scale the incidents.
- Develop the final instrument.

In order to select the best appraisal method for an organization, the advantages and disadvantages of each method should be weighed.

Exhibit 63 provides some advantages and disadvantages for a selection of the appraisal tools discussed above, as identified by Gary Dessler in *Human Resource Management.*

Exhibit 63: Advantages and Disadvantages of Selected Appraisal Tools

	Advantages	Disadvantages
Graphic scales	Scales are simple to use and provide a quantitative rating for each employee.	Standards may be unclear.
Ranking	Ranking is simple to use but not as simple as graphic scales.	Ranking can cause disagreements among employees and may be unfair if all employees are excellent.
Forced distribution	Distribution forces a predetermined number of people into each group.	Appraisal results depend on the adequacy of the original choice of cutoff points.
Critical incidents	Tool helps specify what is “right” and “wrong” about the employee’s performance; it forces the supervisor to evaluate subordinates on an ongoing basis.	It may be difficult to rate or rank employees relative to one another.
MBO	Tool is tied to jointly agreed-upon performance objectives.	Tool may be time-consuming to implement.
BARS	Behavioral “anchors” are very accurate.	BARS may be difficult to develop.

Errors in Performance Appraisal

Any appraisal rating method is subject to logical errors. Examples related to performance management are described below.

- **Halo/horn effect.** The halo effect may occur when an employee is extremely competent in one area and is therefore rated high in all categories. Conversely, the horn effect may occur when one weakness results in an overall low rating.

- **Recency.** The recency error occurs when an appraiser gives more weight to recent occurrences and discounts or minimizes the employee's earlier performance during the appraisal period.

- **Primacy.** The primacy error occurs when an appraiser gives more weight to the employee's earlier performance and discounts or minimizes recent occurrences.

- **Bias.** When an appraiser's values, beliefs, or prejudices distort ratings (either consciously or unconsciously), the error is due to bias.

- **Strictness.** Some appraisers may be reluctant to give high ratings. In the case of strictness, appraisers who believe that standards are too low may inflate the standards in an effort to make the standards meaningful in their eyes.

- **Leniency.** Leniency errors are the result of appraisers who do not want to give low scores. All employees in this case are given high scores.
- **Central tendency.** Central tendency errors occur when an appraiser rates all employees within a narrow range, regardless of differences in actual performance.
- **Contrast.** The contrast error occurs when an employee's rating is based on how his or her performance compares to that of another employee instead of on objective performance standards.

An important process to help address some of these errors is performance calibration, in which key managers are brought together, by department or function, in order to establish agreed-upon metrics and criteria for assessing performance. Calibration sessions can take place before appraisals are conducted and can help prevent a manager's positive and negative biases from influencing appraisals. The end result should be a better and more accurate understanding of organizational performance. Calibration of performance expectations can serve functions of any size as well as processes within an organization. For example, a project team could hold a session in order to agree upon the performance expectations for a particular phase of a project or even a particular

workweek. Calibration can also be used to identify the performance criteria used in the creation of a nine-box grid, which is in turn used to identify employees who are best suited to promotion. (Nine-box grids are discussed in further detail in Workforce Management in the *Organization* module.)

Appraisal Meeting

The effective performance appraisal is a job-related planning activity that is shared by the employee and the supervisor. Input from both is essential for a successful outcome. The performance appraisal process can provide both the appraiser and the employee with a sense of accomplishment, direction in priorities, and commitment to a specific career path.

Employees need to know how they have been rated so they have a clear understanding of how they fared in the eyes of their appraiser and the organization. The appraisal meeting gives the appraiser an opportunity to discuss the rating, the rationale, and future development.

After the discussion about performance, the appraiser and the employee work together to create a performance improvement plan, a plan of action that will help the employee meet or exceed organizational, departmental, and/or individual goals.

At this point in the appraisal meeting, the appraiser and the employee must:

- Gain agreement on the appraisal ratings.
- Set specific objectives that the employee is to achieve before the next appraisal period.
- Create an implementation plan for how the employee will meet the objectives.
- Discuss how the appraiser will follow up with the employee to see that the objectives are being met.
- Discuss what must be accomplished before the next review period.

In addition to evaluating past performance against agreed-upon objectives, the performance appraisal should offer the opportunity for the supervisor and the employee to jointly discuss the employee's training and other developmental needs. The employee's interests and aspirations should also be considered so that longer-term development can be planned and arrangements can be made to test the potential for such career growth.

Documenting Employee Performance

The performance appraisal is not complete without documentation. From a legal perspective, performance documentation may be among the most important items in an employee's personnel file.

Good documentation can prevent legal challenges as well as be the difference between winning and losing a lawsuit.

All performance documentation must be developed as close in time to the incident as possible and must also be specific, objective, accurate, and consistent. It is often more challenging when an organization has documentation that is poorly drafted versus having no documentation at all. Many employee lawsuits are won by plaintiffs not because of lack of documentation but because of poorly written chronicles.

Documentation is not only valuable in sheltering an organization from litigation; it can be used to improve employee performance by influencing training and career development activities.

Evaluating the Employee Engagement and Retention Strategy

Proficiency indicators related to this section include:

- Designs, administers, analyzes and interprets surveys on employee engagement, job satisfaction and culture using best practices.
- Implements and monitors processes that measure effectiveness of performance management systems.
- Monitors changes in turnover and retention metrics, and ensures that leadership is aware of such changes.
- Designs, oversees and communicates an action plan to address the findings of surveys on employee engagement, job satisfaction and culture.
- Holistically monitors the organization’s metrics on employee attitudes, turnover and retention, and other information about employee engagement and retention.

Key concepts related to this section include:

- Methods for assessing employee engagement and satisfaction (examples include focus groups, stay interviews, surveys).

- Retention and turnover metrics (examples include quality of hire, voluntary turnover rate, turnover at a specific location or level, vacancy rate).

Evaluating the Employee Engagement and Retention Strategy

While having an employee engagement strategy is key, an organization must also determine whether the strategy is making a difference. This requires identifying meaningful indicators of engagement, collecting data for those metrics, analyzing them, and planning actions to improve engagement.

Competency Connection

When an organization discovered that employee attrition had increased to 39%, HR decided to see what might be causing the exodus. After doing many interviews and focus groups, the HR team identified that the organization’s constant change in strategy and its lack of achieving targets were demoralizing employees. The front-line sales representatives showed the highest levels of uncertainty and insecurity.

The VP of HR focused on communicating the situation to the organization’s leadership and seeking positive changes at that level. The HR team evaluated the current onboarding program and found that attrition in new hires was often due to a feeling of being overwhelmed and ill-prepared for their new jobs.

To address the problem, the HR team recommended the development of an assessment center to create a pool of qualified internal candidates who would be more familiar with the organization's culture and business. They also introduced a new orientation program and a "buddy" program for the new hires. The "buddy" would be constantly in touch with the new hire for the first three months of employment to listen and keep them from feeling overwhelmed by their situations and to provide guidance on work-related issues.

HR continued to track attrition rates and was proud to show management the results. Within two years, the attrition rate was down to 13%—a level that reflected industry averages.

HR and its team demonstrated the Leadership & Navigation, Consultation, and Analytical Aptitude competencies in analyzing the issue thoroughly, developing novel solutions, and providing service to their organization.

Employee Engagement Metrics

HR professionals can measure engagement in a number of ways, both internal and external. For example, they can tie the investments an organization makes in career development, compensation, management training, and so on back to employee engagement,

which ties back to the profitability of the company. Alternatively, they can look to external surveys, such as the Net Promoter score, to measure engagement. The most important metric, though, is impact on the business, as research has consistently linked engagement levels to business outcomes.

Other significant measures may include the following:

- **Monthly voluntary turnover rate.** When you see an increased trend in voluntary turnover, this usually correlates to low engagement.

$$\text{Monthly voluntary turnover rate} = \frac{\text{Number of voluntary separations during month}}{\text{Average number of employees during month}} \times 100$$

In this formula, multiplying by 100 produces a percentage rate.

- **Revenue per employee.** This is especially important when evaluating the cost of a lost employee due to voluntary or involuntary turnover. A decrease in revenue per employee may correlate to a decrease in employee engagement.

$$\text{Revenue per employee} = \frac{\text{Total revenue}}{\text{Total number of employees}}$$

- **Wellness.** Research has found that engaged employees tend to be healthier. Organizations are therefore paying much more attention to the physical and mental health and well-being of their employees. To that end, organizations have come to offer more programs to help maintain employee health, which can in turn enhance employee engagement. Programs that provide workplace exercise opportunities (for example, yoga or treadmill desks), healthier cafeteria options, mental health support, and updated health-conscious business travel plans are all possible options.

Many executives have difficulty seeing the immense power of employee engagement. Increases in employee engagement can lead to important benefits for the organization, such as:

- Increases in net income associated with increased productivity.
- Decreases in expenses.
- Positive changes in engagement metrics on surveys, which may be tied to managerial/leadership performance targets.

The HR professional is in a prime position to present the business case for employee engagement evaluation, action planning, and implementation and evaluation of those plans and the effect they have on business outcomes.

Employee Retention Metrics

After implementation of retention strategies and practices, the results should be evaluated to assess impact relative to cost. Because retention strategies and practices vary across organizations, so do the organizational costs of designing and implementing employee retention programs. There are no typical benchmark costs. However, the lack of benchmarks does not mean that retention programs cannot be evaluated.

Key Content

A starting point in evaluating retention is understanding employee turnover—the number of employees leaving, why they leave, and the impact those departures have on the organization's productivity and overall business performance. To better understand employee turnover, some questions to ask include:

- What is the current turnover rate?
- How does it compare to previous years?
- How does it compare to the industry average?
- How much is turnover costing the organization?
- Who is leaving the organization?

- What impact does turnover have on the morale of employees who stay?

Many employers use the terms “retention rate” and “turnover rate” interchangeably. In fact, the retention rate, sometimes referred to as the “stability index,” measures the retention of particular employees over a specified period of time and complements the turnover rate metric, giving a more complete view of worker movement than calculating either metric alone.

The basic formula for calculating retention is

$$\text{Retention rate} = \frac{\text{Number of employees who remain employed for entire measurement period}}{\text{Number of employees at start of measurement period}} \times 100$$

When determining how many employees remained employed for the entire measurement period, be sure to include only those employees who were employed on both the first and last days of the period. Any workers hired within the measurement period are simply not counted, as the goal is only to track the retention of those working on day one of the measurement period.

The retention rate is often calculated on an annual basis, dividing the number of employees with one year or more of service by the number of staff in those positions one year ago. Positions added during the year would not be counted. Smaller measurement periods can be used, as when tracking more immediate results of retention initiatives, or larger periods, as when calculating the retention of those workers who stayed after a reduction in force some years ago.

The retention rate is quite useful to show the stability of the workforce, but the downside is that it does not track the departures of employees who joined and subsequently left during the period being tracked. The turnover rate will complement the retention rate by showing the percentage of separations in the same period. The turnover rate is often defined as the number of separations divided by the average number of employees during that same time period.

The basic formula for calculating turnover is:

$$\text{Turnover rate} = \frac{\text{Number of separations during measurement period}}{\text{Average number of employees during measurement period}} \times 100$$

Tracking both the retention and turnover metrics gives the employer a more complete picture of retained and separated employees.

Example:

A department has 10 employees; two employees leave and are replaced.

$$\text{Retention rate} = \frac{8}{10} \times 100 = 80 \text{ percent}$$

$$\text{Turnover rate} = \frac{2}{10} \times 100 = 20 \text{ percent}$$

Two other metrics an organization can use to evaluate its retention programs are the vacancy rate and the quality-of-hire metric.

The vacancy rate measures the percentage of job positions that remain vacant over a specific period of time. These vacancies are positions the organization is actively trying to fill, in the short or long term, and can refer to newly created, unoccupied, or recently vacated positions. Organizations with higher turnover rates can be expected to also have higher vacancy rates.

Quality-of-hire metrics prioritize effectiveness over efficiency and are specific to each organization. Drawing on data gathered before and after the hiring process, this metric identifies those candidates expected to contribute the most to the organization based on their skills, the source of their referral, and potential and actual fit with the organization's culture and work.

Reviewing absenteeism rates and the number of discrimination complaints may also be indicators (positive or negative) of the

impact of retention strategies. The payback in financial terms can be estimated by reviewing HR metrics, return on investment, and cost-benefit analysis after strategies have been implemented.

An independent audit is another way to evaluate the effectiveness, efficiency, and impact of a retention program. An audit might measure how retention efforts affect various employee groups. For example, are certain types of employees (for example, low-skilled, highly skilled, technical, professional, managerial, executive, or those with varying degrees of seniority) leaving the organization at more significant levels than others? Based on audit findings, employee groups with high turnover rates can be targeted for specific interventions.

Collecting exit information can also provide insights related to retention effectiveness. Such information can help identify the reasons employees choose to leave the organization. Exit interviews, surveys, or other data collection efforts must be selected and implemented with a thorough understanding of the cultural and legal implications of the situation. For example, collecting exit information in a global environment can be challenging:

- Employee willingness to make negative statements about the organization or the people in it is a cultural factor that can vary widely from situation to situation.

- Employees who are unfamiliar with the practice of exit interviewing may view it with fear or suspicion, especially if they are leaving under difficult circumstances.
- Employee comments may be difficult to interpret; they may mean very different things depending on individual cultural expectations and experiences.
- Data privacy regulations vary from country to country and may create significant restrictions regarding what data is gathered and how it is used.

Specific to onboarding and its impact on retention, evaluation of an onboarding program may involve activities and metrics such as (but not limited to):

- Organizational turnover/retention rates.
- Individual employee performance measures.
- Departmental performance measures.
- Formal and informal feedback from new hires.
- Retention thresholds (the point at which a new employee exits the organization).

Simply put, retaining the best employees is important. Understanding the true cost of employee turnover is challenging, because there are many intangible, and often untracked, costs associated with employee turnover. Additionally, many organizations

do not have systems in place to track the exit costs; the recruiting, interviewing, hiring, orientation, and training costs; the lost productivity; the potential customer dissatisfaction; the reduced or lost business; the administrative costs; or the lost expertise associated with turnover. This requires collaboration among departments (HR, finance, operations), ways to measure these costs, and reporting mechanisms. However, HR professionals who monitor changes in turnover and retention and enlist the support of leadership regarding strategies for dealing with these developments will put their organizations at a competitive advantage.

Learning & Development

Learning & Development activities enhance the KSAOs (knowledge, skills, and abilities) and competencies of the workforce to meet the organization's current and future business needs.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Administers and supports programs to promote knowledge transfer.
- Creates individual development plans (IDPs) in collaboration with supervisors and employees.
- Creates internal social networks (examples include employee resource groups) to facilitate knowledge-sharing among employees.
- Uses all available resources (examples include vendors) to develop, deliver and evaluate effective learning and development programs.
- Uses best practices to develop and deliver learning and development activities that close gaps in employees' competencies and skills.
- Uses best practices to evaluate data on gaps in employees' competencies and skills.

Proficiency indicators for **advanced HR professionals** include:

- Creates long-term organizational strategies to develop talent.
- Creates strategies to ensure the retention of organizational knowledge.

- Designs and oversees efforts to collect data on critical gaps in employees' competencies and skills.
- Monitors the effectiveness of programs for emerging leaders and leadership development.
- Provides guidance to identify and develop critical competencies that meet the organization's talent needs.

Key Concepts:

- Adult learning theories (examples include learning everywhere model, VAK learning styles, 70-20-10 model).
- Approaches to coaching and mentoring (examples include formal and informal mentorship programs, executive coaching, encouraging a growth mindset).
- Career development techniques (examples include career pathing, career mapping, mentorship, cross-training, on-the-job training, apprenticeship, job expansion, job enlargement).
- Developmental assessments (examples include 360s, simulations, high-potential assessments, personality assessments, skills assessments, competency assessments).
- Goal-setting best practices (examples include individual development plans [IDPs], SMART goals).
- Knowledge-sharing techniques and facilitation (examples include knowledge maps, knowledge cafes).

- Leadership development and planning (examples include high-potential development programs, stretch assignments).
- Learning & development technologies (examples include learning management system [LMS], artificial intelligence [AI], virtual reality [VR], chatbots).
- Learning and development approaches and techniques (examples include e-learning, just-in-time learning, micro-learning, blended learning, self-paced learning, self-directed learning, experiential learning, peer-to-peer training, webinars, gamification, infographics, podcasts, rotational programs).
- Learning and development program design and implementation (examples include ADDIE model, SAM model, action mapping, Bloom’s taxonomy).
- Needs analysis types (examples include person, organizational, training, cost-benefit) and techniques (examples include surveys, observations, interviews).

Learning & Development

Learning and development in today's organizations are no longer solely concerned with providing training for an employee's current position. Modern organizations use education for career development and talent management. This allows employees to grow in the organization, and it ensures that the organization has a robust talent pool and a pipeline filled with promising future leaders.

Depending on the organization, developing training may fall within the purview of the HR professional. Whoever is creating or directing learning and development assets must have a strong understanding of differences in adult learning styles. Knowledge of learning and development methods such as the ADDIE model can create a strong foundation for repeated success in learning and development efforts.

Career and leader development can take many forms, but the strongest career development programs feature multiple avenues for employees to explore as they seek to grow in the organization. Although career development is the employee's responsibility, HR professionals can develop and implement programs, such as mentoring programs or assignments to special projects, that provide targeted skill and experience development.

Learning and Development in Today's Organization

Proficiency indicators related to this section include:

- Administers and supports programs to promote knowledge transfer.
- Creates internal social networks (examples include employee resource groups) to facilitate knowledge-sharing among employees.
- Uses best practices to evaluate data on gaps in employees' competencies and skills.
- Creates long-term organizational strategies to develop talent.
- Creates strategies to ensure the retention of organizational knowledge.
- Designs and oversees efforts to collect data on critical gaps in employees' competencies and skills.
- Provides guidance to identify and develop critical competencies that meet the organization's talent needs.

Key concepts related to this section include:

- Approaches to coaching and mentoring (examples include formal and informal mentorship programs, executive coaching, encouraging a growth mindset).

- Knowledge-sharing techniques and facilitation (examples include knowledge maps, knowledge cafes).

Learning and Development in Today's Organization

The goal for many organizations today is to become a "learning organization," constantly acquiring and sharing new information, constantly expanding its treasure of skill, knowledge, and abilities. HR professionals play a key role in diagnosing the organization's performance gaps, designing learning and training solutions where they are appropriate, and justifying the expenditure of the organization's resources on these efforts.

Competency Connection

The division president has asked the HR business partner to work with the vice president of sales to identify plans that will increase the effectiveness and results of the sales team. There is no clear understanding of what the sales team's current capabilities are. The HR business partner and the VP of sales work together to identify sets of data they can collect and analyze regarding the performance of the sales team as a unit and for each sales associate individually. They also analyze the business opportunities in the market. The HR business partner proposes a set of questions for sales associates to better assess their knowledge of business services/products and

their customers' business needs. Additionally, best sales practices for the industry are collected.

Using all sets of collected data, the HR business partner is able to recommend a development process that is a combination of individual development plans for the sales associates' unique learning needs and classroom learning opportunities for development of the knowledge needs that cut across all sale associates.

This approach demonstrates three HR Behavioral Competencies:

- Analytical Aptitude in gathering necessary information and making sound decisions based on evaluation of available information
- Consultation in delivering value to the organization by improving the sales team's performance
- Business Acumen in aligning HR activities with the organization's strategic needs and goals

Overview of Learning and Development

Most organizations today are faced with the challenge of reassembling the capabilities of their workforce. This is due in part to

massive layoffs during times of economic turmoil, changes in the demographics of organizations as older workers phase out of the workforce and are replaced by younger workers, and a shift toward globalization. Additionally, marketplace realities such as cost pressures, increased competition, and rapid industry change create a new imperative for how organizations link learning and development to strategy.

A distinction can be made between training and development activities:

- **Training** involves a process of providing knowledge, skills, and abilities (KSAs) specific to a particular task or job. It is appropriate when skills and knowledge are missing and the individual has the willingness to learn. It provides skills that can be used immediately and is an excellent solution for solving short-term skill gaps.

  Example: A sales manager is trained on how to develop high-performance teams.

- **Developmental activities** have a long-term focus on preparing for future responsibilities while increasing the capacities of employees to perform their current jobs. These activities are broader in scope than training activities.

> **Example:** The sales manager is identified as a potential leader in the division and is provided with additional learning opportunities to develop leadership capabilities.

Traditionally, organizations have focused their learning and development initiatives around training. A need or gap in KSAs is identified, and training is designed, developed, and implemented to remediate the need or gap; then an evaluation is done to see that the need has been met.

Training is still being used, but organizations now recognize that the majority of adult learning occurs through one's experiences on the job and in life. It occurs through activities performed and relationships with others. These learning experiences are not haphazard, however. Experiential learning in the workplace should undergo the same rigor as training, and it needs to be set up "behind the scenes" to facilitate its greatest impact. This means analyzing individual, group, or organizational needs. It includes identifying competency-based performance standards, developing individual or group goals, and designing learning activities and experiences to foster growth in meeting those goals. Experiential learning initiatives also require evaluation to determine their effectiveness.

Historically, most corporate learning programs followed a "push" model. An employee was invited to a training session in a classroom

at a specified time, listened to a series of lectures, and was sent back to work. Content was “pushed” to employees based on the training department’s schedule, and success was measured by how many employees attended the class. “Push” training is still generally used for required training such as compliance-related subjects.

However, today’s employees typically have different expectations of how to acquire and develop skills. Many younger workers expect training and support to be as readily and rapidly accessible as an Internet search. In this “pull” model, learning and development is a continuous process, easily accessible anywhere and anytime—commuting to or from work, during work, or outside of work hours—and delivered via devices such as mobile phones, tablets, and laptop computers in formats as varied as videos, blogs, games, quizzes, simulations, podcasts, or slide shows. “Pull” training is usually linked to acquiring skills, abilities, knowledge, and competencies needed to better perform one’s job.

The Center for Creative Leadership designed a model of learning called the 70-20-10 rule. This rule is based the Center’s view of how executives learn, but it can also be a good guide for adult learning in general. The rule proposes that to develop managers it is important to engage them in three clusters of experience using a 70-20-10

ratio: challenging assignments (70%), developmental relationships (20%), and coursework and training (10%).

However, many organizations do not use this systematic type of design for developing leaders or employees in general. This may be due to several factors:

- Managers and their bosses do not have the knowledge they need to select and sequence work assignments and career moves. Additionally, they lack the motivation to take ownership for developmental relationships for themselves or their teams.
- Organizations are unable to match the learning needs of high-potential managers to the experiences most likely to provide that learning.
- Past research has focused on the experiences of U.S.–based corporations, and organizations may find it inappropriate to generalize this knowledge outside the United States.

HR professionals play a critical role in development of the organization’s workforce by ensuring that learning and development functions align with the organization’s strategic goals. This is accomplished by participating in the strategic planning process and incorporating input from stakeholders such as corporate leaders, learning and development specialists, managers, and employees. In addition, HR professionals may be involved in initiating, facilitating,

and interpreting workforce analytics used to guide decisions on workforce development needs. HR should regularly scan the internal and external environment and do needs assessments to identify critical learning opportunities.

Learning and Development in Global Organizations

Cultural differences can have a significant impact on learning and development. Organizations are striving to cultivate local and global channels for key talent and workforce development. High-potential employees are often selected for international assignments to broaden their global awareness and management and leadership capabilities. Mentoring and coaching are important activities in the global enterprise and are especially useful for cross-cultural situations and international assignments. Topics specific to global employee learning and development include:

- Cross-cultural awareness.
- International assignment preparation.
- Global team building and managing virtual teams.
- Issues related to laws, ethics, and organizational values. (Examples include anticorruption and antibullying.)

Key Content

Global HR professionals charged with the responsibility

of designing, developing, and delivering cross-border or cross-cultural learning and development programs must do so within the context of two important influences: strategic orientation (how the organization steers a path between global integration and local differentiation) and stakeholder buy-in and support. These two key factors have implications for all aspects of the learning and development process.

The Learning Organization

The **learning organization** is a systems-level concept in which an organization is characterized by its ability to adapt to changes in its environment and respond quickly to lessons of experience by altering organizational behavior. In a learning organization:

- Learning is accomplished by the organizational system as a whole.
- Systems thinking is practiced.
- Employees network inside and outside the organization.
- Change is embraced, risk is tolerated, and failures are viewed as opportunities to learn.

- The organization adapts and changes as the environment changes.

Peter Senge's *The Fifth Discipline* discusses five disciplines that interface and support one another in order to create an environment where learning can occur, as shown in Exhibit 64.

- **Systems thinking** is a conceptual framework that makes patterns clearer and helps one see how things interrelate and how to change them.
- **Mental models** are our deeply ingrained assumptions that influence how we understand the world and how we take action.
- **Personal mastery** is the high level of proficiency in a subject or skill area.
- **Team learning** is aligning and developing the capacity of a team to create the results its members desire.
- **Shared vision** is a look into the future that fosters genuine commitment and is shared by all who need to possess it.

Exhibit 64: Five Disciplines of a Learning Organization



If these five disciplines are adopted, an organization has a learning climate in which:

- Learning is competency-based and tied to business objectives.
- Importance is placed on how to learn, not just what to learn.
- The organization continues to develop knowledge, skills, and abilities.
- People take responsibility for their own learning.
- Learning is matched to people's learning preferences.
- Learning is both a part of work and a part of everyone's job description.
- Leaders are designers, stewards, and teachers.

HR professionals wishing to assist their organization in becoming a true learning organization need to ensure that the five disciplines identified by Senge are present and working at all organizational levels through effective HR development programming.

Key Content

A learning organization is a type of organization that has “learned” to react and adapt to its environment. A learning organization provides the environment for organizational learning.

Organizational Learning Techniques

Organizational learning describes certain types of learning activities or processes that may occur at any one of several levels within an organization—individual, group, or organization:

- Individual learning occurs mainly through experience and what is learned from others and training such as self-study, classes/seminars, and technology-based instruction.
- Group learning occurs through the increase in skills, knowledge, and abilities accomplished within groups or teams.
- Organizational learning begins through the shared insights and knowledge of individuals and groups and then builds on past organizational memory such as policies, strategies, and models.

In a culture that supports organizational learning:

- Members recognize the importance of organizational learning.

- Learning is a continuous process that runs parallel to work.
- There is a focus on creativity.
- People have access to information that is important to the organization’s success.
- The organization rewards individual and group learning.
- Quality and continuous improvement drive the organization.
- There are well-defined core competencies.

Retention of Organizational Knowledge

Learning organizations are committed to retaining knowledge over time.

Knowledge is commonly categorized as either explicit or tacit. Explicit knowledge can be more easily shared than tacit knowledge. For example, explicit knowledge might be shared through a database or taught through a learning intervention. Because tacit knowledge is personal and experience-based, it is more challenging to quantify.

> **Examples:**
>
> Learning about organizational protocols for vendor selection reflect explicit knowledge (for example, steps in the vendor selection process). The nuances of what has made a particular supplier the most reliable one in the

past are based on experience and exemplify tacit knowledge.

From an individual perspective, both explicit and tacit knowledge are important to help employees do their jobs better and be more productive. When explicit and tacit knowledge are retained in an organization, valuable knowledge assets are never lost. In spite of these obvious benefits, many organizations lack formal knowledge retention strategies.

Knowledge retention involves capturing knowledge in the organization so that it can be used later. When creating knowledge retention strategies, an organization needs to consider:

- What knowledge may be lost.
- The consequences of losing that knowledge.
- The actions that can be taken to retain that knowledge.

Generally speaking, technology-based systems and “softer” systems can help to retain crucial organization knowledge:

- **Technology-based systems.** These can include programs or databases that employees can access. A collaborative Wiki could be used to allow employees to add and edit information. Technology-based systems are great for retaining explicit knowledge but not as effective for tacit knowledge.

- **Softer systems.** Softer systems include meetings or other activities that take place to share knowledge and help people connect with one another. There are numerous examples of softer systems such as post-project “lessons learned,” job sharing, cross-training, mentoring, shadowing, Internet messaging, various social media applications, or communities of practice (CoPs) where groups of individuals with shared interests come together in person or virtually to tell stories, share and discuss problems and opportunities, discuss best practices, and so forth. Stay interviews, exit interviews, and alumni networks are also examples of softer systems.

  Softer systems may also include the use of knowledge maps or knowledge cafés.

  Knowledge maps visually represent the inventory of knowledge and where it is spread throughout the organization. They can be used to identify how knowledge moves through the organization and so can identify bottlenecks, risks, and opportunities for the organization. For example, a manufacturer may realize that a single person is the only remaining employee who knows how to complete a specific, rarely used process and may make an effort to provide training to others to prevent the loss of that expertise if the employee retires or quits unexpectedly.

A knowledge café is a process that introduces individuals from across the organization so that they can share knowledge and experience about a topic that is of interest to them. Knowledge cafés can be informal and don’t require any specific expertise to organize or run. This tool may not result in specific, pre-determined outcomes. It functions to enhance problem solving and awareness of capabilities throughout the organization and increase networking. For example, an instructional designer who participates in a knowledge café on the topic of industrial drawings may be able to leverage a new relationship with a member of the engineering group to assist when the designer is given a stretch project to render an instructional video from product design files in a software program they are unfamiliar with.

Knowledge retention strategies set the stage for creation of knowledge management systems.

Success of the strategies and systems ultimately depends upon several factors, such as:

- A culture and structure that champions knowledge sharing and learning.
- Proper planning, design, and evaluation.
- Effective knowledge-sharing practices.

- Adequate financing and sound financial management.
- Sustained leadership support.

Training and Development

Proficiency indicators related to this section include:

- Uses all available resources (examples include vendors) to develop, deliver and evaluate effective learning and development programs.
- Uses best practices to develop and deliver learning and development activities that close gaps in employees' competencies and skills.
- Uses best practices to evaluate data on gaps in employees' competencies and skills.
- Designs and oversees efforts to collect data on critical gaps in employees' competencies and skills.

Key concepts related to this section include:

- Adult learning theories (examples include learning everywhere model, VAK learning styles, 70-20-10 model).
- Learning & development technologies (examples include learning management system [LMS], artificial intelligence [AI], virtual reality [VR], chatbots).
- Learning and development approaches and techniques (examples include e-learning, just-in-time learning, micro-learning, blended learning, self-paced learning, self-directed

learning, experiential learning, peer-to-peer training, webinars, gamification, infographics, podcasts, rotational programs).

- Learning and development program design and implementation (examples include ADDIE model, SAM model, action mapping, Bloom’s taxonomy).
- Needs analysis types (examples include person, organizational, training, cost-benefit) and techniques (examples include surveys, observations, interviews).

Training and Development

Training and development are part of the process of improving organizational effectiveness. Training may support skills and knowledge that employees need to do their jobs now. It can also communicate new information to align with business strategies (for example, new skills required for a strategic initiative, such as developing a supply chain) and with changing environments (for example, new processes and laws). It applies rapidly expanding technologies for delivery to established theories about adult learning. HR professionals may be responsible for assuring the effectiveness—and the cost-effectiveness—of the organization's training efforts.

Competency Connection

An organization's learning and development (L&D) manager is quite enthusiastic about potentially implementing a new application that is based on cloud technology. The product demonstration and the quality of the materials are great, and the application would integrate well with the current learning management system. As is the case with most cloud services, arguments for adoption resonate well with the organization due to lower initial costs and easy ability to upgrade in the future.

As the HR director reviews the business case from L&D, it becomes apparent that the application was first recommended by the IT manager (who introduced the technology to the L&D manager). The developer of this cloud-based application is the owner of the technology company; he is also the IT manager's brother-in-law. The HR director is not comfortable with this relationship and realizes it could be construed as a conflict of interest.

The HR director discusses the relationship with the L&D manager. Per the organization's code of ethics, any conflict of interest must be fully disclosed and the party at risk should remove itself from all decision making. Up to this point, there has not been any violation of the code. The L&D manager and the IT manager have been honest and clear in disclosing the relationship.

The situation is then promptly discussed with procurement. In turn, procurement solicits and receives proposals from several other vendors. Those vendors subsequently present their products to L&D. The IT manager is not involved in the selection or recommendations about security, capacity, compatibility, and other technical aspects of the application. This information is provided by a regional IT manager.

The HR director, the L&D manager, and the IT manager have upheld the organization's ethical standards by acting according to the code

of ethics and disclosing a potential conflict of interest. These actions help to maintain appropriate levels of transparency in organizational practices.

Understanding the Adult Learner

Prior to embarking upon the design and development of any learning/development program, it is crucial to pause and consider adult learning principles.

Andragogy is the discipline that studies how adults learn. Pedagogy, conversely, is the study of the education of children. Andragogy is based on the following assumptions about the differences between how adults and children learn:

- **Self-concept.** As people mature, their self-concept moves from being dependent personalities toward being self-directed human beings.
- **Experience.** As people mature, they accumulate a growing reservoir of experience that becomes an increasing resource for learning.
- **Readiness to learn.** As people mature, their readiness to learn becomes oriented increasingly to the developmental tasks of

their social roles.

- **Orientation to learning.** As people mature, their time perspective changes from postponed application of knowledge to immediate applicability, and, accordingly, their orientation toward learning shifts from subject-focused to problem-focused.
- **Motivation to learn.** As people mature, their motivation to learn becomes increasingly internal.
- **“Unlearn to learn.”** As people mature, they are often entrenched in how they approach experiences and other learning interventions. Adult learning interventions need to help them accept fresh perspectives and embrace new ways to do things.

Learning and development programs need to be designed to meet the needs of adult learners. A checklist summarizing important adult learning principles is shown in Exhibit 65.

Exhibit 65: Checklist of Adult Learning Principles

Adult Learning Principles	Learning and Development Applications
Adults want a focus on “real world” issues.	Show how learning can immediately transfer back to the job.
Emphasis on how the learning can be applied is desired.	Apply learning to current and future needs.

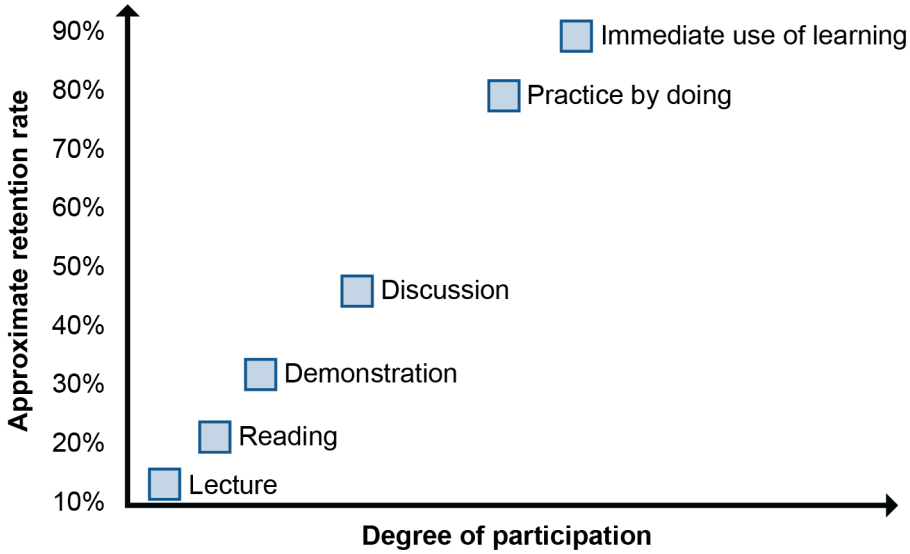
Adult Learning Principles	Learning and Development Applications
Adult learners will come with goals and expectations.	Discover the employees' expectations at the onset of any learning and development initiative and address those that will not be covered.
Allow debate and challenge of ideas, but keep disagreements unheated.	For some people, this interaction enhances the learning. Create a safe learning environment.
Adults expect to be listened to and have their opinions respected.	Promote a learning environment that is collaborative. Allow participants to receive feedback from the instructor and peers.
Adults will wish to be resources to you and to each other.	Take the knowledge and experience of the person into account.
Adults seek out a learning experience because they have a need for the knowledge or skill being taught.	Explain the "WIIFM" (What's in it for me?) concept. Apply learning and development experiences to current and future needs.

Active Learning and Retention

People gain knowledge and retain more information from active participation in many different situations and activities. Being actively involved in learning fires up our brains and aids in retention of what is learned. Thus, passive listening is the lowest form of learning engagement, next to reading information. Adults rely on prior knowledge, experiences, failures, and successes when learning, and new information is often encoded and retained in relation to these prior experiences.

Exhibit 66 outlines the relationship between knowledge retention and learner participation.

Exhibit 66: Relationship Between Learner Participation and Retention



Learning for adults can be enhanced by asking questions and having discussions. Adults are also oriented toward solving problems and applying new knowledge or skills. Relevancy to the learner's issues is key to retention of the learned information. Using common experiences to relate new and difficult information provides a bridge to familiar encounters. More critical learning points need to be repeated in a variety of ways so they will move from short- to long-term memory.

Adult learners want engagement with others and with the content. They want to be actively involved in their learning. Active learning

stimulates cognition and the use of higher-level thinking skills like analysis, evaluation, and synthesis. It means learning activities where the learner is doing something and is involved in critical thinking while doing it. While active learning strategies may require more up-front work, ultimately these strategies increase an adult's learning and retention of knowledge and skills.

Obstacles to Learning

Resistance to learning can be caused by external or internal factors. Following the adult learning principles will prove to be helpful, but an awareness of the obstacles is also beneficial.

Obstacles will mainly be an issue for learning activities that are "pushed" to the employee.

- **Low tolerance for change.** Given the speed of change in today's environment, organizations need to continually adapt to keep competitive. Accepting change is more difficult for some than for others. HR professionals can impress upon employees that without change and growth, the organization, and hence their jobs, may not survive. Change makes their jobs more challenging as well as more secure and prepares them to accept a variety of responsibilities that will increase their value as employees.

- **Lack of trust.** If employees do not trust that learning is worthwhile or have had negative experiences in the past, they will not commit the attention and energy to make it worthwhile. To overcome this obstacle, it is helpful to involve these individuals in the design of their learning and development plan. Additionally, the connection to the corporate mission, strategies, and tactical plans must be clear. When employees see how training fits into the overall plan, they become more supportive.

- **Peer group pressure.** Many employees are influenced by their coworkers' perceptions. If employees perceive that a learning/development program is inconsequential, those perceptions may transfer to others in the department. HR professionals have to find the root of the negative perceptions. Once the resistance is understood, HR professionals can better explain the program objectives and communicate how participation will help employees in their jobs or career goals.

- **Bad experience with previous learning programs.** Many employees have attended boring or irrelevant learning programs. This negative prior experience can cause resistance to new efforts. Emphasize the "What's in it for me?" factor of the learning initiative.

- **Lack of organizational commitment to learning.** Situational barriers can negatively impact employee engagement and learning. For example, an employee's immediate manager needs to support participation in learning intervention and learning transfer so that the employee can apply what is learned when he or she is back on the job.

Key Content

Most adult learning occurs through job and life experiences and from relationships with others. Adult learners come to the table with skills and knowledge. Use this knowledge and integrate learning and development programs into employees' day-to-day experiences as much as possible. Evaluate their current skills against the desired organizational goals and involve the adult learner in the planning of learning and development activities. Foster learning relationships through coaching, mentoring, on-the-job training, and apprenticeships, as appropriate.

Learning Styles

The next element to consider when creating an environment conducive to learning is learning style.

Key Content

Learning style refers to the way individuals take in and process new information. The concept is based on the idea that people learn differently and that tailoring the delivery of the information to address those differences will enhance learning and retention. Observation and instructor inference about learner behaviors are required in order to identify the learning style. An awareness of these styles allows HR professionals to interpret and reflect on ways to accommodate each style in learning situations.

There are three distinct learning styles—visual, auditory, and kinesthetic (tactile).

- **Visual learners** learn best through seeing. These learners need to see body language and facial expression to fully understand content. In a traditional classroom setting, they prefer sitting at the front in order to avoid visual obstructions. They may think in

pictures and learn best from visual displays, including diagrams, illustrated textbooks, PowerPoint slides, videos, computer graphics, flip charts, and handouts. During a lecture or classroom discussion, visual learners often prefer to take detailed notes to absorb the information.

- **Auditory learners** learn best through hearing. Lectures, discussions, talking things through, and listening to what others have to say are their preferred methods of learning. Auditory learners interpret the underlying meanings of speech through listening to tone of voice, pitch, speed, and other nuances. Written information may have little meaning until it is heard. These learners often benefit from reading text aloud and using a recording.

- **Kinesthetic learners ,** also known as tactile learners, learn best through a hands-on approach. They prefer to actively explore the physical world around them. They may find it hard to sit still for long periods and may become distracted by their need for activity and exploration.

As an HR professional, it is important to understand your own learning style. You tend to teach others with the method in which you prefer to learn, which will then meet the learning needs of only one-third of the participants. For example, if you prefer to learn through

group activities and discussion, you may find yourself designing your programs with a number of these activities.

Understanding learning styles and modifying your instruction to meet all of them helps to increase the retention rate of your adult learners. Meeting the needs of all learning styles requires a well-balanced use of various learning methods that incorporate various levels of participation.

ADDIE Model

It is imperative that employee learning objectives and programs closely align with and support organizational strategic goals. A systematic and complete process is used to determine needs, develop training, and evaluate outcomes. A well-known and standard instructional design model that is conducive to any type of learning is called the **ADDIE model**.

Key Content

ADDIE stands for:

- **A** = Analysis (of needs)
- **D** = Design
- **D** = Development

- **I** = Implementation
- **E** = Evaluation

Exhibit 67: ADDIE Model

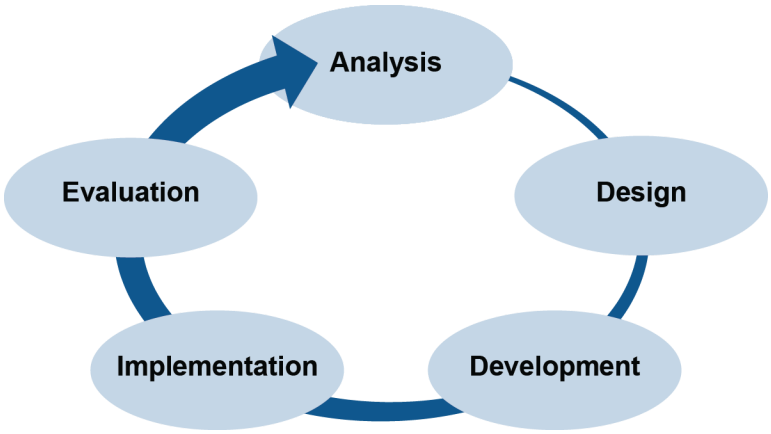


Exhibit 67 illustrates the cyclical nature of the ADDIE model and reinforces the fact that the success of each phase depends on the time, effort, and resources dedicated to the previous phase. If the analysis is skipped, for example, because the organization has “a pretty good idea of what the problem is,” the program design might not address the cultural differences of the audience or contain the content necessary to meet the real needs.

Analysis Phase

The first phase of the ADDIE process is analysis or assessment, in which data is collected to identify gaps between actual and desired

organizational performance. When those gaps point to a lack of employee knowledge or skill, objectives are established to address training needs.

The analysis phase is accomplished via completion of a needs assessment or needs analysis. A needs analysis is the process used to identify, articulate, and document the organization's developmental needs. A needs analysis can be used to identify:

- The organization's goals and its effectiveness in reaching those goals.
- Gaps or discrepancies between current and desired performance.
- Competency and skill gaps.
- Types of programs needed.
- Critical cultural influences that will affect the design and delivery of training.
- Training program content based on fact rather than intuition.
- Anticipated challenges and areas of potential learner resistance.
- Base-line information to evaluate effectiveness.
- Resource and logistical limitations.
- Parameters for cost-effective programs.

Various techniques can be used to complete a needs assessment or analysis. All of them can be time-consuming, but the following can generate

valuable information to help guide learning and development strategies:

- **Interviews** with stakeholders at all organizational levels can identify needs, provide in-depth information, and generate ideas from multiple perspectives for how to address the discovered need. By interviewing stakeholders, you can also generate early buy-in and support for any changes.

- **Observation** is a valuable technique if skill-based training is needed, as those conducting the analysis can observe and witness the actual conditions surrounding a problem, providing a clear and realistic impression of what is happening and insight into what might be needed.

- **Surveys** are an organization-wide tool for collecting clear and structured information from large, diverse, and dispersed groups. While surveys can generate feedback from large numbers of respondents, they can miss critical insights if such content is not covered by the questions asked.

Levels of Training and Development Needs Analysis

A needs analysis assesses and identifies developmental needs at three levels: organizational, task, and individual, as described in Exhibit 68.

Exhibit 68: Three Levels of Needs Analysis

Level	Definition	Measures	Examples
Organizational	Identifies the knowledge, skills, and abilities employees will need in the future.	Where is training needed in the organization? What are the conditions under which training will be conducted?	Departments with high turnover, low performance, or skill deficits are identified. The anticipated needs of departments that will expand or face future challenges are identified.
Task	Compares job requirements to employee knowledge and skills to identify areas requiring improvement.	What needs to be taught and what must be done to do the job effectively?	Completion of paper-based forms is changing to computerized data entry. Procedure and data entry training is needed.
Individual	Focuses on individual employees and how they perform their jobs. Sometimes determined through performance reviews.	Who should be trained, and what kind of training do they need?	Performance review reveals a gap, and manager and employee create a development plan for an area of opportunity (and sometimes for the next level of growth).

Design Phase

The next phase of the ADDIE process is design. During this important phase, information discovered during the needs analysis will be used to develop broad goals and objectives, broad plans for the treatment of the content, and the strategy for implementation. The outcome of the design phase is an architecture or rough sketch

of what the final program will look like. All major content components are included, together with the order and method in which they will be presented.

During the design phase, all stakeholders should have input and potential conflicts should be surfaced and resolved collaboratively. Key components of the design phase include composing goals and objectives, outlining the flow and structure of the program, and further defining the target audience.

Learning Goals and Objectives

Effective instructional design is based on a succinct statement of the goal of the training program and creation of corresponding objectives that describe in greater specificity what participants will do and learn. Objectives are the results that will occur and the behaviors participants will practice at the end of the program. They are based on the goal of the program and serve many functions, including:

- Providing a focus for the design.
- Alerting participants to what they should know at the end of the program.
- Contributing to the process of knowledge and skill transfer.
- Providing a means of measuring what was learned.

Since objectives shape the training that will be developed, HR training professionals should make sure that program objectives include the acquisition of both knowledge and the skills for which this knowledge is required. For example, employees may see or read content related to workplace bullying, but they should also be able to respond appropriately when confronted by an incident. The concept here is based on Bloom's taxonomy, in which learning objectives proceed in a hierarchical manner. Starting with the lowest level, Bloom's taxonomy cites:

- Knowledge, or remembering facts.
- Recognition of learning content when content is presented differently.
- Application of learning to an example in order to draw a conclusion or to identify a principle at work.
- Using learning content to analyze the causes or possible outcomes in an example.
- Making judgments about the value of materials and methods for given purposes.
- Using learning content to create new solutions to a problem.

Development Phase

The third phase of the ADDIE process is development, during which materials are created, purchased, or modified to meet the stated

objectives. In many cases, existing materials may, with minor modifications, be acceptable to meet specific needs. At other times, new materials must be developed. During the development phase, choices are made among the many types of learning activities, methods of training delivery, and technological tools that can be used.

Types of Learning Activities

Learning activities provide the means for the participants to learn the information. Activities could include passive and participatory experiences.

Passive learning activities, in which the learner reads, listens, or observes, include readings or programmed instruction delivered by computer or mobile devices, lectures, panel discussions, and demonstrations.

Participatory learning, in which the learner interacts with the instructor, a group of co-learners, or a learning object/process, includes facilitated group discussions and question-and-answer sessions as well as:

- **Case studies.** Participants apply new knowledge/skills to a hypothetical situation or case.

- **Round robin.** A participant or team competes against every other participant or team to answer a question or complete a task. Failure to win one of the competitions may result in elimination.
- **Role plays.** Participants assume and act out roles to resolve conflicts or practice appropriate behavior for various situations.
- **Structured exercises.** Participants complete tasks that are similar to those they encounter on the job.
- **Simulations.** Participants perform an assigned role within a complex scenario designed to resemble a real-life challenge.
- **Fishbowl activities.** A group of learners, sitting in the center of a circle, debate or discuss a topic while the remaining learners observe the discussion. (This is a blend of active and passive learning. For those discussing, it is active; for those observing, it is passive.)
- **T-groups** (also known as sensitivity training). A group of people investigate and explore patterns of authority and communication among themselves.

Those developing training must pay careful attention to the activities they use, since activity choice will affect participants' interest levels,

their ability to remember and apply new knowledge, and the resources required to develop training.

The following are some key questions to bear in mind when selecting appropriate learning activities:

- What are the learning objectives for the program? How will the activities chosen enhance or limit achievement of the objectives?
- What will the participants be assessed on?
- Who is the audience?
- Where are the members of the audience geographically located?
- What are the cost limitations?
- What are the technology and resource limitations?
- What is the time frame for the program?
- What is the nature of the content? Is it stable or subject to frequent changes?
- What are the cultural perceptions associated with various learning activities?

The selection of learning activities is guided not only by the demands of the program’s goals and objectives but also by cultural factors and learning styles.

Implementation Phase

Implementation is the phase of the ADDIE process where the program is delivered to the target audience. Several types of activities, including pilot programs, revisions to content, announcements and launch events, participant scheduling, and preparation of the learning environment, are done during implementation. A large number of factors can influence the choice of the most effective way to implement a program.

Pilot Testing

Pilot programs are offered in a controlled environment to a segment of the target audience to identify potential problems and assess initial effectiveness. Pilot testing allows for evaluation of:

- The level of content detail and the sequencing.
- The effectiveness and cultural appropriateness of the selected learning activities.
- The time allotted to key activities.
- The usability and potential constraints of the physical space in which the program will be delivered.
- Whether the content and the design result in meeting the intended objectives.

Pilot testing can provide useful feedback and identify potential content or deployment problems before program launch.

Based on the results of the pilot test and feedback from the pilot audience, content is revised and final adjustments are made. Revisions made in this phase of the process may involve the elimination of ineffective or inappropriate learning activities or changes required to allocate more or less time to specific aspects of the program.

Instructor Selection

Instructor selection is a critical aspect of classroom training. Questions that must be answered during the process of instructor selection include:

- Who should deliver the training?
- Will headquarters instructors, local instructors, or independent contractors be used?
- How will instructors be prepared for and introduced to their responsibilities?
- What does the audience expect from the instructor? What characteristics will give the instructor the greatest credibility with the audience?

Instructors can be selected on the basis of a variety of factors. Selection criteria should be determined early in the process and be based on the cultural and learning needs of the audience. Factors that may be important during the selection process include:

- Training expertise.
- Subject matter expertise.
- Consulting skills.
- Credibility with the local audience.
- Qualifications, education, and certification.
- Cultural familiarity.
- Communication and language expertise.

It may be difficult to find all of the required characteristics in one individual. Pairing facilitators is an effective strategy that may allow for larger groups and simultaneously reduce the stress on the primary instructor.

Logistical Considerations in Presenting Training

Some aspects of the program or delivery methodology may need to be changed due to logistical and practical reasons. Time zones, holidays, flexible work schedules, shifts, conflicting organizational events, technological challenges, and resource limitations such as trainer or room availability often require that rollout and delivery plans be modified to adjust to specific local conditions.

Logistical considerations for classroom and single-location training include:

- Location.
- Equipment and environmental concerns.

- Space requirements and facility availability.
- Security clearances for trainers and students to access training spaces.
- Technical requirements, such as Internet access, sufficient bandwidth, access to external websites, and installing of necessary firewalls.
- Learner and participant travel considerations.
- Seating arrangements.
- Organizational constraints such as shift schedules, workloads, and the effect of participants' absence on productivity.

Considerations for remote and multiple-location training include:

- Number of participants at each location.
- Equipment availability and technical support/coordination at each location.
- Time zone differences.
- Need for on-site moderators or translators at each location.
- Scheduling and organizational constraints such as shift schedules and workloads at each location.

Evaluation Phase

The final phase of the ADDIE model involves measuring the effectiveness of the training. Evaluation consists of comparing the program results to the established objectives to determine whether

the original needs were met. Participant reactions, retention of new information, application of new procedures, changes in behavior on the job, and changes in organizational performance are all indicators that should be considered when evaluating training results.

While an important component of the process, evaluation is a step that is often overlooked by organizations. Training program evaluations can:

- Determine whether a program achieved its objectives.
- Identify best practices as well as the strengths and weaknesses of individual programs.
- Help the organization assess the cost-benefit ratio of training.
- Identify which participants benefited the most and least from the training effort.
- Gather data to assist in designing and marketing future programs.
- Determine whether the program content and learning methods were appropriate.
- Establish a database of information to assist in future strategic decision making.

Training program evaluation is also essential to the evaluation of the transfer of learning.

Successive Approximation Model (SAM) and Action Mapping

Two other approaches to the development of training materials are the successive approximation model and action mapping.

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Successive Approximation Model

The **successive approximation model (SAM) ,** created by Dr. Micheal Allen, is a version of ADDIE that works to gain feedback and build models earlier in the process than ADDIE does. In its simplest form, SAM has three phases: preparation, iterative design, and iterative development. Each step in the design and development phases is repeated and returned to as necessary, continually improving on the previous work.

The preparation phase consists of gathering information about scope, requirements, and goals. At the conclusion of the preparation phase, the process starts the iterative design phase with what Allen called a “Savvy Start,” where collaborative brainstorming is used to create the project foundation and reach consensus on the overall approach. A prototype is developed and reviewed, feedback is

gathered from stakeholders, and the prototype is adjusted as a result. Once the prototype is finalized, it is implemented and evaluated in the iterative development phase. The evaluation may result in a return to earlier design phases to continue to adjust and prototype solutions to problems identified.

Action Mapping

Action mapping is a technique proposed by Cathy Moore in response to her observation that learning and development often tend to participate in information dumps, where a stakeholder has information that they wish to share and requests that training be built around that information. This can result in training that doesn't actually address organizational needs and that fails to solve any performance problems. Instead, Moore believes that training should be tightly focused on specific performance measures that the organization has determined are important.

Moore suggests a process consisting of the following steps:

1. Identify, with stakeholders, a specific problem based on current metrics or measurements. Using that identification, create a project goal.

2. Create a list of performance objectives consisting of specific behaviors that are observable, and prioritize them.

3. Determine how to help people practice the skills and behaviors that have been identified. For training delivered virtually, the activities must be contextual. This means that they must feature specific, realistic challenges and the feedback given must show the consequences of the choices the learner makes.

4. Identify the key information needed for each learning activity to be completed successfully. Taken together with the list of performance objectives and practice activities, the result is a map that identifies key activities and information required to achieve the specific project goal, without unnecessary items causing additional work or confusion.

5. Create an activity stream, consisting of the activities identified, to create engaging content. Avoid presenting knowledge and testing or doing activities at the conclusion of the training. Instead, focus on using the activities as a tool to share the information throughout to help drive understanding.

An example of an action map is shown in Exhibit 69, and an example of an activity stream is shown in Exhibit 70.

Exhibit 69: Action Map Example

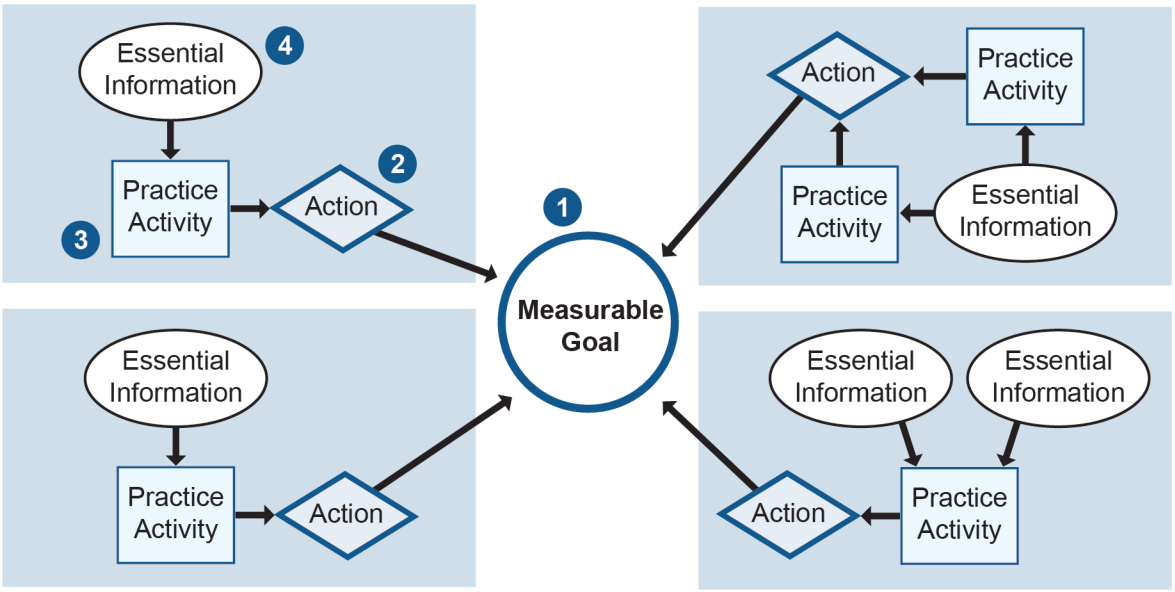
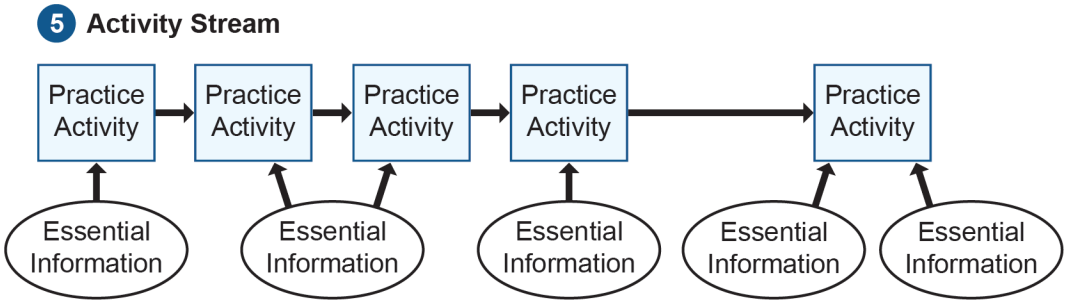


Exhibit 70: Activity Stream Example



Training Delivery Approaches and Tools

No matter which development process is followed, multiple different approaches and tools may be used to deliver training, depending on the characteristics of the training and the audience.

No matter which development process is followed, multiple different approaches and tools may be used to deliver training, depending on the characteristics of the training and the audience.

Training Delivery Approaches

Major training delivery methods include self-directed study, instructor-led training, and on-the-job training. Instructor-led and self-directed training methods may also be combined in blended learning.

Self-Directed Study

Self-directed study (or self-study) allows learners to progress at their own pace without the assistance of an instructor. Self-study can include not only training materials but also performance support materials, such as job aids that provide step-by-step instructions for work tasks. Materials may be delivered in various ways. The oldest form is print—the workbook. Audio and video accommodate different learning styles and increase flexibility. More recently, electronic methods have been introduced, using the Internet and cellular technology to deliver electronic content, which may be interactive in nature.

Self-directed study may be combined with other methods.

Exhibit 71 discusses some advantages and disadvantages of self-directed study.

Exhibit 71: Advantages and Disadvantages of Self-Directed Study

Self-Directed Study Advantages	Self-Directed Study Disadvantages
• Flexible, self-paced learning. • Opportunities for testing and retesting. • Can focus on certain areas. • Cost-effective. • Reduced need for trained and experienced instructors. • Consistent training messages made available to learners in many settings.	• Learners must be highly motivated and organized. • Direct feedback is limited unless supplemented by online feedback or instructor support mechanisms. • Self-directed learners sometimes miss important concepts. • Development may be expensive. • Absence of an instructor may make the program less credible in some cultures. • Some learners are uncomfortable with high levels of responsibility for their own learning. • Sharing of knowledge may not be possible.

Instructor-Led Training

Instructor-led training is a traditional and frequently used mode of training. Training is delivered by an instructor to an audience. The setting may be a classroom or a conference room on site. Organizations may also use external resources such as colleges and universities, trade associations, and training vendors to provide traditional classroom training. Classrooms may be virtual (for

example, webinars), with individual learners or entire classes accessing an instructor at a central location. Instructor-led training may incorporate several types of learning activities, including presentations and lectures, case studies, readings, demonstrations, group discussions, infographics, and simulations.

Exhibit 72 summarizes the advantages and disadvantages of instructor-led training.

Exhibit 72: Advantages and Disadvantages of Instructor-Led Training

Instructor-Led Training Advantages	Instructor-Led Training Disadvantages
• Allows the instructor to provide feedback and more individual attention. • Supports a wider variety of learning activities. • Encourages group feedback and idea sharing.	• Time- and resource-intensive. • Decreased opportunities for participation as group size increases. • Greater logistical and geographic challenges.

Experiential Learning

On-the-job training (OJT) is provided to employees by managers and supervisors at the actual work site; it may also involve peer-to-peer training. The skill is demonstrated, the learner is allowed to practice the skill, the trainer delivers immediate feedback on the learner's performance, and then the learner is retested. The learner

is often supplied with learning aids to support performance after the OJT. These might include diagrams, infographics, or process models.

Some advantages and disadvantages of OJT are described in Exhibit 73.

Exhibit 73: Advantages and Disadvantages of On-the-Job Training

On-the-Job Training Advantages	On-the-Job Training Disadvantages
• Relevant to the job and "just in time." • Relies on and takes advantage of the real environment. • Opportunity for immediate feedback. • Applicable for individuals and small groups. • Allows for gradual buildup of skills needed for the job.	• May be difficult to schedule. • May be potential safety issues in the real environment. • May be distracting to coworkers. • Time- and resource-intensive. • Subject matter and process experts needed to demonstrate and provide feedback. • If unstructured, performance may dip when unsupervised.

Other examples of experiential learning strategies include the following:

- **Job rotation.** In order to help employees learn new skills (and keep them through use), an organization might offer opportunities to move through a variety of positions within the department or team. This strategy helps employees stay fresh

and engaged, develops their skill sets, and also allows them to help others within their department or team.

- **Simulations.** Sometimes it is not possible to put an employee directly into an actual job role. However, simulations can replicate certain aspects of a job and provide an employee with the opportunity to practice skills or knowledge. The simulation might be based on a potential future promotion or transfer or be a more general skills development program (for example, interviewing, conflict resolution, customer service interactions).

Blended Learning

Blended learning is a planned approach that includes a combination of instructor-led training, self-directed study, and/or on-the-job training. Studies have shown that the right mix of learning strategies, based on the learning objectives and the needs of the target audience, may be more effective than a single strategy. Blended learning methods represent a viable option for organizations that are struggling to deliver standardized training content in a multicultural context.

Exhibit 74 shows the advantages and disadvantages of blended learning.

Exhibit 74: Advantages and Disadvantages of Blended Learning

Blended Learning Advantages	Blended Learning Disadvantages
• Multiple methods to meet learning objectives and cultural needs. • Adaptable to multiple cultural needs. • Facilitates both independent and collaborative learning. • Scheduling and facility flexibility. • Lower delivery costs than strategies that rely exclusively on face-to-face training. • Array of possibilities for interaction and enhanced learning.	• Methods must be carefully chosen based on strategic objectives, or efforts may fail. • There may be technology and security constraints to overcome. • Participants must be organized and motivated to complete the learning. • More coordination required as a result of the use of multiple methods. • Costs of all strategies must be fully anticipated. • More time may be required to develop all aspects of the program.

Training Delivery Tools

Technology has helped deliver training programs more efficiently and, often, more effectively. It has helped make access more equitable, and it aligns training with the way employees lead their lives—allowing them to learn when and where they choose. It has also given HR training professionals more control over the administration of training.

We will now examine several technological tools that can assist HR professionals in their global training efforts: e-learning, learning

portals, learning management systems, webinars, mobile learning, simulations, artificial intelligence, and social media.

E-Learning

E-learning refers to the delivery of training and educational materials, processes, and programs via the use of electronic media, such as web- or computer-based learning, virtual classrooms, and mobile devices. E-learning can be delivered via the public Internet, an organization's intranet/extranet, satellite broadcast, streaming to mobile devices, or other electronic means.

For purposes of clarification, it is important to understand that e-learning technology can be used to implement **distance learning ,** which is generally defined as the process of delivering educational or instructional programs to locations away from a classroom or central site. This essentially allows for the ability to learn everywhere, allowing the learning to fit the needs of the learner.

When e-learning is used as a delivery method, instructors are often positioned as additional resources to moderate discussions, provide feedback, and suggest supplemental activities and resources. When functioning in this capacity, the instructor should be adept at working in and managing the e-learning environment, which is quite different from a traditional classroom learning environment.

E-learning can be designed to be either synchronous or asynchronous:

- In a synchronous learning situation, participants interact in real time, for example, in virtual classrooms or online discussions that last for a specified time period.
- In asynchronous learning environments, participants access information (often individually) at different times and in different places by completing web-based modules and activities.

E-learning may use gamification concepts, which take some elements of games (such as points, leaderboards, and competitions) to increase engagement with training. It may also take the form of microlearning, which uses short learning activities. These don’t take as much time to create and are easier for busy learners to access and complete. E-learning may also be just-in-time learning, which provides only the information that a learner needs, exactly when they need it. This relies on the use of devices to access e-learning whenever the student needs it, quickly and easily.

In many e-learning programs, the complex relationships between the user, the training program content, and the system’s technical and engineering requirements come together in the user interface. A user interface is a graphic and software program structure that enables information to be passed between the human user and the

hardware or software components of a computer system. As with most other aspects of training program design and development, the choice of photos, images, video, audio, interface, and navigability that characterize an e-learning program may need to be adjusted to reflect specific cultural dimensions. For these reasons, e-learning program designers and developers should be familiar with the key dimensions of culture and their potential impact on website, e-learning, and user interface design.

There are a number of advantages and disadvantages related to the use of e-learning as an implementation method, as shown in Exhibit 75.

Exhibit 75: Advantages and Disadvantages of E-Learning

E-Learning Advantages	E-Learning Disadvantages

E-Learning Advantages	E-Learning Disadvantages
• Distributes information widely and quickly to many employees. • Assists globalization efforts through virtual communication. • Keeps information consistent and current. • Permits schedule flexibility for employees. • Allows choice of synchronous or asynchronous methods. • Permits practice and repeat exposures to training. • Provides opportunities for simulation and higher-level learning and testing. • Shows cost efficiencies compared to face-to-face sessions.	• Technology constraints affect multimedia options and learner access. • Employers may be concerned with intellectual property and electronic security. • Developers and technical staff need to monitor, administer, and update programs. • Dropout and noncompletion rates may be higher than with other forms of training. • Some learners, especially those who are technophobic, may experience anxiety. Online support is required. • Design requires more investment of time in order to provide meaningful participant interactions. • Development and other start-up costs can be high. • Content revisions and changes may be difficult.

Learning Portals

“Portal” is a term sometimes used to describe a gateway or access point to the Internet. A learning portal is an Internet or, more often, intranet site that provides access to an organization’s database of information and resources regarding learning and training. Portals present information from diverse sources in a unified way. Learning portals represent a vehicle through which training- and learning-

related applications and information can be channeled and communicated efficiently and effectively to employees. They are often used in conjunction with learning management systems (see below) as the primary vehicle through which human resource and training professionals manage data, provide access to internal training programs, and distribute training-related information and resources to employees. Some organizations even use portals as a knowledge management application to capture tacit knowledge residing with individuals.

Learning Management Systems

Organizations in increasing numbers are adopting and using learning management systems. A **learning management system (LMS)** is an electronic system that holds course content information and suggested curriculum and certification paths. It has the capability to track and manage employee course registration and completion, career development, and other employee development activities. Many learning management systems also offer testing and measurement capabilities.

Webinars

In recent years, the technological power of the Internet has made webconferencing a popular communication tool. **Webconferencing** is used to conduct live meetings or to give presentations over the

Internet. In a webconference, each participant sits at his or her own computer and is connected to other participants via the Internet. This can be either a downloaded application on each of the attendees' computers or a web-based application where the attendees simply enter a URL (website address) to enter the conference.

A **webinar** is a specific type of webconference. Webinars typically occur in real time and usually involve a leader or facilitator at one location who communicates electronically (via telephone, satellite, computer, or other technical means) with audience members, who may reside in one or multiple remote locations. Communication can be one-way, with limited audience interaction, or two-way, which adds collaborative, polling, and question-and-answer activities to allow full participation between the audience and the presenter. In some cases, the presenter may speak over a standard telephone line, pointing out information being presented on the screen, and the audience can respond over their own telephones (preferably speaker phones). There are webconferencing technologies on the market that have incorporated the use of VoIP audio technology to allow for true web-based communication.

The presence of an instructor and the opportunity for audience interaction have made webinars a popular delivery choice for

training and human resource professionals. This technological solution provides many of the benefits of live classroom training without many of the attendant costs of bringing the instructor to the audience or the audience to the instructor.

Mobile Learning

A few additional words on mobile learning are appropriate. Mobile learning can be defined in different ways, but we will define it as learning content and tools that can be accessed on or delivered to small, handheld devices, such as smartphones or tablets. The use of mobile learning is growing quickly. It was adopted early in Europe and Asia and is a way of achieving a degree of equity in training access in remote regions. It is also a congenial and familiar delivery method for younger employees. Accenture delivers its training on business ethics entirely through mobile devices.

The uses of mobile learning are varied:

- **Content delivery.** Employees can listen to podcasts during commutes or read texts in e-book formats.
- **Simulations and exercises.** The capacity for interaction is built into mobile devices.
- **Assessments.** Assessments of learning and satisfaction with learning content/experiences can be completed online.

- **Performance support.** Learners can access decision support systems to diagnose a technical problem or review correct task processes before performing them.
- **Knowledge management** (programs that focus on expertise sharing and organizational learning along with knowledge recovery and retention). Employees working remotely can access current product information.

Mobile learning content can be delivered via a firm's own communication networks or can be distributed through online app stores.

Virtual-World Simulations

Although simulations do not require technology, use of technology can support greater complexity. Virtual-world simulations, also called virtual reality, have been used for advertising and research and as a meeting space for dispersed audiences. Training-related simulations place the learner in a virtual work environment (such as an office) and present a series of real-life challenges. The learner has the opportunity to practice new skills and make decisions in a supportive and low-risk environment.

Simulations have been used successfully to train teams in processes required for product launches or to engage teams in

creating and testing complex strategic initiatives such as acquisitions. Cisco conducts its instructor training within a virtual world. The U.S. Centers for Disease Control has used virtual-world simulations in training on epidemic control and disaster preparedness.

Simulations offer a number of important benefits, including:

- Appealing to young learners with sophisticated technological expectations.
- Actively engaging individuals in the learning process.
- Providing additional opportunities for individuals to learn complex or potentially dangerous skills, such as piloting an aircraft or practicing a new surgical technique, in a realistic but safe and low-risk environment.

Artificial Intelligence

Artificial intelligence (AI) offers enhanced ability to personalize learning experiences for users. This may come through the creation of personalized tests and assessments, learning that is tailored to a person's specific learning style preferences, and increased accessibility. It may also provide the ability for custom-tailored mentoring and interactions using chatbots, helping guide learners and answer questions they may have. While performing all of these services, AI can also provide advanced analytics to organizations,

helping to show the value of training and where gaps may be present.

Social Media

Social media can be used in many ways for learning and development, including:

- Announcing scheduled training events through intranet social platforms. A brief message can describe content and link to fuller text descriptions or videos.
- Conducting “getting to know you” exercises over social intranet platforms. Participants arrive at training events already familiar with each other’s backgrounds and interests.
- Delivering lectures and videos by posting them to video-sharing sites on the organization’s intranet. Employees can access this content over mobile devices, anytime and anywhere.
- Allowing participants to share experiences and perspectives. This can improve the interaction in virtual training. Activities can also be modeled as online competitions.
- Facilitating post-training support through expert directories.
- Supporting ongoing learning. Internal discussion boards or social media spaces allow employees to collaborate and exchange ideas and experiences.
- Supporting post-training collaborative assignments and action plans.

- Facilitating opportunities for employees to interact with specialists in their field.
- Supporting alumni networks and employee resource groups.

Social media should be used cautiously, however, since it may be hard to control the spread of information once it is posted. The need for confidentiality and the proprietary nature of information should always be reviewed and considered first.

There are benefits to be gained by using social media in training. Social media can help organizations overcome obstacles associated with physical distance, allowing employees to access learning and interact at their convenience. More significantly, social media allow employers to recognize and make good use of younger employees' ease with and preference for this new form of communication. Social media are ideal tools for building collaboration and opportunities for continual learning into training. Social media can transform the workplace into an environment where people learn naturally with each other all the time, not just during a single training event.

Organizations will need to change how they think about training and learning programs, however. Training models that focus on controlling the content and pushing information out to learners will not work in the collaborative environment of social media.

Career Development

Proficiency indicators related to this section include:

- Creates individual development plans (IDPs) in collaboration with supervisors and employees.

Key concepts related to this section include:

- Approaches to coaching and mentoring (examples include formal and informal mentorship programs, executive coaching, encouraging a growth mindset).
- Career development techniques (examples include career pathing, career mapping, mentorship, cross-training, on-the-job training, apprenticeship, job expansion, job enlargement).
- Goal-setting best practices (examples include individual development plans [IDPs], SMART goals).

Career Development

Career development is an important factor in building and sustaining employee engagement. Today's workers are concerned with not being left behind in a workplace marked by rapidly changing technology. The employer is not solely responsible for career development; it is a mutually beneficial joint project between employer and employee.

Competency Connection

A sales employee with a 15-year history of strong performance accepts a job with a company based on the company culture and potential advancement opportunities. Over the course of 12 months, however, the employee's manager fails to communicate possible career path opportunities to the employee, and the employee has not learned of any mechanisms in place for her to find the information herself.

The employee decides to leave the organization due to this lack of management support and lack of engagement, as she has been unable to take charge of her career and has not been challenged in her role. She has not been able to see where she fits into the organization or how to reach her full potential.

This is of concern to the organization, because:

- They spent time and money on hiring and training the employee.
- They may be losing this high-potential employee to a competitor.
- This will have an impact on the sales ability of the organization.
- This sends a message to other employees that they do not have a career at the company.

HR performs an exit interview, which identifies what has led to this employee's departure. As a result, HR:

- Works with managers to develop career paths that include a competency profile.
- Develops self-assessment tools to help employees determine strengths and development areas.
- Develops policies and resources for development of competencies and career development approaches and begins to work with managers to ensure understanding of how to use them with individual employees.
- Coaches managers on how to have career development discussions with employees to identify appropriate development opportunities.

In this case, HR has demonstrated the Relationship Management competency through positive interactions that support the goals of the organization and the individual. Additionally, HR demonstrates the Consultation competency by tailoring solutions that balance organizational needs with individual needs.

Defining Career Development

Career development is the process by which employees progress through a series of stages in their careers, each of which is characterized by relatively unique issues, themes, and tasks. Through a strong career development program, organizations can design and implement strategies that are simultaneously aligned with the organization's business objectives and the personal interests, goals, and aspirations of the individual employee.

Career development consists of two processes—career planning and career management:

- The actions and activities individuals perform to give direction to their work lives are collectively referred to as **career planning .** Managers, supervisors, and human resource professionals often assist employees as they assess their skills and abilities in order to establish a career plan, but the focus of career planning is on the individual and his or her personal responsibilities.

- **Career management** is the term applied to the process of preparing, implementing, and monitoring an employee's career path with a primary focus on the goals and needs of the organization.

Exhibit 76 shows both the organization's and the individual's needs in the career development process.

Exhibit 76: Components of Organizational Career Development

Career Development	
Career Planning: Focus on the Individual	**Career Management: Focus on the Organization**
1. Identify personal abilities and interests. 2. Plan personal career goals. 3. Communicate development preferences to manager. 4. Assess career path options within and outside the organization. 5. Design a career plan that accommodates the organization's needs. 6. Seek out and participate in learning and development opportunities.	1. Identify future organizational staffing needs. 2. Assess career strategies and development programs. 3. Create career development programs (career paths and ladders). 4. Match organizational needs with individual abilities. 5. Provide on-the-job development, coaching, and career training.

Roles in Career Development

Every employee bears primary responsibility for his or her own career. This may be an important message to communicate in some

cultures, because some employees believe that the organization holds the responsibility for leading them through their careers. The individual is in the best position to understand his or her own unique needs and aspirations, so it is logical that every employee should take a proactive role in planning his or her own career, with the full understanding that the organization has a role in providing support.

Managers and supervisors should serve as the support linkage between the individual and the organization. There are four roles managers can perform in order to further their employees' career development:

- Coach—listening to, clarifying, and assisting in identifying the employee's career concerns
- Appraiser—giving feedback and clarifying performance standards and job responsibilities
- Advisor—suggesting options, making recommendations, giving advice, and helping the employee set goals
- Referral agent—consulting with employees on action plans and linking them to available organizational resources

Human resource professionals play a vital role in career development. They must exercise care to suggest and design career paths and enrichment experiences that enable employees to achieve their goals and coach managers in their role to support the

employee process. HR, the manager, and the employee all need to be involved in putting together a well-defined career path. This involves evaluating gaps against the current job or a potential position and devising an individual development plan and development strategies.

Individual Development Plans

An **individual development plan (IDP)** details an employee's intentions and learning outcomes as well as the support necessary to meet the employee's tangible growth goals. IDPs should incorporate components of adult learning, organizational development, and corporate culture.

Key Content

There are various formats and templates for IDPs. At a minimum, an IDP should include the following information:

- **Employee profile**—name, position title, name of the employee's supervisor, and other relevant position information
- **Career goals and objectives**—identification of the position(s) and roles to be pursued and the time

frames; identification of short- and long-term goals with estimated and actual completion dates

- **Development objectives**—statements linking organizational and/or business unit mission, goals, and objectives and the employee's career goals and objectives
- **Training and development interventions**—activities the employee will pursue to build knowledge, skills, and/or behaviors with estimated and actual completion dates
- **Outcomes**—how development-building efforts will be measured or assessed
- **Signatures and dates**—sign-offs by the supervisor and the employee

Training and development interventions may include formal classroom training, e-learning, rotational assignments, shadowing assignments, on-the-job training, self-study programs, professional conferences and seminars, 180- and 360-degree feedback, mentoring, or other activities.

IDPs are most effective when they:

- Align with organizational needs.
- Reflect an objective, accurate assessment of the employee's current strengths and needs.
- Feature SMART (specific, measurable, achievable, relevant, and time-based) goals.
- Focus on challenging development activities tied to individual needs.
- Include opportunities for coaching and feedback between the employee and HR, the manager, or any other appropriate people.
- Are embraced and owned by the employee.

Leaders should understand the importance of supporting the organization's career development efforts. When top leaders become champions of these efforts, then human resource professionals, managers, and individuals are better informed and can work together more effectively.

To establish a culture that fosters career development, leaders should:

- Clearly link career development to the organization's mission and business objectives.
- Clearly communicate business goals so that career management plans are aligned with business systems and

needs.

- Place value on and reward managers and supervisors who help employees with career planning.
- Participate in career development workshops and meetings.
- Identify measures of success (metrics) to track performance.

Forms of Career Development

Organizations have a number of tools and options at their disposal to support their career development efforts. Those organizations that offer a wider variety of developmental experiences are more likely to meet the varying personal, cultural, logistical, and skill development needs of their employees.

Employee Self-Assessment Tools

Self-assessment activities usually focus on a systematic process for employees to identify their career goals and preferences. An example of a self-assessment tool is career mapping, which results in an individual career map tailored to an employee's interests, knowledge, skills, and abilities. Similar to mapping, career pathing identifies potential jobs and roles an employee aims to hold in the organization over their career. It identifies skills, knowledge, and abilities the employee will need to develop in order to move up their career ladder.

Apprenticeships

Apprenticeships are often associated with technical skill development. Trade associations, unions, employers, or groups of employers design, organize, manage, and finance approved apprenticeship programs, typically under a set of government-approved standards that combine on-the-job experience with classroom instruction.

Finding talent in short supply in certain positions, companies themselves may also recruit workers to be trained in skills that are critical to the talent supply chain.

Job Rotation, Enlargement, and Enrichment

Job rotation, also known as cross-training, refers to employee movement between different jobs. In a manufacturing setting, for example, an employee may work one day in assembly and the next day in inspection or packaging.

Job enlargement (or job expansion) occurs when the employee is given additional, different tasks within the same job. Adding more tasks gives the employee a variety of responsibilities that require the same level of skills.

Job enrichment increases the depth of a job by adding related responsibilities such as planning, organizing, tracking, and

completing reports.

Projects, Committees, and Team Participation

Involvement with special projects, committees, and task forces represents another on-the-job employee development option. Employees given this type of developmental experience are able to enhance and build their cross-cultural communication skills; they also gain exposure to and knowledge of other areas of the organization, the influence of other cultures, and cross-cultural decision-making and collaborative processes.

Internal Mobility

Internal mobility refers to career development through employee movement to other positions. It includes:

- **Promotions.** Promotions involve assuming new and different duties of a different position at a higher grade or assuming a position that involves increased responsibilities and the acquisition of additional knowledge, skills, or abilities in the same line of work. A promotion may involve an increase in pay.

- **Demotions.** Demotions are usually the result of staff reductions, consolidations, or reorganizations; an attempt to move an underqualified employee to a more suitable position;

or an employee's request (for example, an employee may not want to continue as a supervisor or may request a part-time schedule).

- **Transfers.** Transfers involve moving an individual to a different position at the same pay grade and with the same amount of responsibility. They are another way to expand an employee's experience and match his or her skills and abilities to the staffing needs of the organization. Transfers are usually considered a lateral move with no salary adjustment.

- **Relocations and international assignments.** These represent another significant career development experience. Some factors to be considered when managing such moves are:
    - How the organization benefits.
    - The effect on employee morale and productivity.
    - The costs, including moving costs and possible adjustments in compensation and other allowances.
    - Employment opportunities for the spouse.
    - The need for an orientation program to help employees and their families adjust to the new location.

- **Dual career ladders .** Dual career ladders provide a meaningful career path for professional and technical employees without requiring that they be placed in supervisory

or managerial positions. Dual career ladder programs are common in scientific, medical, information technology, and engineering fields. This type of program typically serves as an effective way to advance employees who may have particular technical skills and/or education but who are not interested in or suited to a management or supervisory track.

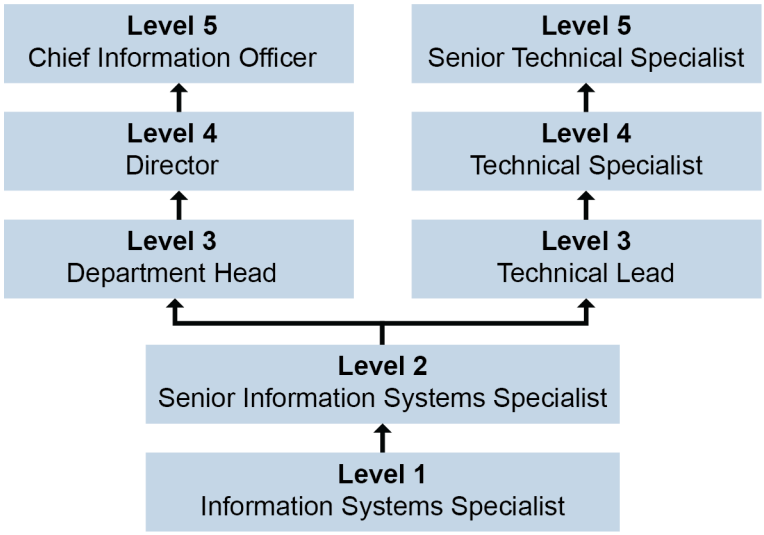
One advantage of a dual career ladder is that it can potentially reduce turnover among senior staff by allowing employees to remain in their chosen careers with expanded career opportunities and pay raises. This type of program can also encourage employees to continually develop their skills and enhance their value to the organization.

Dual career ladders may have some disadvantages that need to be considered. The program may inadvertently shelter low-performing managers. Some companies may not be able to effectively use such a program due to size and revenue restrictions. Some professionals may not want to add management duties to their role, which would take their focus away from the work tasks they enjoy. In addition, there may be resentment from employees not chosen for the program or from managers who feel that the employees in the dual career ladder

program are not “earning” their pay since they are not managing other employees.

Exhibit 77 shows a dual career ladder.

Exhibit 77: Dual Career Ladder



Coaching

Individual **coaching** involves one-on-one discussions between an employee and an experienced individual. Some organizations integrate coaching as a part of leadership or professional skills development.

Internal coaching generally consists of ongoing, but sometimes spontaneous, meetings between supervisors and their employees to discuss the employees’ career goals and give career advice. External coaching is generally done in a private and/or confidential

relationship with a trained or certified consultant/coach who offers support and candor while moving the employee to action. Executive coaching supports managers in mastering the fundamental principles and practices for achieving extraordinary results and empowering staff success. A third-party vendor quite often conducts executive coaching.

Mentoring

Mentoring is a developmentally oriented relationship between two individuals (the mentor and the mentee, sometimes called the protégé). Mentoring usually pairs a senior colleague and a junior colleague or perhaps peers, but usually not a supervisor. In nearly every case, a mentor is someone other than an employee's immediate supervisor.

Mentorships can be formal or informal.

- **Formal mentorships.** Formal organizational mentoring programs are often developed in response to a specific organizational issue or development need (for example, as part of an overall talent management program or as a retention strategy). Formal mentorships are connected to an organization's strategic business objectives.

  Formal mentoring typically involves:

    - The strategic selection and matching of mentors with mentees (by HR or the group who sponsors the program).
    - Program guidelines and/or training for mentors and mentees.
    - Resources provided to help identify career goals.
    - Goal setting with measurable objectives.
    - Defined mentoring engagements (for example, 9 to 12 months).
    - Support for participants and ongoing monitoring (again, by HR or the group who sponsors the program) to ensure that outcomes are achieved.

  In formal mentorships, a mentor serves as an advisor, counselor, confidant, advocate, cheerleader, and listener. A mentor should be confident, secure, and sensitive to diversity and should be a good communicator. The mentee must be clear about what he or she wants from the relationship and help to shape the overall agenda. A mentee must be open in communicating with the mentor, help prioritize issues for action or support, be prepared for sessions with the mentor, and solicit feedback.

- **Informal mentorships.** As the name implies, informal mentoring has a less structured approach. The mentoring

relationship evolves in a more spontaneous manner and is generally initiated by the mentee self-selecting someone whom he or she admires or believes could assist with career development. Informal one-on-one mentoring typically does not involve developing specific goals, objectives, or development plans. No expert training or support is provided. Often, the mentee simply asks the mentor for advice on issues as they arise. While most informal mentorships are one-on-one relationships, informal mentoring can be done in a group setting, through information forums or seminars, where a more experienced expert or senior colleague shares knowledge and experience in a fairly informal manner.

The reason for formalizing mentorships is not to replace informal mentoring but to embed mentoring as an important part of the organizational culture and talent management strategies.

Mentorships can be a potent career development tool for the mentee; there are also benefits for the organization and the mentor. Common benefits for the mentee include advice on developing strengths, exposure to new ideas, creating a growth mindset, and increased visibility in the organization. Mentors can use the experience to develop their personal leadership style, reflect on their own goals and practices, and expose themselves to fresh

perspectives and ideas. Mentorships are a good way for the organization to identify and retain emerging talent, improve employee morale and performance, and reduce workforce turnover.

Coaching and mentoring have conceptual career development similarities, but there are some distinctions that are helpful to understand. For starters, coaching and mentoring are generally delivered by individuals with different qualifications. Additional differences between coaching and mentoring include:

- **Roles.** A coach has a set agenda to reinforce or change skills and behaviors. Mentoring is a power-free, two-way, mutually beneficial relationship where mentors act more as facilitators and teachers, allowing mentees to discover their own direction.

- **Focus.** Coaching is short-term and task-based (sometimes timebound) and focused on specific development areas/issues. Mentoring is typically longer-term and takes a broader view of the person.

- **Agendas.** Coaches help individuals to identify their own values, align goals to those values, and then self-analyze in order to improve performance and behavior. Mentors use their expertise in the field to guide others, from their own experience, to be successful.

Universities, Colleges, Associations, Continuing Education Programs

Tuition reimbursement programs are sometimes offered by organizations to support an employee's education and development. Such programs are often used by organizations that employ individuals with special skills or certifications that must be maintained through ongoing participation in structured continuing education programs.

Most organizations require that the program attended by the employee directly pertain to his or her job responsibilities. These programs should also be clearly aligned with the employee's career plan. This increases the organization's satisfaction with its investment: It is building the talent needed to support its strategic plans. It also ensures that the employee sees a return on the time and energy invested in a certification or university degree in the form of career development.

Some organizations use education programs as a structured intervention to build an internal talent pool. For example, an organization might partner with a university to run a program and create a pool of certified candidates for a business process.

Career Development Trends

Increasingly, people have multiple careers and greater individual responsibility for their career development. In addition, the types of roles in organizations have evolved to more nontraditional employment options. Career development trends are discussed in Exhibit 78.

Exhibit 78: Career Development Trends

Career Development Trends	
Multiple jobs and careers	• Previous generations of workers expected to have only one, two, or perhaps three jobs in a lifetime. Moves into entirely new careers were rare, and career development efforts focused on job enlargement and enrichment and emphasized the importance of upward mobility. • Research is revealing that current and future generations of workers expect to have many jobs and potentially more than one career during their working lives. • This shift has significant implications for career development as a retention strategy.
Greater individual responsibility	• Greater responsibility for career planning is now on the shoulders of the individual employee. • Career development has become increasingly collaborative. • The statement “The individual ‘decides’ and the organization ‘provides’ ” reflects employees’ new thinking with respect to formal career development. The expectation is that the organization will provide the support, resources, and experiences necessary. • This shift in thinking places greater demands on the individual to share his or her career plans. • It also places greater responsibility on the organization to listen carefully and to take positive steps to meet the employee’s needs and expectations once they have been expressed.

Career Development Trends	
Nontraditional employment	• More workers are considering the value of a major career change from one function to a completely different and unrelated function. • In *Free Agent Nation,* Daniel Pink writes that careers are now characterized by a great variety of skills and experiences that can be assembled and reassembled, “much as kids play with Legos.” • This kind of flexibility allows workers to find new, enterprising ways to fulfill customer needs and create opportunities for their own career development.
Temporary, contract, and contingent work	• A growing number of workers are exploring the role and benefits of temporary, contract, and contingent work as part of their career planning. • In addition to providing workers with options in a field, these alternatives represent a valuable strategy for gaining experience in a new field. • These options may also be used to ease the transition from one career to another unrelated career.
More responsibility more quickly	• Workers and employees in emerging markets are more frequently required and expected to take on significant levels of responsibility quite quickly. • While the career paths of employees in Western cultures have tended to advance steadily but slowly (allowing time for experience and skill development), this is often not the case in other cultures. Markets are growing so rapidly in emerging economies that greater levels of responsibility are being pushed down the organizational hierarchy to younger, less-experienced, and less-prepared workers.

Key Content

Career development is now in the hands of the individual rather than the organization. However, organizations can guide and support their employees’ career development

trajectories through learning and development interventions to the benefit of both the employees and the organization.

Developing Leaders

Proficiency indicators related to this section include:

- Monitors the effectiveness of programs for emerging leaders and leadership development.

Key concepts related to this section include:

- Developmental assessments (examples include 360s, simulations, high-potential assessments, personality assessments, skills assessments, competency assessments).
- Leadership development and planning (examples include high-potential development programs, stretch assignments).

Developing Leaders

One of HR's organizational responsibilities is to ensure the quality of the leadership pipeline, that high-potential employees are identified and given the resources to become the next generation of leaders. This supports continuity in strategic management and reinforces organizational values and culture. It also strengthens innovation by developing a diverse group of leaders.

Competency Connection

A new vice president of HR has just been hired, with a key directive to develop the organization's "bench strength" (individuals capable of assuming leadership positions). The division's leadership team has not experienced good, strategic HR with practical applications. They are therefore skeptical of the value HR can bring to the situation.

First, the HR VP thoroughly reviews the division's strategic plan and available financial and operating metrics to understand how the division is operating against plans. Then she schedules time and meets individually a couple of times with the other senior leaders to understand their unique operating strengths and challenges and to review the performance and potential of their direct reports. This

demonstrates the HR VP’s Business Acumen, Leadership & Navigation, and Relationship Management competencies.

After reviewing all collected data, the HR VP is able to go back to the leaders with an analysis of their leadership teams contrasted with their operating needs. Using the Consultation competency, she suggests appropriate development actions that increase the abilities of the leaders’ direct reports.

Leader Development

Leadership is the ability of an individual to influence a group or another individual toward the achievement of goals and results. Leadership is not necessarily attached to a specific position in an organization’s hierarchy; it may evolve from situations and opportunities. When considering the subject of leadership, especially in a global context, it is important to recognize that it is not synonymous with and should not be confused with status, power, or official authority. Global leaders must be able to influence across cultures, not simply impose a possibly ethnocentric plan on local managers.

Leader development , as used in the context of human resources management, refers to an organization’s training and professional development programs targeted to assist management- and

executive-level employees in developing the skills, abilities, and flexibility required to deal with a variety of situations.

Organizational Perspective

The War for Talent by Michaels, Handfield-Jones, and Axelrod offers the following to support the need for leadership development:

- One-third of Fortune 500 CEOs last fewer than three years.
- Failure rates among all top executives range between 30% and 75%.
- Over half of first-time senior managers stumble; some never recover.
- Studies indicate that executive leadership quality accounts for as much as 45% of an organization's performance.
- Only 3% of executives think their company develops people well.

Leadership development is part of a comprehensive employee development system. Leadership development initiatives must be linked in explicit and coherent ways to best manage the leadership talent of the organization and must be tied to the strategic plan (goals) of the organization.

Organizational survival in a competitive business environment depends in part on having identified and developed leaders and their

replacements. When an organization has integrated succession management and leadership development programs in place, it is well positioned to handle the departure of key leaders. In such cases, the loss of any one individual is not so traumatic to the organization because of a greater overall capacity for leadership. There is not one person but any number who can step in and assume part or all of the open job responsibilities until a successor can be appointed either from the inside or as an external hire.

An implication of this deep leadership capacity is that no one is irreplaceable. Indeed, the greater the number of irreplaceable employees in an organization, the more at risk the organization is to turnover trauma.

Regardless of industry sector, there are several overarching and interrelated reasons why succession planning and leadership development are crucial concerns:

- The speed of change is increasing, and the type of change that organizations experience is likely to be radical and discontinuous. This argues for greater shared leadership in organizations. Shared leadership supports more effective change management in terms of both sensing needed organizational changes and building momentum for change more quickly than relying on a single change leader.

- Complexity in the challenges faced by organizations across most industry sectors is increasing exponentially. Such complexity typically exceeds the capacity of any single leader to make sense of and develop workable solutions.
- Task migration occurs whereby traditionally higher-level leadership responsibilities are transferred to leaders at lower levels. This is partly a function of the trend toward flatter organizations, but it is also due to the greater speed and complexities of challenges. What was typically handled by senior leaders in the past has been handed down to junior leaders so the former can focus on even more complex issues.
- The growth of senior leaders is contingent on the second level of leadership development below them.

Individual Perspective

Failure rates as cited above indicate that something is wrong in the development of leaders. What are the reasons that leaders fail?

Zenger and Folkman identify five fatal flaws that lead to failure as a leader:

- Inability to learn from mistakes
- Lack of core interpersonal skills
- Lack of openness to new or different ideas

- Lack of accountability
- Lack of initiative

Finkelstein, in *Why Smart Executives Fail,* cites seven habits of spectacularly unsuccessful executives:

- They see themselves and their companies as dominant.
- They identify so completely with the company that no clear boundaries exist between personal and company interests.
- They think they have all the answers.
- They eliminate anyone who isn't 100% behind them.
- They are obsessed with the company image.
- They underestimate major obstacles.
- They stubbornly rely on what has worked for them in the past.

These and other studies demonstrate that leaders may have the knowledge and intellect to succeed but may fail due to a lack of people skills. They may not be able to build a team or maintain productive relationships.

Finkelstein points out that executives who moved up the ranks based on only past successes were particularly prone to failure. It seems that many who were lauded for their past strengths had begun to rest on their laurels. They had difficulty picking up new skills and thus failed in new jobs that involved competencies they didn't already have.

It turns out that the most successful leaders experience developmental jobs and bosses.

The Center for Creative Leadership (CCL) concluded in their research that there are four major groups of experiences that were most beneficial: key jobs, hardships, training, and important people. Challenging and multifunctional work assignments may teach self-confidence, toughness, persistence, knowledge of the business, skill in managing relationships, a sense of independence, and leadership. Bosses and mentors can demonstrate strong leadership (good and bad) by example.

HR's Role

Human resource professionals have a dual focus on leadership. They must first consider their own responsibility as leaders. They are in a position and have a role that requires them to bring about the change necessary to keep the organization competitive and thriving. At the same time, they have the responsibility to identify other leaders (and potential leaders) in the organization to maximize leadership bench strength.

HR professionals must regularly assess the organization's leaders and leadership needs based on the company's strategic goals. They must make sure that leaders and potential leaders are provided with

the appropriate developmental experiences, relationships, exposure, and training needed for their continual development.

Obstacles to Leader Development

Leadership can be learned, but most human talent regarding leadership remains undeveloped. There are many obstacles that prevent leadership from being developed to its potential:

- Slowly developing crises (as opposed to explosive crises that seem to call forth leadership talents)
- Suppressive effects of large and complex organizations and communities
- Educational systems and business rewards that value individual performance over teamwork
- Negative publicity often associated with high visibility
- Lack of a global mindset
- Insufficient organizational focus on leadership development

Leader development is a lifelong process. The leaders of today must nurture the development of tomorrow's leaders.

Key Content

Whether or not a person has inherent leadership abilities, those abilities need to be developed in a

strategic way in order for that person to become an effective leader.

Assessing Leader Development Needs

When assessing leader development needs, the HR professional must start by looking at the current leaders in relation to the organizational strategy or goals. The following may need to be analyzed:

- What is the organization's strategy now and in the long term?
- What needs to be accomplished now and in the future to facilitate the organization's strategy?
- What types of leader competencies does the organization need now and in the future?
- What are the current competencies in the organization's leadership and management ranks?
- What leadership development needs exist, who should the development initiatives target, and what initiatives should be implemented?

Identifying Leadership Competency Gaps

Every job requires a specific set of knowledge and skills, depending on the type and complexity of the job. Whether for leadership or other positions, best practices typically use the process of competency mapping to identify key competencies for a particular position—the behaviors and personal skills that distinguish excellent and outstanding performance from the average. Such key competencies may be used for recruitment, training and development, job evaluation, performance management, succession planning, and more.

The list of key competencies resulting from mapping forms the basis for a competency assessment. In turn, a competency assessment identifies an individual's skills gaps against those specific competencies that the organization considers valuable.

Organizations may have their own protocols and instruments for a competency assessment. Otherwise, consultants and vendors offer competency assessment tools in a variety of formats. Common types of assessments are described in Exhibit 79.

Exhibit 79: Common Types of Competency Assessments

Competency Assessments	
Self-assessment	Allows individuals to evaluate themselves against a competency list for the current job or future jobs of interest.

Competency Assessments	
Manager assessment	Allows a manager to evaluate direct reports on competencies for the current job or future jobs of interest.
Competency-based interview	Screens candidates who qualify for a job by targeting specific competencies required for the position.
Skills gap analysis	Identifies gaps in employee skills and training interventions.
360-degree assessment	Collects data in a full circle around an individual; compares self-ratings to ratings by others (for example, an immediate supervisor, peers, subordinates, internal and/or external customers, suppliers).
180-degree assessment	Collects data in a half circle around an individual; compares self-ratings to ratings by others but limited to internal personnel (for example, an immediate supervisor, peers, and/or subordinates).
Skill assessment center	Uses role plays, case studies, structured experiences, simulations, business games, and other activities to provide a holistic perspective of individual competencies aligned to a position.
Certifications	Involves supervisors or other subject matter experts and evaluators in verifying (certifying) an employee's competencies. If the employee is successful, he or she receives positive feedback and certification. If the employee is not successful, he or she receives positive but corrective feedback and prescribed follow-up actions.
Personality assessment	Uses data to evaluate leadership potential on the basis of personality, looking for traits such as integrity. Assessment must be careful to avoid bias.

A critical part of performance management is coaching people to develop the skills that may be holding them back from achieving success and/or eventually assuming management and leadership roles. Competency assessment results indicate how well a candidate or an employee is able to perform the required job skills in relation to specified performance standards. They also provide the foundation to create an individual development plan and identify the necessary training and development programs and performance management to cultivate talent with the abilities to perform at their maximum potential.

Specific to leadership development, selection stakeholders need to complete an organizational analysis that reflects the following factors:

- The fundamental or generic nature of all executive work
- Changing phases in the growth or progress of the hiring organization
- Current contextual challenges facing the organization
- The strategic direction of the organization intended by current top executives and the board of directors

A proactive practice is to attend to such factors on a continuing basis so that the organization is more prepared for any sudden leadership vacancy. The organization must have an understanding

of the roles of leadership at all its levels. Exhibit 80 illustrates some competencies for leaders at different levels.

Exhibit 80: Competencies for Leaders at Different Levels in Organizations

Leader Competencies	
Common Elements of Lower-Level Leaders' Work (Daily to 1-year time frame)	
• Administering and managing within existing policies and structures • Translating organizational goals provided by superiors into more immediate tasks, plans, and responsibilities	• Addressing the obstacles to progress at this level using existing organizational mechanisms and contingencies
Common Elements of Middle-Level Leaders' Work (1- to 5-year time frame)	
• Extrapolating and putting into operational terms new structures and policies derived by top organizational leaders • Leading multiple organizational units (managing other lower-level managers)	• Performing requirements including operational planning and the coordination and integration of actions across multiple functional units
Common Elements of Executive-Level Leaders' Work (5- to 20-year time frame)	
• Conducting long-range strategic assessment and planning • Communicating a vision or plan for organizational progress and growth • Managing relationships with external stakeholders	• Implementing organization-wide structural and policy changes • Fostering a climate that motivates high performance across the organization

At the executive level, leaders are mostly involved in originating policy and structure to be implemented across organizational systems. They need to balance multiple roles more than managers at lower levels (for example, mentor versus director, facilitator versus producer, innovator versus coordinator, broker versus monitor). These qualities are insufficient for fully describing what a company may require in a particular leader position.

Most selection boards and committees take most of these requirements for granted. Achieving a better fit between eventual leaders and position requirements entails an analysis of the environmental pressures, challenges, and internal dynamics that are unique to the organization.

More surveys suggest a significant shift in the kinds of attributes considered most important in future leaders. These attributes emphasize more skills in managing in a dynamic, fast-paced environment that extends across national boundaries. They also indicate more complex social capacities as emerging key attributes.

Sessa and Taylor refer to similar kinds of capacities as reflecting the ability to develop and maintain high-quality relationships with organizational stakeholders. These relationships become crucial for such tasks as motivating employees, building effective teams, and establishing multilevel collaborative relationships.

Assessment Tools for Leader Development

Tools that can be used to assess leadership ability include the following.

Inventories

A number of inventories measure sets of leadership styles, skills, and strengths, either as part of 360-degree assessments or as solely self-administered tests. Examples of these tests include:

- Leader Career Battery (Development Dimensions International, 2007).
- Prospector (Spreitzer, et al., 1997; distributed by CCL).
- Leadership Practices Inventory (LPI; Kouzes and Posner, 1987 and 1995).
- Leadership Versatility Index (LVI; Kaiser and Kaplan, 2008).
- 360-degree instruments from CCL (Executive Dimensions, Benchmarks, 360 By Design, Campbell Leadership Inventory, and Skillscope).
- Korn Ferry Global Survey Center assessments (such as the Korn Ferry Four Dimensions of Leadership and Talent and Korn Ferry's Four Dimensional Executive Assessment).

These measures assess the strengths that rising leaders can potentially bring to new or higher-level executive positions. The 360-degree or multi-rater versions of these scales request ratings not

only from the leader but also from that person's supervisors/superiors, peers, and subordinates.

These inventories may help identify skill strengths and weaknesses of individuals and help guide leader development initiatives.

Leadership Work Samples, Simulations, and Assessment Centers

Assessment tools that call for candidates to demonstrate levels of attained leadership proficiency are called work sample measures. Work sample measures include situation judgment tests, assessment centers, and simulations.

- **Situation judgment tests (SJTs)** present prospective leaders with sample situations and problems they might encounter in a work environment, along with possible answers. Candidates are asked either to provide the best answer, to choose the best and worst answers, or to place the answers in order from best to worst.

- **Assessment centers** and simulations are similar to SJTs in that they can provide to candidates a wide range of leadership situations and problem-solving exercises. These can include in-basket tests, financial or business data analysis, leaderless group discussions, interview simulations, role plays, and

psychological inventories. The batteries of exercises are observed by multiple raters who provide judgments on each of the targeted performance dimensions. Then, assessors come together to integrate the ratings and provide an overall assessment score.

Research suggests that some measures are more useful than others, although all measures possess some limitations. Work sample tests, situation judgment tests, and other tools that require demonstrations of leadership exhibit high validity. However, these also have the highest development costs and, except for SJTs, the highest administration costs.

Emotional Intelligence Assessment Tools

There are specific emotional intelligence (EI) assessment tools designed for screening candidates for hiring, spotting high-potential candidates, and providing information for performance feedback and coaching. Different instruments work best for each of these HR tasks, and there are dozens of EI tools. Many of these assessment tools have not been empirically evaluated.

Leader Development Strategies and Methods

The 70-20-10 rule proposes that to develop leaders it is important to engage them in challenging assignments (70%), developmental relationships (20%), and coursework and training (10%). Leadership development strategies can be formal or informal.

The CCL research mentioned elsewhere discussed the importance of bosses and mentors in providing both good and bad examples of leadership. As a matter of fact, it's been found that having bad bosses can teach one how not to lead, what not to do, and how to survive bad situations. Studies have shown that people often learn compassion and integrity more from experiences with bad bosses than from good bosses. This is not to downplay the effectiveness of positive mentoring and coaching. Research by Yukl supports the findings from the CCL work, reporting that many of the skills learned by corporate managers are based on experience more than formal education. He states that "managers are more likely to learn relevant leadership skills and values if they are exposed to a variety of developmental experiences on the job, with appropriate coaching and mentoring by superiors and peers."

While useful, this type of informal leadership development needs to be balanced with formal development. Informal development is often reactive and opportunistic; it risks wasted time and money in terms of potentially developing the wrong things in the wrong people.

Without a formal process that links experiences with expected developmental outcomes, there is no oversight in terms of what is being developed and when.

Formal systems require organizational discipline to design, implement, and sustain. The result can be instrumental in buffering an organization from succession surprises, and it can be a source for competitive advantage in other ways:

- A system-wide perspective on leadership development helps build leadership capacity.
- Leadership development initiatives should connect across all levels and provide a road map of skills, competencies, attitudes, and perspectives to be developed from one level to the next.
- Every managerial employee should have an IDP and be held accountable for making progress on it each year.
- Leadership development should be part of ongoing work-related experience.

Leader Development Methods

Effective leadership development methods and strategies include the following.

More-Challenging Assignments

For individuals to develop leadership skills, they need to have a variety of experiences that test and expand their abilities to handle a variety of situations and issues. Research has shown that high-potential employees perform at their peak in new assignments within two years and that performance declines if they are not given new and more-challenging assignments. Leadership skills often do not emerge until an individual moves out of his or her area of comfort and expertise. Giving high-potential employees challenging positions in an area where they have little expertise will force them to identify collaborative resources and to figure out what to do on their own.

The CCL's research identified the following types of experiences that contributed most to leadership development:

- Starting something from scratch
- Fixing something that is broken
- Assignments outside of one's home country
- Switching from line to staff or staff to line
- Making big leaps in scope (complexity) or scale (size)
- Handling various types of projects, such as product launches, acquisitions, or reorganizations

They also found that one of the worst things one can do is to become very good at one thing. This leads to a too-narrow focus and perspective. It is important for leaders to gain a wide variety of

experiences across a variety of domains. The CCL's work determined that leadership development occurs primarily through work experiences rather than through traditional training programs. Similarly, Locke and Latham, in an examination of their high performance cycle, found that leadership success was the result of having challenging goals coupled with high expectations, feedback, adequate levels of ability, and relatively few constraints in the work environment.

Risk Management

As the employee is given more-challenging assignments, the risk will increase proportionately. Potential leaders should be given appropriate training, mentoring, coaching, and other forms of support to minimize the risk of failure. At the same time, providing too much support may compromise the value of the experience and prevent the individual from doing independent problem solving and drawing on his or her own personal resources. Organizations need to be open to accepting the risks and rewards that these types of opportunities present.

High-potential employees cannot be totally risk-averse, because fear of failure will prevent them from making decisions that can grow the potential of the organization. Leadership candidates must learn from measured and calculated risks through the various assignments.

Real-Life Problem Solving in "Controlled" Environment

Many of the strategies described above can be brought together by giving potential leaders multiple opportunities to tackle real-life problems. Doing so in a controlled environment such as a special task force or leadership development center allows the organization to manage the risk and gives it some control over the situation.

Training

Although varied job experiences and supportive relationships are key to leadership development, there is still a place for specific training for leaders. Formal training is most beneficial when delivered at a time when the person needs to know something in order to achieve a result and has an opportunity to use the new knowledge in a real-life application. Development of this type is likely to include internal or external formal learning opportunities such as workshops, seminars, and classes.

Action Learning Leadership

Action learning is based on the concept of learning and building skills while working to solve real business issues. It can be applied to a variety of situations, including individual and leadership development efforts. Action learning leadership moves leadership development one step further by adding the opportunity to apply insights immediately in a structured and supportive way. Because

action learning mimics the process of continuous learning and integrates new ideas with actual business challenges, it has direct applicability for leadership development.

Action learning is built on a foundation of core organizational values, including:

- Continuous learning as part of the “real work” of organization members.
- Continuous improvement in behaviors and processes.
- The central importance of reflection in action.
- Feedback and open and honest communication.
- The need to learn how to learn.

Action learning requires that leaders and managers immediately implement what was learned. When compelled to apply new skills immediately, leaders and potential leaders:

- Take the learning more seriously.
- Pay closer attention.
- Actually try the new methods suggested.
- Test what is really understood.
- Retain information more effectively.

Global Considerations in Leader Development

The shortage of leaders with global competence is creating a situation in which organizations must develop their own. Inherent in the process of leader development for global competence, however, are several important challenges and opportunities. Exhibit 81 lists several dilemmas of global leader development.

Exhibit 81: Leader Development Issues

Dilemmas of Global Leader Development	
• The extent to and the way in which leadership can really be taught • The impact and influence exerted by culture • The changing nature of leadership • The comparative nature of leadership • The measurement and evaluation of leadership development interventions	• The integration of leadership programs with other organizational systems, such as career development or reward systems, and the degree of linkage with business strategy • The commitment of leaders to actually implement and share lessons learned to further the development of organizational capabilities

Evans, Pucik, and Björkman emphasize that the presence of a global mindset differentiates effective global managers and creates the ability to work effectively across organizational, functional, and cross-cultural boundaries. Human resource professionals can foster development of a global mindset by ensuring that talented employees worldwide have equal access to development opportunities. When the goal of a leadership development program

is equal access for all talented employees, the choice of a leadership development program becomes more obvious.

As more and more organizations expand their operations into the global market, it is critically important for them to recognize that Westernized models, which form the foundation of many leadership development programs, are not universally accepted throughout the globe and that leadership models may vary significantly in non-Westernized cultures.

Human resource professionals may face culturally related challenges during development and implementation of leadership programs. The following are factors with potential implications for overall program success and local acceptance:

- **“Born” versus “made” perceptions.** The question of whether leaders are born or made has been debated in HR management circles for many years. Culture has a strong impact on employee perceptions of the effectiveness of training and skill development experiences in creating leadership qualities. Cultures that perceive that leadership is an innate attribute are unlikely to recognize the value of leadership development programs. As a result, efforts to recruit individuals to participate in these programs may have only limited success.

- **Local acceptance and support.** Leadership development initiatives are often a very low priority in locations that believe leaders are born rather than made. In addition to difficulties in recruiting participants, programs in these locations may be poorly communicated and poorly supported.

- **Organizational culture.** In some cases, a strong organizational culture that reinforces leadership development and communicates the message that leaders can be “made” may offset national cultural belief to the opposite. Organizations and human resource professionals should give special consideration to the positioning, communication, and long-term support of leadership development efforts in cultures that may not see the value of these programs.

- **Leadership models.** Leadership values and models are highly culture-specific. Human resource professionals implementing leadership development programs must be vigilant to avoid imposing cultural leadership beliefs and values on others who may not share those beliefs.

- **Localization requirements.** When creating and implementing leadership development programs, it is also essential that human resource professionals present the organization’s

leadership competencies and values in the way they are demonstrated and reflected in the local culture.

Exhibit 82 provides a checklist for developing global leaders.

Exhibit 82: Checklist for Developing Global Leaders

Developing Global Leaders	
• Understand the role and characteristics of leaders in the organization's headquarters culture. • Recognize that a leadership model should not be directly applied from one culture to another. • Analyze the host country in terms of value dimensions and other key characteristics. • Balance centralized organizational leadership requirements with local differentiation.	• Solicit feedback and get sign-off on leadership criteria from international locations. • Develop a systematic leadership development and training program and process. • Develop the competencies proposed by global leadership models.

Key Content

Effective practices for developing global business leaders include:

- Longer-term international assignments.
- International cross-functional team participation.
- Internal management/executive development programs.

- Development of global management teams.
- Mentoring and coaching.
- International leader development centers.
- 360-degree feedback.

Total Rewards

Total Rewards refers to the design and implementation of compensation systems and benefit packages, which are used to attract and retain employees.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Collects, compiles, and interprets compensation and benefits data from various sources.
- Complies with best practices for and laws and regulations governing compensation and benefits.
- Differentiates between government-mandated, government-provided, and voluntary benefit approaches.
- Implements appropriate pay, benefit, incentive, separation, and severance systems and programs.
- Performs accurate job evaluations to determine appropriate compensation and benefits.

Proficiency indicators for **advanced HR professionals** include:

- Designs and oversees executive compensation approaches that directly connect individual performance and desired behaviors to organizational success.
- Designs and oversees organizational compensation and benefits philosophies, strategies, and plans that align with the organization’s strategic direction and talent needs.
- Ensures the internal equity of compensation systems.
- Re-evaluates the organization’s total rewards package regularly, and adjusts as needed.

Key Concepts:

- Approaches to gathering compensation- and benefits-related market and competitive intelligence (examples include remuneration survey, labor market trends).
- Basic accounting and financial knowledge for managing payroll (examples include direct and indirect compensation, total compensation statements).
- Compensation and labor market data collection, interpretation and analysis (examples include comparable worth, benchmarking, internal alignment, external competitiveness).
- Compensation philosophies (examples include lead, lag, match, lead-lag).
- Compensation plans (examples include salary, cost of living adjustment [COLA], merit increase, bonus structure) for common and special workforce groups (examples include domestic workers, global workers, expatriates, executives, sales, shift workers, part-time employees).
- Leave plans and approaches (examples include paid/unpaid leave, open leave, vacation, holiday, sick, parental, bereavement, jury duty, volunteer).
- Other benefits (examples include disability insurance, employee assistance programs [EAPs], flexible schedule, health and financial wellness programs, life coaches, share purchase

plans, housing partnership, unemployment insurance, outplacement services).

- Other compensation (examples include deferred compensation, direct and indirect compensation, stock options, tuition assistance).
- Pay practices and issues (examples include pay increases, base pay, pay levels, banding, variable pay, pay compression, pay equity, pay transparency).
- Retirement planning and benefits (examples include pension plan, savings plan).
- Total rewards metrics and benchmarks (examples include insurance participation rates, compa-ratio).

Total Rewards

Total rewards programs consist of all the various ways in which employees are compensated for their work for an organization. Pay, bonuses, paid time off, and subsidized health insurance are all examples of what may be included in a total rewards program. Along with talent acquisition, the total rewards program is probably one of the most visible services HR provides. HR can help the organization use the tools of total rewards creatively to attract and retain talent and use economic resources wisely. Compensation is also one of the more highly regulated HR functions, and, to manage the risks of noncompliance, the HR function develops detailed policies and processes and audits performance in this area.

HR professionals will be involved in the analysis and documentation processes underlying the total rewards strategy and the resulting compensation system and must be familiar with available tools.

Total Rewards Strategy

Proficiency indicators related to this section include:

- Designs and oversees organizational compensation and benefits philosophies, strategies, and plans that align with the organization’s strategic direction and talent needs.
- Ensures the internal equity of compensation systems.

Key concepts related to this section include:

- Basic accounting and financial knowledge for managing payroll (examples include direct and indirect compensation, total compensation statements).
- Compensation philosophies (examples include lead, lag, match, lead-lag).
- Pay practices and issues (examples include pay increases, base pay, pay levels, banding, variable pay, pay compression, pay equity, pay transparency).

Total Rewards Strategy

A total rewards strategy combines compensation and benefits with personal growth opportunities inside a supportive work environment. It aims to use limited resources to get the right talent (the employees and leaders the organization's strategies require) and to comply with the organization's values and culture and with local laws.

Competency Connection

An organization is experiencing very long time-to-fill metrics and an inability to place top talent into key roles. In addition, employee retention has suffered as the job market has improved. HR determines that the organization lacks proper, relevant compensation data, benchmarking, and pay structures to support hiring talent as well as retaining employees. Time and again, minimum and maximum pay figures have been inserted into employment requisition forms with no basis or reference point, causing well-qualified applicants to be disappointed because they exceed the salary requirements. Moreover, a majority of exit interview responses cite "lack of competitive total rewards" as the reason for departure.

To address this, HR presents several ideas to senior management, including:

- Participating in remuneration surveys in order to analyze and confirm the extent to which the organization lags competitors.
- Using survey market data (and establishing an annual budget to purchase it when/where necessary) to build and refine pay structures.
- Benchmarking the pay information at a minimum of every two years.
- Conducting a SWOT analysis, with participants from all core departments, to include consideration of broader external elements.

The Analytical Aptitude competency implies both gathering and analyzing data. HR professionals must be able to recognize when their organizations are suffering from data starvation. Implementing the planned actions in this scenario will allow HR to design and deliver its compensation strategy and structure in support of the organization's human capital, with a focus on hiring the best talent available and retaining employees.

Total Rewards Strategy and Compensation Philosophy

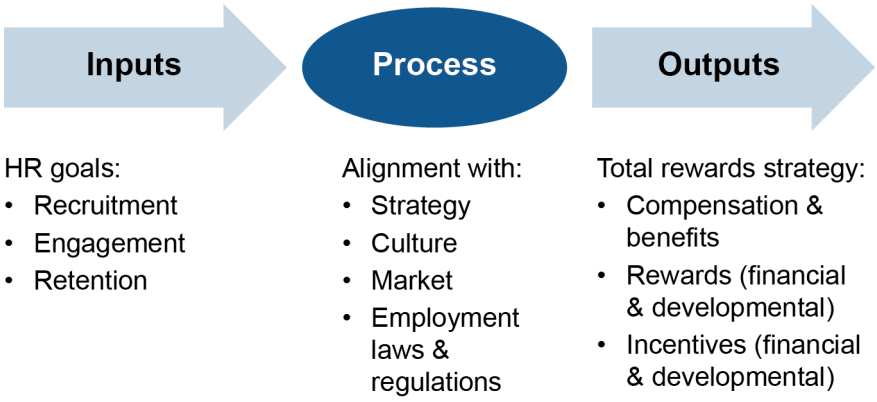
Total rewards encompasses all the direct and indirect remuneration approaches that employers use to attract, recognize, and retain

workers. Stated another way, total rewards refers to all forms of financial rewards that employees receive from their employers. Direct compensation (pay systems) primarily involves cash-based rewards, while indirect compensation (benefit and recognition programs) typically includes noncash rewards.

A **total rewards strategy** is a plan or method implemented by an organization that provides monetary, benefits-in-kind, and developmental rewards to employees who achieve specific business goals.

As Exhibit 83 shows, the total rewards strategy can be seen in terms of an input-process-output model.

Exhibit 83: Total Rewards Strategy



The inputs into the development of the total rewards strategy are HR's goals for recruitment, engagement, and retention. HR then applies its expertise to align these inputs with the requirements of

the organization's strategy, the nature of the organization's culture, the realities of the labor market, and the necessities of legal compliance. The output is the total rewards strategy—how the organization will use its compensation tools to create and sustain a productive workforce and advance the organization's strategy.

Terminology Associated with Total Rewards

"Remuneration" and the phrase "compensation and benefits" have the same meaning as total rewards. In this Functional Area, the term "rewards" is used interchangeably with "total rewards."

Other key terms are:

- **Benefits.** Tangible payments or services provided to broad groups of employees to cover issues such as retirement, health care, sick pay/disability schemes, life insurance, and paid time off. Internal and external training and development that employees receive is also considered a benefit.
- **Compensation.** Refers to all other financial returns (beyond any tangible benefits payments or services), including salary and allowances.
- **Perquisites.** Compensation provided on an individual basis in the form of goods or services. Examples of perquisites include

automobiles and mobile devices.

- **Incentives** or **premiums.** Payments in return for the achievement of specific, time-limited, targeted objectives. Often they are calculated as a percentage of base salary. Payment may be made in a lump sum or as ongoing payments over a specified period of time.

Exhibit 84 identifies typical components of a total rewards system.

Exhibit 84: Sample Components of a Total Rewards System

Rewards	Examples
Compensation (direct)	Wages, commissions, bonuses
Benefits (indirect)	Retirement income replacement programs, life insurance, short-term disability coverage, health insurance, dental insurance, vacations, noncash rewards, perquisites
Location	City or suburbs; nearness to transportation, shopping, restaurants, outdoor activities
Flexibility	Work attire, schedules, work-at-home opportunities
Social interaction	Friendly workplace, family picnics or outings
Stability	Employment and rewards packages that do not change dramatically in content or value from year to year
Status/recognition	Respect and prominence due to work contributions
Work variety	Opportunities to experience different job tasks, responsibilities, and project opportunities
Workload	Work that can be accomplished in time allotted

Rewards	Examples
Work importance	Value of work to organization or society
Authority/control/ autonomy	Ability to influence others and control one's own destiny
Advancement	Opportunities to get ahead
Work conditions	Hazard-free workplace
Development opportunities	Formal and informal training to learn new knowledge/skills/ abilities related to the job
Personal growth	After-hours parenting classes, lunch-hour sessions for self-improvement

Compensation Philosophy

The starting point for developing a total rewards strategy is the organization's compensation philosophy. A **compensation philosophy** is a short (but broad) statement documenting the organization's guiding principles and core values about employee compensation. Ideally, development of the compensation philosophy should precede development of the total rewards strategy, because the philosophy essentially serves as a mission statement that informs the organization's compensation strategies.

A compensation philosophy articulates the "why" behind employee pay. A compensation philosophy developed before a strategy guides the design and complexity of compensation programs. Even though individual compensation packages may look different (for example, ranging from top leadership to entry level staff), having a

compensation philosophy in place helps to make sure that the compensation packages are derived from the same set of core values. A compensation philosophy creates a framework for consistency and transparency.

Compensation philosophies are typically developed by HR in collaboration with the executive team. Philosophies differ from business to business based on many factors, including the organization's financial position, size, and business objectives, as well as other unique characteristics of the business, along with the industry, salary survey information, and the level of difficulty in finding qualified talent. Bottom line, a well-designed compensation philosophy supports the organization's strategic plan and initiatives, business goals, competitive outlook, operating objectives, and total rewards strategy and helps to attract, retain, and motivate employees.

Key Content

There are no hard and fast rules about what elements and verbiage to include in a compensation philosophy. Generally, it should be concise yet convey what the organization values (for example, teamwork and attainment of individual goals related to company

objectives) and how the organization plans to pay and reward competitively (for example, base pay, variable compensation, and benefits opportunities).

Consider the following hypothetical example of a compensation philosophy.

Example:

To support our mantra of being an employer of choice who drives innovation and profitable growth for clean energy solutions, the compensation philosophy of company X will:

- Attract and retain top performers.
- Provide pay levels that are externally competitive with industry peers (at least at the 50th percentile).
- Pay for performance, skills, and competencies; development and growth; and effective visible commitment to the organization.
- Encourage competency building by linking career development, performance management, and rewards.
- Provide leadership among employers in our industry by implementing innovative compensation and benefits programs.

A compensation philosophy should be reviewed periodically and modified based on how well it is working and current factors affecting the business.

Examples:

If market conditions make it challenging to find qualified talent in a particular specialization, an employer may need to pay a premium for these candidates. If the employer's current compensation philosophy does not support this value, then the organization may need to change its philosophy to meet its current needs.

In an industry with seasonal recruiting, a philosophy review a month or two before the recruiting season can help to ensure that salaries are in sync with market values (which change continuously).

SHRM tells us that an effective compensation philosophy passes the following quality test:

- Is the overall program equitable?
- Is the overall program defensible and perceived by employees as fair?
- Is the overall program fiscally sensitive?
- Is the compensation philosophy legally compliant?
- Can the organization effectively communicate the philosophy to employees and prospective candidates?

- Are the programs the organization offers fair, competitive, and in line with the compensation philosophy and policies?

Communication, transparency, and consistency are important in compensation philosophies. Organizations may advertise their compensation philosophy as a recruitment and retention strategy. Some organizations even publish the philosophy in an employee handbook to show employees where they are in relation to the market. Consistency gives the organization a frame of reference when discussing salary with employees and even job candidates.

> **Example:**
>
> An organization without a compensation philosophy vacillates regarding what to offer as starting salaries for new employees. This often leads to offers that are too high for new employees in relation to existing employees or the inability to successfully retain talent because the total compensation offers are too low to be competitive.

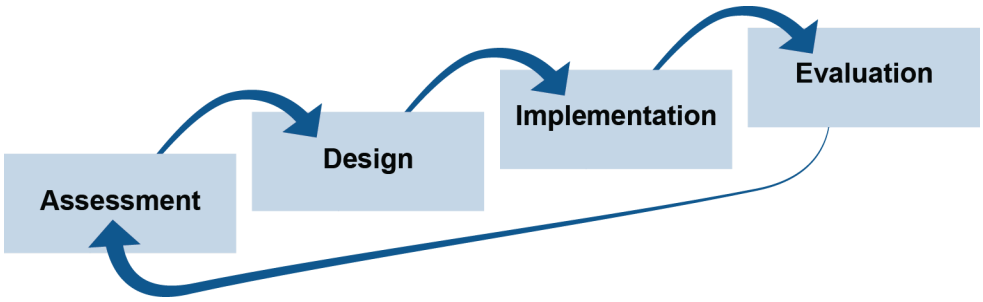
A philosophy applied inconsistently can create disparities, erode employee morale, and, in some situations, result in legal challenges. Communicating a sound compensation philosophy and consistently applying it creates a sense of fairness.

Developing a Total Rewards Strategy

Even if a compensation philosophy is in place, building a total rewards strategy from the ground up is a large-scale HR initiative. Senior management buy-in is critical for success. In addition to HR, the project team should include department representatives as well as front-line employees to ensure that the approach is well-rounded and fits the needs of everyone in the organization. If the organization operates in a union environment, collective bargaining may affect the implementation of the strategy. Interpersonal and communication skills are key HR competencies to help ensure that the strategy is embraced by all stakeholders.

As shown in Exhibit 85, developing a total rewards strategy can be described as a four-step process consisting of assessment, design, implementation, and evaluation.

Exhibit 85: Total Rewards Strategy Process



Source: Adapted from “Implementing Total Rewards Strategies,” Robert L. Heneman and Erin E. Coyne

Assessment

During assessment, one or more HR professionals evaluate the current compensation and benefits systems and the effectiveness of those systems in helping the organization reach its goals. Employees are typically surveyed on their opinions and beliefs regarding their pay, benefits, and opportunities for growth and development. Current policies and practices are examined.

The HR professionals should also examine the behaviors that are implicit in the organizational culture and if those behaviors are being recognized in the compensation program. Consideration should be given to negative behaviors that might be overlooked yet compensated. For example, what is the level of tolerance in the organization for inappropriate behavior if the owner of the bad behavior makes money for the organization? Is the individual still highly compensated and paid a lucrative bonus? On purpose, or by accident, organizations sometimes compensate inappropriate individual behaviors. This can be detrimental to employee morale and productivity and derail ethical practices in the organization. HR must review the payouts and rewards that are given to any employee who does not exemplify stated organizational values.

The most important outcome of the assessment phase is the assessment report, which includes recommendations for the new

total rewards system. An assessment report should include plausible solutions to questions such as:

- Who should be eligible for the rewards?
- What kinds of behaviors or values are to be rewarded (within the organization's reward and recognition system)?
- What type of total rewards will work best?
- How will the organization fund the new system?

Design

During the design phase, a senior management team made up of HR and department representatives identifies and analyzes various reward strategies to determine what would apply best in their workplace. Decisions are made about what will be rewarded and what rewards will be offered to employees for those achievements. Pay rewards for achievement of goals are not the only consideration. HR strategists identify additional benefits (for example, flexible work schedule, additional time off) or personal development opportunities (for example, training, promotions) to reward employees who meet the established organizational goals and objectives.

Implementation

During this phase, the HR department implements the new rewards system and circulates materials that communicate the new strategy to employees. Training also commences so that department managers are able to effectively measure the achievement and employees understand what they need to accomplish to receive the rewards. Implementation efforts need to support the long-term needs of the organization to ensure a sustainable business model.

Evaluation

How do you know if the organization's total rewards strategy is effective? The answer to this question lies in how well the system achieves its goals—cost-effectiveness, affordability, compliance with laws and statutory regulations, compatibility with mission and strategy, match with the organizational culture, appropriateness for the workforce, and equity. Exhibit 86 summarizes some of the key questions that HR managers must answer to determine if their organization's total rewards strategy is effective. (Note that several of the factors covered in the exhibit—for example, equity and fit with organizational culture—are discussed in more detail elsewhere.)

Exhibit 86: Evaluating Total Rewards Strategy

Compensation and Benefits Systems

Compensation and Benefits Systems	
Is the system strategy in compliance? • How easy is it for the organization to meet legal requirements? • Does the system protect employee privacy and the organization's proprietary data? • Does the system support the organization's diversity, equity, and inclusion goals? **Is the system strategy compatible with the organization's mission and strategy?** • Does it meet the organization's goals, mission, and objectives? • How well does the system enable the organization to attract/retain employees? • Does it motivate employees to superior performance? **Does the system strategy fit the culture? Is it appropriate for the workforce?** • Does the system offer total rewards that meet employees' lifestyle needs? • If the organization's operations cross borders, does the system fit the national and/or local culture?	**Is the system strategy internally equitable?** • How appropriate is the compensation mix? Fixed vs. variable? Cash vs. benefits? Retirement vs. health/welfare benefits? • How well do employees understand the system? • Do employees perceive the system to be fair and adequate? • Looking at performance appraisal data, how well does the system encourage and reward superior performance? • What is the organization's turnover rate? **Is the system strategy externally competitive?** • How does the compensation and benefits package compare with those of competitors in scope and costs? • Is the organization lagging, matching, or leading others in the marketplace? • Is the system enabling the organization to attract and retain qualified employees? • How wisely is the organization investing in its employees? Is each dollar spent generating a return on investment in terms of productivity and profitability?

The effectiveness of the total rewards plan must be measured and the results communicated to organizational decision makers. This should be done in the same manner as any other strategy is

measured against objectives and should use standard metrics such as cost of benefits, total payroll as a percentage of total organizational costs, and time-to-fill data for open positions. Organizations can also look at retention and voluntary turnover rates when exiting employees have indicated a rewards-oriented reason for leaving during an exit interview. Based on these evaluations, strategy modifications can be proposed for future implementation.

Total Rewards Strategic Objectives and Global Considerations

Total rewards plans must be aligned with the organization's strategic objectives so that the organization can be successful in executing its mission and goals. Special consideration needs to be given to challenges posed by differing cultures and other issues raised by variances in local laws and norms when setting a total rewards strategy that will be implemented globally.

Total Rewards Strategic Objectives

Strategic Alignment

Compensation and benefits systems must support organizational missions and strategies. Therefore, the first consideration in

developing a compensation and benefits system is to review the organization's mission and strategy.

The compensation and benefits system should be an outgrowth of the strategic business plan and the HR strategy. Smaller and newer organizations may not formally define their strategies; in this case, the HR professional may consider other indicators, such as where the organization is in its life cycle—is it downsizing or expanding, acquiring or being acquired, profitable or unprofitable? Or does the organization promote from within (organic growth) or hire from the outside (inorganic growth)?

The degree of market competition, the level of product demand, and industry characteristics all have an influence on compensation and benefits packages, as does the organization's life-cycle stage. But large or small, an organization's compensation and benefits package must support organizational goals and objectives.

In the end, the total rewards plan should attract the right people to the right jobs at the right time and place. It should also be at the right cost and should provide appropriate performance incentives to produce engaged employees who are loyal to the organization and drive organizational success.

Cultural Alignment

In *International Human Resource Management,* Dennis Briscoe, Randall Schuler, and Ibraiz Tarique describe how national and organizational cultures influence perceptions with respect to rewards:

> National and organizational cultures influence how people perceive the value of the various rewards available in the compensation system. For example, the culture may be performance-driven (and pay for performance is a well-established norm) or it may be entitlement-oriented (with longevity of service rewarded). In some cultures people are more willing to accept risk in their compensation while in others people are quite risk-averse. In addition, the level of uncertainty avoidance in a culture may determine the amount of fixed versus variable pay that people will accept.

No matter what the size of an organization is or where it is in its life cycle, the compensation system must fit the organizational culture and fundamental assumptions about employees. Organizations typically take one of two basic approaches toward employees:

- **Entitlement-oriented.** Some organizations promote a caring, protective feeling and want employees to feel as if they are a part of the family. These organizations feel that employees are entitled to benefits such as health care, employee assistance, or disability insurance as a condition of employment. In general,

as benefits increase, there is less emphasis on individual employee contributions and responsibility and more emphasis on the success of the organization as a whole.

- **Contribution-oriented.** The compensation programs of other organizations are more performance-driven, putting emphasis on the performance and contributions of individual employees. These compensation systems emphasize performance-based pay, incentives, and shared responsibility for benefits. For example, the firm may require copayments for medical insurance.

Although few organizations have a compensation system that is based only on a performance approach, the trend is moving away from the entitlement approach toward the performance approach. Many organizations will have compensation practices that are a hybrid rather than specifically one or the other approach.

Alignment with Workforce Preferences

The rewards program must consider the type of workforce. An organization with entry-level or unskilled workers will probably have a very different rewards package than an organization with experienced, highly educated professionals.

One way to keep in touch with the employees' preferences is by conducting surveys to check their attitudes and current and long-term needs. Analyzing the workforce and its characteristics will help the organization understand those needs.

Equity

Pay equity, sometimes called comparable worth, relates to the fairness of compensation and benefits paid to employees. Equity issues can be internal or external. An organization cannot effectively recruit new employees or retain existing ones without internal and external equity.

Employees need to see a basic fairness between what they bring to the organization in the way of education, experience, certifications, performance, and other skills or efforts and how the organization rewards them. **Internal equity** occurs when employees feel that performance or job differences result in corresponding differences in rewards that are fair. In other words, employees think that they are being rewarded fairly according to the relative value of their jobs within an organization.

Internal equity also helps to ensure legal compliance with fair pay regulations and prevent employee lawsuits for alleged pay discrimination. For example, two employees functioning at the same level in the organization may receive different pay. This difference

can be due to the job profile of the individual employee. If one employee performs functions and duties that are more valuable to the organization than the other, the employee legitimately deserves more pay.

External equity involves comparing an organization's compensation levels and benefits to those of other organizations that are in the same labor market and that compete for the same employees. External pay equity exists when employees in an organization perceive that they are being rewarded fairly in relation to those who perform similar jobs in other organizations.

To assist with equity pursuits, organizations may also make efforts to increase pay transparency. This may include advertising pay ranges in job listings, both internally and externally. Even where organizations are not actively promoting transparency, in many countries employees can easily access salary data for their industry, region, and position on online pay comparison sites. They can also look at other factors online, such as benefits, opportunity for advancement, job security, work environment, and so forth. Employees will assess whether their total compensation equals what they could earn at another organization for the same job, at the same level of performance and with the same seniority.

Organizations compete for employees with other organizations that share their:

- Industry—The organizations have similar products or services.
- Occupation—The organizations employ workers with the same experience or skills.
- Location—The organizations employ workers in the same geographical area.

Based upon what is known about those markets and competitors, organizations typically decide to lag, match, or lead the market with regard to compensation and benefits. Characteristics of these pay strategies are described in Exhibit 87.

Exhibit 87: Pay Strategies

Pay Strategy	Description
Lag market competition	• Controls labor costs by setting pay rates below those of other organizations • May be used because of economic necessity • May enable an organization to offset other higher costs such as purchasing, distribution, or sales expenses • Typically will offer other benefits such as learning and development, attractive roles via career paths, etc.
Match market competition	• Offers wage rates and benefits packages similar to that of the competition • Often referred to as being externally competitive • Most common approach

Pay Strategy	Description
Lead market competition	• Offers higher wages and/or better benefits in an attempt to attract and keep the best talent • Rationalizes that higher-quality employees are more productive, which makes up for the higher salaries
Lead-lag market competition	• Leads the market during the first half of a fiscal year; then lags in the second half of the fiscal year

The correct strategy depends on:

- How the employees add value to the organization's success.
- How competitive the market is for talent (supply versus demand).
- The degree to which the organization can afford to pay for a particular strategy.
- Where the organization wants to place itself as an employer of choice.

An additional consideration is that pay competitiveness is "a ticket to play" but not necessarily a differentiator. If an organization only mirrors other organizations in the marketplace, it may fail to create and sustain a competitive advantage.

An organization will probably use a combination of these strategies. For example, for critical jobs and competencies, the organization may decide to lead the competition; in other areas (where skills and

competencies are not as critical or the talent pool is large), the organization may use a match or lag strategy.

Examples:

A multinational company in Dubai in the United Arab Emirates has a key open position that requires specialized finance and accounting skills as well as fluency in the Arabic language. The organization uses a lead pay strategy to attract and retain star talent for the position.

The same organization uses a base pay strategy that matches the market for other vacant positions that are more mainstream and easily filled. In doing so, the organization balances cost pressures with the need to retain employees for these positions.

Key Content

Organizations must keep in mind that using more than one pay strategy may cause morale issues and lead valuable employees to seek jobs in other organizations.

Generally, any perceived inequity or unfairness, either internal or external, can result in low morale and loss of organizational

effectiveness. If employees feel they are being compensated unfairly, they may reduce their efforts on the job or leave the organization, potentially damaging the organization's overall performance and brand.

An internal equity study can determine if there is pay equity between like positions and if all roles in the organization are governed by the same compensation guidelines.

> **Example:**
>
> An organization employs several account managers to work with similar client groups. HR reviews the salary of each account manager and compares it with others in the same role to assess if internal equity exists. This does not mean that all account managers are paid the same; it means that they are paid fairly in relation to their peers. Differences in salary may be based on education, experience, years of service, or responsibility level.

The first tenet in mitigating external inequity is to start with competitive base pay. However, as noted previously, employees can easily compare their roles and pay to that of other organizations. They also tend to consider much more than base pay in determining external equity. For example, when deciding if external equity exists, employees may place more emphasis on benefits, job security, physical work environment, or the opportunity for advancement.

Unfortunately, employees do not always compare their situation with similar types of organizations (for example, in terms of size and the same industry or business sector).

The use of remuneration surveys is critical in assessing external equity. Organizations need to ensure that the key responsibilities and goals of the roles being compared are similar and that the industry, sector, and other organizational characteristics are comparable.

Global Remuneration Issues and Challenges

A global presence in business necessitates a focused approach in building total rewards that can span continents and businesses and still remain consistent with the organization's strategies. For example, it may be organizational practice to "pay at median" in all markets. The specific median figures will vary; however, as the organization puts the axiom "think global but act local" into practice, it becomes important to translate existing policy into an approach and attitude that can be replicated across the globe in all locations where the organization does business. This will call for additional HR proficiencies and greater collaboration with other functions (for example, legal, finance, accounting, tax, line management, country management).

Alignment with Global Staffing

Total compensation practices should support the hiring, retention, and motivation of an engaged and productive workforce, but this may be accomplished in different ways, according to the organization's global orientation.

Influencing Factors in a Global Environment

When an organization's operations cross borders, compensation and benefits must recognize and accommodate legal, cultural, and financial differences. Many forces influence global remuneration—labor market dynamics; regulatory, political, and cultural differences; taxation; legal and reporting structures in different geographies; and the role that mobility will play in future workforce strategy and deployment. Driven by such operational and country specifics, strategies for compensation and benefits delivery are often capped by market practices. Exhibit 88 describes major issues and challenges, and it notes the general implications for global HR.

Exhibit 88: Issues and Challenges in Global Compensation and Benefits

Description	Global HR Implications
Standardization versus Localization	

Description	Global HR Implications
Typically, strategies are standardized in keeping with the organization's overall compensation philosophy. Specific practices tend to be localized to fit country, regional, or local conditions.	Have a long-term plan to support the organizational compensation philosophy, but consider local restrictions, tax regimes, and culture.
Culture	
Cultural differences necessitate understanding that the value of compensation and benefits programs is in "the eye of the beholder." A benefit highly valued in one country may be relatively meaningless in another. Differences are often rooted in deep-seated beliefs, attitudes, and values.	Avoid headquarters biases or replication of headquarters-country policies and procedures (for example, paying sales commissions in risk-averse cultures or reward and recognition programs that reward individual contributions in cultures that place greater emphasis on team/group contributions or prefer private recognition). Involve local contacts to understand customary compensation and benefits practices.
Competitive Labor Market	
At a broad level, the compensation and benefits required to attract and maintain talent are determined by the competitive demand for that talent. However, the nature of the competition for talent may vary across countries and regions, depending on factors such as: • Type of talent sought. • Geographic scope of talent market. • Industries in which talent is found. • Mix of remuneration components. • Current economic, market, and employment conditions.	Lead, lag, or match the rates of pay in the marketplace based on the skills needed, the demand for required talent, and the best way to compensate those types of workers. Offer appropriate combinations of pay and benefits that will appeal to current or prospective employees. Employ people with similar skills when industry-specific expertise is in short supply or competition is high; retrain or coach the hires on the job; develop and mentor talent.
Collective Bargaining, Employee Representation, and Government Mandates	

Description	Global HR Implications
Certain types and categories of employees in most parts of the world are protected from actions that impact their wages and employment conditions. Unions play a very strong role in many countries and sometimes include provisions for management as well as employees. Works councils (not to be confused with unions) also offer worker protections.	Comply with requirements of third-party representation. Understand the implications for minimum wages, severance packages, and pensions. Adhere to related government regulations and mandates and industry-wide collective agreements.
Economic Factors	
Many differences exist from country to country, in terms of the: • Influence of politics and power. • Distribution of wealth across a country's citizenry. • Unpredictability of events (for example, sometimes rapid changes in rates of inflation, currency). • Unemployment or scarcity of talent.	Recognize that unofficial sources of power in a community or region and official governmental personnel may have a large impact on what is considered acceptable. Contribute to the local area to support educational facilities, internal training, child care, or other local services. Make allowances for local inflation/deflation or currency fluctuations. Conduct a risk analysis of economic factors and their consequences. Create contingency plans to mitigate the risks associated with potential changes in economic factors.
Taxation	

Description	Global HR Implications
Tax regulations differ widely from country to country. Some countries have no income tax, while others have income tax in excess of 50%. Some benefits that are taxable in one country are not taxable in the geographically adjacent country. There are complicated and ever-changing tax compliance requirements for nationals from one country working in another.	Involve experts in local compensation and benefits laws and practices as well as country taxation, particularly for long-term assignees. Understand the taxation of cash and noncash compensation, benefits, and perquisites—what is taxed, at what rates and levels. Recognize that a benefit may be unacceptable, depending on how it is taxed.

Communication of Total Rewards Strategy

A total rewards program can serve as a motivator when it is understood and accepted by employees. Telling employees about the true value of their rewards has become almost as important as designing the rewards.

Key Content

Four important reasons for communication are:

- Educating employees about the organization’s total rewards practices.

- Achieving employees’ buy-in and making them aware of the overall value.
- Supporting the organization’s strategic objectives.
- Supporting the organization’s goals for performance management.

Top-performing organizations typically do a better job of communicating the total value of employee rewards. A better understanding of the intent and strategy of the reward program often improves organizational effectiveness and performance, employee satisfaction with pay, employee engagement and motivation, and employee retention. In both good and bad economic times, these are powerful attributes.

Examples

In a competitive labor market, employees who do not fully understand the value of hidden benefits in their total rewards package might be more inclined to “job-hop” and leave the organization. Conversely, if those employees recognize the full spectrum of benefits, they may be less inclined to exit, based on their ability to make an informed decision.

What Needs to Be Communicated

A perpetual debate among HR practitioners is how much to communicate about pay. Advocates of open communication maintain that the goal of supporting the achievement of strategic business objectives will not be met unless employees understand the pay system and how their pay is determined. A further rationale for transparency is that it reduces conflicts among employees and between employees and management regarding pay.

But there are numerous challenges to transparency. Complete openness (where employees know how much coworkers are paid) can lead to jealousy and performance problems. Employees may question the system's fairness. Fairness, by its nature, is a subjective and culture-laden concept. Variations in expectations and perceptions pose challenges. There is also a risk that employees may use the information for inappropriate or unintended purposes. Other transparency concerns are the need to preserve employee privacy and protect proprietary information. Organizations may opt for a middle ground between total openness and complete secrecy, where some but not all pay information may be revealed (for example, pay ranges are communicated but individual salaries kept private).

Total Rewards Communication Tools

Even the most lucrative compensation and benefits package may falter unless employees understand and value it. Effective communication requires attention to a variety of factors. There should be an overarching strategy and standard implementation guidelines, but they should be adaptable to organizational specifications and local conditions and norms.

The following are several considerations that support the effective communication of total rewards.

- **Type of information.** There are two general categories of employee communication: required and voluntary
    - **Required communication.** Some communications are mandated by laws and statutory regulations. For example, regulations often impose a wide range of disclosure and reporting requirements on pension benefit plans and even may dictate what has to be included on an individual's pay slip. Due diligence is required so that organizations understand the requirements of applicable laws, regulations, instructions for any applicable forms, or other official guidance.
    - **Voluntary communication.** Simply meeting the mandated communication requirements probably will not satisfy

employees' needs to understand their total rewards program. The organization needs an approach that outlines policies and procedures as well as an expectation that managers and HR will communicate directly with employees as needed and whenever possible.

- **Communication plans.** The more complex the system and the more choices available, the greater the need for a communication plan. Plans are not standard; they will vary across organizations. Written plans may include a description of the organization's compensation strategy, policies, practices, and procedures plus other information

- **Direct communication.** Having a written communication plan is the first step toward effectively communicating the compensation and benefits plan to employees. However, direct, person-to-person communication is still preferable in many instances. Either HR or the employee's manager must take the time to meet with individual employees in a confidential setting to communicate compensation and benefits issues such as job grade changes, raises, individual benefits issues, new policies or procedures that directly affect the employee, or policy infractions (incorrect reporting of overtime, etc.). To ensure that the compensation or benefits information discussed is

understood, the employee should have the opportunity to ask questions.

- **Individualized total compensation statements.** Many organizations find tremendous value in providing employees with individualized total compensation statements. Such statements show the total value of the base pay, incentives, and benefits package so employees can clearly see the value they receive in the total compensation package. Items and terminology may vary globally but may include:
  - Salary/hourly rate.
  - Paid leave—vacation/sick/paid time off, holiday, personal, bereavement, military pay, jury duty, etc.
  - Retirement benefits.

  Without such total compensation statements, organizations in the past found that they were spending significant money on benefits that employees did not value, understand, or even know existed.

- **Self-service technologies.** Self-service technologies and employee self-service (ESS) applications provide employees with quick and easy access to compensation and benefits information online, either from home or from work. ESS, in particular, gives employees a much more active role in

maintaining their personal records. At the same time, it allows HR staff to spend time previously dedicated to administrative duties on activities with a more strategic focus. This, in turn, provides additional benefits to an organization, including

- Increased accuracy of employee data.
- Improved timeliness in information and employee transactions.
- Reduced dollars spent on other traditional HR delivery channels (for example, paper-based transactions).
- Enhanced reputation as a “green,” environmentally conscious employer.

All ESS Internet applications must be protected from hackers, tampering, and unauthorized access from inside and outside the organization. Access to compensation and benefits information must be safeguarded not only as sound business practice but also to maintain compliance with laws and statutory regulations. Employees should have access only to the data they need to perform personal self-service transactions.

HR can promote the success of ESS and other technology-based services by helping to ensure that employees:

- Clearly understand the purpose of the services, what functions are available, what to do, and how to do it.

    - Recognize that there are benefits to using ESS technology (such as time savings, convenience, and 24/7 access) when compared to other alternatives.
    - Possess the skills, self-confidence, and equipment to use the applications.

  Implementation is key to the success of innovative self-service technologies and applications.

- **Consistent key messages.** When an organization has multiple locations, special attention should be paid to developing and communicating consistent key messages about compensation and benefits. Communication inside an organization often becomes difficult; it is hard to make certain that the necessary things are being understood. This is true in a domestic enterprise and is even more challenging for global organizations.

  Communication is not an absolute. Across cultures, there is room for wide variance on what people interpret and understand. Intercultural communication theories have documented how people schooled in one set of communication conventions often violate the expectations of people with different backgrounds. Similarly, communication within the same

medium may be perceived very differently in different cultures. Messages should be crafted in the local context.

No one definitive approach is the best method for communicating an organization’s compensation and benefits strategy; it is company- and culture-specific. In some organizations, communications will be straightforward statements of fact; in others, the communications may weave in the organization’s values and reflect the culture and employment brand. The most effective communication channels will vary from organization to organization because all stakeholders must be considered.

Organizations often must use a number of different approaches to make sure that everyone understands. Use a variety of media (for example, the Internet, the organization’s intranet, webinars, brochures, interactive meetings) to educate employees on the organization’s compensation philosophy.

Effective employee communication helps increase employees’ awareness that their employer is attempting to create internal equity, ensure competitiveness, and reward individual performance.

Legal Compliance in Total Rewards Systems

A plethora of laws and statutory regulations play a significant role in the management of employee compensation and benefits. These laws and regulations impact the remuneration of employees in many areas, such as work hours and compulsory time off (paid and unpaid), minimum wage, overtime, paid leave, compulsory bonuses, incentives and gratuities, and severance. Understanding and complying with such employment laws helps organizations and managers do the right thing and minimize potential organization and individual liability and risk exposure.

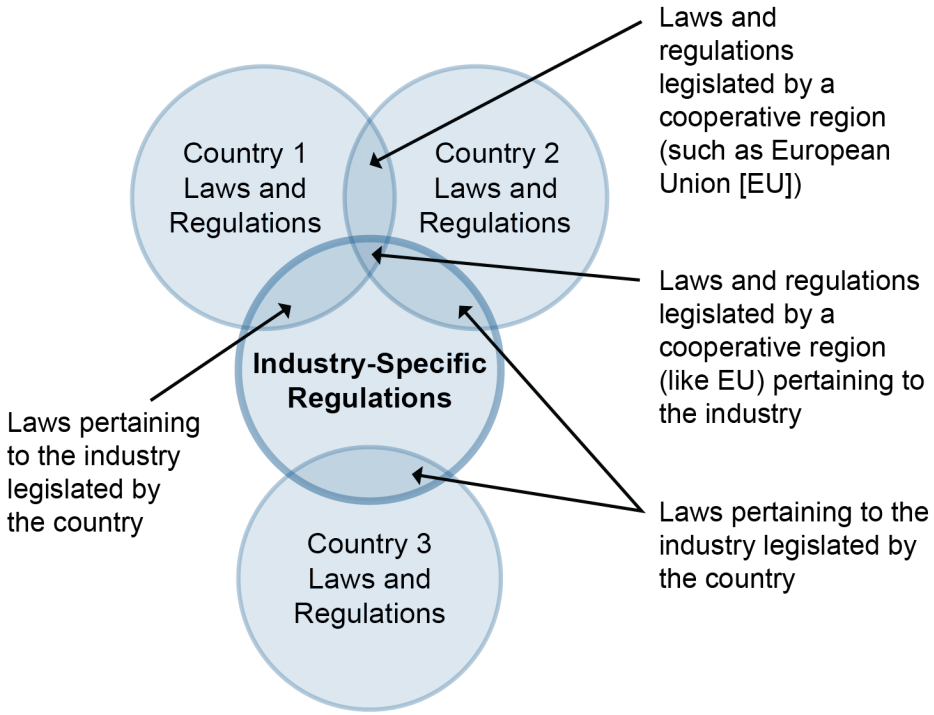
There is, however, tremendous variance in the laws and regulations governing compensation and benefits around the world. Even with concepts that are commonly applied in many areas of the globe, there are no universal minimums, guidelines, penalties, or enforcement.

Another consideration is that governmental entities (for example, nation-states, cooperative regions containing multiple nation-states, states or provinces within nation-states, and smaller localities, like cities) have various laws and regulations. Specific industries, departments, or positions may also have rules and regulations that

apply. The legal environment for an organization may encompass many sets of laws and regulations. (Keep in mind an organization can and will often do more than the law requires but cannot do less.)

Exhibit 89 illustrates one potential situation where the laws associated with employee relations may originate from multiple sources.

Exhibit 89: Potential Origination Points for Legal Concerns



This example assumes that the organization has operations in three countries and participates in a single industry. In the example, there are nine potential origination points for laws or regulations.

Complexity, of course, does not absolve compliance. Every organization must stay current and comply with all compensation and benefits laws in the countries in which it operates as well as employment laws developed by global and regional bodies.

Ultimately, HR practitioners must understand the employment laws, codes, and practices applicable in each of the countries and regions in which the organization operates. HR is responsible for delivering programs and services to help ensure that the entire organization and its managers and supervisors remain compliant. What does this entail? This necessitates due diligence on the part of HR practitioners that should include an understanding of relevant:

- Standards and regulations set forth by international organizations, such as the International Labor Organization, the Organisation for Economic Co-operation and Development, the United Nations, and the European Union, as well as treaties and agreements.
- Extraterritorial application of national law. (Extraterritorial laws extend certain legal requirements of a home country to the activities of its citizens traveling or working abroad and of its entities—such as corporations—operating in host countries.)
- Application of national laws to international-owned subsidiaries operating within a nation’s borders.

No HR practitioner could feasibly understand all the specific requirements of compensation and benefits laws and regulations. Two effective practices for compliance are to always:

- Research local laws versus organizational practices.
- Involve experts, internal or external, to validate particularly complex local compensation and benefits practices and requirements in order to implement compliant and culturally accurate programs.

Many international law firms offer consulting and other comprehensive services that can keep organizations with global operations informed of critical legislation and trends as they occur around the globe (for example, through country guides, compliance alerts, news about critical legal changes, and more).

Financial and Accounting Knowledge Needed to Manage Total Rewards Systems

Total rewards are a significant component of an organization's operating expenses, and properly managing those costs is critical to the organization's success. But for many HR professionals, the task poses challenges because of the implied financial jargon and accounting concepts. Consider a small sample: cost, expense,

operating expenses, capital expenses, direct labor, indirect labor. While often outside the traditional realm of HR expertise, understanding finance and accounting terms and concepts such as these and the basics of financial statements is important because the information provides HR professionals with key insights into their organization's operations and performance and the drivers of revenue and costs. In turn, understanding how the organization makes money allows HR practitioners to recognize the financial impact of HR decisions—how HR decisions can impact the organization's financial performance.

Adding to the challenges of finance and accounting for HR is the prevalent confusion in current accounting standards and frameworks regarding how to classify HR monetary outlays in accounting systems. Some employee monetary outlays are assets; some are expenses. Consider the following outlays for software engineering.

Examples:

A high-technology organization buys an expensive piece of equipment for a major system upgrade. On the date this machine is acquired and put into operation, the accounting system records it as an asset on the balance sheet. It is depreciated over time using an acceptable depreciation schedule.

> During the same time period as the equipment purchase, all the costs associated with hiring a software engineer—recruitment advertising, search fees, interviewing costs, and other hiring costs—are expensed and reported in the income statement (also known as a profit and loss statement) for that current accounting period (even though the engineer's service will extend over more than one year).

In this example, the physical products (for example, the equipment used by the software engineer) are considered assets and the cost outlays for them are expensed over a period of time (their useful life). Compensation-related outlays for the personnel expenses are all considered expenses for the current period.

Financial analyses and HR decisions are always intertwined to varying degrees. Even if HR decisions do not involve substantial amounts of money, HR should consider the potential financial implications of recommendations and actions. To do that requires an understanding of basic financial and accounting concepts. Partnering with finance colleagues is always a viable way to develop an appreciation of requisite finance and accounting knowledge. In addition, there are numerous "finance for non-finance professionals" resources (seminars, books, etc.) that HR professionals can consult.

Payroll Considerations

Payroll generally refers to the processes by which employees receive compensation. An organization’s payroll activities must be efficient, effective, and compliant.

Organizations either deliver payroll internally (in-house), outsource it via external vendors, or use a hybrid of both methods.

Examples:

In an internal payroll model, an organization relies on its own system capabilities.

In an outsourced model, tasks are allocated to one or more vendors.

In a hybrid (co-sourced) model, some of the work is done in-house and some outsourced. For example, tax processing, wage attachments, and payments might be outsourced, while the gross-to-net payroll computations or timekeeping might be maintained in-house.

Many organizations enlist external vendors, using the outsourced or co-sourced models. But even when employers outsource payroll processing to a third party, they are still responsible for the legal and regulatory compliance side of payroll.

Organizations also vary in how they handle internal payroll activities. Payroll may be part of HR department or the finance department

(due to the obvious overlap with that function) or a stand-alone function.

Examples:

When payroll reports into the HR department, HR typically has strategic oversight of the payroll function.

When payroll reports into finance, payroll practitioners are the point personnel in understanding accounting, taxation, and other statutory deductions.

In a small organization, the HR and payroll person may be the same individual.

Regardless of how payroll is administered, many payroll activities are related to HR activities, including employee set-up, base pay reviews, bonus payments, overpayments, vacations and holidays, taxable benefits, leaves of absence, year-end reporting, human resources information/payroll systems, pay equity, and employee terminations. Even if payroll is part of finance or is a stand-alone department, the relationship with HR remains strong, and the two areas must collaborate. In any of the payroll scenarios, HR should understand the basic accounting implications and how the employee expense outlays for payroll are identified and captured in the organization’s accounting system.

Compensation System Design

Proficiency indicators related to this section include:

- Collects, compiles, and interprets compensation and benefits data from various sources.
- Performs accurate job evaluations to determine appropriate compensation and benefits.
- Ensures the internal equity of compensation systems.

Key concepts related to this section include:

- Approaches to gathering compensation- and benefits-related market and competitive intelligence (examples include remuneration survey, labor market trends).
- Compensation and labor market data collection, interpretation and analysis (examples include comparable worth, benchmarking, internal alignment, external competitiveness).
- Total rewards metrics and benchmarks (examples include insurance participation rates, compa-ratio).

Compensation System Design

The compensation system addresses all of the positions in the organization, establishing their relative values to the organization and creating a potentially complex pay structure that reflects that value.

Competency Connection

An institution of higher education was experiencing challenges in hiring and retaining top talent. As part of the institution's strategy, the compensation director on the HR team was tasked with reviewing the institution's outdated pay and classification structure and providing a recommendation to senior management.

The director first analyzed changes that have occurred since the current compensation structure was put in place over 15 years ago. Then the director studied market changes regarding pay and classification titles and benchmarked the current institutional system. The director met in focus groups and one-on-one meetings with stakeholders at all levels of the organization to understand their perspective and future factors affecting pay.

The compensation director found that the institution had grown at a faster pace than its ability to keep up with external competitive pay

or job titles. She also found that the current needs for positions were much different than they had been 15 years ago. A critical finding was that people were being hired into jobs that they did not have the skills to perform. Possibly because of this, many of these hires left the institution within a year. Additionally, the director found that while the benefits helped attract candidates, the pay was the reason many candidates did not accept offers and the reason the institution experienced high turnover in some areas.

The compensation director proposed a complete overhaul of the institution's pay and classification structures and a stronger focus on total rewards to leverage the excellent benefits offered to employees, which, in some cases, offset the pay. While this strategy was a more long-term solution than senior management desired, it would create a more competitive total rewards package for current and future employees. Additionally, by adding appropriate titles to the institution's classification structure, management could better staff areas with the right people doing the jobs they had anticipated.

The compensation director used an array of HR Behavioral Competencies to deliver value to the organization:

- Business Acumen in understanding the financial impact of the solution on the institution

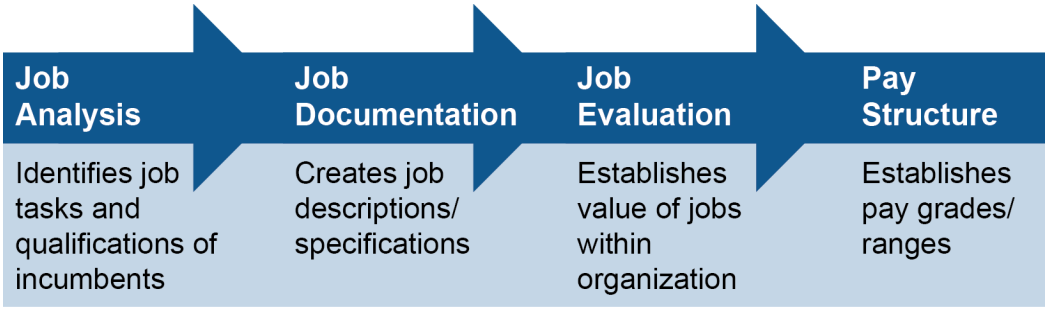
- Analytical Aptitude in gathering and analyzing both quantitative and qualitative data
- Communication in presenting the need for this change to the organization’s stakeholders
- Leadership & Navigation in building relationships with stakeholders at all levels through interviews and focus groups and in managing the planned initiative
- Global Mindset in sensitivity to the organization’s culture (job titles and relationships)

Steps in Designing a Compensation System

Designing a compensation system starts with basic information about each job in the organization, what the employee in that position does and what skills, knowledge, and abilities are needed to perform the tasks. This is documented to support continuity across the organization and compliance with employment laws. The relative value of the job—not of the individual filling that position—is researched in the marketplace and is debated and agreed to at an organizational level. HR professionals then create a pay structure that complements the organization’s culture and values and fulfills

market needs. Exhibit 90 shows the activities in designing a compensation system.

Exhibit 90: Activities in Compensation System Design



Job Analysis and Documentation

A job analysis studies the tasks, responsibilities, and conditions that are associated with a job and which personal qualifications are necessary for the performance of the job. The analysis looks at the job, not of the person or persons doing the job. Job analysis is discussed in more detail in the Talent Acquisition Functional Area.

A job analysis usually results in the three deliverables shown in Exhibit 91.

Exhibit 91: Job Documentation

Element	Description
Job description	Written description of a job and its essential functions and requirements, including tasks, knowledge, skills, abilities, responsibilities, and reporting structure.

Element	Description
Job specifications	Written statement of the minimum qualifications necessary to perform a job.
Job competencies	Clusters of highly interrelated attributes, including knowledge, skills, and abilities (KSAs), that give rise to the behaviors needed to perform a given job effectively. These competencies should be part of a competency model.

In the context of the design and administration of a compensation system, this job documentation:

- Helps to set up evaluation criteria for job performance.
- Provides data for comparing pay with that of other organizations.
- Helps in assigning objective classifications or job titles to employees.
- Communicates expectations to both supervisors and employees.
- Improves an organization’s ability to defend unwarranted charges of discrimination.
- Assists with addressing legal compliance requirements (for example, this might include reasonable accommodation under the Americans with Disabilities Act in the United States).

Job Evaluation

Job evaluation (also called job valuation) determines the value and price of a job in order to place and compare it within an organization as well as attract and retain employees in a competitive environment. It is a key component of an organization's remuneration program. Job evaluation supports the need for the total rewards strategy to further the organization's strategic objectives.

It is also intertwined with the organization's concern for pay equity. Organizations frequently find it difficult to balance the need to maintain a positive bottom line with the ability to meet the needs and expectations of their workforce. Researching and understanding the market(s) in which the organization operates can help an organization maintain equity.

Subsequent content examines job-content-based (internal) job evaluation and market-based (external) job evaluation as well as remuneration surveys, benchmarking, and other information sources.

Job-Content-Based Job Evaluation

In **job-content-based job evaluation ,** the relative worth and the pay structure of different jobs are based on an assessment of their content (for example, responsibilities and requirements) and their

relationship to other jobs within the organization. More simplistic internal job evaluation approaches address how jobs are broken down into and assessed by their different elements or factors (decision-making relationships).

Most internal evaluation methods can be grouped into one of two categories:

- Nonquantitative methods strive to establish a relative order of jobs.
- Quantitative methods try to establish how much more one job is worth than another job by using a scaling system.

Nonquantitative Methods

Key Content

Nonquantitative methods are often referred to as whole-job methods, as they evaluate the entire job and sequence jobs in hierarchical order based on their value to the organization (without a numeric value being assigned to each job). The sequence will indicate that one job is more important than another job, but it will not specify how much more.

Two common nonquantitative methods include job ranking and job classification.

Job ranking involves establishing a hierarchy of jobs from lowest to highest based on each job's overall value to the organization. Ranking evaluates the whole job, rather than parts of it, and compares one job to another.

If there are many jobs to evaluate, a **paired-comparison method** may be used in which each job is compared with every other job being evaluated. The job with the largest number of "greater than" rankings is the highest-ranked job, and so on. A matrix is used to compare all possible pairs of jobs.

Overall, job ranking is a fairly quick, inexpensive method of job evaluation and is easily explained to managers and employees. However, it may not be clear why one job is valued over another, and there may not be much of a differential between jobs, making the ranking ineffective. In addition, job ranking usually is not feasible when evaluating a large number of positions.

The **job classification** method writes descriptions for each class of jobs. Individual jobs are then put into the grade that best matches their class description, based on the judgment of the evaluator. There are a few disadvantages to this nonquantitative method:

- Because this process is subjective, where there is a wide variety of jobs and job descriptions, jobs could easily fall within more than one grade level.
- This method relies on job titles and duties and assumes that the jobs are similar among organizations.

Quantitative Methods

Key Content

Quantitative job evaluation methods evaluate specific factors on a scale and provide a score that indicates how valuable one job is compared to another.

While nonquantitative methods evaluate the whole job, quantitative methods evaluate the job using a variety of factors—often called compensable factors. Compensable factors reflect how much the job adds value to the organization.

The compensable factors should:

- Reflect the actual work being done.
- Be supported by documentation such as job descriptions.
- Reinforce the organization’s strategic plan and culture.

- Be valued by all affected parties (stakeholders).
- Be reviewed annually.

The **point-factor system** is a form of quantitative evaluation. It is the most commonly used method of job evaluation. The compensable factors chosen for the evaluation must reflect the nature of the job being evaluated. For example, hazards and working environment would be pertinent factors in a manufacturing setting but not as relevant in most office jobs.

The factors most commonly used in point-factor evaluations include:

- Skills.
- Responsibilities.
- Effort and physical demands.
- Working conditions.
- Supervision of others.

HR may independently conduct the job evaluation or lead a discussion with an internal or external committee to decide how much each factor (such as skills and working conditions) is present in a specific job. The committee assigns points to each factor and then adds the points to come up with an overall point value for the job. Then they can compare the relative worth of jobs on the basis of their point values.

This can help the organization determine general traits that it values across the organization for employees and realize the importance of certain jobs that may have been otherwise under valued.

However, if the organization requires an outside resource to design a custom system, there will be a substantial cost in consulting fees for unique jobs that need to be evaluated. A time commitment from senior management is also needed for the initial design of the system. This generally requires multiple meetings, and then a smaller group will need to review job descriptions and assign points.

Exhibit 92 compares the different job-content-based job evaluation methods.

Exhibit 92: Job-Content-Based Job Evaluation Methods

Method/Comparison	Uses	Advantages/Disadvantages
Nonquantitative		

Method/Comparison	Uses	Advantages/Disadvantages
Job ranking	• Best suited to small organizations where a hierarchical ordering of jobs will suffice and resources are lacking for a complex job evaluation system.	**Advantages** • Simplest method. • Quickest method. • Inexpensive. **Disadvantages** • Not appropriate for evaluating a large number of positions. • Puts jobs into a hierarchy but does not determine the relative value of one job as compared to another. • Does not measure differences between jobs. • Not as reliable as other methods because of its subjectivity. • Relies on judgment of evaluators.
Job classification	• Best suited to large organizations with many jobs and limited resources to commit to the evaluation process.	**Advantages** • Understandable by employees. • Classifications can change as duties and responsibilities change. **Disadvantages** • No audit trail. • Looks only at whole job. • Ambiguous; overlapping grade descriptions. • Only as good as the grade descriptions. • Relies on judgment of evaluators.
Quantitative		

Method/Comparison	Uses	Advantages/Disadvantages
Point-factor method	• Best suited to organizations desiring a systematic procedure for evaluating each job. • Best suited to organizations with time and resources to develop a custom evaluation system. • Has better chance of success when jobs are not greatly affected by inflation/market conditions.	**Advantages** • Produces reasonably objective and defensible results. • Provides documentation and an audit trail. • Yields suitable results if used consistently. **Disadvantages** • Complex and time-consuming. • Difficult to explain to employees. • Requires thorough job documentation, including job descriptions and job analyses. • Relies on some degree of judgment by evaluators.

Market-Based Job Evaluation

In **market-based job evaluation ,** the relative worth and the pay structure of different jobs are based on their market value or the going rate in the marketplace. For this reason, the method is sometimes simply referred to as “market pricing.” Job content or internal job relationships may also be taken into account, but these are typically secondary considerations.

It is important that the job/pay data in the surveys used to determine market rates (whether published or self-conducted) reflect the appropriate market for the jobs (for example, local, regional, national, or international and within or across industrial, technological, and other sectors). For this reason, many organizations opt to use resources such as the annual Hays Salary Guide, produced by the recruiting firm of the same name. In particular, the Hays Guide provides snapshots of salaries across countries and regions of operations or areas of expertise (for example, banking, oil and gas, facilities management) and includes a thorough market overview, charting of salary policies, recruitment trends, diversity, employer branding, economic outlook, and more.

After the market rates are identified, the organization’s pay rates are set in accordance with its pay policies. Rates may be at, above, or below market values. The organization’s jobs are slotted into the market-priced job-worth hierarchy; additional jobs may be placed into the hierarchy as they compare with the benchmark jobs.

External competitiveness is one of the primary advantages of market pricing. This method also provides a rational, objective basis for negotiating pay rates with individuals and groups (as in collective bargaining). General disadvantages of market-based pricing are insufficient data and the potential for poor job matching. In the global

environment, for example, it is often challenging to obtain pay data in emerging and developing markets. This may prompt an organization to use a formal job valuation methodology. Because of the reliance on survey data, market-based pricing may be less legally defensible than job-content approaches. This is, of course, a concern because organizations need to make sure that their pay structures are legally compliant and that they support and promote talent acquisition and retention.

It is evident that there are distinct advantages and disadvantages to various methods. In some environments, traditional job-content-based methods are falling from favor and market-based job evaluation is more prevalent. Many organizations use a combination of both as they determine the value and price of a job in their development of pay structures and pricing.

Remuneration Surveys and Other Analytical Methods

Many organizations use some combination of surveys and benchmarking in conjunction with other information as a systematic way to collect information to help them evaluate/classify positions, attract talent, adjust pay range structures to remain competitive and retain talent, and present salary information to top management for new hires, promotions, and annual budgets.

Remuneration Surveys

Remuneration surveys collect information on prevailing market compensation and benefits practices, including starting wage rates, base pay, pay ranges, other statutory and market cash payments (for example, overtime pay and shift differentials), variable compensation (for example, short- and long-term incentive plans), and time off (vacation and holiday practices).

Once an organization decides it needs a salary survey, it must decide how the survey should be designed and conducted. The organization has two choices: to develop and conduct an internal survey using internal resources or to look to an external source. In the external resources there are options as well, which include using or subscribing to an already existing survey (benchmarking) or working with a service provider to conduct a customized survey.

Internal surveys. Organizations that have available resources and expertise may choose to develop their own internal survey to allow for more control over the survey technique and data analysis. This also allows organizations to ensure that salaries are internally aligned, which means that comparable jobs and skill levels within the company are paid comparable wages, and it ensures that different jobs and skills are compensated appropriately to recognize their different requirements.

The advantage of an internal survey is having the ability to shape the design, administration, data analysis, and reporting as needed by the organization. The disadvantages include the following:

- Competitors may not be willing to cooperate and to share their pay structures.
- Matching the positions may be difficult.

If an organization decides on an internal survey, it may contract with an independent consultant. Data from consultancy firms may be more dependable because they work with such data more frequently and have structured benchmarks. Using an outside consultant has additional benefits:

- The organization still maintains control over the internal survey.
- Outsourcing the task may place less demand on organizational resources.
- Enlisting the help of a consultant may ease any concerns about survey credibility; the recommendations from a person outside the organization are sometimes more acceptable to internal stakeholders.

Using a consultant can also help mitigate legal concerns. Care needs to be taken to ensure that creating or applying an internal survey or participating in one does not break any jurisdictional rules related to antitrust or anticompetition laws or acts. For example, in

the United States, wage surveys can be viewed as evidence of agreements to fix prices unless certain safeguards are taken, such as having a third party gather and compile the data, reporting data in the aggregate, and ensuring that the salary information is at least three months old.

Key Content

Internal surveys are more common in developing markets or where they are not conducted by third-party vendors. In some cultures (for example, Canada, the U.K., and the U.S.), local professional groups shy away from conducting salary surveys. They are concerned that sharing compensation data could be illegal and considered collusion because of the competitive nature of the markets—this could be considered as controlling your employees' potential earnings. Finding organizations that specialize in survey collection and information sharing is critical to the integrity of the survey.

External surveys. Organizations have different options available if they choose an external pay survey. Professional member groups such as the Society for Human Resource Management (SHRM), as well as consulting firms (such as Hays and Aon Hewitt), conduct surveys of wage/job data for a wide range of professions, industries, and geographical areas. External surveys may draw on extensive databases of incumbents and industry benchmarks and can provide real-time insights into total compensation levels, practices, and emerging trends. If an organization uses externally published data, it must be sure that it knows how the data was generated and when. Depending on the type of external survey, the organization may have limited participation and input.

Choosing between internal and external surveys. Whether an organization chooses to conduct an internal or external pay survey is determined by several factors:

- Internal time and expertise required
- Relevance/match of external surveyed jobs to organization's jobs
- How current external survey data is
- Expense associated with type of survey

Global market considerations. In a global environment, external third-party data is typically used. However, it can be difficult to obtain

comparable salary data in many global markets. For example, data for Romania may consist only of information from the capital city, Bucharest. Data for other parts of the country may be nonexistent. In addition to the scarcity of information, data may be outdated or not comparable in job type. Surveys in China become out-of-date as soon as they are published due to the speed with which talent moves in that market.

What can you do to estimate the salary ranges in these situations? Through appropriate due diligence, HR practitioners need to consider:

- What are the best sources of salary data?
- How much information is available?
- How frequently does the market change?
- Does the data for the jobs available match or compare to the ones being compared?

Faced with acute shortages of comprehensive local salary information, some extrapolation is frequently necessary.

As noted in the SHRM White Paper “Things to Think about in International HR Management,” combining data from multiple sources may be necessary, but be careful to ensure comparable quality in all sources selected. For example, exercise caution when combining data from a superior survey with data from a lesser-

quality source to create a larger averaged set of data for the same job in the same market segment, even if weighting is used to favor the superior data. A good alternative is using the best data source as the primary source and supplementing it, as needed, with data from other sources for jobs not covered by the primary source. Using different primary sources for jobs in different fields, such as programming versus accountancy, or very different work levels within a field, such as an accountant versus a CFO, is typically not a problem if the quality of the surveys is similar.

Exhibit 93 describes guidelines that can help guarantee up-to-date and accurate data results.

Exhibit 93: Guidelines for Selecting and Using Global Remuneration Surveys

Selecting and Using Global Remuneration Surveys

Selecting and Using Global Remuneration Surveys	
Survey organization Is the external organization reputable? With published surveys, the sources of the data and other information (including job definitions used in the survey and the "as of" date of the data) should be known to ascertain the relevance, accuracy, sufficiency, and currency of data. **Survey job coverage** Are the jobs surveyed pertinent to the organization's needs? **Survey job definitions** Are the jobs well defined to enable accurate matches of the organization's jobs to the jobs in the survey? **Labor market coverage** Should the data be local, regional, national, or international? Should the data reflect all market segments or be sector-, industry-, or technology-specific? The organization must determine the desired scope of data.	**Survey content** Does the survey report provide all of the HR information needed? Does it include relevant competitors in primary and secondary markets? **Survey methods and standards** Do the methods and standards used by the survey administrator yield the degree of confidence the user needs? The key to quality is when a user can identify a useful, high-quality survey—reputable source, desired scope, good survey job coverage, cogent definitions, excellent data collection and analysis, and other high standards for data. **Need to adjust the data** Are there good ways to adjust data in a survey report to a more recent point in time (for example, "aging," which is discussed below)?

Survey data analysis. Survey data must first be verified and may need to be aged, leveled, and/or factored for geography (location).

Key Content

When salary data is **aged,** movement in market rates is used to adjust outdated data. For example, assume that pay movement or pay increases are averaging 3% a

year. If we use a salary data point from a source with an effective date of one year ago, we would increase that number by 3% to account for the movement of salaries through time.

If a job in a survey is similar but not identical to one in the organization, the data can be weighted or **leveled** for a better match. For example, if an organization's benchmark position is at a supervisory level and it has less responsibility than the survey's manager-level benchmark, the organization may adjust the surveyed wage downward by a percentage.

Some salary surveys do not provide data for a specific geographic area. Since wage rates typically will vary by location, an organization should **factor for geography** any national salary survey data for the local or regional recruiting area to approximate local wage rates.

Benchmarking

Benchmarking initiatives range from informal networking and knowledge sharing to evaluate organizational pay strategies to

formal engagements with private firms that provide current survey data sometimes in conjunction with consulting services for a fee.

There are several organizations around the world offering custom compensation and benefits benchmarking and consulting. The data provides insights about competitive compensation and benefits program policy elements (such as pay strategy, compensation philosophy, incentives, and so forth). Custom benchmarking consulting then helps organizations to identify gaps in policies and procedures compared to competitors and best practices.

Other potential benefits of compensation and benefits benchmarking and consulting include:

- Access to pay data.
- Knowledge of local and regional laws and cultural practices.
- Assessment of current market position.
- Improved understanding of current market practices as well as key market trends and innovative ideas.
- Better alignment of compensation and benefits strategies with organizational business objectives.
- Identification of improvements and cost savings.

Benchmarking data—whether informal or through formal consulting engagements—can improve an organization’s ability to attract, retain, engage, and reward talent.

Other Information Sources

There are many other sources for compensation and benefits data. Typical sources include:

- Governments (for example, ministries of labor or government statistical bureaus).
- International organizations (for example, the International Labor Organization).
- Membership-based business organizations (for example, employer federations and local chambers of commerce).
- Professional, trade, and industrial associations.

For organizations with global operations, the array of global and local data available includes country profiles, “doing business in” guides, custom survey services, international reports based on researched data, and various publications on international compensation, benefits practices, employment laws and conditions of employment, housing, transportation, and like topics. Data ranges from standard market surveys and reports to custom surveys and market information produced by in-country experts. Information may be free, low-cost, or expensive.

Pay Structures

Once the job analysis, job documentation, and job evaluation are completed and other relevant information is collected, an organization uses all the data to develop its pay structure.

There are two steps to developing a pay structure: grouping jobs into pay grades and setting pay ranges.

Pay Grades

Key Content

Pay grades are used to group jobs that have approximately the same relative worth in an organization. All jobs within a particular grade are paid the same rate or within the same pay range.

The purpose of pay grades is to create a pay structure for the entire organization rather than having to set up a separate pay range for each job.

The number of pay grades an organization has will depend on the following factors:

- The size of the organization (for example, how many employees and positions in the organization)
- The distance between the highest- and lowest-level jobs
- How clearly the organization defines and differentiates jobs
- The organizational policies regarding pay increases and promotions

The job evaluation method used also influences the pay grades.

During the job evaluation phase, if the organization used the …	***Then …***
Point-factor method	The pay grade consists of jobs falling within a range of points.
Job ranking method	The pay grade will consist of all jobs that fall within two or three ranks.
Job classification method	Jobs are categorized into classes or grades.

To be successful, there must be enough grades to distinguish jobs by relative worth but not so many grades that the lines between grades become insignificant.

Pay Ranges

Key Content

For each pay grade, an organization creates a **pay range** that sets the upper and lower limits of compensation for employees whose jobs fit within that particular grade.

It is best to have overlap between pay ranges so that an experienced person in a lower-grade job may be paid more than an inexperienced person in a higher-grade job.

A minimum, a midpoint, and a maximum for a pay range are set on the basis of market data from pay surveys. The midpoint is often considered the market rate paid to an experienced, fully performing employee.

A caution when calculating the midpoint is to be mindful of any data points that would be considered “outliers.” An outlier would be a data point that significantly changes the value of the mean (average). To avoid data skew, many compensation professionals use percentiles and medians (middle values) instead of means.

There is no hard and fast rule regarding salary range spreads (widths) by position. Range spreads should be based on the organizational goals for compensation. Generally, the wider the

salary ranges, the more opportunity there is for employees to move up in salary without having to change jobs.

An organization may use a broader salary range spread, such as 50% or 60%, when there are employees with a lot of longevity or the organization wants to encourage employees to stay in their positions for a long time. Wider ranges may also be preferable for higher-level positions, where the expectation is that employees will have more longevity (or the organization wants to encourage longevity). Lower-level jobs normally have a smaller range between minimum and maximum salaries, such as a 40% range spread. Entry-level employees usually have more opportunity for promotion and tend to remain at entry level for only a short time.

Key Content

In organizations that vary range spread by level, typical range spreads are:

- Hourly positions—40%.
- Salaried positions—50%.
- Executive positions—60%.

An organization can usually identify a few employees whose pay is either lower than the minimum or higher than the maximum of the pay range. In either case, the organization needs to take steps to bring the employee back into the organization's pay structure.

Exhibit 94 summarizes the steps to develop a pay structure.

Exhibit 94: Developing a Pay Structure

Step	Description
1	Develop a market line for all jobs, comparing the job evaluation points or values with the market value for comparable jobs.
2	Use the market line to decide pay grades by grouping together the jobs with similar value to the organization.
3	Spread pay grades evenly over the points or values on the market line, attempting to place jobs in the middle of the pay grade.
4	Calculate the pay ranges for each grade. Assuming that the jobs are placed in the middle of the range (midpoint), set up a range spread that fits with the type of positions and the number of grades. Each pay range will have a minimum, midpoint, and maximum, with equal distance between the minimum and maximum.
5	Calculate individual pay rates using a pay policy line that is set by the organization. For example, in a highly competitive marketplace, an employer may decide to hire employees at 105% of the pay structure, or 5% above the midpoint of each range. (The midpoint represents the market rate.)

Formal pay grades and salary ranges are considered internal equity approaches. They help ensure internal pay equity and provide a reference point from which to negotiate offer letters and changes in

compensation with managers and employees. Broadbanding (discussed below) is another internal equity approach.

Compa-Ratios

Key Content

When pay ranges are based on the target market rate, the **compa-ratio** (compensation ratio) metric can be used to determine how actual wages match, lead, or lag the target market. The compa-ratio also allows managers to consider if employees are being paid appropriately on the basis of their skills, experience, and performance.

The compa-ratio is computed by dividing the pay rate of an employee by the midpoint of the pay range.

$$\text{Compa-ratio} = \frac{\text{Pay rate}}{\text{Midpoint}}$$

Consider the following examples. (Note: U.S. dollars are used in the examples.)

Example: Given a pay range with a minimum of $16/hour and a maximum of $20/hour, the midpoint is $18/hour. The compa-ratios for employees A, B, C, and D would be calculated as follows.

Employee A earns $16/hour.	$\frac{\$16}{\$18} = .89$ or 89%
Employee B earns $16.50/hour.	$\frac{\$16.50}{\$18} = .92$ or 92%
Employee C earns $18/hour.	$\frac{\$18}{\$18} = 1.00$ or 100%
Employee D earns $19/hour.	$\frac{\$19}{\$18} = 1.06$ or 106%

Key Content

Compa-ratios below 100% (expressed as a compa-ratio of less than 1.00) mean that employees are paid less than the midpoint. This may occur when an employee is:

- New to the job or organization.

- A poor performer.
- Working for an organization that adopts a lag strategy with regard to pay.

Compa-ratios above 100% (1.00) mean that wages exceed the midpoint. This is likely to occur when:

- An organization adopts a lead strategy with regard to pay.
- Managers are not following salary increase policies.
- Employees are long-tenured and/or high performers.

Broadbanding

Key Content

Some organizations have found that when too many grades (with small midpoint differences between them) are established, the compensation system becomes overly complex and increasingly unmanageable. **Broadbanding** (salary bands) combines two or more salary grades to create larger ranges and give people

wide latitude to move within their job without outgrowing the pay scale.

Broadbanding has been successfully implemented in large, hierarchical organizations that have attempted to flatten their structure and remove levels of management. For example, organizations that had eight levels of management could eliminate four levels, widen the salary ranges of the remaining four levels, and simply slot each manager into one of those ranges.

Many organizations have difficulty aligning broadbanding with their compensation strategy. Organizations employing large numbers of professionals, for example, often have career ladders consisting of many levels. It is typically unwise to collapse multiple levels if they provide a way to acknowledge and reward growth in professional competence.

Exhibit 95 lists some of the specific advantages and disadvantages of broadbanding.

Exhibit 95: Advantages and Disadvantages of Broadbanding

Advantages
• Provides wider ranges than the spread of a traditional pay range; generally

permits the movement of individuals between jobs without being overly limited by pay ranges

- Reduces the number of job grades (for example, from possibly 30 or more to as few as five)
- Supports de-layering efforts; reduces the number of reporting levels within an organization
- Provides more autonomy to line managers in salary and promotion decisions
- Enhances employee mobility as employees can transfer without requiring a change in assigned pay range

Disadvantages

- Reduces the value of ranges as parameters for governing pay rates
- Affords less control for the organization in salary and promotion decisions
- Creates overly broad salary ranges; affords less control of salary costs as there is no mechanism to tie the salary growth of individual employees to the skills necessary for advancement to the next higher-level position
- Makes it hard to justify salary differentials if two employees are in the same broadband doing similar work; can lead to the perception of pay inequity and increase the potential for pay discrimination charges
- Reduces the opportunity for promotion and accompanying job title and base salary changes; fewer salary ranges lessens promotions to another range, which can lead to retention issues
- Risks divergence from market pay practices; paying too little relative to competitors could mean higher employee turnover and paying too much could mean higher product or service costs

Compensation Systems

Proficiency indicators related to this section include:

- Complies with best practices for and laws and regulations governing compensation and benefits.
- Implements appropriate pay, benefit, incentive, separation, and severance systems and programs.
- Designs and oversees executive compensation approaches that directly connect individual performance and desired behaviors to organizational success.
- Re-evaluates the organization’s total rewards package regularly, and adjusts as needed.

Key concepts related to this section include:

- Compensation plans (examples include salary, cost of living adjustment [COLA], merit increase, bonus structure) for common and special workforce groups (examples include domestic workers, global workers, expatriates, executives, sales, shift workers, part-time employees).
- Pay practices and issues (examples include pay increases, base pay, pay levels, banding, variable pay, pay compression, pay equity, pay transparency).

Compensation Systems

The compensation system—the monetary components of the total rewards strategy—must be designed with several factors in mind. The industry and the competitive environment may define standard approaches (for example, base pay with performance steps). However, the need to compete for talent may require creativity in using the organization's limited resources to retain the right number of employees with the right qualifications and the best leaders. There are also legal implications for the compensation system, which must comply with local wage laws and tax systems.

Competency Connection

A new vice president of HR was brought in to formalize compensation and implement structure so that the organization could more closely monitor its compensation costs, ensure internal equity among all employees, and more effectively hire new talent and retain existing talent.

The Analytical Aptitude competency was immediately applied to the project. Following a benchmarking study conducted through a partnership between HR and an outside consultant, a variety of base-pay systems were implemented, depending on the types of roles. For example, a small handful of very entry-level warehousing

roles were placed on a flat-rate system. The majority of employees would receive base-pay increases through a pay-for-performance system, within the frameworks of organizational budgets and the base-pay grade and range established for each job through the benchmarking process. A few very specialized technical roles were placed into a person-based system, to reward their specialized subject matter expertise.

Business Acumen—understanding the organization's business structure and market factors—was also important. The organization had a remote workforce located across the U.S., so geographic pay differentials had to be defined and implemented.

Following the implementation of the base-pay grades and ranges and associated pay systems, each employee was overlaid on a pay range to determine if there were any red- or green-circle rates. Green-circled employees were brought to the range minimum. Red-circle rates were grandfathered in, due to politics and the challenges that can come with acquisitions.

The organization also had a large sales force. These individuals were compensated within their own set of base-pay grades and ranges due to the heavy emphasis on commissions. The organization's compensation philosophy focused primarily on total cash compensation for these roles rather than the base-pay focus

used primarily for the rest of the company. This design came out of a series of focus groups with sales team members and sales leadership. The plan design process was challenging and heavily involved finance, who had designed the original company's sales commission plan. Finance preferred the existing plan (understandably), and the Relationship Management competency was key for the vice president of HR in developing a workable solution that addressed finance's needs while at the same time addressing the larger talent acquisition and retention issues.

Complying with Wage and Hour Laws

Virtually every country in the world has wage and hour laws in place that regulate how an organization must pay employees. To be compliant, employers need to understand the terms and conditions of wage and hour laws and how they apply to various classifications of workers—wherever operations are located.

Basic wage and hour terms and conditions and key considerations include the following.

Minimum wage and increases	How are minimum wages set (for example, hourly or monthly)? If any collective bargaining agreements are in force, do they impose different minimums or minimum wage increases?

Overtime pay and holiday pay	What are the requirements for computing pay for legal overtime and locally worked holiday time (for example, time-and-a-half, less than time-and-a-half, double time, or quadruple time)? If there are no statutory requirements for overtime and holiday pay, do collective bargaining agreements impose any? Who is entitled to overtime (for example, only hourly employees or managers as well)?
Equal pay	What provisions are there to ensure that individuals doing the same work receive the same compensation?
Exemption	What is the definition of “exempt” work under local law? Are there any special exemptions?
Cap on hours worked	Is there a flat cap on hours worked (for example, weekly flat caps or hours of overtime per year)? Are there nominal caps that serve merely as reference points (for example, a 40-hour “standard” week but with “reasonable additional hours” allowed)?
Special issues under local law	What miscellaneous local wage and hour rules are in place (for example, paid meal breaks, rules on break time)?

Governments typically set a minimum wage for a country or economic region and can adjust it annually. The minimum wage is the lowest hourly, daily, or monthly amount employers must legally pay to employees or workers. Setting a minimum wage is intended to provide employees with decent minimum standards and fairness in the workplace. Overtime and subsidies for working under extreme

conditions (including night shifts and high-temperature, hazardous, or remote environments) are not included in minimum wage calculations.

Equal pay provisions intended to mitigate discriminatory pay practices vary by country. These regulations are generally influenced by cultural and societal norms. HR professionals must have a thorough understanding of all laws related to discriminatory pay actions for all jurisdictions where an organization has a presence.

Taxation is another factor that must be considered. Two commonly withheld taxes are national or federal tax and social tax. In some countries, income tax depends on residency status. Bonus payments may be treated differently from other taxable income. The tax issues for global assignees are quite complex for both the organization and the assignee. An assignee may be subject to both host- and home-country taxes, depending on the countries and the tax treaties. Some countries permit their residents to “break residency” while on an international assignment, thereby eliminating their need to pay into their home-country tax program. Generally, the structure of remuneration packages takes into account various tax concessions available. An employer must be clear as to whether it needs to compensate an employee under the wage and hour laws of the home country or the host country. Noncompliance with certain

wage and hour requirements around the globe can result in significant liability as well as potential criminal penalties.

Methods for Compensating Employees

Once an organization has analyzed, evaluated, and priced its jobs and designed its pay structure, the next step is to develop and maintain a pay system that helps attract, motivate, and retain employees. Compensation approaches include:

- Base-pay systems, which can be determined by rates, longevity, productivity, or other factors.
- Pay adjustments, or salary increases.
- Differential pay, which is added to base pay and may be affected by the type of work being performed or where and when the work is performed.
- Incentive pay, which is added to base pay to motivate performance.
- Methods suited for particular types of work.

Base-Pay Systems

Key Content

Most employees receive some type of base pay, in one of two forms:

- An hourly wage (for each hour worked)
- A salary (the same amount no matter how many hours are worked)

Base pay may be structured in many different ways. (Note: U.S. dollars are used in the examples.)

Single- or Flat-Rate Systems

Key Content

In **single-rate pay** or **flat-rate pay** systems, each incumbent of a job has the same rate of pay, regardless of performance or seniority.

This flat rate is often set to correspond to target market survey data relating to the job.

There may be a training wage in a flat-rate system. For example, a newly hired employee may make $12/hour with a $0.50/hour raise

after six months. All other factory workers earn $12.50/hour.

Time-Based Step-Rate Systems

Key Content

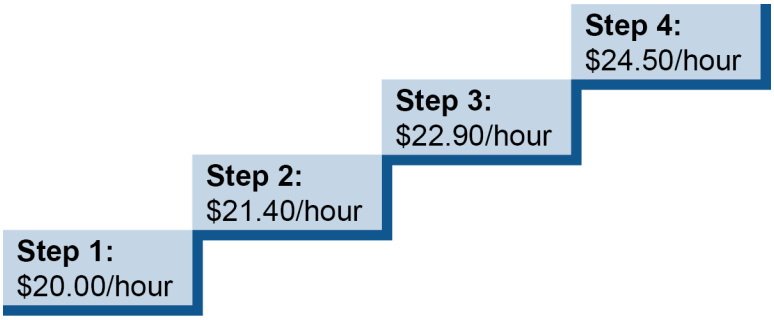
In a **time-based step-rate pay** system, the employee's pay rate is based on longevity in the job. Pay increases occur on a pre-determined schedule.

Employees are normally hired at or given promotional adjustments to the first step, although people with qualifications greater than those required for the job may be hired at a higher step. There are several types of time-based step-rate systems.

In an automatic step-rate pay structure, the pay scale is usually divided into a number of steps that are 3% to 7% apart. At set time periods, each employee with the required seniority receives a one-step increase.

Exhibit 96 shows an example of a step-rate pay structure with four steps that are 7% apart.

Exhibit 96: Automatic Step-Rate Pay Structure



A step-rate system with variability-based performance considerations is similar to the automatic system, but the size or timing of increases may vary if performance is substantially above or below standard. For example, a capable employee could skip steps (for example, move from step 2 to step 4).

In a combination step-rate and performance structure, employees receive increases on a step-rate basis up to the job rate. Above the job rate, increases to higher steps are granted only for above-standard performance. This system requires adequate resources to develop and administer a performance appraisal system and communicate it to employees so that they understand how they can earn performance-based increases.

Performance- or Merit-Based Systems

Key Content

In a **performance-based pay** system, the individual employee's performance on the job is the basis for the amount and timing of pay increases. A performance-based pay system is commonly called **merit pay** or **pay for performance** (P4P or PfP).

Labor is a significant expense for organizations. A well-crafted and well-executed pay-for-performance program allows an organization to evaluate the return on labor expenses. In turn, the organization can be more strategic in how it allocates budgeted workforce money.

There are several ways to structure pay for performance, but a common feature is that a form of measurement is established, goals are set, and compensation is linked to the measures of work quality or goals. Having these goals will help make effective use of the salary budget, especially if that budget is small. The pay system should be structured to align with the goals and culture of the organization.

Employees are typically hired at or near the pay range minimum. Subsequent increases are tied to performance and the degree to which job mastery is attained.

Employees must understand how the pay-for-performance system works as well as the direct relationship between their performance and pay. Employers must be able to explain differences in salary increases between employees and must be able to support the performance appraisal methods that were used to decide why an employee deserved a specific pay increase. Without such controls, performance-based systems are difficult to justify to employees, and supervisors could rate employees in ways that award the desired wage regardless of actual work performance.

Exhibit 97 identifies difficulties in using a merit pay system and suggests ways to make such a system more effective.

Exhibit 97: Merit Pay Considerations

Merit Pay	
Difficulties in Using Merit Pay	
• The incentive value of the reward offered may be too small to motivate performance. • The link between performance and rewards may be weak. • Merit raises are permanent increases in payroll costs. • Union contracts limit pay for performance. • Managers may have limited personal control over organizational performance.	• Managers may be reluctant to distinguish between performance levels. • Performance appraisal definitions and guidelines may lack precision. • People may think their own performance is above average. • Merit pay runs contrary to intrinsic motivation in the work itself.
Guidelines for Effective Use of Merit Pay	

Merit Pay	
• Gain executive buy-in. Leadership (for example, the board or senior executives) must support the overall philosophy and goals, how progress toward the goals will be monitored, and how much money can be allocated to incentivize the goals. • Align the merit pay system with organizational goals and culture. Goals and performance measures must relate to overall business goals and desired outcomes (instead of tasks). • Develop accurate performance appraisal systems that recognize proficiency. Proficiency at a job should dictate value and awards (not just longevity or tenure or other subjective measures).	• Train supervisors in the mechanics of the performance appraisal system and in the art of giving feedback. • Tie meaningful rewards closely to performance. • Use a wide range of increases to differentiate between performance levels. • Implement accountability measures. Whether software is used to track performance milestones or management manually assesses them (or some combination of the two), performance evaluation is critical.

Many factors contribute to establishing and maintaining a meaningful and effective pay-for-performance program. A solid understanding of what produces topnotch individual contributions is essential. Yet the diversity in a global workforce (age, experience levels, gender, locations, culture, work styles, and any other number of variables) makes developing and implementing an effective pay-for-performance strategy challenging. Basic questions such as how to incentivize individual performance, how to link individual performance and organizational performance, how to set appropriate performance goals while managing risk, and what forms of remuneration to offer are all mitigating factors.

For several years, the Cranfield Network on International Human Resource Management (Cranet) has researched and analyzed information on pay for performance. Within the U.S., Europe, and Japan, for example, Cranet data reports an array of differences in the incidence and use of:

- Individualized pay for performance (sometimes called performance-related pay or PRP) in the form of bonuses or special payments related to individual, team, departmental, or organizational performance for nonmanagerial employees.
- Employee share ownership schemes for nonmanagerial employees.
- Profit sharing for nonmanagerial employees.
- Stock options for managerial employees.

There are also variations in the significance of pay for performance in the financial reward package.

Even when pay for performance is a common practice for nonmanagerial employees, it may be a very small element of the reward package and not particularly relevant to the employees. On the other end of the spectrum, pay for performance for senior managers and executives may be a sizable portion of base pay (for example, more than 40%) and of great importance.

More variations include:

- How pay for performance is actually linked to performance.
- What outcomes an organization seeks (to motivate higher performance levels, to provide performance feedback, and so forth).

Although there are notable differences in performance management practices, the overall process design for pay for performance is reasonably similar.

Productivity-Based Systems

Key Content

In a **productivity-based pay** system, pay is determined by the employee's output.

Examples include the straight piece-rate and differential piece-rate systems, both of which are most frequently used in manufacturing environments.

With a straight piece-rate system, the employee receives a base wage rate and is awarded additional compensation for the amount of output produced.

> **Example:** An employee earns minimum wage plus 10¢ per item produced.

With a differential piece-rate system, the employee receives one piece rate up to the standard and then a higher rate once the standard has been exceeded.

> **Example:** An employee may be paid $8/hour plus 10¢ for each item up to 200, 11¢ for each item from 201 to 500, and 15¢ for each item over 500. If the employee worked a 40-hour week and made 1,000 items, the base pay would be $448.

Base wage:	40 x $8 = $320
Items 1-200:	200 x .10 = $20
Items 201-500:	300 x .11 = $33
Items 501-1,000:	500 x .15 = $75
$320 + $20 + $33 + $75 = $448	

In assembly line work, a productivity-based system works best if:

- Units of output can be measured.
- A clear relationship between employee effort and quantity of output exists.
- The job is standardized, the work flow is regular, and delays are few or consistent.

- Quality is less important than quantity, or, if quality is important, it is easily measured and controlled.
- Costs are known and precise.

Because these systems emphasize quantity of work, quality factors such as numbers of defects or returned products should be closely monitored.

Person-Based Systems

Key Content

In **person-based pay ,** employee characteristics, rather than how the job is performed, determine pay. In such systems, two employees may perform similar tasks, but the person with superior knowledge or skill mastery receives more pay.

There are three basic approaches to tying base pay to peoples' qualifications.

- In a **knowledge-based system,** pay is based on the level of knowledge the employee has in a field. This approach is dominant for compensating learned professions such as

scientists or teachers, although staff professionals may also be paid this way.

- **Skill-based systems** base pay on the number of different skills an employee is qualified to perform. Employees increase their pay by acquiring new skills, even if they do not use the skills in their current assignment. This type of system is most commonly used in a production environment.

- **Competency-based systems** set pay at the level at which an employee can operate in defined competencies (for example, directing or training others). This type of system is commonly found when rewarding professional groups of employees.

It is no small task to develop an individual pay system that benefits both the organization and the employee. Exhibit 98 provides an overview of the advantages and disadvantages of the base-pay systems discussed in this section.

Exhibit 98: Comparison of Base-Pay Systems

Pay System	Advantages	Disadvantages
Single- or flat-rate system	• Works well for routine, simple jobs. • Implemented and administered simply.	• Does not reflect individual performance, seniority, or skill differences.

Pay System	Advantages	Disadvantages
Time-based step-rate system	• Best suited to routine jobs where the qualifications of job incumbents increase with time. • Enables an organization to reward long-term employment.	• Generally does not reflect the varying rates at which incumbents become proficient. • Does not reflect performance differences, except for unsatisfactory performance. • Can raise average pay levels over time even if performance is below average.
Performance-based/merit pay system; pay for performance	• Works best where individual performance is valued and accurately measured against specific goals, objectives, and metrics. • Rewards and encourages superior performance.	• Requires well-documented performance appraisal systems on which managers have been thoroughly trained. • Can be manipulated by supervisors to benefit certain employees over others. • Bias or subjectivity in performance appraisals may lead to employee discrimination claims.
Productivity-based system	• Works best where emphasis is on quantity of work and outputs are accurately measured. • Encourages high level of employee productivity. • Ties pay to the volume of the work performed.	• May sacrifice quality of work without careful supervision. • May lead to inflexibility in the workforce because employees may want to stay with the job for which they are paid the most.

Pay System	Advantages	Disadvantages
Person-based system	• Works best where skill/knowledge levels are well defined and development of employees is valued. • Encourages a flexible and better-trained workforce. • May reduce need for specialists. • Allows for work teams that are highly interdependent.	• Can be costly in terms of both administration and training. • May result in higher pay rates. • Skills/knowledge must be effectively used to provide the organization with an offset to the higher pay rates. • May be more difficult to institute cost controls.

Pay Adjustments

Some organizations use a technique that integrates performance appraisals and pay adjustments. Exhibit 99 is an example of a pay adjustment matrix that helps guide decisions on salary increases.

Exhibit 99: Pay Adjustment Matrix

Performance Rating	Position of Pay Rate in Range: Below Midpoint	Position of Pay Rate in Range: Above Midpoint
Outstanding	7-8%	5-6%
Significantly exceeds standards	5-6%	3-4%
Fully meets standards	3-4%	1-2%
Does not fully meet standards	0%	0%

As you can see, an employee in the lower half of the range who has a performance appraisal rating of “fully meets standards” would be eligible for a 3% to 4% raise.

Other pay adjustments include the following.

Cost-of-Living Adjustments (COLAs)

A **cost-of-living adjustment (COLA)** is a pay adjustment given to all eligible employees without regard to organizational profitability, employee productivity, or other performance factors. The purpose of a cost-of-living increase is to protect the employees’ purchasing power against rising inflation. These increases are typically an equal hourly increase or a percentage of the employee’s current pay. COLA payments are sometimes paid as a lump sum, either quarterly or at some other specified time.

General Pay Increase

A **general pay increase** is given to all employees (or sometimes a class of employees such as office or production workers) based on local competitive market requirements. This type of increase is awarded regardless of employee performance. The pay increase is not linked to the cost of living and will depend on the employer’s ability to pay for compensation increases.

Seniority Increase

Seniority—the time spent in an organization—is sometimes the basis for pay adjustments. Organizations may agree to one of these two conditions when seniority is used:

- Employees may need to be employed for a certain period of time before they are eligible for pay increases.
- Employees may receive pay increases automatically after a set time in the job.

Lump-Sum Increases (LSIs)

Some organizations use a **lump-sum increase (LSI) ,** or **performance bonus ,** method to reward employees. An LSI is a one-time payment of all or part of a yearly pay increase. An employee's base wage rate is typically not adjusted by this increase.

The LSI approach is an advantage to the organization because other wages and benefits linked to the base rate, such as overtime, shift premium, sick pay, and life insurance, are not impacted.

Market-Based Increases

Organizations may use market-based salary increases to be competitive in attracting new talent or to keep key employees. Market-based salary increases are usually added to base pay and may also be called equity increases.

Differential Pay

Differential pay (or variable pay) depends on performance and is not added to the employee's base pay. This practice allows organizations to better control their labor costs and to tie performance and pay together.

One common example is hazard pay, which is used in some industries to compensate employees for increased levels of risk. For example, employees earn hazard pay for working in workplaces with high infection or injury rates or in geographical areas characterized by violence or instability.

Other ways to differentiate pay are by time and geography.

Time-Based Differential Pay

Some employees receive time-based differential pay, or a different rate of pay based on when they work. Keep in mind that any overtime premium must be applied to the differential pay.

- **Shift pay.** Some employees receive extra pay when they work less-desirable hours, such as a second or third shift. Shift pay may be a flat amount per hour or a percentage of the base pay.
- **Emergency-shift pay.** Certain types of industries pay emergency-shift pay when employees work in response to an emergency.

- **Premium pay.** Some employers pay premium pay (extra pay), or overtime at a higher rate, for working any of the following:
    - Holidays or vacation days or weekends
    - For the sixth or seventh day of straight time
    - After eight hours in a day

- **On-call or call-back pay.** In some organizations employees earn pay when they are on call, even if they are not called in to work (on-call pay). Employees may also earn extra pay when they are called back for an extra shift in the same workday (call-back pay).

- **Reporting pay.** With reporting pay, employees are paid for reporting to work as scheduled even if upon arrival no work is available.

- **Travel pay.** Hourly employees receive travel pay for time spent traveling to work assignments, even if the travel time is outside of working hours.

- **Overtime pay.** In various countries the minimum amount to be paid for overtime is dictated by legislation.

Geographic Differential Pay

Geographic differential pay is based on where an employee works. Organizations with facilities in different locations often need to tailor

their compensation programs to the differences in local labor markets. For example, geographic differences may occur between different cities or regions within the U.S. and between the U.S. and other countries where the organization is located.

Some reasons for differential pay by geographic region include the following.

- **For labor costs.** Employers change their base-pay structure to reflect different wage rates or factors that impact the cost of living in different geographic areas.
- **To attract workers to certain locations.** Employers pay more to employees who accept work in remote locations or in places where the climate or quality of living is a deterrent. An offshore oil platform is an example of a work location that may require the use of a differential to attract talent.
- **For foreign countries.** Employers offer a base-pay structure plus allowances to reflect factors that affect the economics of employees who work in foreign countries. These factors may include differences in culture, education, technology, climate, and taxes. Global compensation is quite complex. It is country- and region-specific, and it is also subject to numerous compliance issues.

Incentive Pay

Incentive pay is used to motivate employees to perform at a higher level by paying for performance that exceeds base-pay expectations. Incentive compensation programs stem from the theory that rewards drive behavior.

Although sales-based commissions are perhaps the most well-known example of incentive compensation, the arrangement is common at every organizational level—from the lowest to the highest organizational levels.

Key Content

It is important that an incentive program be related to aspects of the job that an employee can influence. For example, a customer help line has no impact on increasing manufacturing production on the line, so customer service employees should not be compensated for an increase in production. However, they can increase customer satisfaction, which can be an appropriate incentive goal (for example, higher, more-favorable customer satisfaction results). Additionally, employees must believe that the goals are achievable.

Incentives can be structured to reward short-term accomplishments or long-term results:

- Short-term accomplishments are easy to measure but may not have a lasting impact on the overall health of the organization. For example, a salesperson who receives incentives for having the most monthly sales may be motivated to exceed goals in the short term only.
- Long-term results can help keep high performers and provide positive outcomes for the organization.

Ideally, incentives balance both short- and long-term goals.

It is unlikely that an incentive pay plan that works in one organization will be equally effective in another organization. As with other aspects of compensation systems, one size does not fit all. Incentive plans must be tailored to fit each organization. Incentive compensation must be linked to and support those aspects of the business that drive financial success as well as be legally compliant.

Generally, incentives can be developed at any of these levels:

- Individual
- Group
- Organization-wide

Exhibit 100 provides examples of each.

Exhibit 100: Types of Incentives

Incentive Type	Description and Examples
Individual	The purpose of individual incentive plans is to improve individual performance. • The piece-rate system is the most basic individual incentive system. Workers who produce more earn more. • A commission is another example of an individual incentive. A commission is generally a percentage of sales. • Another type of incentive is noncash reward programs. Gifts, awards, trips, prizes, and other forms of merit awards are used to recognize individuals for their performance, special contributions, or length of service.
Group	Group incentives are used when measuring individual performance is difficult or when performance requires cooperation of the group. • In gainsharing plans, an organization shares a portion of the gains from a successful group effort. For example, past production records may be used to set up base productivity standards. Any gains above that standard are shared 50/50 by the organization and its employees. • Team bonuses can also be used and are based on achieving group goals and objectives.
Organization-wide	Many organizations use organization-wide incentive plans to reward overall results. • Profit sharing and stock ownership are the most common organization-wide incentive plans. • Another example is a bonus program that is tied to organizational goals. For example, a goal may be to gain repeat business from 10% of hotel customers. Employees receive a flat monetary amount and a percentage of base pay; the methods are typically dependent on the position within the organization.

Of the three types, individual incentives typically have the most significant impact on productivity; more moderate productivity improvements result from group and organization-wide programs. However, a primary disadvantage of individual incentives is that they may be counterproductive to teamwork. (Group incentives tend to encourage teamwork.)

For an incentive pay plan to be successful, organizations need to have the following in place:

- Competitive base salaries
- Fairly stable management presence and strategic direction
- Good communication between management and employees
- Reliable method for measuring the results linked to incentives
- Commitment from the top down to communicate the plan and to provide ongoing training and coaching

HR’s challenge is to design an incentive plan that is tailored to the organization. Even within the organization, the plan may vary across business units, functions, and locations.

Incentives are primarily used to promote the efficiency and productivity of the workforce, but they can also be used to enhance employee recruitment, engagement, retention, and employer branding. Incentive pay should never be used as a way to reduce salary costs.

Cross-Border Challenges in Incentive Pay

Global organizations encounter some unique challenges in designing and awarding incentives. Generally, any incentive must be culturally appropriate. Due to cultural differences, employees in one country might view a particular incentive as fair while those in another country may consider the same practice unfair. Another global consideration it that laws and regulations vary across countries. Gainsharing, for example, may be heavily governed by a country's law.

Also, sometimes employees transfer from a lower cost-of-living (and pay range) country to a higher cost-of-living (and pay range) country (or vice versa). Such situations present important policy and/or practice considerations for HR to address in ensuring equitable, fair, and competitive compensation packages for transferees.

For example, organizations rooted in cultures that value team success over the individual might struggle to create incentives that are effective in areas where the cultural focus is on the individual. By finding ways to reward team success while recognizing exceptional individual performance, this type of issue can be avoided.

Compensation Approaches for Special Situations

Organizations may develop separate pay plans for executives, direct sales personnel, outside directors, and internationally assigned employees.

Executive Pay

Executive pay plans differ from employee plans in two ways. First, incentives usually account for a greater share of an executive's total direct compensation package (total annual cash compensation plus the annualized value of long-term incentives). Second, incentives are generally linked to the performance of the entire organization or the major units/businesses—typically to organizational profitability but possibly to nonfinancial measures, such as customer satisfaction, or nonfinancial strategic objectives, such as organizational restructuring or gaining market share. In nonprofit organizations, incentives may be linked to financial results, such as increasing organizational revenues or meeting the annual budget, as well as nonfinancial measures, such as program results and customer satisfaction.

Incentivizing executives to meet business objectives is the most critical factor in designing executive compensation plans. There are several well-established methods available to pay for the performance of executives, often with significant tax advantages to the executive and the employer.

Companies often use equity or pay executives large cash discretionary bonuses and pay increases linked to cost-of-living adjustments. These practices are important executive remuneration tools in retaining key talent, but it is challenging to ensure that there is no disconnect between performance and the rewards. Exhibit 101 details the different types of compensation that may be used when compensating executives.

Exhibit 101: Types of Executive Compensation

Type of Compensation	Compensation Method Description
Annual salary	This direct compensation is usually guaranteed, while other forms of executive compensation may be dependent on performance factors.
Stock option plans	Executives may be given the option to purchase company stock at a pre-determined price for a certain period of time, usually five to ten years.
Stock purchase plans	Broad-based plans often available to most or all of a public company's employees, this type of plan allows executives the opportunity to purchase shares at a discount or without paying brokerage fees.
Restricted stock grants	The recipient cannot sell the stock from a restricted stock grant until a certain time period has passed. Typically the employee must remain with the company during this time period.
Phantom stock	This consists of cash awards designed to mimic shares of stock, without actually conveying equity via the granting of shares.
Restricted stock units	Often used to defer compensation of key executives until after they have retired, this amounts to a promise of a certain amount of stock once specified restrictions have been fulfilled.

Type of Compensation	Compensation Method Description
Performance grants	This stock-based compensation is tied to organizational performance.

In addition to these types of compensation, executives typically receive other benefits and perquisites and a retirement package.

Global Variations in Executive Pay Practices

Globally, most shareholders consider an organization's financial success as the primary indicator of executive performance (for example, total shareholder return, profit, revenue growth, and so forth). But, as with so many global and local compensation and benefits elements, the organizational metrics used to evaluate the relationship between executive remuneration and performance vary.

Examples:

In the Middle East (where cash is the most prominent award because of restrictions on the use of equity), there is an increasing use of performance measures tied to annual bonus plans, with awards based on board discretion. Furthermore, organizations tend to rely on a sole metric when determining bonus payouts.

In Europe and other regions, nonfinancial measures (such as customer focus and operational or individual performance) are used in a balanced scorecard format. Organizations are also increasingly using customized

measures aligned to their business strategies to improve their assessment of performance and pay for performance.

Challenges in Executive Remuneration

Regardless of what approach an organization takes in terms of executive compensation, the question about what constitutes reasonable and fair compensation for executives will always be scrutinized. Executive compensation involves many factors, so there is no easy answer to the question. Ethics has assumed prominence, with disclosures in the media of some executives receiving millions of dollars in compensation—and often millions more in severance—even though at the same time the salaries and benefits of average employees are reduced or jobs eliminated, shareholders are losing money in their investments, and organizations are not achieving their intended performance.

It is generally accepted that honest and ethical executives who work for the best interest of their organizations should be well-compensated for performing extremely stressful and demanding jobs. In some circumstances, downsizing and other cost-saving measures may be valid actions for an organization to meet specific strategic objectives and remain financially viable. However, the question of what is reasonable, fair, and ethical can become an

issue if an executive is perceived as being overly compensated for providing inadequate performance.

In the end, a sound executive compensation program depends on good governance and well-established compensation strategies, policies, and practices that are closely aligned with the organization's overall goals and objectives.

HR's Role in Executive Compensation

Expanding the executive compensation package beyond a base salary and an annual cash incentive plan involves a number of accounting, tax, regulatory, cost, and documentation issues. Almost every organization will need some degree of outside expertise for the design and management of an effective executive compensation program—the advice and counsel of knowledgeable legal, technical, and consulting professionals.

The role of HR with regard to designing and managing an executive compensation program is varied, complex, and company- and/or industry-specific. The most basic (but critical) role an HR professional plays is communication regarding the benefits, costs, and array of options in launching or improving an executive compensation program. Communications typically are directed to management, the executives at issue, the board of directors (if

publicly traded), other compensation professionals and consultants, and possibly the media and governmental agencies.

HR professionals are often the point persons in determining what in-house and outside expertise is necessary and sufficient to handle an executive compensation program. The HR professional's role also typically encompasses ongoing assessment of the existing program's effectiveness to determine if changes should be made. This includes evaluating the persons charged with measuring the effectiveness of the program and assessing the adequacy of the technology being used in the incentive compensation program.

Direct Sales Compensation

The main purpose of a sales compensation plan is to motivate sales professionals to achieve specific objectives that directly translate to the organization's bottom line. Most organizations compensate their direct sales force in one of three ways: straight salary, straight commission, or salary plus commission and/or bonus.

Straight Salary

Straight salary plans are the least used compensation package for direct salespeople. However, they are appropriate under these circumstances:

- The sales staff spends a significant amount of time servicing customers rather than securing sales (for example, training, trade shows, or handling customer inquiries).
- Measuring sales performance is difficult.
- The nature of the sales process makes it impossible to separate one individual's efforts from those of the support people who also help secure the sale.
- There is a long sales cycle.

Straight Commission

In the case of straight commission plans, the salesperson's entire compensation is based on commission. Straight commission plans are appropriate when:

- The organization's objectives are to motivate sales volume (even if that means less service).
- Holding down the cost of sales is important.
- Competitors also compensate through commission-only systems.

Sometimes organizations that use a straight commission plan provide an entry-level sales representative with a nonrecoverable draw or a guaranteed commission for a set period of time, usually six months to one year. After that time, the salesperson does not need to repay the draw and goes on a regular commission plan.

Salary plus Commission and/or Bonus

Salary plus commission/bonus is the most widely used approach to compensating sales personnel, for these reasons:

- Salespeople are thought to be motivated by financial gain.
- Salary-plus-commission systems allow organizations to directly reward those behaviors that best support their organizational strategy.
- Such systems are adaptable and allow organizations to readjust the plan to fit current conditions.
- Competitors usually use salary-plus-commission/bonus sales strategies.

In addition to compensation, salespeople often receive company cars or car allowances, club memberships or allowances, or other noncash perquisites.

Compensation for Outside Directors

Members of boards of directors are compensated in a variety of ways:

- Base pay or retainer
- Fees, usually for attending meetings, chairing a committee, or other services
- Benefits such as liability and life insurance
- Perquisites similar to those offered to executives

- Nonqualified stock options/grant plans
- Nonqualified deferred compensation programs

Compensation for Internationally Assigned Employees

In addition to base pay, the following types of compensation may be used when paying employees on international assignments:

- Foreign service premium
- Cost-of-living, housing, and travel allowances
- Educational allowance for children
- Relocation allowance
- Tax differential payments
- Spousal assistance

Tools to Monitor Compensation Systems

Pay structures must be reevaluated over time. Necessary changes must be made to ensure that the ranges remain internally equitable and externally competitive. For example, at times individual employees are paid outside of the established pay ranges. Red- and green-circle rates are examples. Other times, pay compression may occur.

Red-Circle/Green-Circle Rates

Key Content

Red-circle rates are employee pay rates above the range maximum.

Green-circle rates are the opposite of red-circle rates—an employee's pay is below the minimum of the range.

Here are some examples of when red-circle rates may occur:

- When long-term employees reach the maximum rate in their range or when promotion opportunities are rare
- When employees are bumped down to a lower-level job, rather than getting laid off, but their salary is not reduced (Sometimes a red-circle rate is frozen until the pay structure is increased enough so that the rate falls within the range.)
- When a manager is paid at the top of the job range but there are no openings at the next job range (In this case, bonuses are sometimes used to increase the manager's take-home pay.)

If red-circle rates become common in the organization, the organization's pay ranges may lag the market and may need to be

reexamined.

Green-circle rates can happen when an organization:

- Promotes an employee or “tries out” an employee who does not possess all the requisite KSAs for a job.
- Reviews and updates its pay ranges, increasing minimums as a result.

Generally, employees in this situation should be given pay raises to get them into the range as soon as they meet the minimum requirements for the position.

Pay Compression

Key Content

Pay compression , or salary compression, describes situations where there is only a small difference in pay between employees regardless of their experience, skills, level, or seniority.

Pay compression typically occurs when:

- Beginning salaries are raised due to increases in the minimum wage or inflation. Therefore, new hires can make the same as employees in the same job with more experience who began at a lower wage.
- Labor market pay levels increase more rapidly than an employer’s pay adjustments. An example would be hiring an inexperienced systems engineer at or close to what more-experienced systems engineers earn because of escalation in competitive hiring rates. If the inexperienced systems engineer is paid more than the experienced ones, pay compression occurs.
- There is not enough difference between pay levels. This situation allows an employee making overtime to have a larger net pay than his/her supervisor even though the base pay of the employee is less than the supervisor’s pay.

To counteract the effects of pay compression, organizations can:

- Match the market in pay rates for all employees, not just new hires.
- Provide other benefits to employees affected by pay compression.
- Continuously evaluate survey data and update pay ranges accordingly.
- Provide incentive plans for managers.

- Increase the amount of time off awarded.
- Provide longevity bonuses.
- Monitor salaries for inflation.
- Install a more aggressive merit pay program.

Benefits and Perquisites

Proficiency indicators related to this section include:

- Differentiates between government-mandated, government-provided, and voluntary benefit approaches.
- Implements appropriate pay, benefit, incentive, separation, and severance systems and programs.
- Re-evaluates the organization’s total rewards package regularly, and adjusts as needed.

Key concepts related to this section include:

- Leave plans and approaches (examples include paid/unpaid leave, open leave, vacation, holiday, sick, parental, bereavement, jury duty, volunteer).
- Other benefits (examples include disability insurance, employee assistance programs [EAPs], flexible schedule, health and financial wellness programs, life coaches, share purchase plans, housing partnership, unemployment insurance, outplacement services).
- Other compensation (examples include deferred compensation, direct and indirect compensation, stock options, tuition assistance).

- Retirement planning and benefits (examples include pension plan, savings plan).
- Total rewards metrics and benchmarks (examples include insurance participation rates, compa-ratio).

Benefits and Perquisites

Benefits programs may be viewed as part of the “social contract” between the government, employers, and employees to protect the financial and physical well-being of workers and their families. Such programs represent both a major expense for organizations and a key way in which organizations attract, motivate, align, and retain talent. As with direct compensation, the ability of the organization to attract and retain employees is dependent upon a benefits package that meets the needs of employees, is cost-effective and affordable, and complies with laws and regulations.

Competency Connection

Making a good business decision means pushing past explanations that are not founded on fact and then gathering the right information to develop creative and effective solutions. In the following case, an HR leader applies an open mind to the causes and possible solutions for escalating employee health insurance costs.

The U.K. region of a large oil and gas company has experienced an average of 11% year-over-year increases in employee benefit costs for the past seven years. The regional CEO is very cost-conscious and highly suspicious of how benefit premiums are charged by insurance companies.

The CEO and the head of finance agree to implement an unofficial policy of tendering for benefit plan coverage every year and then selecting the lowest-cost provider regardless of any other factors. The policy does not achieve its goal. Despite changing providers almost every year, the company still sees massive increases in premiums. In addition, more insurance providers are deciding not to participate in the bidding process. The head of finance blames the ongoing premium increases on the company's employees, who are "abusing the system." Frustrated with the situation and the head of finance's negative rhetoric, the CEO assigns full management of the benefit plan renewal to the new head of HR.

The head of HR cancels the unofficial policy of always selecting the cheapest benefit provider. At the same time, HR surveys the employees and ranks the benefits that they desire most. Then insurance providers are allowed to submit quotations using a higher deductible on many of the more costly benefits. Lastly, he shares the aggregate benefit usage statistics with all the employees in a town hall meeting prior to introducing the new benefit plan details. After the first year of the new plan, the loss ratio is below the previous year for the first time in 10 years. This allows a modest decrease in premiums the following year.

The head of HR has demonstrated the Analytical Aptitude competency by conducting a root cause analysis of premium inflation and developing options that satisfy the needs of both the CEO and the unit's employees.

Choosing Benefits and Perquisites

Key Content

In addition to direct compensation, employers provide employees with indirect compensation, commonly known as employee benefits. **Benefits** are tangible payments or services provided to broad groups of employees to cover issues such as retirement, private health coverage, sick pay/disability schemes, life insurance, and paid time off. Benefits programs are designed to reward continued employment, promote loyalty, and enable employees to live healthier, less worrisome lives.

In order to spend its benefits budget wisely, an organization must answer the following questions:

- **Which benefits are required by law?** Laws require that employers provide certain benefits to their employees. These benefits must be included in your organization’s total compensation package.

- **Which benefits enable an employer to compete for employees?** Some benefits, such as paid time off, have become so common that organizations that do not offer them will have a problem finding and keeping workers. Offering these benefits allows an organization to compete for the best employees. Also, if an organization offers an attractive benefit that is not commonly offered by competitors, the organization will have an advantage over its competitors.

- **Which benefits are cost-effective to purchase and to administer?** Because organizations usually have a limited budget for benefits, they must always assess the cost of the benefits and the associated administrative burden. Benefits such as paid holidays are easy to administer; pension and health-care plans are more time-consuming and costly to administer.

- **Which benefits do employees prefer?** Organizations must consider what benefits will attract and keep new employees. Maintaining a well-qualified, motivated workforce is important to

the organization’s success. Surveying employees regularly and understanding the make-up of the workforce allows the organization to identify benefits that employees value. Here are some examples:

- Health insurance ranks high with employees of all ages.
- Some benefits, like tuition reimbursement, may appeal more to younger workers.
- Older workers may be more interested in life insurance and retirement benefits.

- **Which benefits provide creative choices?** Organizations should look for ways to be creative when designing benefits programs. They should constantly monitor the marketplace to decide if legislation or other changes have made desirable benefits more affordable. Increasingly, employers are providing benefits that do not require specific financial outlay but provide employees with some type of reduced rate or “safe” opportunity to participate in a program where the employer has vetted the service provider. Here are some examples of how to provide benefits that save employees time and money and cost the organization very little:
  - An organization that cannot afford to provide health insurance may consider annual cash bonuses that employees can apply toward their insurance costs.

- An organization that cannot offer a benefit due to cost may think about offering popular lower-cost benefits, such as a flexible work schedule, telecommuting, and casual dress.
- Offering the opportunity to access discount programs or concierge-type services may not cost an employer anything but the time to communicate the service availability to employees through internal communication channels.

Although a global organization may want to apply the same benefit policies across the enterprise and its subsidiaries to maintain equity, standardization of benefits is challenging due to variations by country. A benefit mandated in one country may not be legally required for employees in another country or even considered valuable based on local customs. Furthermore, the perception of the value of employer-provided benefits is often directly related to the existence of government-provided benefits or the culture. An organization-sponsored health-care plan, for example, may not be valued in a country where the government provides excellent health care using a tax-supported system of government-subsidized or -managed medicine.

A related issue is that benefits can have significantly different meanings in different countries. Consider social insurance or social security. In the U.S., for example, social security is narrowly defined

to include only long-term support issues, such as disability, survivor insurance, and retirement. In many European countries, social insurance means the full spectrum of short- and long-term benefits, including health care, maternity/paternity leave, and child-care benefits.

Exhibit 102 summarizes common benefits variations across countries.

Exhibit 102: General Benefits Variations Across Countries

	Description	Examples
Benefits that are government-provided	These benefits are administered and provided directly by the government, usually paid for through taxes.	Usually, they are health-care and retirement benefits, but they may include other benefits, such as life, disability, or unemployment insurance.
Benefits that are government-mandated	These benefits are provided by employers because the law requires them to do so.	Country law often requires employers to provide specific types of leave, a certain amount of vacation each year, and time off for statutory holidays.
Benefits that are voluntary or discretionary	Benefits provided voluntarily by the employer may not be totally discretionary; competitive practice or employee relations may put pressure on the employer.	An organization may offer additional health-care benefits where government-supplied health care is not satisfactory. Or additional annual vacation days may be awarded.
Benefits that are market practice	These benefits are offered and adjusted compared to the external market.	Examples include providing a car or transportation allowance, child-care vouchers, or meal vouchers.

	Description	Examples
Tax treatment of benefits	Benefits are taxed differently in different countries.	Examples include different tax rates and schemes for cash and noncash compensation, benefits, or perquisites.

As an HR practitioner, it is important to recognize that such differences do exist. When HR professionals help to establish benefits policies, they must carefully research local laws versus organizational practices. It is also advisable to involve experts, internal or external, to validate particularly complex local benefits practices and requirements in order to implement compliant and culturally accurate programs. The HR professional has the responsibility to develop an employee benefits package that fulfills the objectives of both the employer and the employee. This is best accomplished by gathering data through a needs assessment.

Benefits Needs Assessment

The purpose of a needs assessment is to decide on a benefits package that will match the overall organizational strategies, support the organization’s mission and vision, and meet employee needs. A benefits needs assessment includes the activities listed in Exhibit 103 and ends with a gap analysis.

Exhibit 103: Activities in a Benefits Needs Assessment

Activity	Description
Review the organization's strategy.	The organization's market strategy has a direct effect on the benefits the organization offers employees: • Organizations that want to lead the market will offer their employees a more extensive benefits package. • Organizations that have a lagging or matching market strategy will offer their employees a simple benefits package.
Review the organization's compensation philosophy.	The organization's compensation philosophy will provide an understanding of how benefits fit into that philosophy. HR professionals will need to find out how much can be spent on benefits and their actual impact on the organization's cash flow. Benefits must be balanced with the other elements in the total rewards program.
Analyze the demographics of the organization's workforce.	An organization's benefits plan must address the needs of various categories of employees. These categories include full-time versus part-time status, active versus retired status, age, marital status, and family status.
Analyze the design and utilization data on all benefit plans.	Utilization data looks at specific benefits plan usage (for example, the relevance of defined benefit schemes for a workforce that has a lower-than-average age and a high turnover). This analysis may result in design changes to a plan. Based on employee lifestyle and employee mix, types of benefits will vary and may include retirement, medical expenses, insurance, dependent care assistance, and capital accumulation.

Key Content

The final step in a benefits needs assessment is to compare the following:

- Organizational needs (including budget)
- Employee needs
- Existing set of benefits

The HR professional performs a gap analysis to identify the set of benefits that best matches the needs of the organization and its employees.

Based on employee demographics and employees' need for different benefits, current benefits must be looked at to decide if the benefits need is being met. A review of the use of current benefits (a utilization review) can also be done to decide which specific parts of each benefit plan are being used and whether that use is in line with the organization's strategies.

Exhibit 104 summarizes some issues that may surface during a gap analysis and suggests the appropriate action.

Exhibit 104: Gap Analysis Issues and Suggested Actions

Issues	Actions
Needs that are not being met by existing benefits	Research new benefits or revise existing benefits.
Benefits that are not addressing organizational or employee needs	Drop or revise benefits that are not meeting needs.
Benefits that overlap each other	Revise benefits that overlap or conduct utilization review and keep only the used benefit(s).

Issues	Actions
Benefits that are underutilized	Do further research and then drop or revise benefits that are not being used enough.
Benefits that are too costly but are heavily used by employees	Adopt cost-containment strategies and reevaluate each benefit.

Needs assessment data should help HR develop a benefits package that is affordable for the organization as well as valued and used by employees.

A benefits needs assessment allows HR to build a business case for important recommendations such as:

- The type of benefits provided.
- Who is covered under the plan (for example, employees, dependents, retirees).
- What options employees have (for example, flexible spending accounts, cafeteria plans).
- How the plan will be financed and whether employees will share in the costs.
- Who should administer the plan (for example, the organization, an insurance carrier, a third-party administrator).
- How the benefit plan will be communicated to all affected individuals.

Paid-Time-Off and Family-Oriented Benefits

Paid-Time-Off Benefits

Paid time off (PTO) provides needed relief from the physical and mental demands of work. It contributes to a worker's ability to be productive and to sustain the stress of a job. The program structure may also reward long-term employees for their seniority and service.

Laws may require employers to provide specific types of leave. The amount of time granted to employees to be away from their jobs can vary significantly across countries, often reflecting the degree to which country nationals value personal time and family life over work.

For the purpose of this discussion, paid time off is described in terms of the following categories:

- Vacation or holiday leave
- Public, national, or bank holidays
- Maternity and paternity or parental leave
- Leave related to illness
- Other types of leave

Vacation or Holiday Leave

Periods for vacation or holiday leave are often legislated or dictated by collective bargaining or local statutory rules or laws. Even if not legally mandated, they are frequently embedded in culture and tradition. In some Western European countries, for instance, the majority of businesses virtually shut down in August when most people take their vacation.

Key Content

In most countries, vacation or holiday time tends to be provided equally to all employees, regardless of job status or seniority. In some situations, additional vacation or holiday time may be used to attract scarce talent or reward senior managers. Even in emerging and developing countries, it is common for all employees to be allotted a minimum number of days of annual leave plus holidays.

Examples of additional country variations:

- The amount of vacation/holiday time provided may be linked to years of service.
- Vacation/holiday time may be prescheduled due to mandatory shutdowns.

- Workers may schedule their own vacation/holiday time, with management approval.
- Vacation/holiday time may be required to be used within a certain time period (“use it or lose it”), and employees may not be able to take payment in lieu of vacation.

Public, National, or Bank Holidays

Each country usually has its own paid public, national, or bank holidays, during which firms may be required to shut down. Typically, additional time is granted by employers, but this is generally a market practice.

Certain holidays may be observed on a local basis or only by certain industries. Germany, for example, has several holidays that are observed nationwide as well as additional holidays that are observed only in certain areas of the country.

Public holidays may be only customary. In many countries, in the weeks surrounding major holidays such as Christmas the amount of business that can be conducted is significantly decreased because employees often use vacation days to take extended time off.

Maternity and Paternity or Parental Leave

Key Content

At least some portion of maternity leave is paid in most countries. This leave is sometimes supplemented by a required period of unpaid time off. The individual may have the right to return to work on a part-time basis if desired.

In addition to maternity leave, some countries offer paternity and parental leave. A distinction is sometimes made between these two terms; they can, however, have the same meaning. Parental leave is generally available to both mothers and fathers.

Examples of additional country variations:

- Maternity leave may be restricted to the biological mother of the child.
- Parental leave may be for either parent or for a couple who are adopting a child.
- Workers may be able to reduce their schedules to half-time for up to six months following a birth or an adoption.
- Both parents may be allowed leave (both paid and unpaid, depending on the country and the number of children in the family) to take care of ongoing child-rearing issues.

Leave Related to Illness

Key Content

Sick leave policies vary primarily in terms of the number of days allowed away from work, the amount of wages paid during that time, the entity that pays for these wages, and the waiting period required before being eligible for payment. The policies may be set by law, by collective bargaining, or by the employer, depending on the country.

Examples of additional country variations:

- Paid sick leave may be funded by contributions from both the employer and the employee.
- The amount of wages paid during paid sick leave may vary according to length of service. (Various upper limits may be defined, and local authorities can often adjust the policy to conform to local conditions.)
- Wages (capped at a pre-determined level) may be paid through the social security system.
- Organizations may “top off” a social security system cap on wages.

- Employees may receive a specific percentage of their daily wage determined by their wage class.

Other Types of Leave

Other types of leave are available to employees, depending on the country. For example:

- Employers may be obligated to provide paid leave to trade union officials and representatives for participation in trade union duties, education-related union projects, or other trade union activities.
- Both union and nonunion employees may be granted leave to undergo relevant training.
- Workers who are getting married may receive paid days off.
- Parents may be given paid time off for the marriage of a child.
- In many countries with large Muslim populations, employees are given paid time off for prayer.
- Reasonable time off is often granted to employees to allow them to carry out specified public duties and activities (for example, campaigning as an official candidate for an election, voting in an election, or jury duty).
- As part of the organization’s corporate social responsibility strategy, employees may be allowed or encouraged to take paid volunteer leave to contribute to charitable organizations and

efforts in their community, either as part of an organizational event or as an individual.
- Organizations may use an open leave system, which does not cap paid time off or sick time. Employees are trusted to accomplish work responsibilities.

Other types of leave may be mandated or provided voluntarily, such as sabbaticals or educational leave.

Because time off is primarily dictated by local laws and practices, it is important to understand these laws and practices at the local level.

Family-Oriented Benefits

The growth in dual-career couples and single-parent households and increasing work demands on many workers have accelerated the emphasis employers are placing on family-oriented benefits. For example, maternity and paternity leaves have been extended by some employers to adoptions. To provide assistance, employers have established a variety of family-oriented benefits, ranging from flexible work hours to child care, elder care, and domestic partner benefits.

Flexible Work Hours

Organizations may offer flexible work schedules, compressed workweeks, and work-at-home arrangements to help employees balance work roles with family roles.

Child Care

Whether single parents or dual-career couples, employees often experience difficulty in obtaining high-quality, affordable child care. Employers are addressing the child-care issue in various ways. Large organizations may provide on-site day-care facilities. When recruiting workers in tight labor markets, many organizations have found that having on-site child care is a competitive advantage. Other options for child-care assistance include:

- Establishing discounts at “near-site” day-care centers (which may be subsidized by the employer).
- Providing referral services to aid parents in locating child-care providers.
- Developing after-school programs for older school-age children, often in conjunction with local public and private school systems.
- Arranging with hospitals to offer sick-child programs (partially paid for by the employer).
- Allowing parents to use accumulated sick leave to care for sick children.

Elder Care

Countless employees across the globe are in the “sandwich generation”—where they care for children, parents, and/or grandparents. Responsibilities associated with caring for elderly family members can result in reduced work performance, increased absenteeism, and more personal stress for the affected employees. As with provisions to care for sick children, organizations may allow employees to use some of their accumulated sick leave to care for parents or grandparents. Some employers may also provide referrals to elder-care agencies; others may facilitate elder-care assistance through contracts with firms that arrange for elder care.

Domestic Partner Benefits

Domestic partners are unmarried couples, of the same or opposite sex, who live together and seek economic and noneconomic benefits comparable to those granted to their married counterparts. Countries and regions across the globe interpret domestic partnership status quite differently. For example, recognition of a domestic partnership in many countries may be limited to same-sex couples. Benefits awarded reflect statutory regulations and cultural norms.

Although specific domestic partner benefits vary, common offerings include:

- Health, dental, and vision insurance.
- Sick and bereavement leave.
- Accident and life insurance.
- Death benefits and pension.
- Parental leave (as a co-parent).

Domestic partner benefits are not universal. Specific benefits may be mandated by statutory regulations. An organization's policies may follow the legal rule, or they may be more generous in benefit provisions. The employee may be required to pay for his or her partner's coverage or the organization may pay (when it also pays for spouses). In practice, an organization needs to determine its approach to offering domestic partner benefits; policies should not be left unspoken.

Health and Welfare Benefits

There are significant differences between countries in the types of medical, disability, and life insurance coverage available and/or required for workers. The role of private organizational coverage varies depending on the national statutory coverage provided.

Health

Key Content

Most countries have a statutory universal access/universal coverage health-care system in which health care is paid for through some sort of social insurance, funded by employers, employees, general taxation, or combinations of these. In some countries, employers offer employer-sponsored health insurance. It is rare, however, for employees not to be at least partially covered by some form of government-supported health care.

Health-care laws and regulations are often interlocking. Compliance typically cuts across government requirements and labor relations.

Local conditions can have a large impact on the availability and cost of health care. For example, pandemics are rampant in many countries, and other serious diseases challenge the health-care systems as well. In some cases, organizations may decide to provide additional health care to their employees simply to maintain a healthy workforce if not for reasons of social conscience. Some companies start their own community clinics. Insufficient health care is often not an issue of cost but of services not being available.

The role of private health insurance varies, usually depending on the amount and quality of health care provided by the local government or the employer. Because the quality of government-provided health care is sometimes less than desired, employees may purchase additional private health insurance and go to private health-care facilities, sometimes located out of the country. Private health insurance is too expensive for most employees in less-developed countries, so this option is generally available only to upper management.

Cultural values play a role in the provision of health-care benefits. Health-care options considered by many Western countries as nontraditional may be considered both traditional and acceptable in other countries. For example, many developing countries often have herbal remedies not accepted by the Western medical profession.

Two types of programs that relate to health benefits are employee assistance programs and wellness programs:

- **Employee assistance programs.** The employee assistance program (EAP) is a health-care offering that has spread around the world. EAP services are intended to help identify and resolve employee concerns related to personal matters or work-related issues that, in some instances, can affect health or performance in the workplace. EAP resources typically provide

employees with confidential expert advice and support 24 hours a day, seven days a week. Nearly all EAPs are outsourced, and most are priced at a per capita rate. (“Per capita” is a Latin term that literally translates as “by head” and basically means “average per person.”) Depending on the specific EAP services offered, employees have access to a network of professionals for assistance with concerns such as education and tuition, financial information, legal information, retirement planning, identity theft advice, medical and travel advice, child and elder health and well-being advice, and counseling resources and referrals.

- **Wellness programs.** A wellness program is intended to promote and support the health, safety, and well-being of employees. There are many types of wellness programs, along with just as many incentives to entice employees to participate in them. Some examples of wellness programs include programs to help employees stop smoking, diabetes management programs, weight loss programs, and preventive health screenings. An employer may offer employees premium discounts, access or reimbursements for life coaches, cash rewards, gym memberships, and other incentives to participate.

Disability

Key Content

The concept of disability benefits takes on different meanings in different countries. In general, it refers to payments made to employees who are physically unable to perform their jobs because of illness or injury. Sometimes it covers only incapacitation due to job-related injuries or illnesses; other times it also covers causes outside the workplace.

In some cases, employers are required to provide unpaid leave as a reasonable accommodation under disability antidiscrimination laws.

Short-term, long-term, and permanent disability are usually differentiated. Depending on the country, the characteristics of each disability category may vary in terms of the source of funding and the length and amount of the benefit. Short-term disability usually refers to absences of up to six months, often requiring a minimum waiting period. Long-term disability usually starts where short-term disability ends. Sometimes it is treated the same as a permanent disability. The concept of permanent disability is sometimes merged

with the concept of a retirement pension. For example, the pension may start as soon as it is recognized that the disability is permanent.

Funding for disability payments usually involves some combination of employee contributions, employer contributions, and government funding. Payments may be made directly from an accumulated fund or through private or government-sponsored insurance. Within a given country, the government funding of various sorts of disability payments may come from multiple agencies depending on such factors as level of income, level of disability, or family status.

Life Insurance

Some life insurance, payable on the death of the employee, is usually provided by social security in most countries. In some countries, the government mandates that life insurance must be provided by the employers. This required insurance often involves very small lump-sum amounts, sufficient to cover burial but not sufficient for the beneficiary to live on. In almost all countries, the overwhelming majority of employers provide life insurance, payable to a beneficiary upon the death of the employee, as a voluntary company-provided benefit. The competitive level of company-provided benefits varies somewhat by country, usually set as a multiple of annual or monthly pay. In many countries, the employee

can purchase additional life insurance through an organization-sponsored group plan.

Severance/Unemployment and Retirement Benefits

Severance Packages

Employees leave an organization for a variety of reasons. Generally, departures may be categorized as:

- **Voluntary terminations.** These occur when an employee resigns or retires. Voluntary resignation is when an employee decides to quit or leave.
- **Involuntary (or nonvoluntary) terminations.** These occur typically when employers discharge particular employees for cause. The reasons may include poor performance, inability to manage subordinates, inability to work with management, and violations of employer policy. Employers may also discharge employees to reduce or adjust the workforce in response to downturns in business, reorganizing or restructuring, mergers and acquisitions, and so forth.

Key Content

The circumstances under which an organization can terminate employment and the amount of payment the terminated employee receives is prescribed by law and differs by country. Laws in various countries may include additional aspects, for example:

- Issuing warnings for misbehavior.
- The reasons for which termination can occur.
- The amount of severance payments provided to an employee.
- How long wages must continue to be paid to an employee after termination.

Terminating employees without a thorough understanding of these requirements puts an employer at risk.

Involuntary terminations can be complex and difficult to manage in many countries. This complexity exists even when the termination is for cause or in response to poor economic conditions. Poor performance is not always a sufficient cause for dismissal. The decision to terminate an employee may require prior notification to

government agencies or labor organizations, which will result in their involvement in the decision process.

Laws, regulations, union agreements, works council consultation, or legal agreements may also dictate the order in which terminations must occur. For example, employees may need to be dismissed according to a last-in-first-out rule, or their priority may be determined by other factors, such as age or number of dependents.

Notice periods may be determined by law. For example, in some Western European countries, employers may be required to provide notice up to six months in advance of termination, depending on factors such as seniority or management level.

In some countries, support is required for terminated employees, even when they have been terminated for cause. To the extent the employer bears the burden of the cost of this support, as they often do to at least some degree, this can be very expensive. It can be even more expensive if support requirements are ignored, because fines and penalties for noncompliance can be costly.

Even where not legally required, organizations may provide outplacement services, which help former employees in their job search. Outplacement services may include assistance with résumé building and job searches, coaching, and interview tips and

practices. These services may be conducted face to face or done virtually.

HR professionals must be knowledgeable of the laws that apply in the organization’s home country and all countries, regions, or localities in which the organization operates. They must also understand the regulations of multiple governmental agencies.

Where country laws dictate the terms of termination and end-of-service calculations, organizations have little room for discretion even if the payments and benefits are significantly more generous than company policy would award in unregulated jurisdictions.

The amount of compensation paid to a terminated employee varies by country, although there are some similarities within regions.

Years of service is often a key factor. Other considerations in compensation for termination include employee position, employment agreements, and employer policies and practices.

Examples of additional country variations:

- In many countries, a separation may be negotiated with the employee or the employee’s collective bargaining representative.
- Employees may choose to receive severance payments as a salary continuation benefit (continue payments on

scheduled paydays) or in a lump sum.
- For sales professionals, any commissions earned as of the date of the termination are typically paid out.
- Accrued but unused vacation may also be paid out to the employee.

Regardless of the circumstances, organizations must ensure that severance pay is compliant and fairly compensates terminated employees to avoid discrimination lawsuits and regulatory fines and penalties.

Unemployment Insurance

Many jurisdictions collect premiums from employers—and sometimes employees—to be applied toward paying a percentage of an employee's salary in the case of the employee losing his or her job through no fault of the employee. The principle behind this benefit is to help workers who have been terminated to transition from one job to another equally suitable job. Terms or phrases used to describe this kind of benefit include unemployment insurance, employment insurance, job seekers' allowance/benefit, and redundancy funds.

In most jurisdictions the amount paid to the unemployed worker first requires a waiting period and is followed by time and financial limits.

(The benefit period is limited, as is the financial payout.) The goal of such public policy is to enable people to meet their basic financial obligations while searching for a new job.

Retirement

One thing remains consistent across all organizations, from headquarters to the smallest subsidiary, regardless of location: At some point, employees will reach an age where they no longer desire or are able to work. Retirement plans allow current employees to make financial provisions for the future.

Retirement plans differ widely by country. Many retirement programs are mandated by the government and paid for through employee and employer contributions. Supplemental government support is sometimes provided.

Retirement and pension benefits may be provided through a wide variety of plans. The main goal is to provide retirement income to employees with some type of income payable periodically.

Characteristics of the two most common types of plans, defined benefit plans and defined contribution plans, are summarized in Exhibit 105.

Exhibit 105: Types of Retirement Plans

Plan	Description
Defined benefit	• Promises specific benefit amount upon retirement. • Vesting schedule is set up. (Vesting is the process by which employees gain permanent claim to a portion or all of their benefit. Employees are always 100% vested in their own contributions; employer contributions usually vest over time.) • Provides benefits based on service and perhaps on salary. • Amount of benefit is decided by a formula. • Provides a pre-specified level of benefits. • Employer bears the investment risk.
Defined contribution	• Amount of money that is to be regularly contributed to the fund is specified. • No promises are made about the future value of the benefit. • Employees will be entitled to 100% of their investment and the vested portion of the employer's contributions upon retirement. • Requires individual accounts for each employee. • Amount of the benefit at retirement will depend on the investment return. • Employee bears the investment risk.

Payments

Payments vary in terms of how they are made. Most often, they are made in the form of an annuity, paid monthly until death. In other countries, an amount may be paid in a single lump sum. In actuality, the particular formulas for payment of retirement vary and are often complicated. They may be affected by the nature of the government

funding strategies or variations that depend on such factors as age, level in the organization, and family characteristics.

The implications for benefits managers should be clear: Before making any changes in a retirement plan or building a new one, colleagues and experts with strong, country-specific expertise must be consulted regarding the organization's long-term liability. This is particularly important in the case of mergers or acquisitions, where not all retirement-related liabilities may be recognized on the books. In these cases, they may be overlooked by due diligence teams. The extent to which they are recognized relates to legal requirements and accepted accounting practices. Even if they are recognized on the books, the assumptions behind the documented liabilities for retirements may be overly conservative. For these reasons, due diligence—including consultation with legal and accounting experts—is very important.

Fiduciary Responsibility

In administering retirement plans, organizations must be aware of the concept of fiduciary responsibility. A fiduciary duty (or fiduciary obligation) implies a legal obligation of one party (for example, the employer) to act in the best interest of another (for example, the employees). The obligated party is typically referred to as a "fiduciary" (an individual or a party entrusted with the care of money

or property). Legal systems may have broad or narrow views of this responsibility.

Social Security

Social security varies by country but generally refers to:

- Social insurance, where people receive benefits or services in recognition of contributions to an insurance program. These services typically include provision for retirement pensions, disability insurance, survivor benefits, and unemployment insurance.
- Services provided by government or designated agencies responsible for social security provision. In different countries, this may include medical care; financial support during unemployment, sickness, or retirement; health and safety at work; aspects of social work; and even industrial relations.
- Basic security irrespective of participation in specific insurance programs where eligibility may otherwise be an issue. For instance, assistance may be given to new-arriving refugees for basic necessities such as food, clothing, housing, education, money, and medical care.

Perquisites

Perquisites are special incidental payments, benefits, or privileges given to individual employees, over and above their regular rewards. When awarded to senior-level job positions, perquisites may also be called executive perks or fringe benefits.

There are many perquisites that organizations may offer employees. Some of the more common ones are noted below.

- **Free/discounted products or services.** Employees may be eligible for free products and services or discounts.
- **Mobile devices.** A cell phone, smartphone, or laptop may be provided for business needs.
- **Professional organizations/certifications.** Fees for employee membership in professional associations or professional certifications may be paid.
- **Training programs.** Employer payment for training programs may be available to many levels of employees.
- **Education fees.** Tuition assistance may be provided to employees. An employer may pay all or part of an employee's cost to attend college or university or technical school classes,

allowing employees to continue to expand their knowledge and skills while working.

The following are some additional (less common) perquisites:

- **Housing.** Accommodations or related allowances are awarded to certain employees. Such accommodations may be company-owned or company-leased. Allowances may be a fixed monetary amount or a percentage of basic salary. The specifics often depend on employee level. Furnishings may be provided. An organization may also offer “housing partnerships,” where employees are given financial assistance toward down payments.

- **Company car and/or cash car allowances.** Organizations may provide cars for specific employees to use, or they may offer a car allowance in lieu of a car. In addition to the cost of the car, organizations often finance car maintenance, taxes, and insurance. Fuel costs are typically reimbursed for business purposes (except for senior executives, for which all fuel costs are typically reimbursed).

- **Club memberships.** Entrance fees as well as annual subscriptions for social or sports club memberships may be paid by the employer.

- **Meal allowances.** Lunch vouchers, meal tickets, meal subsidies, or subsidized/ free lunches in the company restaurant/canteen may be granted to employees.

Some additional perquisites include financial and legal counseling and, to a lesser extent, medical check-ups, vaccinations, and immunizations, subsidized/low-interest loans for the purchase of a house or car, and travel allowances.

Benefits Metrics

Understanding how benefits costs are calculated can help HR professionals analyze the requirements of particular benefits programs, understand the cost-benefit ratio of particular programs, prioritize the money spent, and communicate with employees. Exhibit 106 provides descriptions/formulas for figuring the cost of benefits.

Exhibit 106: Metrics for Costs of Benefits

Description/Formula	Strategic Value
Benefits Costs as a Percentage of Total Payroll Costs	

Description/Formula	Strategic Value
Reflects the total costs of benefits divided by the total payroll costs for the organization. $$\frac{\text{Total benefit costs}}{\text{Total payroll costs}}$$	Pay and benefits together make up wage costs. Take-home pay is only a fraction of the total cost of total rewards. This metric identifies the proportion of benefits costs.
Health-Care Expense per Employee	
Percentage that measures the health-care expense per employee for a given fiscal year. Total health-care expenses include employee- and company-paid premiums, stop-loss insurance, and administrative fees. $$\frac{\text{Total health-care expenses}}{\text{Number of employees enrolled in health-care plan}}$$	This measurement can show the per capita cost of the benefit (for example, the average per person).
Annual Increase/Decrease in Health-Care Benefit Costs (Previous Years and Projected)	
Represents the expected increase/decrease in the organization's health-care expense for a given fiscal year; a comparison of the current health-care expense per employee metric to previous years and projected.	This measurement alerts an organization to the increasing costs of health-care benefits and helps the organization assess if actions must be taken to control benefits costs (for example, changing/reducing benefits, sharing the costs with employees).
Insurance Participation Rate	

Description/Formula	Strategic Value
Indicates total percentage of employees enrolled in insurance benefits $$\frac{\text{Number of employees enrolled}}{\text{Total number of employees}}$$	Helps provide feedback as to the quality and value of the benefit; helps in evaluating competitiveness of total compensation strategy.

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Glossary

Action mapping

Instructional design model based on concept that training should be tightly focused on specific performance measures that the organization has determined are important.

ADDIE model

Instructional systems design framework consisting of five steps that guide the design and development of learning programs.

Applicant tracking system (ATS)

Software application that automates organizations' management of the recruiting process (such as accepting application materials, screening applicants, etc.).

Apprenticeship

Related to technical skills training; often a partnership between employers and unions.

Assessment centers

Assessment tools that provide candidates a wide range of leadership situations and problem-solving exercises.

Auditory learners

People who learn best by relying on their sense of hearing.

Balanced scorecard

Performance management tool that depicts an organization’s overall performance, as measured against goals, lagging indicators, and leading indicators.

Benchmarking

Process by which an organization identifies performance gaps and sets goals for performance improvement by comparing its data, performance levels, and/or processes against those of other organizations.

Benefits

Mandatory or voluntary payments or services provided to employees, typically covering retirement, health care, sick pay/disability, life insurance, and paid time off.

Blended learning

Planned approach to learning that includes a combination of instructor-led training, self-directed study, and/or on-the-job training.

Broadbanding

Combining several salary grades or job classifications with narrow pay ranges into one band with a wider salary spread.

Career development

Progression through a series of employment stages characterized by relatively unique issues, themes, and tasks.

Career management

Preparing, implementing, and monitoring employees' career paths, with a primary focus on the goals and needs of the organization.

Career planning

Actions and activities that individuals perform in order to give direction to their work lives.

Coaching

Focused, interactive communication and guidance intended to develop and enhance on-the-job performance, knowledge, or behavior.

Compa-ratio

Pay rate divided by the midpoint of the pay range.

Compensation

All financial returns (beyond any tangible benefits payments or services), including salary and allowances.

Compensation philosophy

Short but broad statement documenting an organization's guiding principles and core values about employee compensation.

Competencies

Clusters of highly interrelated attributes, including knowledge, skills, and abilities (KSAs), that give rise to the behaviors needed to perform a given job effectively.

Cost-of-living adjustment (COLA)

Pay adjustment given to eligible employees regardless of performance or organizational profitability; usually linked to inflation.

Developmental activities

Activities that focus on preparing employees for future responsibilities while increasing their capacity to perform their current jobs.

Distance learning

Process of delivering educational or instructional programs to locations away from a classroom or central site.

Domestic partners

Unmarried couples, of the same or opposite sex, who live together and seek economic and noneconomic benefits comparable to those granted to their married counterparts.

Dual career ladders

Career development programs that identify meaningful career paths for professional and technical people outside traditional management roles.

E-learning

Electronic media delivery of educational and training materials, processes, and programs.

Employee engagement

Employees' emotional commitment to an organization, demonstrated by their willingness to put in discretionary effort to

promote the organization’s effective functioning.

Employee life cycle (ELC)

Activities associated with an employee’s tenure in an organization.

Employee surveys

Instruments that collect and assess information on employee engagement, satisfaction, and perceptions surrounding the work environment.

Employee value proposition (EVP)

Employees’ perceived value of the total rewards and tangible and intangible benefits they receive from the organization as part of employment, which drives unique and compelling organizational strategies for talent acquisition, retention, and engagement.

Employment branding

Process of positioning an organization as an “employer of choice” in the labor market.

Environmental scanning

Process that involves a systematic survey and interpretation of relevant data to identify external opportunities and threats and to assess how these factors affect the organization currently and how they are likely to affect the organization in the future.

Essential functions

Primary job duties that a qualified individual must be able to perform, either with or without reasonable accommodation.

External equity

Situation in which an organization’s compensation levels and benefits are similar to those of other organizations that are in the same labor market and compete for the same employees.

Flat-rate pay

Provides each incumbent of a job with the same rate of pay, regardless of performance or seniority; also known as single-rate pay.

General pay increase

Pay increase given to employees based on local competitive market requirements; awarded regardless of employee performance.

Green-circle rates

Situations in which an employee’s pay is below the minimum of the range.

Head count

Number of people on an organization’s payroll at a particular moment in time.

Incentive pay

Form of direct compensation where employers pay for performance beyond normal expectations to motivate higher performance.

Individual development plan (IDP)

Document that guides employees toward their goals for professional development and growth.

Internal equity

Extent to which employees perceive that monetary and other rewards are distributed equitably, based on effort, skill and/or relevant outcomes.

Job analysis

Process of systematically studying a job in order to identify the activities/tasks and responsibilities it includes, the personal qualifications necessary to perform it, and the conditions under which it is performed.

Job classification

Job evaluation method in which descriptions are written for each class of jobs; individual jobs are then put into the grade that best matches their class description.

Job description

Document that describes a job and its essential functions and requirements (including tasks, knowledge, skills, abilities, responsibilities, and reporting structure).

Job enlargement

Process of broadening a job’s scope by adding different tasks to the job.

Job enrichment

Process of increasing a job’s depth by adding responsibilities to the job.

Job evaluation

Process of determining a job’s value and price for the purpose of attracting and retaining employees by comparing the job against other jobs within the organization or against similar jobs in competing organizations.

Job ranking

Job evaluation method that involves establishing a hierarchy of jobs from lowest to highest based on each job’s overall value to the organization.

Job rotation

Movement between different jobs.

Job specifications

Written statements of the minimum qualifications for the job incumbent.

Job-content-based job evaluation

Job evaluation method in which the relative worth and pay structure of different jobs are based on an assessment of their content and their relationship to other jobs within the organization.

Key performance indicators (KPIs)

Quantifiable measures of performance used to gauge progress toward strategic objectives or agreed standards of performance.

Kinesthetic learners

People who learn best through a hands-on approach; also called tactile learners.

Lagging indicator

Type of metric describing an activity or change in performance that has already occurred.

Leader development

Training and professional development programs targeted at assisting management- and executive-level employees in developing the skills, abilities, and flexibility required to deal with a variety of situations.

Leadership

Ability to influence, guide, inspire, or motivate a group or person to achieve their goals.

Leading indicator

Type of metric describing an activity that can change future performance and predict success in the achievement of strategic goals.

Learning management system (LMS)

System that holds course content information and has the capability of tracking and managing employee course registrations, career development, and other employee development activities.

Learning organization

Organization characterized by a capability to adapt to changes in environment.

Lump-sum increase (LSI)

One-time payment made to an employee; also called performance bonus.

Market-based job evaluation

Job evaluation method in which the relative worth and pay structure of different jobs are based on their market value or the going rate in the marketplace.

Mentoring

Relationship in which one person helps guide another’s development.

Merit pay

Situation where an individual’s performance on the job is the basis for the amount and timing of pay increases; also called performance-based pay or pay for performance.

Mission statement

Concise outline of an organization’s strategy, specifying the activities the organization intends to pursue and the course its management has charted for the future.

Onboarding

Process of assimilating new employees into an organization through orientation programs and their experiences in their first months of employment.

On-the-job training (OJT)

Training provided to employees at the work site utilizing demonstration and performance of job tasks.

Organizational learning

Acquisition and/or transfer of knowledge within an organization through activities or processes that may occur at several organizational levels; ability of an organization to learn from its mistakes and adjust its strategy accordingly.

Organizational values

Beliefs and principles defined by an organization to direct and govern its employees' behavior.

Orientation

Process by which new employees become familiar with the organization and with their specific department, coworkers, and job.

Paired-comparison method

Job evaluation method in which each job is compared with every other job being evaluated; the job with the largest number of "greater than" rankings is the highest-ranked job, etc.

Pay compression

Occurs when there is only a small difference in pay between employees regardless of their experience, skills, level, or seniority; also known as salary compression.

Pay for performance (P4P, PfP)

Situation where an individual's performance on the job is the basis for the amount and timing of pay increases; also called merit pay or performance-based pay.

Pay grades

Used to group jobs that have approximately the same relative internal or external worth and are paid at the same rate or within the same pay range.

Pay ranges

Set the upper and lower bounds of possible compensation for individuals whose jobs fall within a pay grade.

Performance appraisal

Process of measuring and evaluating an employee's adherence to performance standards and providing feedback to the employee.

Performance bonus

One-time payment made to an employee; also called a lump-sum increase (LSI).

Performance management

Tools, activities, and processes that an organization uses to manage, maintain, and/or improve the job performance of employees.

Performance standards

Behaviors and results as defined by an organization to communicate the expectations of management.

Performance-based pay

Situation where an individual’s performance on the job is the basis for the amount and timing of pay increases; also called merit pay or pay for performance.

Perquisites

Compensation provided on an individual basis in the form of goods or services.

Person-based pay

Pay systems in which employee characteristics, rather than the job, determine pay.

PESTLE analysis

Scanning process that searches for environmental forces in political, economic, social, technological, legal, and environmental categories.

Pilot programs

Learning/development programs offered initially in a controlled environment with a segment of the target audience.

Point-factor system

Job evaluation method that looks at compensable factors (such as skills and working conditions) that reflect how much a job adds

value to the organization; points are assigned to each factor and then added to come up with an overall point value for the job.

Premiums

Payments in return for the achievement of specific, time-limited, targeted objectives.

Productivity-based pay

Pay based on the quantity of work and outputs that can be accurately measured.

Realistic job preview (RJP)

Tool used to provide a job applicant with honest, complete information about a job and the work environment.

Reasonable accommodation

Modifications or adjustments to a job or job application process that accommodate persons with disabilities but do not impose a disproportionate or undue burden on the employer.

Recruitment

Process by which an organization seeks out candidates and encourages them to apply for job openings.

Red-circle rates

Situations in which employees' pay is above the range maximum.

Remuneration surveys

Instruments that collect information on prevailing market compensation and benefits practices (including starting wage

rates, base pay, pay ranges, statutory and market cash payments, variable compensation, and paid time off).

Retention

Ability of an organization to keep its employees.

Selection

Process of evaluating the most suitable candidates for a position.

Selection interviews

Interviews designed to probe areas of interest to the interviewer in order to determine how well a job candidate meets the needs of the organization.

Selection screening

Analyzing candidates' application forms, curricula vitae, and résumés to locate the most-qualified candidates for an open job.

Single-rate pay

Provides each incumbent of a job with the same rate of pay, regardless of performance or seniority; also known as flat-rate pay.

Situation judgment tests (SJTs)

Assessment tools that present prospective leaders with sample situations and problems they might encounter in a work environment.

Sourcing

Process by which an organization generates a pool of qualified job applicants.

Staffing

HR function that acts on the organizational human capital needs identified through workforce planning and attempts to provide an adequate supply of qualified individuals to complete the body of work necessary for the organization's financial success.

Stay interviews

Structured conversations with employees for the purpose of determining which aspects of a job encourage employee retention or may be improved to do so.

Strategic fit

State in which an organization's strategy is consistent with its external opportunities and circumstances and its internal structure, resources, and capabilities.

Strategic management

System of actions that leaders take to drive an organization toward its goals and objectives.

Strategic planning

Process of setting goals and designing a path toward a competitive position.

Strategy

Plan of action for accomplishing an organization's overall and long-range goals.

Successive approximation model (SAM)

Instructional design model that works to gain feedback and build models early in the process; generally has three phases: preparation, iterative design, and iterative development.

SWOT analysis

Method for assessment of an organization’s strategic capabilities through use of the environmental scanning process, by which internal and external factors affecting achievement of organizational goals are identified and considered.

Systems thinking

Process for understanding how seemingly independent units within a larger entity interact with and influence one another.

Time-based step-rate pay

System in which pay is based on longevity in the job and pay increases occur on a pre-determined schedule.

Total rewards

Direct and indirect remuneration approaches that employers use to attract, recognize, and retain workers.

Total rewards strategy

Plan or method implemented by an organization that provides monetary, benefits-in-kind, and developmental rewards to employees who achieve specific business goals.

Training

Process by which employees are provided with the knowledge, skills and abilities (KSAs) specific to a task or job.

Value drivers

Actions, processes, or results that are needed to deliver a desired value.

Vision statement

Description of what an organization hopes to attain and accomplish in the future, which guides it toward that defined direction.

Visual learners

People who learn best by relying on their sense of sight.

Webconferencing

Using the Internet to conduct meetings and give presentations to an audience who has joined the meeting remotely.

Webinar

Form of webconferencing where a presenter facilitates communication of material or information to an audience in real time.

Well-being

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